FRANCHISE DISCLOSURE DOCUMENT

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Lawn Pride SPV LLC
A Delaware limited liability company
1010 N. University Parks Drive
Waco, Texas 76707
(321) – 422 - 2089
franchising@lawnpride.com (email)
www.lawnpride.com (website)

As a franchisee, you will establish and operate a business, that offers lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control, mole and vole control, tree and shrub care and feeding, deer protection services, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers, pursuant to certain standards and specifications, using the trade name "Lawn Pride®."

The approximate total investment necessary to begin operation of a single Lawn Pride® franchise business ranges from $141,215 to $243,890. This includes $41,300 to $63,550 that must be paid to the franchisor or its affiliate(s).

This disclosure document summarizes certain provisions of your franchise agreement and other information in plain English. Read this disclosure document and all accompanying agreements carefully. You must receive this disclosure document at least 14 calendar days before you sign a binding agreement with, or make any payment to, the franchisor or an affiliate in connection with the proposed franchise sale. **Note, however, that no governmental agency has verified the information contained in this document.**

You may wish to receive your disclosure document in another format that is more convenient for you. To discuss the availability of disclosures in different formats, contact Franchise Development at 1010 North University Parks Drive, Waco, Texas 76707, (757) 512-7780.

The terms of your contract will govern your franchise relationship. Don't rely on the disclosure document alone to understand your contract. Read all of your contract carefully. Show your contract and this disclosure document to an advisor, like a lawyer or an accountant.

Buying a franchise is a complex investment. The information in this disclosure document can help you make up your mind. More information on franchising, such as "A Consumer's Guide to Buying a Franchise," which can help you understand how to use this disclosure document, is available from the Federal Trade Commission. You can contact the FTC at 1-877-FTC-HELP or by writing to the FTC at 600 Pennsylvania Avenue, NW, Washington, D.C. 20580. You can also visit the FTC's home page at www.ftc.gov for additional information. Call your state agency or visit your public library for other sources of information on franchising.

There may also be laws on franchising in your state. Ask your state agencies about them.

Issuance Date: April 1, 2026

How to Use This Franchise Disclosure Document

Here are some questions you may be asking about buying a franchise and tips on how to find more information:

QUESTION	WHERE TO FIND INFORMATION
How much can I earn?	Item 19 may give you information about outlet sales, costs, profits or losses. You should also try to obtain this information from others, like current and former franchisees. You can find their names and contact information in Item 20 or Exhibit E.
How much will I need to invest?	Items 5 and 6 list fees you will be paying to the franchisor or at the franchisor's direction. Item 7 lists the initial investment to open. Item 8 describes the suppliers you must use.
Does the franchisor have the financial ability to provide support to my business?	Item 21 or Exhibit C includes financial statements. Review these statements carefully.
Is the franchise system stable, growing, or shrinking?	Item 20 summarizes the recent history of the number of company-owned and franchised outlets.
Will my business be the only LAWN PRIDE business in my area?	Item 12 and the "territory" provisions in the franchise agreement describe whether the franchisor and other franchisees can compete with you.
Does the franchisor have a troubled legal history?	Items 3 and 4 tell you whether the franchisor or its management have been involved in material litigation or bankruptcy proceedings.
What's it like to be a LAWN PRIDE franchisee?	Item 20 or Exhibit E lists current and former franchisees. You can contact them to ask about their experiences.
What else should I know?	These questions are only a few things you should look for. Review all 23 Items and all Exhibits in this disclosure document to better understand this franchise opportunity. See the table of contents.

What You Need To Know About Franchising *Generally*

Continuing responsibility to pay fees. You may have to pay royalties and other fees even if you are losing money.

Business model can change. The franchise agreement may allow the franchisor to change its manuals and business model without your consent. These changes may require you to make additional investments in your franchise business or may harm your franchise business.

Supplier restrictions. You may have to buy or lease items from the franchisor or a limited group of suppliers the franchisor designates. These items may be more expensive than similar items you could buy on your own.

Operating restrictions. The franchise agreement may prohibit you from operating a similar business during the term of the franchise. There are usually other restrictions. Some examples may include controlling your location, your access to customers, what you sell, how you market, and your hours of operation.

Competition from franchisor. Even if the franchise agreement grants you a territory, the franchisor may have the right to compete with you in your territory.

Renewal. Your franchise agreement may not permit you to renew. Even if it does, you may have to sign a new agreement with different terms and conditions in order to continue to operate your franchise business.

When your franchise ends. The franchise agreement may prohibit you from operating a similar business after your franchise ends even if you still have obligations to your landlord or other creditors.

Some States Require Registration

Your state may have a franchise law, or other law, that requires franchisors to register before offering or selling franchises in the state. Registration does not mean that the state recommends the franchise or has verified the information in this document. To find out if your state has a registration requirement, or to contact your state, use the agency information in Exhibit B.

Your state also may have laws that require special disclosures or amendments be made to your franchise agreement. If so, you should check the State Specific Addenda. See the Table of Contents for the location of the State Specific Addenda.

Special Risks to Consider About *This* Franchise

Certain states require that the following risk(s) be highlighted:

1. **Out-of-State Dispute Resolution**. The franchise agreement requires you to resolve disputes with the franchisor by mediation, arbitration and/or litigation only in Texas. Out-of-state mediation, arbitration, or litigation may force you to accept a less favorable settlement for disputes. It may also cost more to mediate, arbitrate, or litigate with the franchisor in Texas than in your own state.

2. **Spousal Liability**. Your spouse may be required to sign a document that makes your spouse liable for all financial obligations under the franchise agreement even though your spouse has no ownership interest in the franchise. This guarantee will place both your and your spouse's marital and personal assets, perhaps including your house, at risk if your franchise fails.

3. **Mandatory Minimum Payments**. You must make minimum license fee payments, regardless of your sales levels. Your inability to make the payments may result in termination of your franchise and loss of your investment.

4. **Short Operating History**. The franchisor is at an early stage of development and has a limited operating history. This franchise is likely to be a riskier investment than a franchise in a system with a longer operating history.

5. **Sales Performance Required**. You must maintain minimum sales performance levels. Your inability to maintain these levels may result in loss of any territorial rights you are granted, termination of your franchise, and loss of your investment.

Certain states may require other risks to be highlighted. Check the "State Specific Addenda" (if any) to see whether your state requires other risks to be highlighted.

THE FOLLOWING PROVISIONS APPLY ONLY TO TRANSACTIONS GOVERNED BY THE MICHIGAN FRANCHISE INVESTMENT LAW

THE STATE OF MICHIGAN PROHIBITS CERTAIN UNFAIR PROVISIONS THAT ARE SOMETIMES IN FRANCHISE DOCUMENTS. IF ANY OF THE FOLLOWING PROVISIONS ARE IN THESE FRANCHISE DOCUMENTS, THE PROVISIONS ARE VOID AND CANNOT BE ENFORCED AGAINST YOU:

Each of the following provisions is void and unenforceable if contained in any documents relating to a franchise:

(a) A prohibition on the right of a franchisee to join an association of franchisees.

(b) A requirement that a franchisee assent to a release, assignment, novation, waiver, or estoppel which deprives a franchisee of rights and protections provided in this act. This shall not preclude a franchisee, after entering into a franchise agreement, from settling any and all claims.

(c) A provision that permits a franchisor to terminate a franchise prior to the expiration of its term except for good cause. Good cause shall include the failure of the franchisee to comply with any lawful provision of the franchise agreement and to cure such failure after being given written notice thereof and a reasonable opportunity, which in no event need be more than 30 days, to cure such failure.

(d) A provision that permits a franchisor to refuse to renew a franchise without fairly compensating the franchisee by repurchase or other means for the fair market value at the time of expiration of the franchisee's inventory, supplies, equipment, fixtures, and furnishings. Personalized materials which have no value to the franchisor and inventory, supplies, equipment, fixtures, and furnishings not reasonably required in the conduct of the franchise business are not subject to compensation. This subsection applies only if: (i) the term of the franchise is less than 5 years and (ii) the franchisee is prohibited by the franchise or other agreement from continuing to conduct substantially the same business under another trademark, service mark, trade name, logotype, advertising, or other commercial symbol in the same area subsequent to the expiration of the franchise or the franchisee does not receive at least 6 months advance notice of franchisor's intent not to renew the franchise.

(e) A provision that permits the franchisor to refuse to renew a franchise on terms generally available to other franchisees of the same class or type under similar circumstances. This section does not require a renewal provision.

(f) A provision requiring that arbitration or litigation be conducted outside this state. This shall not preclude the franchisee from entering into an agreement, at the time of arbitration, to conduct arbitration at a location outside this state.

(g) A provision which permits a franchisor to refuse to permit a transfer of ownership of a franchise, except for good cause. This subdivision does not prevent a franchisor from exercising a right of first refusal to purchase the franchise. Good cause shall include, but is not limited to:

(i) The failure of the proposed franchisee to meet the franchisor's then current reasonable qualifications or standards.

(ii) The fact that the proposed transferee is a competitor of the franchisor or subfranchisor.

(iii) The unwillingness of the proposed transferee to agree in writing to comply with all lawful obligations.

(iv) The failure of the franchisee or proposed transferee to pay any sums owing to the franchisor or to cure any default in the franchise agreement existing at the time of the proposed transfer.

(h) A provision that requires the franchisee to resell to the franchisor items that are not uniquely identified with the franchisor. This subdivision does not prohibit a provision that grants to a franchisor a right of first refusal to purchase the assets of a franchise on the same terms and conditions as a bona fide third party willing and able to purchase those assets, nor does this subdivision prohibit a provision that grants the franchisor the right to acquire the assets of a franchise for the market or appraised value of such assets if the franchisee has breached the lawful provisions of the franchise agreement and has failed to cure the breach in the manner provided in subdivision (c).

(i) A provision which permits the franchisor to directly or indirectly convey, assign, or otherwise transfer its obligations to fulfill contractual obligations to the franchisee unless provision has been made for providing the required contractual services.

(j) If the franchisor's most recent financial statements are unaudited and show a net worth of less than $100,000, the franchisor shall, at the request of a franchisee, arrange for the escrow of initial investment and other funds paid by the franchisee or subfranchisor until the obligations to provide real estate, improvements, equipment, inventory, training, or other items included in the franchise offering are fulfilled. At the option of the franchisor, a surety bond may be provided in place of escrow.

THE FACT THAT THERE IS A NOTICE OF THIS OFFERING ON FILE WITH THE ATTORNEY GENERAL DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION, OR ENDORSEMENT BY THE ATTORNEY GENERAL.

Any questions regarding the notice should be directed to:

State of Michigan
Consumer Protection Division
Attention: Franchise
G. Mennen Williams Building, First Floor
525 West Ottawa
Lansing, Michigan 48933
Telephone: 517-373-7117

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APPLICABLE STATE LAW MIGHT REQUIRE ADDITIONAL DISCLOSURES RELATED TO THE INFORMATION CONTAINED IN THIS DISCLOSURE DOCUMENT. THESE ADDITIONAL DISCLOSURES, IF ANY, APPEAR IN EXHIBIT O.

ITEM 1

THE FRANCHISOR, AND ANY PARENT, PREDECESSORS AND AFFILIATES

For ease of reference in this disclosure document, the franchisor, Lawn Pride SPV LLC, is referred to as "we," "us" or "Franchisor," and sometimes "Lawn Pride" and the person who buys the franchise is referred to as "you," "your," "Franchise Owner", or "Franchisee." The business that is operated under the Franchise Agreement is referred to as the "franchise", the "franchised business" or the "Business" and the right to operate granted by the Franchise Agreement is sometimes referred to as the "license" or "franchise." If you are a legal entity, the provisions of the Franchise Agreement and related agreements apply to your owners.

This disclosure document outlines and summarizes some contractual obligations of both the Franchisor and the Franchisee which are found in the Franchise Agreement and other agreements. For ease of reference and understanding, these obligations may be paraphrased or described in general terms in this document.

The Franchisor and Predecessor; Our Business Experience

The Franchisor is Lawn Pride SPV LLC. We are a Delaware limited liability company organized on December 1, 2022. We maintain our principal place of business at 1010 N. University Parks Drive, Waco, Texas 76707. We do business under our corporate name and under the name LAWN PRIDE®. We started franchising in January 2023. We do not operate businesses of the type being franchised although our affiliate NBLY Co Ops IN SPV, LLC does, and previously our predecessor did, as noted below in this Item 1. We have not offered franchises in any other line of business and we do not engage in any other business activities. As of December 31, 2025, we had 42 franchised units and 1 affiliate operated unit in operation in the U.S. Our agents for service of process are listed on Exhibit B.

Our predecessor and affiliate is Lawn Pride, Inc., which was organized as an Indiana corporation on March 18, 1993 and then converted to Lawn Pride, LLC, an Indiana limited liability company, on August 12, 2022 ("Predecessor"). Predecessor was acquired by Neighborly (as defined below in this Item 1) on August 19, 2022. Predecessor's principal place of business is 7740 Johnson Road, Indianapolis, IN 46250. Predecessor operated a Lawn Pride business substantially similar to the business offered under this Franchise Disclosure Document from 1993 until December 31, 2022 when the business was transferred to our affiliate NBLY Co Ops IN SPV LLC, as described below in this Item 1. Predecessor never offered franchises in this or any other line of business nor engaged in any other business activity.

Our Parents and Affiliates

We are a direct, wholly-owned subsidiary of Neighborly Assetco LLC ("Parent"). The name and principal business address of each of our direct or indirect parents that exercise control over the policies and direction of the System (as defined below) are as follows:

Name of Company	Principal Business Address	Ownership or Control of Company
Nest Holdings LP ("Nest Holdings")	2800 Sand Hill Road, Suite 200 Menlo Park, CA 94025	Controlled by investment funds affiliated with Kohlberg Kravis Roberts & Co. L.P., a leading global investment firm ("KKR")

Name of Company	Principal Business Address	Ownership or Control of Company
Nest Holdings Inc. (“Nest Holdco”)	2800 Sand Hill Road, Suite 200 Menlo Park, CA 94025	Wholly owned by Nest Holdings
Nest Topco Guarantor Inc. (“Nest Guarantor”)	2800 Sand Hill Road, Suite 200 Menlo Park, CA 94025	Wholly owned by Nest Holdco
Nest Topco Borrower Inc. (“Nest Topco Borrower”)	2800 Sand Hill Road, Suite 200 Menlo Park, CA 94025	Wholly owned by Nest Guarantor
Nest Bidco Inc. (“Nest Bidco”)	2800 Sand Hill Road, Suite 200 Menlo Park, CA 94025	Wholly owned by Nest Topco Borrower
Balcones Holdco, Inc. (“Balcones Holdco”)	2800 Sand Hill Road, Suite 200 Menlo Park, CA 94025	Wholly owned by Nest Bidco
TDG Intermediate, LLC (“Intermediate”)	2800 Sand Hill Road, Suite 200 Menlo Park, CA 94025	Wholly owned by Balcones Holdco
Neighborly Company (“Manager”)	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by Intermediate
TDG Holding Company (“TDGHC”)	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by Manager
The Dwyer Group, Inc. (“TDG”)	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by TDGHC
The Dwyer Group LLC (“Dwyer”)	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by TDG
Dwyer Franchising LLC d/b/a Neighborly (“Neighborly”)	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by Dwyer
Neighborly SPV Guarantor LLC (“SPV Guarantor”)	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by Neighborly
Neighborly Issuer LLC (“Issuer”)	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by SPV Guarantor
Neighborly Assetco LLC	1010 North University Parks Drive Waco, Texas 76707	Wholly owned by Issuer

We currently have no affiliates required to be included in this item except as provided below.

NBLY Co Ops IN SPV LLC, a Delaware limited liability company ("Local Operations"), is a wholly-owned subsidiary of Neighborly since December 1, 2022. Local Operations was organized on December 1, 2022, and since January 1, 2023 it operates a business substantially similar to the franchised business offered under this Disclosure Document. Local Operations does not offer franchises of the type being franchised or in any other line of business. The principal address of Local Operations is 1010 North University Parks Drive, Waco, Texas 76707.

The following affiliates are wholly-owned direct subsidiaries of Parent and they offer franchises in the U.S. under separate franchise disclosure documents:

Since 1992, Aire Serv SPV LLC, a Delaware limited liability company ("Aire Serv"), and its predecessor (Aire Serv LLC) have offered franchises which provide installation, maintenance and repair of residential and commercial heating, ventilating and air-conditioning equipment under the name AIRE SERV®. Aire Serv maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total 229 Aire Serv franchises in operation in the U.S. Aire Serv has never conducted business or offered franchises of the type described in this disclosure document.

Since April 2011, Dryer Vent Wizard SPV LLC, a Delaware limited liability company ("DVW") and its predecessor (Dryer Vent Wizard International LLC) have been offering franchises for the operation of businesses providing installation and repair of, and cleaning products and services for: dryer vents, bathroom vents, kitchen vents, appliances, exhaust vents, air movement systems and washing machine filters and hoses to enhance the performance and safety of clothes dryers and other household appliances to residential and commercial customers, under the Dryer Vent Wizard® name. DVW maintains its principal business address at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 163 Dryer Vent Wizard franchises in operation in the U.S. DVW has never conducted business or offered franchises of the type described in this disclosure document.

Since September 2007, Five Star Painting SPV LLC, a Delaware limited liability company ("Five Star Painting"), and its predecessors (Five Star Painting, LLC and Five Star Painting, Inc.) have offered franchises which perform and provide residential and commercial painting services and other related products and services under the name Five Star Painting®. Five Star Painting maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 245 Five Star Painting franchises in operation in the U.S. Five Star Painting has never conducted business or offered franchises of the type described in this disclosure document. On March 25, 2016, ProTect Painters International, LLC ("ProTect Painters"), a Michigan limited liability company, merged with and into Five Star Painting's predecessor, with Five Star Painting's predecessor being the surviving entity in the merger (the "Merger"). As a result of the Merger, Five Star Painting's predecessor offered, and now Five Star Painting offers, franchises under both, the Five Star Painting marks and the ProTect Painters marks. As of December 31, 2025, there were 2 ProTect Painters franchises in the U.S.

Since March 2004, Glass Doctor SPV LLC, a Delaware limited liability company ("Glass Doctor"), and its predecessor (Synergistic International, LLC) have offered franchises that repair and replace auto and/or flat glass under the name GLASS DOCTOR®. From 1977 to March 2004, Glass Doctor's predecessors offered similar franchises. Glass Doctor maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 172 Glass Doctor franchises in operation in the U.S. Glass Doctor has never conducted business or offered franchises of the type described in this disclosure document.

Since April 2010, The Grounds Guys SPV LLC, a Delaware limited liability company ("Grounds Guys"), and its predecessor (The Grounds Guys LLC) have offered franchises which perform and provide

commercial, residential and municipal property maintenance, landscaping and hardscaping services, snow and ice maintenance services, trash and debris removal, arboriculture services, lawn renovation, turf care services and other related products and services under the name The Grounds Guys®. Grounds Guys maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 219 The Grounds Guys franchises in operation in the U.S. Grounds Guys has never conducted business or offered franchises of the type described in this disclosure document.

Since 1979, HouseMaster SPV LLC, a Delaware limited liability company ("HMS"), and its predecessors (HM Services, LLC) have been offering franchises for the operation of a building inspection and related services business under the HouseMaster™ trademark. HMS maintains its principal business address at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 190 HouseMaster franchises in operation in the U.S. HMS has never conducted business or offered franchises of the type described in this disclosure document.

Since 2005, Junk King SPV LLC, a Delaware limited liability company ("JUK") and its predecessors (Junk King Industries, LLC, Junk King Franchise Systems, Inc., and Junk King, LLC) have been offering franchises for the operation of businesses providing junk removal, dumpster and recycling services and related services under the Junk King® name. JUK maintains its principal business address at 1010 N. University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 171 Junk King franchises in operation in the U.S. Through an agreement with The Dwyer Group Canada, Inc., JUK offers franchises for the same type of business in Canada under the trademark Junk King (which previously operated under the name JUNK WORKS and is transitioning to JUNK KING), as described below. JUK has never conducted business or offered franchises of the type described in this disclosure document.

Since May 1984, Molly Maid SPV LLC, a Delaware limited liability company ("Molly Maid"), and its predecessors (Molly Maid LLC and Molly Maid, Inc.) have offered franchises for the operation of businesses that offer professional residential housekeeping services as well as a carpet cleaning program under the name Molly Maid®. Molly Maid maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 432 Molly Maid franchises in operation in the United States and Puerto Rico. Molly Maid has never conducted business or offered franchises of the type described in this disclosure document.

Since 2012, Mosquito Joe SPV LLC, a Delaware limited liability company ("MoJo"), and its predecessor (Mosquito Joe Franchising, LLC) have been offering franchises for the operation of businesses providing services and equipment to both residential and commercial customers to control undesirable outdoor insects, such as mosquitoes, ticks and fleas, under the Mosquito Joe® name. MoJo maintains its principal business address at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 407 Mosquito Joe franchises in operation in the U.S. MoJo has never conducted business or offered franchises of the type described in this disclosure document.

Since August 1996, Mr. Appliance SPV LLC, a Delaware limited liability company ("Appliance") and its predecessor (Mr. Appliance LLC) have offered franchises which perform and provide service and repair on all major appliances for residential and commercial customers under the name MR. APPLIANCE®. Appliance maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 311 Mr. Appliance franchises in operation in the U.S. Appliance has never conducted business or offered franchises of the type described in this disclosure document.

Since 1994, Mr. Electric SPV LLC, a Delaware limited liability company ("Electric"), and its predecessor (Mr. Electric LLC) have offered franchises which perform electrical services and repairs under

the name MR. ELECTRIC®. Electric maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2024, there were a total of 236 Mr. Electric franchises in operation in the U.S. Electric has never conducted business or offered franchises of the type described in this disclosure document.

Since January 2000, Mr. Handyman SPV LLC, a Delaware limited liability company ("Mr. Handyman"), and its predecessor (Mr. Handyman International, L.L.C.) have offered franchises for the operation of companies dedicated to performing business and residential maintenance and repair services under the name Mr. Handyman®. Mr. Handyman maintains its principal business address at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 357 Mr. Handyman franchises in the U.S. Mr. Handyman has never conducted business or offered franchises of the type described in this disclosure document.

Since 1993, Mr. Rooter SPV LLC, a Delaware limited liability company ("Rooter"), and its predecessor (Mr. Rooter LLC) have offered franchises which provide plumbing and plumbing repair services; sewer, drain and pipe cleaning services; septic tank pumping; water heater replacement; TV pipe inspection; line and leak detection; hydronics; excavation and replacement of sewer lines and other related services and products in homes and commercial buildings under the names MR. ROOTER® and AMERICA'S TROUBLE SHOOTER®. Rooter maintains its principal place of business at 1010 North University Parks Drive, Waco, TX 76707. As of December 31, 2025, there were a total of 238 Mr. Rooter franchises and two affiliate-operated locations in operation in the U.S. Rooter has never conducted business or offered franchises of the type described in this disclosure document. As of December 31, 2025, Rooter also had 4 franchised locations in the UK (through a master franchise relationship).

Since February 2005, Precision Door Service SPV LLC, a Delaware limited liability company ("PDS") and its predecessor (Precision Holdings of Brevard, Inc.) have been offering franchises for the operation of a business that provides garage door repair and service under the Precision Garage Door Service™ trademark. PDS maintains its principal business address at 2395 Washington Avenue, Suite 5, Titusville, Florida 32780. As of December 31, 2025, there were a total of 147 Precision Garage Door Service franchised outlets in operation in the U.S. PDS has never conducted business or offered franchises of the type described in this disclosure document.

Since 1981, Rainbow International SPV LLC, a Delaware limited liability company ("Rainbow International"), and its predecessor (Rainbow International LLC) have offered franchises which provide carpet cleaning, dyeing, repair, reinstallation and related services; upholstery, drapery and ceiling cleaning and related services; and deodorization services under the names RAINBOW RESTORATION®, RAINBOW INTERNATIONAL®, RAINBOW INTERNATIONAL CARPET CARE & RESTORATION SPECIALIST®, RAINBOW INTERNATIONAL RESTORATION & CLEANING® and RAINBOW INTERNATIONAL RESTORATION®. In 1997, Rainbow International's predecessor added an option to perform air duct cleaning services. In 2000, Rainbow International's predecessor added water, smoke and disaster restoration services. In 2001, Rainbow International's predecessor added an option to perform mold remediation services. Rainbow International maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 328 Rainbow Restoration franchises in operation in the U.S. In addition, Rainbow International offers Rainbow Restoration franchises in the UK (through a master franchise relationship), with 48 franchises in operation in the UK as of December 31, 2025. Rainbow International has never conducted business or offered franchises of the type described in this disclosure document.

Since 2005, Real Property Management SPV LLC, a Delaware limited liability company ("RPM"), and its predecessor (Property Management Business Solutions, LLC) have been offering franchises for the operation of businesses providing property management services, including management of maintenance

and repair services and rent collection under the Real Property Management name. RPM maintains its principal business address at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 450 Real Property Management franchises in operation in the U.S. RPM has never conducted business or offered franchises of the type described in this disclosure document.

Since May 2008, ShelfGenie SPV LLC, a Delaware limited liability company ("ShelfGenie"), and its predecessor (ShelfGenie Franchise Systems, LLC) have been offering franchises for the operation of a business that designs and installs customized solutions for new and existing cabinets, pantries and other structures under the ShelfGenie™ trademark. ShelfGenie maintains its principal business address at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 262 ShelfGenie franchised outlets and 12 affiliate-operated outlets in operation in the U.S. ShelfGenie has never conducted business or offered franchises of the type described in this disclosure document.

Since 1998, Window Genie SPV LLC, a Delaware limited liability company ("Window Genie"), and its predecessor (FOR Franchising, LLC) have offered franchises for the operation of a residential and commercial window cleaning, window tinting and pressure washing business operated under the Window Genie® name. Window Genie maintains its principal business address at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, there were a total of 103 Window Genie franchises in operation in the U.S. Window Genie has never conducted business or offered franchises of the type described in this disclosure document.

To the extent the affiliates named above are identified as offering franchises, they offer such franchises using separate franchise disclosure documents. We will make any of those disclosure documents available to you upon request.

The following affiliates are direct or indirect wholly-owned subsidiaries of Neighborly and they offer franchises outside the U.S.:

The Dwyer Group Canada, Inc. ("TDGC"), a wholly owned subsidiary of Neighborly since January 1998, was incorporated in the Province of Ontario, Canada on January 21, 1998. TDGC has the right to offer and sell Aire Serv, Dryer Vent Wizard, Five Star Painting, Glass Doctor, HouseMaster, Junk Works, Mr. Appliance, Mr. Electric, Mr. Handyman, Mr. Rooter, Rainbow Restoration, ShelfGenie, The Grounds Guys and Junk Works franchises in Canada under 3-party agreements between TDGC, the applicable affiliate-franchisor, and the franchisee. TDGC, in cooperation with such affiliate-franchisor, provides support and supervision and, at times, assistance or guidance, to Canadian franchisees operating under the affiliate's trademarks and systems. TDGC maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. As of December 31, 2025, TDGC had 14 Mr. Handyman franchises, 24 Mr. Rooter franchises, 13 Rainbow Restoration franchises, 9 Glass Doctor franchises, 12 Mr. Appliance franchises, 6 Mr. Electric franchises, 4 Aire Serv franchises, 4 Dryer Vent Wizard franchises, 10 Five Star Painting franchises, 27 The Grounds Guys franchises, 14 HouseMaster franchises, 22 ShelfGenie franchises, 5 Precision Door Service franchises, and 4 Junk King franchises (formerly operated under the name Junk Works and in the process of transitioning to Junk King) in operation in Canada. TDGC offers franchises in Canada for the same type of business as described in this disclosure document.

Dwyer (UK Franchising) Limited ("Dwyer UK"), a wholly-owned subsidiary of Neighborly since March 9, 2012, was incorporated in England and Wales on March 9, 2012. Dwyer UK has the right to offer and sell Aire Serv and Mr. Electric franchises in the United Kingdom using agreements between Dwyer UK and the franchisee. Dwyer UK, in cooperation with Aire Serv and Electric, provides support and supervision and, at times, assistance or guidance, to franchisees operating under those trademarks and systems in the United Kingdom. Dwyer UK maintains its principal place of business in Five Mile House, 128 Hanbury Rd., Stroke Prior, Bromsgrove, Worcester EG B60 4JZ, United Kingdom. As of December

31, 2025, Dwyer UK had 2 Mr. Electric franchises and 2 Aire Serv franchises. Dwyer UK has the right to offer franchises in the United Kingdom for the same type of business as Aire Serv and Electric offer in the U.S. under separate franchise disclosure documents.

Since October 2015, a wholly-owned subsidiary of Neighborly, Drain Doctor Holdings Limited (f/k/a Dwyer DD UK Limited), a private limited company registered in England and Wales, has been offering Mr. Rooter franchises in the United Kingdom under the name Drain Doctor®. There were 62 Drain Doctor® franchises in the UK as of December 31, 2025.

Rainbow International Systemzentrale Deutschland GmbH ("Rainbow Germany"), a wholly-owned subsidiary of Neighborly since September 18, 2014, was incorporated in Germany on September 18, 2014. Rainbow Germany has the right to offer and sell Rainbow Restoration franchises in Germany using agreements between Rainbow Germany and the franchisee. Rainbow Germany, in cooperation with Rainbow International, provides support and supervision and, at times, assistance or guidance, to franchisees operating under the Rainbow Restoration marks and system in Germany. Rainbow Germany maintains its principal place of business at Flözstraße 18, 73433 Aalen, Germany. As of December 31, 2025, Rainbow Germany had 39 Rainbow Restoration franchises in Germany. Rainbow Germany has the right to offer franchises in Germany for the same type of business as Rainbow International offers in the U.S. under a separate franchise disclosure document.

Locatec Ortungstechnik GmbH ("Locatec") is a wholly-owned subsidiary of Neighborly since April 27, 2016. Locatec has the right to offer and sell Locatec franchises in Austria and Germany using agreements between Locatec and the franchisee. Locatec, in cooperation with our affiliates, provides support and supervision and, at times, assistance or guidance to franchisees operating under Locatec trademarks and systems in Germany and Austria. Locatec maintains its principal place of business at Flözstraße 18, 73433 Aalen, Germany. Locatec franchisees offer non-destructive detection of all types of leaks in pipe systems (indoor and outdoor including pipes for gas, water, sewage, and district heat) and flat roofs as well as emergency repair services. As of December 31, 2025, Locatec had 55 franchises in Germany and 3 in Austria.

Bright and Beautiful UK Limited ("Bright and Beautiful") is a wholly owned subsidiary of Neighborly since April 13, 2017. Bright and Beautiful has the right to offer and sell Bright and Beautiful franchises in the United Kingdom using agreements between Bright and Beautiful and the franchisee. Bright and Beautiful provides support and supervision and, at times, assistance or guidance to franchisees operating under Bright and Beautiful trademarks and systems in the United Kingdom. Bright and Beautiful franchisees offer domestic cleaning services. As of December 31, 2025, Bright and Beautiful had 85 franchises in the United Kingdom.

Countrywide Garden Maintenance Services Limited ("Countrywide") is a wholly owned subsidiary of Neighborly since May 2, 2017. Countrywide has the right to offer and sell Countrywide franchises in the United Kingdom using agreements between Countrywide and the franchisee. Countrywide provides support and supervision and, at times, assistance or guidance to franchisees operating under Countrywide trademarks and systems in the United Kingdom. Countrywide franchisees offer commercial grass cutting, landscape maintenance, grounds maintenance and winter gritting services. As of December 31, 2025, Countrywide had 43 franchises in the United Kingdom.

Dream Doors Holdings Limited ("Dream Doors") is a wholly owned subsidiary of Neighborly since February 26, 2019. Dream Doors has the right to offer and sell Dream Doors franchises in the United Kingdom using agreements between Dream Doors and the franchisee. Dream Doors provides support and supervision and, at times, assistance or guidance to franchisees operating under Dream Doors trademarks and systems in the United Kingdom. Dream Doors franchisees offer fully-fitted kitchen makeovers,

replacement doors and countertops and the installation of new appliances. As of December 31, 2025, Dream Doors had 81 franchises in the United Kingdom.

GreenSleeves Lawn Care Limited (UK) ("GreenSleeves") is a wholly owned subsidiary of Neighborly since October 28, 2022. GreenSleeves has the right to offer and sell GreenSleeves franchises in the United Kingdom using agreements between GreenSleeves and the franchisee. GreenSleeves provides support and supervision and, at times, assistance or guidance to franchisees operating under GreenSleeves trademarks and systems in the United Kingdom. GreenSleeves franchisees offer lawn care services including fertilizer treatments, moss treatments and debris removal in the United Kingdom. As of December 31, 2025, GreenSleeves had 90 franchised and 11 corporate locations in the United Kingdom.

The following affiliates provide services to Lawn Pride franchisees:

BackOffice SPV LLC ("BackOffice"), a Delaware limited liability company and a wholly-owned subsidiary of Neighborly, has been providing certain temporary bookkeeping assistance and training services to our franchisees. BackOffice is located at 1010 North University Parks Drive, Waco, Texas 76707. BackOffice has not offered any franchises in any line of business. BackOffice does not and has not previously conducted business of the type operated by our franchisees.

FranTech, L.L.C., a Michigan limited liability company and a wholly-owned subsidiary of Neighborly ("FranTech"), provides software to us and our affiliates and provides technical support to franchisees and collects fees from franchisees for certain software programs. FranTech maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. FranTech does not own or operate any franchises nor has it offered franchises in any line of business.

Neighborly Service Solutions SPV LLC, a Delaware limited liability company and a wholly-owned subsidiary of Neighborly, d/b/a Neighborly Customer Solutions ("Neighborly Service Solutions" or "NCS") was formed in June 2021 to, among other things, negotiate, and sometimes enter into, contracts with some of the Key Accounts. Neighborly Service Solutions also offers certain marketing and other services and it provides call center services to our franchisees. Neighborly Service Solutions maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. Neighborly Service Solutions does not own or operate any franchises nor has it offered franchises in any line of business.

ProTradeNet SPV LLC, a Delaware limited liability company and a wholly-owned subsidiary of Neighborly ("ProTradeNet"), negotiates, and sometimes enters into contracts, with some of the vendors, suppliers and others who do business or propose to do business with our and our affiliates' franchisees with the goal of obtaining better terms and conditions on which franchisees purchase goods and services for their businesses. ProTradeNet maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. ProTradeNet does not own or operate any franchises nor has it offered franchises in any line of business.ZorWare SPV LLC, a Delaware limited liability company and a wholly-owned subsidiary of Neighborly ("ZorWare"), provides software to us and our affiliates and provides technical support to franchisees and collects fees from franchisees for certain software programs. ZorWare maintains its principal place of business at 1010 North University Parks Drive, Waco, Texas 76707. ZorWare does not own or operate any franchises nor has it offered franchises in any line of business.

Except as noted above, none of our affiliates have offered franchises in the same line of business as offered in this disclosure document or in any other line of business, nor have they conducted any other business.

Securitization Transaction

On January 1, 2023, in connection with a securitization transaction, the ownership and control of the U.S. trademarks and certain intellectual property relating to the operation of Lawn Pride businesses in the U.S. were transferred to us ("Securitization Transaction").

On January 1, 2023, we became a party to a management agreement with Manager, pursuant to which Manager agreed to provide the required support and services to Lawn Pride franchisees under their franchise agreements. Manager also acts as our franchise sales agent. We will pay management fees to Manager for these services. However, as the franchisor, we will be responsible and accountable to you to make sure that all services we promise to perform under your Franchise Agreement or other agreement you sign with us are performed in compliance with the applicable agreement, regardless of who performs these services on our behalf.

Description of the Franchise

Our Franchisees operate a business offering lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control mole and vole control, tree and shrub care and feeding, deer protection services, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers, pursuant to certain standards and specifications. Our franchisees provide these services to customers as part of a program that typically covers services such as fertilization services, pre-emergent, broadleaf weed control and up to two insect control applications, and that consists of five to 12 service visits over a period of a year (the "Program Services"). In addition to the Program Services, franchisees offer to customers more specialized services such as grub preventative care, liquid aeration, core aeration, overseeding, fire ant control, mole control, vole control and fungicide applications (the "Upsell Services"). The franchised businesses operate under the mark LAWN PRIDE® and the additional principal service marks, trademarks, trade names, logos, emblems, slogans or other indicia of origin which are or may be designated by us in the future (the "Marks") for use in accordance with the methods and processes developed by us in connection with the franchise (the "System") within a specified geographical area (the "Territory"). The System includes our operating systems, marketing systems, business techniques, and methods, processes, policies and procedures for providing lawn care services along with items of trade dress, sales, leadership and management training for the development and operation of Lawn Pride Businesses, including all training materials, all as the same may exist today or as the same may change from time to time, as specified in the Operations Manual or as otherwise reasonably directed by us from time to time.

We offer these franchises as "start-ups" or, if we approve, you have the option to convert an existing business into a Business.

The standard form of franchise agreement we are offering is included in this disclosure document as Exhibit A (the "Franchise Agreement"). When we update our disclosure document the form of franchise agreement and other agreements may change, fees and other obligations may increase and the terms and conditions on which you may obtain a franchise may be less favorable as compared with a previous disclosure document.

Uniformity of franchise agreements among our franchisees may not always be possible or practical. We may offer franchise agreements to other franchisees on terms materially different from those included in this disclosure document. We also may materially vary the franchise agreement terms, conditions, and obligations (including those relating to fees, territories, training and other items) offered to other franchisees

except as may be required by applicable law and we have no obligation to disclose these variations to you or to grant the same or similar variation to you.

The Business offers services to the general public, including residential and commercial customers, and the services are offered in a developed market. There are other nationally recognized trade names in the lawn care and maintenance services industry. You will compete with independent lawn care services, locally-owned lawn care services businesses, and national companies and referral services when you open for business or sometime in the future as competition expands. The franchisees of our affiliate, Grounds Guys perform commercial, residential and municipal property maintenance, landscaping and hardscaping services, including arboriculture services, lawn renovation and turf care services and related services and products, which services may occasionally include, as ancillary add-on services and not as the core services provided by The Grounds Guys® franchisees, aeration, lawn fertilization and weed treatment and therefore you may on occasion compete in your Territory with a The Grounds Guys® franchisee with respect to such lawn care services. The franchisees of our affiliate MoJo provide outdoor insect and disease control and perimeter pest services, which services may occasionally include, as ancillary add-on services and not as the core services provided by the Mosquito Joe franchisees, treating plants and landscapes from various insects, and therefore you may on occasion compete in your Territory with a Mosquito Joe franchisee with respect to such services.

As of the date of this Disclosure Document, we offer a referral incentive program that pays $5,000 to an existing franchisee who directly refers a candidate to us who becomes a new Lawn Pride franchisee in a new location (not as part of a transfer) within six months of the date of referral. The incentive payment is only paid with respect to the first franchise purchased by the referred new franchisee and other limitations may apply. We may change or eliminate the referral program at any time without notice. Franchisees participating in the referral program are not our sales agents.

Industry Specific Regulations

Federal, state and local labor regulations, including minimum age and minimum wage laws and other laws and regulations apply to businesses generally. You must comply with federal and state licensing and regulatory requirements for pesticide applicators, including the Federal Insecticide, Fungicide and Rodenticide Act, as well as OSHA Hazard Communication Standards, and Department of Trust regulations. You are responsible for obtaining any licenses or permits required by your locality for performing the work of the franchise.

ITEM 2

BUSINESS EXPERIENCE

President: Susan McIntosh

Susan McIntosh has been our President since April 2023. From January 2023 until April 2023, Ms. McIntosh was our Vice President of Operations. From October 1994 until December 2022, Ms. McIntosh was the Vice President of Predecessor in Indianapolis, IN.

Director of Systems: David Holmes

David Holmes has been our Director of Systems since January 2023. From April 2021 until January 2023, Mr. Holmes was the Service Training Manager for affiliate The Grounds Guys SPV LLC. From January 2014 until April 2021, he was a Franchise Business Coach for The Grounds Guys SPV LLC's predecessor, The Grounds Guys LLC.

Chief Executive Officer: Michael Anthony Davis

Mr. Davis has been our Chief Executive Officer since November 2024. Since July 2024, he has also been the Chief Executive Officer of a number of our affiliates and parent companies, including Neighborly, Manager, The Dwyer Group LLC, The Dwyer Group, Inc., TDG Intermediate, LLC, Balcones Holdco, Inc., Nest Bidco Inc., Nest Topco Borrower Inc., Nest Topco Guarantor Inc., and Nest Holdings Inc. From July 2022 until July 2024, he was the CEO of Mathnasium Center Licensing, LLC in Los Angeles, CA. From April 2021 till July 2022, he was self-employed as a consultant in Los Angeles, CA. From May 2017 until April 2021, he was the CEO of Valpak Direct Marketing Systems, LLC in St. Petersburg, FL.

SVP, Corporate Controller: Malia Gelfo

Ms. Gelfo has been SVP Corporate Controller for us and a number of our affiliates and parent companies since December 2024. From February 2023 until December 2024, she was Chief Accounting Officer for Likewize Corp in Southlake, TX. From December 2019 until February 2023, she was VP Corporate Controller for Reece Inc. in Dallas, TX.

VP of Finance: Heather Shipley

Ms. Shipley has been our VP of Finance since January 2026. From November 2025 until January 2026, she was Director of Business Analytics for KFC in Plano, Texas. From May 2024 until November 2025, she was Director of Strategic Planning for Yum! Brands in Plano, Texas. From August 2023 until May 2024, she was Director of Finance for Yum! Brands in Plano, Texas. From March 2022 until August 2023, she was Senior Finance Manager for Yum! Brands in Plano, Texas. From February 2020 until March 2022, she was Finance Manager for Yum! Brands in Plano, Texas.

Chief Marketing Officer: Stacy Lynn Bourgeois

Ms. Bourgeois has been our Chief Marketing Officer as well as the Chief Marketing Officer of Neighborly and a number of our other affiliates since December 2024. From May 2023 till November 2024, she was the Head of Product, Quality and Ops for Renewed with Amazon in Seattle, WA. From February 2021 until April 2023, she was the U.S. Head of Musical Instruments with Amazon in Seattle, WA.

Secretary of Manager and Franchisor, and EVP, General Counsel and Secretary of Neighborly: Grayson Brown

Mr. Brown has been the Secretary of Manager since May 2018. He has also been the Executive Vice President, General Counsel and Secretary of Neighborly and The Dwyer Group Inc. since May 2018. Previously, he was Vice President and General Counsel of Neighborly from August 2015 until May 2018. He has been our Secretary since January 2023. He is also the Secretary of our affiliates listed in Item 1 that offer franchises in the U.S. under separate franchise disclosure documents.

The following individuals are included here because they are either officers of Manager or they have management responsibility relating to the sale or operation of franchises offered by this disclosure document:

Group President: Matthew Crowley

Mr. Crowley has been Group President of Neighborly for the "Specialty Cluster" and the corporate owned stores of the Neighborly brands, which group includes the Lawn Pride brand, since May 2025. From January 2023 until May 2025, he was the Principal of Crowley Consulting, LLC in Yorba Linda, CA. From November 2017 until January 2023, Mr. Crowley was the Executive Vice President of Valpak in St. Petersburg, FL.

Chief Information Officer for Neighborly: Gagan Sinha

Mr. Sinha has been the Chief Information Officer of Neighborly since September 2025. From April 2024 until September 2025, he was the Chief Information Officer for Bloomin' Brands in Atlanta, GA. From January 2021 until April 2024, Mr. Sinha was the Senior Vice President of Information Technology for Inspire Brands in Atlanta, GA. From February 2020 until January 2021, he was the Vice President of Information Technology for Dunkin' Brands in Canton, MA.

Chief Development Officer for Neighborly: Bradley Stevenson

Mr. Stevenson has been Chief Development Officer for Neighborly since October 2019.

Group Vice President of Franchise Development: Brian Wieters

Mr. Wieters has been the Group Vice President of Franchise Development for Neighborly since February 2022 in Waco, Texas. From March 2018 until February 2022, he was the Executive VP of Enviro-Master Services in Charlotte, NC.

Except as otherwise stated above, the location of each of the positions described above was 1010 North University Parks Drive, Waco, Texas 76707.

ITEM 3

LITIGATION

Administrative Order involving Affiliate and not involving the Franchisor:

The Commissioner of Business Oversight of the State of California v. For Franchising LLC d/b/a Window Genie and Richard Nonelle. On November 14, 2017, For Franchising LLC ("FOR"), a predecessor to our affiliate Window Genie that offered Window Genie franchises until March 2021, and Richard Nonelle, then-president of FOR, entered into a Consent Order with the Commissioner of Business Oversight of the State of California (the "Consent Order"). The Commissioner alleged that FOR and Mr. Nonelle had violated Section 31156 of the California Franchise Investment Law by failing to submit to the Commissioner copies of two advertisements offering a Window Genie franchise before such documents were provided to California residents in 2013. In an effort to resolve the matter in the most economical manner, and without admitting any liability or wrongdoing, FOR and Mr. Nonelle entered into the Consent Order and agreed, in full, final and complete resolution of the matter, that (a) FOR and Mr. Nonelle would desist and refrain from violations of section 31156 of the California Franchise Investment Law; (b) FOR would pay an administrative penalty in the total amount of $5,000 (which amount FOR paid) and (c) within 90 days of the date of the Consent Order, Mr. Nonelle and all persons employed by FOR who assist in

preparing franchise registrations or who assist in franchise selling would attend remedial education of eight hours of franchise law training courses per person (which requirement has been completed).

No other litigation is required to be disclosed in this Item.

ITEM 4

BANKRUPTCY

Bankruptcy proceedings involving portfolio companies controlled by KKR (at the time of the bankruptcy proceeding) and not involving the Franchisor:

Marelli Holdings Co. Ltd. On June 11, 2025, Marelli Holdings Co. Ltd, a global technology partner to the automotive industry, filed for Chapter 11 proceedings in the United States Bankruptcy Court for the District of Delaware.

In re. The Collected Group LLC. The Collected Group LLC, a Delaware limited liability company (a fashion brand owner), located at 4775 Eucalyptus Avenue, Chino, California, filed a prepackaged Chapter 11 Plan of Reorganization in the United States Bankruptcy Court for the District of Delaware on April 5, 2021 (Case No.: 21-10663). The company emerged from bankruptcy on May 25, 2021 after completing a restructuring.

In re. Envision Healthcare Corporation. Envision Healthcare Corporation, a healthcare provider headquartered at 20 Burton Hills Blvd, Suite 500, Nashville, Tennessee, filed a Chapter 11 reorganization in the United States Bankruptcy Court for the Southern District of Texas on May 15, 2023 (Case No.: 23-90341). The company emerged from bankruptcy on November 3, 2023, after completing a restructuring.

In re. Genesis Care Pty Limited. Genesis Care Pty Limited, a healthcare provider, headquartered at Building 1 The Mill, 41-43 Bourke Road, Sydney, New South Wales, Australia, filed Chapter 11 reorganization in the United States Bankruptcy Court for the Southern District of Texas on June 1, 2023 (Case No.: 23-90614). The company emerged from bankruptcy on February 16, 2024, after completing a restructuring.

In re. IPI Legacy Liquidation Co. IPI Legacy Liquidation Co. (f/k/a Impel Pharmaceuticals Inc.), a commercial-stage pharmaceutical company, headquartered at 201 Elliott Avenue West, Suite 260, Seattle, Washington, filed a Chapter 11 reorganization in the United States Bankruptcy Court for the Northern District of Texas on December 19, 2023 (Case No.: 23-80016). The company emerged from bankruptcy on April 5, 2024, after completing a restructuring.

Café Coffee Day, an operator of a retail chain of cafes in India, headquartered at #23/2, Vittal Mallya Road, Bangalore, Karnataka 560001, India, filed an insolvency resolution in the Bangaluru Bench of the National Company Law Tribunal on August 8, 2024 (Company Petition (IB) No. 152/BB/2023). As of February 27, 2025, the Chennai bench of the National Company Law Appellate Tribunal passed the order, allowing the appeal of Coffee Day Enterprises, and set aside the National Company Law Tribunal's (NCLT) August 2024 insolvency order against the company. The initial petition for insolvency was filed on January 18, 2021 by creditors of Café Coffee Day.

Other than the above-listed proceedings, no other bankruptcy proceeding is required to be disclosed in this Item.

ITEM 5

INITIAL FEES

Franchise Agreement.

Initial Franchise Fee

The initial franchisee fee you must pay to us is $0.89 per Targeted Household ("TH") included in your Territory. The number of THs in your Territory is determined by us by reference to data we obtain from third-party demographic service providers near the time you sign the Franchise Agreement. A typical territory will include between 45,000 and 70,000 THs, making the typical initial franchise fee $40,050 ("Minimum Initial Franchise Fee") to $62,300. The initial franchise fee is subject to applicable discounts, as described below.

The number of THs in a territory is estimated because we rely on a third-party source to supply us with this data. While we believe this data to be accurate within an acceptable margin of error, there is no way to know the actual number of THs in the Territory. The actual number of THs in the Territory may be more or less than what we specify in the Franchise Agreement.

You must pay the initial franchise fee in full when you sign the Franchise Agreement. The initial franchise fee is fully earned upon receipt and nonrefundable. Financing for the initial franchise fee may be available as noted in Item 10.

In year ended December 31, 2025, the average initial franchise fee paid by Lawn Pride franchisees was approximately $47,943 and the initial franchise fees franchisees paid ranged from $40,769 to $55,118 based on the number of households in the territory purchased and available discounts (discussed below).

Only the Community Heroes Program discount or the VetFran discount (each as described below), if you qualify for them, may bring the initial franchise fee you must pay to an amount below $40,050.

Discount Programs

Our discount programs are as follows:

Community Heroes Program

We have established a Community Heroes Program and may offer up to a 10% discount to qualifying franchisees. We include firefighters, law enforcement, emergency medical technicians and personnel, teachers and educational administrative staff in our Community Heroes Program.

Roll-In Discount for Sales Volume Rolled in from an Existing Business

If you have an existing business with annual gross sales of at least $200,000, that business is similar to the franchise and you agree to merge it with the Business, we will discount the initial franchise fee by 5% for every $100,000 in annual Gross Sales of your existing business that you agree to "roll-in" into the Business, up to a maximum discount of 45%, as follows (the "Roll-In Discount"):

Percentage Discount	Annual Gross Sales of Existing Business
10%	$200,000 - $299,999

Percentage Discount	Annual Gross Sales of Existing Business
15%	$300,000 - $399,999
20%	$400,000 - $499,999
25%	$500,000 - $599,999
30%	$600,000 - $699,999
35%	$700,000 - $799,999
40%	$800,000 - $899,999
45%	$900,000 – and up

Multi-Unit Franchisee Discount

If you have been a Lawn Pride® franchisee or a franchisee of one of our affiliated brands that offer franchises (as listed in Item 1) for at least 2 years and you purchase additional territory from us by executing a new franchise agreement, you will receive a discounted initial franchise fee based on the number of years you have been our or our affiliate's franchisee, calculated as follows (the "Multi-Unit Franchisee Discount"):

Percentage Discount	Number of Years as Our Franchisee or as a Franchisee of Our Affiliate
5%	2
10%	3
15%	4
20%	5 years or more

Additional Concept Discount

If you have been a franchisee of one of our affiliates (see Item 1) for at least 2 years and you purchase a franchise from us, you will receive a 10% discount on the initial franchise fee (the "Additional Concept Discount").

HIRE Discount for Employees of Franchisees

We offer a discounted initial franchise fee to qualified employees of our and our affiliates' franchisees who (i) have been recommended by their employer, (ii) have been employed by our franchisee or a franchisee of our affiliate for at least 2 years and (iii) otherwise qualify to be our franchisee, calculated as follows (the "HIRE Discount"):

Percentage Discount	Years of Consecutive Employment
10%	2
15%	3
20%	4
25%	5 years or more

Franchises granted by us under the HIRE Discount program will generally contain 45,000 to 70,000 THs. The HIRE Discount applies only to a territory of 45,000 to 70,000 THs. If you wish to acquire a territory containing more than 70,000 THs, you must pay the additional initial franchise fee at our usual rates.

You may use the HIRE Discount only once and only in accordance with the subsection in this Item titled "Combination and Application of Discounts."

VetFran Discount

As a member of the International Franchise Association ("IFA"), we participate in the IFA's VetFran Program. If you are a United States or Canadian honorably discharged veteran (as such term is defined by us in our sole discretion) who meets our qualifications for purchasing a franchise, we will discount the Minimum Initial Franchise Fee ($40,050) by 20%. In determining who is a "veteran," we may be guided, in whole or in part, by any definitions we find appropriate, including definitions used by the federal government of the United States or Canada, as applicable, in determining who is eligible for federal benefits intended for veterans.

If you qualify for the VetFran discount, you must have a 51% majority interest in the beneficial ownership and voting interest of the franchisee if the franchisee is a corporation, partnership or other entity at the time the franchise agreement is signed.

Combination and Application of Discounts

If you qualify for one or more of our discount programs, and your initial franchise fee is computed to be below our Minimum Initial Franchise Fee, unless the discount is the Community Heroes Program or the VetFran discount, you must pay us the Minimum Initial Franchise Fee.

Additional restrictions apply on whether and how you may combine multiple discount programs, as shown in these examples:

You cannot use both the Roll-In Discount and the Multi-Unit Franchisee Discount. You cannot use both the VenFran Discount and the Community Hero's discount.

The Multi-Unit Franchisee Discount, the HIRE Discount or the Additional Concept Discount may not be used with any other type of discount.

The VetFran discount can be used with the Additional Concept Discount but not with the Multi-Unit Franchisee Discount. The VetFran discount can only be used on any given concept one time.

The above descriptions are for illustration only. Any questions about application or combination of discounts, including the order in which discounts may be applied, will be resolved by us in our sole discretion.

Software System Fees

One month prior to conducting phase II training, you must pay to us, or our designee (ZorWare), in a lump sum, an enrollment fee for use of our required Software System (currently Qvinci, Customer Engagement Platform, Neighborly Franchise Portal, FranConnect, one Microsoft Office365 ("Office365") E3 email account and one Office365 Exchange Online email account ((2 email accounts in total), and one RingCentral phone line). See also Items 6, 8 and 11. The amount of the enrollment fee is currently $1,250

per license granted to you. The enrollment fee is currently collected via automatic bank draft from your bank account at the signing of the Franchise Agreement. Other fees for software usage are described in Item 6. The amount of the enrollment fee and other software fees may change in the future. We will notify you of any such change. None of the fees for Software System are refundable.

ITEM 6

OTHER FEES*

Fee	Amount	Due Date	Remarks
License Fee[1, 2]	up to 8% of Gross Sales. In addition, minimum license fees apply.	Payable Friday of each week for the preceding week's Gross Sales.	See Fees Chart and notes.
Out of Territory License Fee	15% of Gross Sales	Payable Friday of each week for the preceding week's Gross Sales.	This license fee rate applies to all Gross Sales generated by the Business in servicing customers in TAFS or pursuant to the Preferred Lead Program.
MAP Fee[1, 2]	2% of Gross Sales.	Payable Friday of each week for the preceding week's Gross Sales.	We deposit all MAP Fees into our Marketing, Advertising and Promotion Fund ("MAP Fund"), which we use to prepare and conduct advertising, marketing and promotional programs and campaigns.
Local Marketing Groups[1, 2, 3]	Not to exceed 3% of Gross Sales	Payable Friday of each week.	We may designate local advertising markets and advertising cooperatives and/or local marketing groups for such markets (collectively, "LMGs"), and if designated, you must participate in and contribute to the LMG's advertising and marketing programs in your market. Your contribution to the LMG will count towards any required Local Marketing Spend Requirement but any Local Marketing Spend Requirement will not represent a limit on your LMG contributions. (see Item 11). See also Note 3.
Software System Fees	Currently $186.95 per month plus: Additional Microsoft Office365 Exchange, E1 and E3 email accounts are available at $5.50 -	Paid monthly (currently on the 15th of each month) via ACH, starting the earlier of the month when you begin operating your Business, or the month when the	You must use, in the operation of your Business, the software we from time to time specify. Currently, this monthly fee covers the use of and maintenance and support services for the following software: Qvinci, FranConnect, Customer Engagement Platform, Neighborly Franchise Portal), one

Fee	Amount	Due Date	Remarks
	$30/month depending on the email account type; and additional RingCentral business phone line is $29.00 per month. Additional Franchise Portal User Accounts are available at $20 - $40/month. If you obtain QuickBooks Online through ZorWare, you will pay an additional fee of $30-$220 per month depending on the license tier that you select.	first software solution is set up.	Microsoft Office365 E3 account and one Microsoft Office365 Exchange email account (2 email accounts in total) and one RingCentral phone line (collectively, the "Technology Package"). You must sign the Software System User and Maintenance Agreement (included in Exhibit J-1) in order to use the Technology Package. We may change the software included in the Technology Package from time to time. If you obtain QuickBooks Online through ZorWare, QuickBooks Online will also be included in the Software System (as defined in Note 4). These fees may increase in the future, but as of the date of this Disclosure Document we do not anticipate the fees to increase by more than 30% annually, in addition to increases due to additional or different software being added to the Software System and direct price increases from third-party vendors. (See also Items 8 and 11). We and ZorWare reserve the right to suspend your access to any or all software within the Technology Package if you fail to timely pay these fees. Other QuickBooks add-ons may be available, such as QuickBooks Payroll, W-2 processing, etc. for additional fees.
Business Management Software Support and Maintenance Fees	$379 per month for the program "Service Assistant 5", Real Green Mobile Live 2, Customer Assistant Subscription, Real Green Comm Plan – 3,500 Credits and Dynamic Routing – 3,000 Services, Support and maintenance services at our then-	As incurred	You must use the business management software that we from time to time specify (currently, Real Green). Currently, you must license this software directly from the third-party vendor (Workwave, LLC) and pay license fees for the software directly to the third party vendor. See Note 4. We (or our designee) provide support and maintenance services on Real Green at our then-current hourly rates (currently $125/hour), pursuant to the Software System User and Maintenance Agreement

Fee	Amount	Due Date	Remarks
	current hourly rates (currently $125 per hour)		(included as Exhibit J-1), and such fees are paid directly to our affiliate, ZorWare. As of the date of this Disclosure Document, we don't anticipate this fee to increase by more than 30% annually in addition to any direct price increases from third-party vendors.
Late Fees (on Software System Monthly Fees)	$25 per month or the maximum amount allowed under the law, whichever is less.	As incurred	If you fail to pay us (or our affiliate) the Software System Fees or the support fees on Real Green software within 10 days of the invoice date, you will be required to pay this late fee.
HelpDesk or HelpDesk Plus Fee[1,6]	Currently BackOffice HelpDesk: a minimum of $200 per month (includes 3 hours of services) Currently, BackOffice HelpDesk Plus: a minimum of $400 per month (6 hours of services included) Additional support hours billed at $75 per hour	Monthly	You must pay your HelpDesk or HelpDesk Plus Fee directly to our Affiliate, BackOffice, for which BackOffice will provide you training and assistance with the use of QuickBooks. See note 6. The fees may change in the future but as of the date of this Disclosure Document we do not anticipate the fees to increase by more than 30% annually.
Key Accounts/ Management Fee[5]	Up to 5% of total Gross Sales related to Key Account work, including Gross Sales that relate to Key Accounts; Gross Sales that are the result of any lead or any agreement developed by our business development department or any similar group that is part of our company or is our designee; Gross Sales that are audited by us or our designee according to Key Accounts standards or Gross Sales that otherwise benefit from our Key Accounts	Monthly	We currently have no Key Accounts program but reserve the right to develop one. Customer jobs that you would receive under the Key Accounts program would not be subject to the Call Center Program fees.

Fee	Amount	Due Date	Remarks
	activities or management.		
Call Center Program Fees[1]	Current fees: $349.99 - $449.99/month (depending on the third-party vendor NCS is able to use) plus $25 per booked appointment	Paid monthly in arrears the first week of each month.	You must participate in our call center program that processes customer requests for services, schedules estimates, refers service requests to franchisees and otherwise handles customer inquiries ("Call Center Program"). These fees are currently paid to our affiliate, Neighborly Service Solutions SPV LLC, which passes a portion of these fees onto the third-party call service provider. We reserve the right to require you to use a different provider, which may be us or another affiliate. These fees may increase in the future, but as of the date of this Disclosure Document, we don't anticipate the fees to increase by more than 30% annually, in addition to any direct price increases from third-party vendors.
Regional Meetings/ Owner Summits/ Annual Convention	Regional meetings and owner summits, then-current fee, currently $250 per day. Annual Convention Fee, currently up to $1,000 Costs and expenses incurred by your attendees, plus the costs of travel, lodging and entertainment. $2,000 if you fail to attend or participate in the Annual Convention on a pro-rata basis.	As incurred. As incurred.	We may charge a nominal Annual Convention Fee to attend required regional meetings, owner summits, or the required annual conventions. For regional meetings and owner summits, there will be a fee of $250 per day. These events are typically 2-3 days in length but can vary. In addition, you are responsible for all costs and expenses incurred by your attendees, including travel, lodging and entertainment. The annual franchisee convention is a critical learning and networking experience for franchisees to continue to grow their business. As a result, attendance is key and if you fail to attend the annual convention, we will require you to pay to us $2,000 upon receipt of notice from us on a pro-rata basis based on number of days you miss at said convention. If you own multiple franchises, your attendance for one of your franchises qualifies as your attendance for all of your franchises.

Fee	Amount	Due Date	Remarks
			We may increase the fees but as of the date of this Disclosure Document we don't anticipate these fees to increase by more than 30% annually.
Late Fees[1] (Franchise Agreement)	$25 per day	On demand	Applies to overdue fees from the due date until all sums are paid.
Dishonored Check or ACH Draft[1]	$50	On demand	You must pay us for each check returned or ACH draft refused by your financial institution for insufficient funds in your account.
Interest[1]	12% on unpaid balances	On demand	Payable on all overdue amounts. The twelve percent (12%) charge is calculated as a per annum rate but may be collected on demand, including weekly or monthly, through automatic bank draft.
Additional Training Fees	The then-current fee, currently up to $600 per trainee per day.	As incurred	If you request training in addition to the initial training program (see Item 11), we may charge you a training fee, plus you must pay your costs and expenses in connection with such training. As of the date of this Disclosure Document, we may conduct our training programs remotely/virtually. Therefore, you may not incur travel expenses if your training is done remotely/virtually. We may increase these fees but as of the date of this Disclosure Document we don't anticipate these fees to increase by more than 30% annually.
Audit Fees[1]	Cost of audit plus expenses, plus any amount owed as shown by the audit, plus interest and late fees	When you are billed	Payable only if we find an understatement of Gross Sales of 2% or more or if you fail to provide requested information within 30 days of our request.
Audit Noncompliance Fee	$500 per document (up to $2,500 per audit) that you fail to timely make available to us in connection with an audit; And/or: cost of audit, if audit is rescheduled due to your	On demand	Payable if you fail to timely make available to us requested documents in connection with an audit.

Fee	Amount	Due Date	Remarks
	failure to cooperate with the audit		In addition, if we must reschedule an audit due to your lack of cooperation, you will be required to pay for the cost of the audit.
Transfer Fee	The greater of (i) $7,500 or (ii) 5% of the sales price	Before transfer	You must pay us this fee on the total gross sales price of the Business, including all assets of the Business, when you sell your Business, but we may discount or waive the transfer fee if the transfer is to a legal entity you control or to a member of your immediate family (See Section 10.C of the Franchise Agreement).
Renewal Fee[1]	$7,500	On renewal	See Item 17 for terms and conditions for renewal.
Amendment Fee[1]	$300	When you are billed	You must pay us a processing fee for modifications to your franchise agreement that are made at your request. When you request an amendment to your franchise agreement or related agreements, we may require that you sign a general release releasing us from all claims you may have except claims which, under state law, may not be released.
Indemnification and attorneys' fees and costs[1]	Varies according to loss	On demand	If we must engage an attorney to enforce our rights under the Franchise Agreement and we prevail, or if we are sued because of something you do or fail to do, you must indemnify us and/or reimburse us for all costs, including reasonable attorneys' fees (which may include outside counsel fees and in-house legal costs charged at rates comparable to outside attorneys), interest, court costs and expenses expended or incurred in enforcing our rights. You must pay our attorney's fees if we are the prevailing party in any action or proceeding arising out of or in relation to the Franchise Agreement.
Tax Reimbursement [1]	Varies according to tax	When you are billed	You must pay us or to taxing authorities (as applicable) an amount equal to any sales tax, use tax, gross receipts tax, documentary stamp tax or similar tax (other than income tax), fees or charges imposed on us due to any required payments you make to us. You must pay us such additional amounts as necessary so that we receive all payments from you in full as if no such tax applied.

Notes:

1. **Fee Payment Information**. All fees are non-refundable and, except as otherwise provided, all fees are uniformly imposed. All fees are imposed by us and are payable to us, except (i) the fees for our business management software (currently Real Green), which are payable directly to the third-party vendor (Workwave, LLC) via ACH, (ii) the fees for our Technology Package (currently Qvinci, FranConnect, Customer Engagement Platform, Neighborly Franchise Portal, one Microsoft Office365 E3 account, one Microsoft Office365 Exchange email account and one RingCentral business phone line), which are imposed by us, collected (via ACH) by our designee (currently our affiliate ZorWare) and may be passed through to the service provider, (iii) call center fees, which are imposed and collected by our affiliate Neighborly Service Solutions SPV LLC, (iv) any local or regional LMG fees, which are imposed by us, and may be payable to us or the LMG, and (v) the fees for HelpDesk Program, which are imposed by us and collected by our designee (currently our affiliate BackOffice). You may be required to pay by automatic bank draft all current and future fees specified in this Item 6. See Item 11 for information about electronic reporting of Gross Sales and payment of fees by automatic bank draft. Some banks or other financial institutions may charge a fee for electronic transfers.

2. **Gross Sales Definition**.

Gross Sales. Gross Sales include the total revenues and receipts from whatever source (whether in the form of cash, credit, agreement to pay, barter, trade or other consideration) that arise, directly or indirectly, from the operation of — or in connection with — your Business whether under any of the Marks or otherwise. Gross Sales exclude sales taxes collected from customers and paid to the appropriate taxing authority and any other bona fide refunds, rebates or discounts that we authorize in writing. Gross Sales also exclude sales from any Excluded Services (as defined in a mutually executed Excluded Services Addendum (see Schedule I to the Franchise Agreement). The Excluded Services Addendum requirements include that (i) the operation of the Existing Business does not interfere with your operation of the Business; (ii) you do not utilize our Marks, System and Confidential Information in the operation of the Existing Business; (iii) the Existing Business offers only the Excluded Services (the gross sales of which are excluded from the Gross Sales of the Business) specifically identified in the Excluded Services Addendum, which are services specified by us that are related to but distinguishable from the services of your Business, and does not compete with the Business by offering the same services and/or products as the Business; and (iv) you maintain separate books and records for each of the Business and the Existing Business. You must agree to make the books and records for your Existing Business available to us on reasonable prior written notice so that we may verify your compliance with the requirement concerning separate books and records. You must report Gross Sales to us by the 1st business day of the week for the prior week ending on Sunday.

If you currently perform services that are related to, but distinguishable from the services to be performed by the Business, you may elect, if we consent, in our sole discretion, to exclude that work from your franchise. If so, the services to be excluded must be specifically listed as Excluded Services performed by your Existing Business on Schedule I to the Franchise Agreement.

3. **Local Marketing Spend Requirement; Local Marketing Groups/Advertising Cooperatives**. You are required to spend the following amounts on local marketing, advertising and promotional activities, programs and materials (collectively the "**Local Marketing Spend Requirement**"): (a) in year one of the Business' operations, you must spend at least $80,000; (b) in year two of operations, you must spend at least $52,500; and (c) After the time period covered by the Local Marketing Spend Requirement, we reserve the right to require you to spend an amount annually on approved local marketing and advertising of your Business (the "Minimum Local Marketing Spending") as follows: (i) at least $40,000 so long as annual Gross Sales of the Business are $525,000 or less; or (ii) once the Business' annual Gross Sales exceed $525,000, then, at least 8% of the annual Gross Sales of the Business. This Local

Marketing Spend Requirement is in addition to any MAP fees you must pay to us. Amounts paid to an LMG will count towards the Local Marketing Spend Requirement, as more particularly described in the Manuals. If you fail to make the required expenditures, we have the right to collect the deficiency and spend it as provided below in this paragraph. We reserve the right to require you to use one or more designated vendors in connection with your local marketing and promotional activities. In addition, we reserve the right to collect (on a monthly or quarterly basis, as we may from time to time designate) the Local Marketing Spend Requirement and in return provide to you local promotional, marketing and advertising materials and related services to promote the Business in the Territory. Should your franchise agreement terminate prior to our providing such local promotional, marketing and advertising materials and related services in the Territory, we reserve the right to contribute the Local Marketing Spend Requirement amounts collected to the MAP Fund.

If advertising cooperatives are set up, franchisor-owned outlets will not have controlling voting power, although as franchisor, we will set the contribution rates and franchisor-owned outlets will contribute at the same rate. If local marketing groups are set up, the franchisor will set the contribution rates and franchisor-owned outlets will contribute at the same rate; the members will have no votes but they will advise the franchisor on the local marketing group's strategies and initiatives. There currently are no cooperatives.

4. **Software System and Other Software**. We require you to use our Technology Package (which currently includes Qvinci, FranConnect, Customer Engagement Platform, Neighborly Franchise Portal, one Microsoft Office365 E3 account and one Microsoft Office365 Exchange email account (2 email accounts in total) and one RingCentral phone line) and the business management software we specify (currently, Real Green) (the business management software, together with the Technology Package, the "Software System"). Your use of the Software System is subject to the terms of the Software System User and Maintenance Agreement (current version is attached as Exhibit J-1). Your use of the business management software is also subject to the third-party terms and conditions set forth in Exhibit J-2. All Technology Package fees are currently paid to our affiliate ZorWare via automatic bank draft. The fees for the business management software (Real Green) (currently $379/month for the program "Service Assistant 5" with two (2) user Routing Assistant accounts, Mobile Live Subscription, Customer Assistant Subscription, and Service Bot Subscription) are paid directly to the third-party vendor (currently, Workwave, LLC). We reserve the right to collect the business management software fees in the future. We (or our designee) provide support and maintenance services on Real Green at our then-current hourly rates pursuant to the Software System User and Maintenance Agreement.

You must also use the accounting, reporting and other software we from time to time specify and pay the monthly charges applicable to such software usage. Currently, we require that you license Quickbooks Online either directly from our designated vendor, Intuit Limited, or through ZorWare. If you license QuickBooks Online through ZorWare, you will pay the QuickBooks Online fee to ZorWare as noted in the Item 6 table above and your use of QuickBooks Online will be subject to the Software System User and Maintenance Agreement.

We may at any time substitute or add a different required software for operations, accounting and reporting and office/other business functions for the franchised business, any such software may be provided by us, a third party or a combination of providers, and you will be required to pay to us or the third-party provider fees for such software and sign related software license agreements.

5. **Key Accounts and Third Party Fees**. If we establish a Key Accounts program, you must participate in it and comply with all Key Accounts standards and procedures described in the Operations Manual and/or as we may otherwise communicate to you, which participation may, in some cases, require you to use a third party billing provider that offers additional services and those services may include additional software. These third party providers charge a range of fees, normally a percentage of the Gross

Sales of the invoice and/or a per invoice referral or work order dispatched fee which may be in addition to the fees stated above. A company that refers customers may also charge a fee for referrals or the use of their software. We cannot estimate the amount of these fees.

6. **BackOffice HelpDesk and HelpDesk Plus**. You must utilize either the BackOffice HelpDesk or the HelpDesk Plus program for the first 12 months of operation, and in connection with that enter into the Backoffice HelpDesk Service Agreement (included as Exhibit N) with our affiliate BackOffice. As part of the program, BackOffice will train you and assist you with the operation of the bookkeeping software (currently QuickBooks Online). The cost of this program could vary depending on the number of hours required to complete your monthly bookkeeping.

FEES CHART
LICENSE FEES AND MINIMUM LICENSE FEES

ALL FEES EXPRESSED IN PERCENTAGES ARE CALCULATED BY MULTIPLYING THE PERCENTAGE STATED BY WEEKLY GROSS SALES.

From and after you execute your Franchise Agreement, you begin to report Gross Sales and pay us a weekly license fee (the "License Fee") based on the previous week's Gross Sales, equal to the applicable license fee described in the first table below; provided that from March through November of each year, Minimum License Fee obligation applies as described below.

License Fees[1, 2]				
	Weeks 1 – 52	**Weeks 53-104**	**Weeks 105-156**	**Weeks 157 - End**
Standard	8%	8%	8%	8%
Small Roll-in	4%	6%	8%	8%
Medium Roll-in	4%	4%	8%	8%
Large Roll-in	4%	4%	4%	6%

Special Rates for Roll-in with $200,000 to $599,999 in Annual Gross Sales ("Small Roll-in")

If you have an Existing Business with $200,000 to $599,999 in annual gross sales volume that you "roll-in" to the franchise, we allow you to use special rates at certain times. The percentages in the chart are multiplied by weekly Gross Sales, or in the case of Minimum License Fees and Minimum MAP Fees, Roll-In Services Average Weekly Gross Sales, which are the annual gross sales you "rolled-in" to the franchise, divided by 52.

Special Rates for Roll-in with $600,000 to $899,999 in Annual Gross Sales ("Medium Roll-in").

If you have an Existing Business with $600,000 to $899,999 in annual gross sales volume that you "roll-in" to the franchise, we allow you to use special rates at certain times. The percentages in the chart are multiplied by weekly Gross Sales, or in the case of Minimum License Fees and Minimum MAP Fees, Roll-In Services Average Weekly Gross Sales, which are the annual gross sales you "rolled-in" to the franchise, divided by 52.

Special Rates for Roll-in with $900,000 or Greater in Annual Gross Sales ("Large Roll-in")

If you have an Existing Business with $900,000 or greater in annual gross sales volume ("Large Roll-in") that you "roll-in" to the franchise, we allow you to use special rates at certain times. The percentages in the chart are multiplied by weekly Gross Sales, or in the case of Minimum License Fees and Minimum MAP

Fees, Roll-In Services Average Weekly Gross Sales, which are the annual gross sales you "rolled-in" to the franchise, divided by 52.

	March - November Minimum License Fees*							
Agreement Year**	1,2, and 3	4	5	6	7	8	9	10
Minimum License Fee per Monthly Reporting Period – during Months of March – November only	N/A	$975	$1,300	$1,755	$1,755	$1,755	$1,755	$1,755

* Minimum License Fees are only due for the months of March through November of every calendar year.

"Monthly Reporting Period" means a 4-week or a 5-week period as determined by us for each calendar year and communicated to you in writing prior to the beginning of each calendar year.

** Agreement Year is each 12 consecutive month period during the term of the Franchise Agreement, with Year 1 starting on the Effective Date of the Franchise Agreement and ending on the 12-month anniversary of the Effective Date.

Current Monthly Reporting Period Calendar

Month	Begin Date		End Date	
1	12/29/2025	to	2/1/2026	No Minimums
2	2/2/2026	to	3/1/2026	No Minimums
3	3/2/2026	to	3/29/2026	
4	3/30/2026	to	5/3/2026	
5	5/4/2026	to	5/31/2026	
6	6/1/2026	to	6/28/2026	
7	6/29/2026	to	8/2/2026	
8	8/3/2026	to	8/30/2026	
9	8/31/2026	to	9/27/2026	
10	9/28/2026	to	11/1/2026	
11	11/2/2026	to	11/29/2026	
12	11/30/2026	to	1/3/2027	No Minimums

ITEM 7

ESTIMATED INITIAL INVESTMENT

YOUR ESTIMATED INITIAL INVESTMENT

TYPE OF EXPENDITURE	AMOUNT	METHOD OF PAYMENT	WHEN DUE	TO WHOM PAYMENT MADE
Initial Franchise Fee 1/	$40,050 to $62,300	Lump Sum	On your signing the Franchise Agreement	Us
Software Set-Up Fee	$1,920	Lump Sum	30 days prior to the Scheduled Opening Date	Us or our affiliate
Initial Marketing Spend 2/	$10,000 to 15,000	As Arranged	As Arranged	Brand approved vendors
Real Property Lease 3/	$0 to $2,000	Monthly, Non-Refundable	As Arranged	Lessor
Furnishings, Signage & Fixtures 4/	$0 to $1,500	As Arranged	As Incurred	Suppliers
Vehicle 5/	$2,920 to $3,200	As Arranged	As Arranged	Suppliers
Tools, Equipment, Products, Uniforms & Supplies 5/	$2,250 to $2,900	As Arranged	As Incurred	Suppliers
Initial Training 6/	$100 to $2,000	As Arranged	As Arranged	Suppliers of transportation, food and lodging
Inventory 7/	$500 to $1,000	As Arranged	As Arranged	Suppliers
Insurance 8/	$1,050 to $2,250	As Arranged	As Incurred	Suppliers
Business and Professional Advisors 9/	$0 to $1,000	Lump Sum	As Incurred	Suppliers
Deposits, Permits and Licenses 10/	$100 to $500	As Agreed	As Incurred	Government Agencies
Computer, Internet Devices, Phones, Tablet, Software Setup 10/	$925 to $2,500	As Arranged	Prior to the Scheduled Opening Date	Suppliers
Additional Funds for 3 months 11/	$81,400 to $145,820	Check/Charge	As Incurred	Suppliers
TOTALS	$141,215 - $243,890			

Notes:

Except as otherwise described in Item 5 above, all payments are nonrefundable.

1. The initial franchise fee will be $0.89 per Target Household ("TH") in your Territory. A typical territory will include 45,000 to 70,000 THs, making the typical initial franchise fee $40,050 to $62,300. You may qualify for a discount on the initial franchise fee. You must pay the initial franchise fee in full when you sign the franchise agreement. The initial franchise fee is not refundable. We may agree to finance a portion of the initial franchise fee, depending on your credit-worthiness, the collateral that you have available and our then-current financing policies. Monthly payments depend on the amount financed. Financing should be secured and in place prior to attending Business Training Week; if not, you cannot attend Business Training Week. See Item 5 for more information about the initial franchise fee (including applicable discounts), see Item 10 for more information about financing, and see Item 12 for more information about Territory.

2. As part of the Local Marketing Spend Requirement, you must spend at least $80,000 on local marketing activities and programs during your first year of operation. This estimate represent a portion of the $80,000 that you may spend on pre-opening and opening marketing, advertising and promotional activities and materials.

3. You are permitted to operate your franchise from your garage or a storage unit initially, if local zoning laws permit. If that space is not properly zoned or you believe it is not suitable for franchise operations, you will need to secure a lease or purchase suitable facilities. If you elect to lease space for your Business, you may be required to pay lease and utility deposits for such space. We estimate you would need an office/warehouse of 200 to 1,000 square feet for the Business. The rent will likely vary from $12 to $18 per square foot depending on the size, condition and location of the facilities. If you purchase property for an office, the costs could be significantly higher. The low end of the estimate assumes that you will initially operate your franchise from your home. The high end of the estimate covers one month's rent and a security deposit (equal to a one-month's rent) for a warehouse of 1,000 square feet at $18 per square foot.

4. You will need to purchase certain tools, equipment, products, supplies and uniforms that we specify. Specific equipment will include at a minimum: aerators, spreaders, sprayers, and blowers.

5. You must use, in connection with the operation of the Business, a service vehicle that meets our specifications, including body style, color and model years. Equipment and vehicle requirements may vary based on the specific characteristics of each franchise territory, including factors such as terrain, average lot size, population density, and accessibility. Prior to your opening, we will review and evaluate the purchased territory to determine the operational needs associated with providing services in that market. Based on this evaluation, we will recommend the appropriate equipment and vehicle configuration necessary to support efficient service delivery within that territory. We estimate that you will initially need 1 to 2 service vehicles. We do not currently sell or lease vehicles. You are responsible for ensuring that their vehicle is ordered and prepared in adequate time to support operations at opening. You must secure financing or enter into an approved lease agreement for their primary service vehicle prior to opening the business. Due to current lead times for vehicle acquisition, upfitting, and branded wrap installation, we strongly recommend completing this financing or leasing process at least three (3) months before the scheduled opening date. Failure to secure the vehicle in a timely manner may result in significant operational delays. Franchisees are expected to lease or finance their vehicle through our preferred vendor. Certain promotional financing options, including potential no-down-payment or deferred-payment programs, may be available to franchisees who meet the vendor's eligibility requirements. After

that, we estimate the cost of leasing a vehicle would be $2,300 per month over a period of 60 months, which includes the cost of the vehicle wrap and interior upfit. We estimate the cost of financing a vehicle to be $2,400 per month over a period of 60 months, which again includes the cost of the vehicle wrap and interior upfit. We also expect you to lease and use in connection with the operation of the Business a Ride-on-Spreader that meets our specifications. We estimate that you will initially need one Ride-on-Spreader. We estimate the cost of leasing a Ride-on-Spreader to be $713 per month. The low end of the estimate covers the monthly cost of leasing a vehicle, plus the cost of a one month's lease of the Ride-on-Spreader. The high end of the estimate covers the monthly cost of financing a vehicle, plus the cost of a one month's lease of the Ride-on-Spreader. If you lease or finance two service vehicles, the monthly cost for the vehicles will be $4,600 to $4,800. If you were to purchase a vehicle outright without financing, we estimate the cost to be $84,000 for the vehicle, $24,000 for the interior upfit, and $7,000 for the vehicle wrap. If you were to purchase the Ride-on Spreader outright, we estimate the cost to be $23,000.

6. You will incur expenses associated with our initial training program. For this training program, we provide instructors and instructional materials. You must pay for transportation, lodging, food, and wages for you and your employees. The estimate is based on travel to our training facility in Indianapolis, Indiana for training lasting for 4 days. As of the date of this Disclosure Document, we may conduct a portion of our training programs remotely/virtually. Therefore, you may not incur travel expenses for training that is done remotely/virtually.

7. We estimate that the range given will be sufficient to cover prepayment of insurances, initial office supplies, certain forms and supplies unique to the Business for the initial phase of the operation of the Business.

8. These are estimates for fees that will be charged by your attorney to review the franchise agreement and other documents, to advise you and to incorporate a business entity on your behalf if desired. This estimate also includes fees charged by an accountant and/or financial advisor.

9. You may be required by state and/or local laws and regulations to obtain and maintain a license. The low estimate is licensing fees for many states.

10. Prior to opening your Business, you must acquire computer equipment, internet service, telephone equipment, and implement and be trained on software systems and/or services (i.e. service management, accounting, telephone system, credit card processing and any other software necessary to operate the Business) required by us, at your sole expense.

11. You will need to support ongoing expenses, such as payroll, fuel, supplies and other operating costs to the extent these costs are not covered by Gross Sales of the Business. We estimate that the amount stated will be sufficient to cover ongoing expenses for the initial phase of the business which we calculate to be 3 months. In computing this estimate, we relied on our and our predecessor's and affiliate's 32 years of experience in operating a Lawn Pride business. This estimate includes the cost of payroll for 1 full-time seasonal employee for the initial period as well as the costs of fuel, materials, shop supplies and computer supplies for such time period, as well as $56,000 to $60,000 to be spent on local marketing and advertising activities during such time period (as part of your Local Marketing Spend Requirement). The estimate also includes the cost of three months of the Technology Package fees, the business management software fees, HelpDesk Program fees, and the call center fees. This estimate does not include owner's draw of salary.

Renewal and Purchase of Operating Franchises

If you are renewing your franchise or if you are purchasing an operating franchised business (as opposed to a territory that has not yet been developed), the above costs will not apply except to the extent they apply in your ongoing business. You will pay a Renewal Fee of $7,500 instead of an Initial Franchise Fee when you renew the franchise. Also, instead of an Initial Franchise Fee, we charge the greater of (i) a 5% fee on the total gross sales price of the Business including all assets of the business or (ii) a minimum transfer fee of $7,500 in the case of a resale/transfer (purchase of an existing Business). If you choose to have legal review of your renewal or resale/transfer franchise documents, the cost item above titled "Professional Fees" would apply. In the case of a resale/transfer, this estimate does not include the cost of preparing and negotiating the purchase agreement with the owner of the franchised business you are purchasing, if applicable, and you must make your own estimate of those costs. If you are acquiring an operating franchise, you will pay to the selling franchisee a purchase price for the business, which purchase price you will negotiate with the selling franchisee.

ITEM 8

RESTRICTIONS ON SOURCES OF PRODUCTS AND SERVICES

You must maintain the highest standards of quality and workmanship in order to provide the highest quality of service to your customers. You must use in the operation of your Business, and in the offer and sale of the services and products we approve, only those techniques, procedures, and supplies we specify in writing. You must offer all, and only such, products and services as we approve from time to time. We may change any of our requirements periodically. We will notify you of any changes to the standards or the Manuals.

Approved Supplies and Suppliers

We may furnish you from time to time lists of approved supplies and approved suppliers. We reserve the right to require that you only use approved products, inventory, supplies, uniforms, tools, equipment, signs, telephone and internet equipment and service, advertising materials, and other items (the "approved supplies") in the Business as described in the approved supplies and approved suppliers' lists, as we may amend from time to time. We also may develop and research new products or services as we determine necessary. We reserve the right to designate a primary or single source of supply for certain products, supplies or services, and we or our affiliates may be that single source. You must pay the then-current price in effect for any purchases from us or our affiliates. Such then-current price may include a mark-up that exceeds the direct cost of the product or service and we or our affiliate may derive a profit from such sale to you. You may not contract with an alternative supplier for any products and/or services for which we have designated a supplier.

You may purchase from other suppliers if you follow our supplier approval procedures, as described in the Manuals, and obtain our prior written approval. You must give us at least thirty (30) business days' prior written notice if you wish to purchase from a source other than our approved suppliers. We may require that samples be delivered to us or to a designated independent testing laboratory for testing before our approval is given. You must pay upon demand our (or the third party's) actual costs of the testing and any related costs/expenses (regardless of whether we grant an approval). We will usually notify you of our decision within 10 days after we receive the test results. Additional or different procedures may be required for approval of services, software or other special items, as described in the Manuals. We reserve the right to revoke our approval at any time upon the supplier's failure to meet our then-current criteria.

We currently require that the fertilizer, weed control, insect and disease control, disease control, mole and vole control, and grass seed products meet our specifications as described in the Manuals. We also require that you purchase a leaf blower, two spreaders: a Ride-on-Spreader, and a walk behind spreader, backpack sprayer, and personal protective equipment (PPE) that meet our specifications as described in the Manuals. We may also require that other products, supplies, equipment, inventory or services you use in connection with the operation of your Business meet our then-current specifications (as we may from time to time modify).

You must utilize the BackOffice HelpDesk Program for a period of 12 months from the date you begin operation of your Business. Currently the only approved supplier for the HelpDesk Program is our affiliate, BackOffice. Your participation in the BackOffice HelpDesk Program is subject to the terms and conditions of the BackOffice HelpDesk Program Service Agreement (included as Exhibit N).

Software System

You must license and use in the operation of the Business the business management software we from time to time specify (currently, Real Green, which you must license directly from our designated supplier (currently, Workwave, LLC) and enter into the and conditions for same in the form prescribed by us or such designated supplier (the current terms and conditions are attached as Exhibit J-2)). You must also license and use the Technology Package (which currently includes FranConnect, Qvinci, Customer Engagement Platform, Neighborly Franchise Portal, one Microsoft Office365 E3 account and one Microsoft Office365 Exchange email account (2 email accounts in total) and one RingCentral phone line) from our designated suppliers and pay our designees (currently our affiliate ZorWare) a license fee for such Technology Package as specified in Item 6. We may require updates to the Software System from time to time and require you to use different and/or additional proprietary and/or other software and you will be required to purchase/enter into software agreements/licenses for such software as we (or the third-party supplier) specify and you will be required to pay us or the third-party supplier fees for such software. We may require you to purchase one mobile device per technician or vehicle.

You must purchase and maintain a computer system compatible with Windows OS or Mac OS X, a multi-purpose printer, internet modem/router, VoIP telephone and all the field service equipment necessary to provide customer with service, which meet our then current specifications. Specifications may include a particular brand or source and we issue specifications to you and maintain them in the Manuals.

Call Center Program

You must participate in our Call Center Program, which is currently administered by our affiliate, Neighborly Service Solutions SPV LLC ("NCS"), and pay NCS the fees described in Item 6. Your participation is subject to your agreement to NCS's Terms of Use (the current version of which is attached to this Franchise Disclosure Document as Exhibit M). Your participation in the Call Center Program may require you to use and publish a telephone number we designate and acquire, install and use designated or approved equipment and/or technology. We may modify or discontinue the Call Center Program at any time upon notice to you.

Other than with respect to the Software System, the Call Center, and the HelpDesk Program, neither we nor our affiliates are currently an approved supplier for any products or services, but we and our affiliates may be approved suppliers for other/additional products and services in the future.

We believe the Technology Package fees, the Call Center Program fees and the HelpDesk Program fees are equal to or lower than the prevailing market price you would obtain if you engaged a third party on your own to provide comparable services of a comparable quality on a consistent basis. This does not

mean that we offer the lowest price; however, based on our experience, vendors that provide lower pricing for a single franchisee or a small group of franchisees and/or for a limited time do not promote the same level of uniformity in long-term system-wide product quality and service that we, as the franchisor, or our affiliates are able to provide. The Technology Package fees, the Call Center Program fees, and the HelpDesk Program fees include a mark-up to offset our (or our affiliate's, as applicable) costs of administering and managing the Technology Package related services, the Call Center Program and the HelpDesk Program, respectively; such mark-up exceeds our (or our affiliate's, as applicable) direct costs of the Technology Package related services, the Call Center Program and the HelpDesk Program, respectively, and we or our affiliate (as applicable) may derive a profit from the Technology Package fees, the Call Center Program fees and the HelpDesk Program Fees.

Vehicles

You are required to purchase or lease a vehicle that meets our specifications. You are not required to buy your vehicles from any specified dealer, but you will receive the discount or Rebate only if your purchase qualifies under the specific program in place and only at the times specified in the program. Vehicle Rebates are applied at the time of purchase by the vehicle dealer, typically as a discount off of the vehicle purchase price. Program details and documentation are available from ProTradeNet and must be used when ordering the vehicle to receive the full benefit.

Marketing Materials

All advertising and promotional materials, signs and other items we designate must bear the Marks (see Item 13) in the form, color, location and manner we specify. Your advertising and promotion must meet our standards as described in the Manuals or otherwise by us in writing. You may prepare and use your own advertising or promotional materials provided that we have approved them in writing prior to use.

Telephone Numbers and Electronic Identities

The telephone numbers and electronic identities you use in connection with the Business must be owned and controlled by us or an approved supplier. We require you to "port" or transfer to an approved call routing and tracking supplier all phone numbers associated with the Business or published in any print or online directory, advertisement, marketing or promotion associated with the Marks and/or the Business.

Purchasing Arrangements and Rebates

We do not provide you with any material benefits based on your purchase of particular products or services, or your use of designated or approved sources. Our affiliate, ProTradeNet, negotiates and enters into purchase arrangements, which may include discounted pricing, special terms, rebates or other incentives with suppliers for the benefit of our franchisees. We may also negotiate or enter into these types of arrangements directly. ProTradeNet has and may enter into relationships with other buying groups, which may include competitors, for the purpose of improving negotiating strength and purchase volume for the entire group. We or an affiliate (including ProTradeNet) may make available to you the opportunity to participate from time to time in certain discounts, rebates, or other benefits in connection with approved suppliers (collectively, "Rebates"), if you meet certain conditions, such as supplier terms and conditions and attendance at annual meetings. All Rebates not returned to franchisees may be retained by us or our affiliate (including ProTradeNet) and used to cover administrative costs or to promote our system and brands. Although neither we nor ProTradeNet have any contractual obligation to pay you Rebates, in most instances, but subject to change and vendor relationships, on average ProTradeNet will retain 25% of all Rebates, pay 25% of all Rebates to us and pay 50% of all Rebates to you, the franchisee, based on qualifying

purchases. The Rebates received by ProTradeNet from suppliers are generally a percentage of each supplier's annual billings to franchisees with respect to certain products or services provided by the supplier to the franchisees. In 2025, these Rebates ranged from 1% to 25% of the suppliers' annual billings to franchisees. Some suppliers may also pay additional fees for advertising, which fees range from $500 to $35,000; for marketing, which fees range from .5% to 1% of total qualified purchases by franchisees from the supplier; and for sponsorships, and tradeshow space, which fees range from $500 to $175,000, for the purpose of promoting their product or service to franchisees. All of these amounts and percentages, including the percentages of Rebates retained by ProTradeNet and paid to us and to you and all additional fees, may change in the future at our sole discretion. The agreement you are required to sign with ProTradeNet to participate is included as Exhibit I hereto, and additional terms and conditions, which may change from time to time, are included on the ProTradeNet website, www.protradenet.com. While you are required to enter into the ProTradeNet Agreement, you are not required to purchase any items under the ProTradeNet Program except as otherwise stated in this disclosure document or required by your Franchise Agreement, our Manuals or our policies and procedures. However, certain benefits, Rebates and special pricing will be available to you only if you participate on the terms required by ProTradeNet or each individual supplier.

We may derive revenue as a result of your required purchases. Amounts are based on cash received and cash disbursed. Some Rebates may be received and the portion of any that are disbursed may be held until the next national meeting before being disbursed. Not all suppliers provide Rebates. A complete listing of suppliers providing Rebates and their rates is available from ProTradeNet. We or our affiliates may receive a commission from the brokerage of a capital lease or other equipment finance, should you require financial assistance from third parties.

- In the year ended December 31, 2025, we had revenue of $47,087, or about 5.86% of our total revenues of $803,437, as a result of purchases by Lawn Pride® franchisees from approved suppliers or under our specifications or as a result of purchases, if any, directly from us. These figures were computed from our internal accounting records for the year ended December 31, 2025.

- In the year ending December 31, 2025, BackOffice had revenue of $23,544 from purchases by franchisees. These figures were taken from financial statements of BackOffice's internal accounting records for the year ending December 31, 2025.

- In the year ended December 31, 2025, Neighborly Service Solutions SPV LLC had revenue of $353,012 from payments by Lawn Pride® franchisees for the Call Center Program. These figures were computed from Neighborly Service Solutions SPV LLC's internal accounting records for the year ended December 31, 2025.

- In the year ended December 31, 2025, ProTradeNet had revenue of $11,235, from purchases by Lawn Pride® franchisees. These figures were computed from ProTradeNet's internal accounting records for the year ended December 31, 2025.

- In the year ended December 31, 2025, our affiliate ZorWare had revenue of $82,073 from the required purchases or payments by our Franchisees for software initial training and maintenance and monthly support. These figures were computed from ZorWare's internal accounting records for the year ended December 31, 2025.

We or our affiliates may receive a commission from the brokerage of a capital lease or other equipment finance, should you require financial assistance from third parties.

You must comply with all terms and conditions applicable to these programs to receive the discount or Rebate. Additional information is available by contacting us. These programs may be changed or discontinued at any time. Other than the ProTradeNet program described above, we do not currently participate in any purchasing or distribution cooperatives. We or our affiliate(s) may from time to time negotiate purchase arrangements with suppliers (including price terms to the extent permitted by law) for the items and services described in this Item 8 that you may obtain only from designated sources.

Key Accounts Program

We may, but have no obligation to, offer a Key Accounts or similar program. From time to time we evaluate opportunities for Key Accounts which might be best administered through our parent, an affiliate or a third party, as we determine in our discretion. If we establish a Key Accounts program, you must participate in it subject to compliance with the standards and procedures of that program. We, Neighborly Service Solutions and/or a third party we select, may solicit Key Accounts for the franchisees of certain franchise systems affiliated with Neighborly, including us. A "Key Account" is a customer account which may be national or regional and cover multiple customer locations (within and/or outside your Territory) with whom we have entered into arrangements (i) for servicing of multiple locations of such customers and/or (ii) that we determine are designed to benefit the System as a whole by gaining otherwise unavailable business or addressing the concerns of such customers that may require specific terms or provisions of our arrangement with them, including without limitation special insurance, experience, equipment, pricing, payment terms, turnaround requirements, or approvals. A Key Account is generally, but not always, a large organization with multiple locations that need products and services provided by franchisees in our franchise system and/or the franchise systems of our affiliates around the country or in a region or other area. The agreement to provide services may be formal or informal and the account may be administered by us, an affiliate or a designee of ours. In some cases our Key Accounts program provides a central number customers may call for those services. If you elect to participate in our Key Accounts program, you must comply with the terms we specify, which may include provisions that require the payment of management fees or other fees, including sales commissions or similar payments, offering of special products or services at certain times or for certain prices (to the extent allowed by law) and special insurance, indemnity, quality control and other provisions. You may also be required to enter into additional agreements required by a Key Account or our policies and procedures. The Key Accounts administrator may collect payments from Key Account customers and distribute payments to franchisees for work provided but has no obligation, and we have no obligation, to make any payments to you for work to the extent payment in good funds by the Key Accounts customer has not been made to us or the administrator. We and/or the administrator of the Key Accounts program have the right to charge additional amounts, including commissions or other fees or charges, to third parties and/or to Key Account customers on account of work performed on Key Accounts by you or other third-party service providers.

Insurance

Before you begin operating your Business, you must purchase, and maintain at all times during the term of your franchise agreement, at your sole cost, insurance coverage, from a responsible carrier, with an A.M. Best rating of A-VIII or better, with the coverage amounts, types and other features as we from time to time specify, using the insurance industry form(s) acceptable to us, and such other insurance coverage as required by law and any other agreement related to the Business. We reserve the right to designate a primary or single source for all or any of the insurance coverage for the Business, and we or our affiliates may be that primary or single source. We may develop an insurance program and require you to participate in it. Any person or entity with an insurable interest that we designate (each, an "Additional Insured") must be named an additional insured on all required liability policies. Each insurance policy must contain a waiver of subrogation in favor of the Additional Insureds. Your insurance must apply as primary and non-contributory. Currently, our minimum insurance requirements include (i) commercial general liability

insurance, with minimum liability coverage of $1,000,000 per occurrence (including Products/Completed Operations and Personal Injury and Advertising Injury) and $2,000,000 in the aggregate; (ii) auto liability coverage, combined single limit in the amount we specify, up to $2,000,000 but no less than $1,000,000, on each owned, non-owned or hired vehicle used in connection with the Business; (iii) workers' compensation coverage regardless of whether required by state law, but with minimum coverage as required by law (if applicable); (iv) pesticide and herbicide pollution liability coverage with a limit in the amount we specify, but no less than $1,000,000 per occurrence and in the aggregate; (v) cyber-liability insurance for financial losses arising from unauthorized access, loss or corruption of data, including but not limited to privacy and data security breaches, misdirected funds, virus transmission, denial of service and loss of income from network security failures, with a minimum limit of $500,000 per claim and in the aggregate; and (vi) such other insurance as from time to time required by us, under applicable law and under other agreements applicable to your Business. With respect to Key Accounts, if the insurance amount required for any Key Account or for Key Account work in general exceeds the amount specified as the maximum amount required by us for any type of insurance, that higher amount required for the Key Account work will apply. Additional insurance requirements are set forth in the Operations Manual.

You must deliver to us at commencement and thereafter annually or at our request a proper certificate of insurance evidencing the existence of the required insurance coverage. We also may request copies of all insurance policies. We may modify the required minimum limits and types of coverage, by written notice to you. Upon such notification, you must immediately implement the modification of the policy, and provide evidence thereof, in accordance with our request. You may satisfy the insurance coverage limits through an umbrella policy that meets all our requirements. We also have the right to terminate your Franchise Agreement for cause if you fail to comply with our insurance requirements.

Accounting Software and Other Requirements

In addition to using our HelpDesk Program, we recommend that you engage the services of a certified public accountant to assist you with the set-up of your books and records, in using the appropriate chart of accounts that we require and in producing monthly and annual compiled financial statements. We require that you use an appropriate chart of accounts, comply with our operating procedures and specifications, including internal audit standards, and use our required software (as part of the Software System) and that your accounting must also be compatible with our required Software System. Currently, we also require that you license QuickBooks Online (either directly from our designated vendor, Intuit Limited, or through our affiliate ZorWare as described in Item 6). We may, upon demand, require you to provide us, within the time as we specify, with audited financial statements, using an independent certified public accountant designated by or satisfactory to us, to adopt a fiscal year consistent with ours, to cooperate with our auditors and to comply with such additional requirements as may be reasonably necessary to enable us to meet our obligations under Generally Accepted Accounting Principles and to comply with applicable accounting standards and rules.

Online Recruiting Platform

We reserve the right to require you to use a third-party online recruiting software platform that provides employee administrative services such as recruitment, tracking and retention. See also Item 6.

None of our officers currently have an ownership interest in any approved supplier.

The cost of items purchased in accordance with our specifications represents approximately 50% to 70% of your total purchases in connection with the establishment of your Business and approximately 30% to 60% of your on-going purchases in connection with operation of your Business.

ITEM 9

FRANCHISEE'S OBLIGATIONS

This table lists your principal obligations under the franchise agreement and other agreements. It will help you find more detailed information about your obligation in these agreements and in other items of this disclosure document.

	OBLIGATION	SECTION IN FRANCHISE AGREEMENT	ITEM IN DISCLOSURE DOCUMENT
a.	Site selection and acquisition/lease	2, 5(A) and Schedule A	11
b.	Pre-opening purchase/leases	5(A) – (F); 9(C)	7, 8 & 11
c.	Site development and other pre-opening requirements	5(A) – (F); 9(C)	7, 8 & 11
d.	Initial and ongoing training	6	11
e.	Opening	5(A) – (F); 9(C); 6; Schedule A	11
f.	Fees	8; 10(C); Schedule A	5, 6, 7 & 11
g.	Compliance with standards and policies/Operating Manual	2(A), (B); 3; 5; 6; 8(H), (I); 9;	11
h.	Trademarks and proprietary information	3; 5(G), 5(J), Schedule F	13 & 14
i.	Restrictions on products/services offered	2(A); 3(A) - (C); 5(C), (D), (K), (L) and (M)	8 & 16
j.	Warranty and customer service requirements	5(N)	11
k.	Territorial development and sales quotas	2(A), (B); Schedule A	12
l.	Ongoing product/service purchases	5(A)-(F)	8 & 16
m.	Maintenance/appearance/remodeling requirements	5(A) and (B)	11
n.	Insurance	9(C)	6 & 8
o.	Advertising	7	11
p.	Indemnification	9(B)	6, 9, 13 & 14
q.	Owner’s participation/management/ staffing	6	11 & 15
r.	Records and reports	8(H) and (I)	6
s.	Inspections and audits	5(H); 8(J)	6 & 11
t.	Transfer	10	17

	OBLIGATION	SECTION IN FRANCHISE AGREEMENT	ITEM IN DISCLOSURE DOCUMENT
u.	Renewal	4(B) and (C)	17
v.	Post-Termination obligations	13	17
w.	Non-competition covenants	9(D); Schedule F	17
x.	Dispute resolution	11	17
y.	Other		
	Guarantee of Franchisee Obligations (Note 1)	14(F); Schedule C	14. 15

Notes:

1. If Franchisee is a corporation or other entity, all persons having a 5% or more ownership interest must personally guarantee the obligations to be performed by the Franchisee under the Franchise Agreement.

ITEM 10

FINANCING

We have no obligation to provide you any financing, but we may agree to finance a portion of the initial franchise fee for qualified prospective franchisees under specified terms and conditions. Our decision to finance the initial franchise fee will be based, in part, on your credit-worthiness, the collateral you have available to secure the financing and our then-current financing policies. We do not provide any financing in any transaction in which brokers are involved.

We limit the amount that we will finance - currently to an amount less than 50% of the total equity, debt and other financial support of your Business (collectively, "obligations"). You must make a written representation to us, in a form we specify, confirming the dollar amount of your obligations. The representation must remain true through execution of your franchise agreement and we may elect not to approve a transfer, including a transfer to a corporation or other entity wholly owned by you, if you do not either maintain the same investment in your Business or pay any loans payable to us and our Affiliates in full. Subject to the obligation limit, our standard financing is up to 70% of your initial franchise fee, and we may agree, in our sole discretion, to finance up to 80% of your initial franchise fee if you meet certain requirements.

You must qualify to purchase a franchise, meet our credit standards and be otherwise eligible for financing to qualify for the following interest rates. We currently charge an interest rate based on your credit score as follows:

Credit Score	**Annual Interest Rate**
Under 600	12%
600 - 649	11%

Credit Score	Annual Interest Rate
650 - 699	10%
700 or more	9%

If we agree to finance a portion of the initial franchise fee, you must sign a promissory note when you sign the Franchise Agreement. An example of our promissory note is attached as Schedule G to the franchise agreement. You must pay us the down payment when you sign the franchise agreement and pay the balance in monthly installments.

You must make note payments to us by automatic bank draft. Some banks and other financial institutions may charge a fee for electronic transfers. Monthly payments will begin approximately 2 months after you complete our initial training program. The length of the repayment term may be negotiable but will generally follow these guidelines:

Loan Amount	Length of Repayment Term
Less than $45,000	Up to 5 years
$45,001 - $75,000	6 years
$75,001 - $100,000	7 years
$100,001 - $150,000	8 years
Greater than $150,000	9 years

We require a security interest in the franchise. You must sign a security agreement, substantially in the form included in the promissory note attached as Schedule G to the franchise agreement, granting us a security interest in all your assets, including after-acquired property, and we will file a UCC financing statement with the appropriate governmental authority. We have the right to require additional forms of security.

You may prepay the note at any time without penalty. If you default, including if you default under the Franchise Agreement, we may declare the entire remaining amount due. If you do not pay us the entire balance and any accrued, unpaid interest, you may be responsible for the court costs and attorneys' fees we incur in collecting the debt from you. We may terminate your franchise agreement if you do not pay us.

You must waive your rights to certain notices of a collection action in our promissory note, security agreement and guaranty but there are no waivers of defense in our promissory note, security agreement or guaranty. If you are a legal entity, your shareholders, members, partners and/or owners must personally guarantee the debt and agree to pay the entire debt and all collection costs. We have the right to require a spouse's personal guaranty.

The financing described in this Item 10 is provided by us, Lawn Pride SPV LLC.

We may sell, assign or discount any promissory note or other obligation arising out of the franchise agreement to a third party. If we sell or assign your promissory note, it will not affect our obligation to provide the services to you that are described in the franchise agreement but the third party may be immune under the law to any defenses to payment you may have against us.

We may periodically agree with third party lenders to make financing available to our qualified franchisees and we may, in our sole discretion, refer you to a third-party lender for financing. We have no control over whether financing will be offered to you by any third-party lender. The lender is not obligated to provide financing to you or to any other franchisee that the lender finds does not meet its credit requirements and loan criteria. If we refer you to a third party lender for financing, we may agree to take a short-term promissory note (in a form we provide to you) until your financing is arranged. You must use the proceeds from the lender to pay any promissory note to us.

We do not currently derive income from referrals or placement of financing with any third-party lender. However, we may require payment from you or other persons for the placement of financing in the future. If we charge for placing financing in the future, we expect to use the payments to offset our expenses in doing so.

We do not guarantee your obligations to third parties.

We may, in limited circumstances, agree to finance a portion of any renewal fee for qualified franchisees at a 12% interest rate under specified terms and conditions. Our decision to finance a renewal fee will be based, in part, on your credit-worthiness, the collateral you have available to secure the financing, and our then-current financing policies.

ITEM 11

FRANCHISOR'S ASSISTANCE, ADVERTISING, COMPUTER SYSTEMS AND TRAINING

Except as listed below, we are not required to provide you with any assistance.

As noted in Item 1, we have entered into a management agreement with Manager for the provision of support and services to Lawn Pride franchisees. However, we remain responsible for all of the support and services required under the Franchise Agreement.

Pre-Opening Assistance: Before you open your Business, we or our designee will:

1. Provide you with site selection guidelines and general specifications and standards, including any specific requirements if you intend to operate the Business from your residence (Franchise Agreement, Section 5A).

2. Provide you with the list of approved supplies (which will include written specifications for certain items of equipment, signs, fixtures, opening inventory and supplies in some instances and approved suppliers in other instances). We do not deliver or install any items. (Franchise Agreement, Section 5D).

3. Provide you with either a written or an electronic copy of the Manuals (or electronic access to the Manuals) that detail the specifications and procedures incidental to the operation of the Business (Franchise Agreement, Section 5F).

4. Provide the training programs described below (Franchise Agreement, Sections 6B and C).

5. Provide you with opening support for your Business and any additional support we determine necessary (Franchise Agreement, Sections 6B and C).

Ongoing Assistance. During the operation of your Business, we or our designee will:

1. Maintain the Marketing, Advertising and Promotion Fund (the "MAP Fund") (Franchise Agreement, Section 7A).

2. Provide updates to the lists of approved supplies and approved suppliers and continue to research and develop new products and services (Franchise Agreement, Section 5D).

3. Make periodic visits to your Business or institute a "secret shopper" system as we reasonably determine to be necessary to provide consultation and guidance (Franchise Agreement, Section 5H).

4. Provide refresher training courses, and regional meetings and conventions as we determine necessary and require you to attend. We may charge you a fee to attend (and for your employees to attend) regional meetings or conventions (referred to as the Reunion) that we deem necessary. In this event, you must pay all expenses for you and your employees, including training materials, travel and living expenses (Franchise Agreement, Section 6C and E). For more information on the Reunion, see Item 6. As of the date of this Disclosure Document, we may conduct some of our training programs remotely/virtually. Therefore, you may not incur travel expenses for training that is done remotely/virtually.

5. Provide ongoing communication and support and updates to the Manuals (Franchise Agreement, Section 5F).

In addition, based on examples from LAWN PRIDE businesses, we may, from time to time, make suggestions to you with regard to your pricing policies. In addition, we have the right to negotiate Key Account arrangements, including pricing, which will bind all LAWN PRIDE businesses providing services to such Key Accounts. Although you generally have the right to establish prices for the products and services you sell, we reserve the right to establish and enforce prices, both minimum and maximum, to the extent permitted by applicable law. We may offer preferred customer plans that offer customers discount prices under certain terms and conditions. Except as described in this disclosure document, you are not required to offer these plans to customers but, if you do elect to participate in our preferred customer plans, you must offer the discount prices set by the plans in accordance with the terms of the plan. We currently require that you participate in certain of our national campaigns, including our referral program, as described in the Manual. (Franchise Agreement, Sections 5M and 5N)

We are not required to provide any other service or assistance to you during your operations.

Marketing

MAP Fund and Local Advertising

We collect a MAP Fee from you for the MAP Fund equal to 2% of weekly Gross Sales as provided in Item 6. (Franchise Agreement, Section 8D)

We have established the MAP Fund and have designated the Manager (i.e., Neighborly Company) to administer the MAP Fund. The MAP Fund is not a trust or escrow account, and neither we nor the Manager have any fiduciary obligations with respect to the MAP Fund. If all of the MAP Fees are not spent in the fiscal year in which they accrue, the remaining amounts are retained in the MAP Fund for use in the following years. The Manager may use the MAP Fund for various purposes related to the Lawn Pride

franchise system, including, but not limited to, (1) broadcast, print, or digital advertising; (2) the creation, development and production of advertising and promotional materials (*i.e.*, print ads, digital, radio, film and television commercials, video, digital ads, direct mail pieces, and other print advertising); (3) any marketing or related research and development; (4) advertising and marketing expenses, including product research and development and services provided by advertising agencies, public relations firms or other marketing, research or consulting firms or agencies; (5) the development, licensing and/or use of any tools and platforms in connection with marketing, advertising and promotional activities; and (6) expenses, administrative costs and overhead we or the Manager may incur in activities related to maintaining, administering, directing, and conducting the MAP Fund and its programs, including compensation to employees or any other individual or entity providing services to the MAP Fund. (Franchise Agreement, Section 7A)

The Manager determines the use of the monies in the MAP Fund. The Manager is not required to spend any particular amount on marketing, advertising or promotion in the area in which your Business is located. The Manager and the MAP Fund may collaborate with the advertising funds of certain franchise systems affiliated with us. There can be no assurance that the MAP Fund's participation in these collaborations and joint efforts will benefit the franchised businesses using the Marks proportionately or equivalently to the benefits received by the other franchised businesses or the other franchised systems affiliated with us that also participate. The Manager oversees the advertising programs and uses the MAP Fund to create marketing materials and conduct national, regional or local advertising. We will contribute to the MAP Fund amounts equal to your required percentage for each similarly situated company-owned and affiliate-owned Lawn Pride businesses. From time to time we may contribute to the MAP Fund some amounts paid to us by outside suppliers. The Manager will prepare an annual unaudited accounting of the MAP Fund and will make it available for your review upon your written request. The Manager has its own in-house marketing and advertising production capabilities, but also may use an outside national, regional, or local agency. Neither we nor the Manager will use any of the advertising funds for the solicitation of franchise sales, but any marketing materials the Manager produces may designate "Franchises Available."

We reserve the right to cause the MAP Fund to be incorporated or operated through another entity separate from us or the Manager at such time as we may deem appropriate, and any such successor entity will have all our rights and duties with respect to the MAP Fund. We or the Manager may use collection agents and institute legal proceedings at the MAP Fund's expense to collect MAP Fund contributions. We may also forgive, waive, settle, and compromise all claims by or against the MAP Fund. If we terminate the MAP Fund, we will refund to you your pro-rata portion of any amounts remaining in the MAP Fund, based on your contributions to the MAP Fund. (Franchise Agreement, Section 7A).

The use of the MAP Fund by us and the Manager during fiscal year ended December 31, 2025 was primarily allocated toward the following purposes:

Type of Expense	**Percent of Expenses**
Production	61%
Administrative Cost	1%
Digital & Other Media	38%
Public Relations	0%
Other	0%
Total	100%

Local Marketing Spend Requirement

In addition to your payments of the MAP Fee, you must spend annually, in connection with the local marketing and advertising of your Business, the Local Marketing Spend Requirement, as follows: in year one of Business operations, you must spend at least $80,000; in year two of operations, you must spend at least $52,500; and in year three and each year after, you must spend annually: (i) at least $40,000 so long as annual Gross Sales of the Business are $525,000 or less; or (ii) once the Business' annual Gross Sales exceed $525,000, then, at least 8% of the annual Gross Sales of the Business. If you fail to make the required expenditures, we have the right to collect the deficiency and spend it as provided below in this paragraph. We reserve the right to require you to use one or more designated vendors in connection with your local marketing and promotional activities. In addition, we reserve the right to collect (on a monthly or quarterly basis, as we may from time to time designate) the Local Marketing Spend Requirement and in return provide to you local promotional, marketing and advertising materials and related services to promote the Business in the Territory. See Items 5 and 6 for more information. All of your local marketing and promotion (including through social media) must be in media that we approve, conducted in a dignified manner and conform to the standards and requirements that we specify, including compliance with all Mark usage and branding standards. Specifically, you must submit all advertising materials to us at least 14 days prior to use. If we do not respond within 14 days after you submit the proposed advertising materials to us, the advertising materials will be deemed unapproved. Should your franchise agreement terminate prior to our providing such local promotional, marketing and advertising materials and related services in the Territory, we reserve the right to contribute the Local Marketing Spend Requirement amounts collected to the MAP Fund. (Franchise Agreement, Section 7.B) (Franchise Agreement, Section 7B)

We reserve the right to require advertising or marketing cooperatives and/or local marketing groups ("LMG") to be formed, changed, dissolved or merged, based on specific criteria determined by us for designated marketing areas. We typically determine the local marketing areas based on a combination of designated market area and core-based statistical area data. We have the right to establish how LMGs operate and to administer the LMGs. If an LMG is established in your market, you will be designated to be a member of the LMG. We will determine the amount of member contribution, which will be a percentage of Gross Sales and will not to exceed 3% of Gross Sales. Other franchisees that will be members of the same LMG will contribute on the same basis as you. We may require that some or all of your LMG contribution be paid to us or our affiliate, and we reserve the right to use your LMG contribution on any promotional, marketing and advertising initiatives, including digital and other marketing and brand awareness programs. As of the issuance date of this Franchise Disclosure Document, we may require that all or a portion of your LMG contribution (currently, 2% of your Gross Sales) be paid for use towards the Neighborly marketing and brand awareness initiatives, which may include service professional recruitment marketing. Your contribution to the LMG will count towards your Local Marketing Spend Requirement but any Local Marketing Spend Requirement will not represent a limit on your LMG contributions. Each company-owned or affiliate-owned Lawn Pride® business located within the LMG's market will be a member and will contribute to the LMG on the same terms as franchisees. The LMG will not be required to operate from written governing documents although we may establish written operating guidelines and rules for the LMG. The LMG will not be required to prepare annual or periodic financial statements. All promotional and advertising materials proposed to be used by the LMG must be approved by us prior to use. As of the date of this disclosure document, the LMGs we plan to establish will be local marketing groups rather than advertising cooperatives. We currently do not have an advertising council that would advise on advertising policies. (Franchise Agreement, Section 7D)

Call Center Program

We require you to participate in our Call Center Program currently administered by our affiliate Neighborly Service Solutions SPV LLC, pursuant to which you will receive, for a payment of

corresponding fees (see Item 6; currently $349.99 - $449.99/month plus $25 per booked appointment), certain call center services, including call routing and scheduling services. You will be required to agree to NCS's Terms of Use (the current version of which is included as Exhibit M). See also Item 6 and Item 8. (Franchise Agreement, Section 5.E)

Computer System

You must purchase a computer system that meets our standards and requirements (the "Computer System"). You must license the Software System from our designated third party suppliers and pay license and other fees for use of same, as discussed below and in Items 5, 6, 7 and 8. Additionally, you may be required to license additional software from us, an affiliate, or a third party and you also may be required to pay an additional software licensing or user fee in connection with your use of such software. You will be liable for all damages and problems caused by your use of any software or the Computer System. We will have full and complete access to the information and data entered and produced by the Computer System and can use them in any way we deem appropriate. You must maintain a dedicated email account for the Business, separate from any personal or other email account. You must purchase any upgrades, enhancements or replacements to the Computer System and/or hardware and software that we may from time to time require, and that may be referenced in the Operations Manual. Except as provided in Exhibit J-1 (Software System User and Maintenance Agreement), we have no contractual obligation to maintain, repair, update, or upgrade the Computer System. You must make sure that you are in compliance with all laws that are applicable to the Computer System or other technology used in the operation of your Business, including all data protection or security laws as well as payment card industry compliance. (Franchise Agreement, Section 5E)

You must use the following hardware and software in the operation of the Business:

Hardware

You must use a computer with adequate memory, speed and storage to run the software we require you to use (described below). We will periodically assist you in determining the appropriate hardware and operating systems needed to support the required software but we are not obligated to provide or assist you in obtaining computer hardware. You may acquire your computer hardware from any source. You may use any type of computer that meets our requirements and will run the required software.

Currently, for office use, we require a Windows OS or Mac OS X compatible computer system, with a 2.0 GHz or higher Quad Core processor or Mac equivalent; 8 GB RAM; minimum 120 GB SSD hard drive; 1080P color monitor; VoIP telephone; high speed Internet access capability; keyboard; mouse; and a multi-function printer capable of scanning, faxing and printing.

Currently, you must bring a laptop computer to training with at least a Dual Core 2.0 GHz processor or the equivalent; 8 GB RAM; 120 GB SSD hard drive; 1080P color monitor; and high-speed Internet access capability.

Currently, you must provide a current model iPad or equivalent handheld device to each of your technicians for use with customers or otherwise in connection with the operation of the Business. We estimate the current cost of these tablets to be $500 each. You must obtain the applications and/or software we require. The current cost of the required license for mobile applications and/or software is $80 per mobile technician.

You must pay for all maintenance of your Computer System, internet access, and local area networks, at your own expense. We do not require you to sign any hardware maintenance or support

contracts with us or any third party suppliers. In our experience, most of the computer hardware will have a manufacturer's warranty that you can extend at additional cost. We estimate that the annual cost to maintain the Computer System is $100 - $200 for maintenance not covered under manufacturer's warranty. We do not guarantee, warranty, maintain or support any computer hardware in any manner. You should determine for yourself whether or not any third party supplier from whom you purchase any component of your Computer System is obligated to provide ongoing maintenance, repairs, upgrades or updates to any component of your Computer System, and determine the additional cost for the services.

Software System

You must license our business management software (currently Real Green) from our designated supplier (currently Workwave, LLC), pay monthly fees directly to Workwave, LLC for your usage, and enter into the terms and conditions for same in the form prescribed by us or such designated supplier (the current terms and conditions are included as Exhibit J-2). The current monthly license fee for Real Green is $379/month for the program "Service Assistant 5", Real Green Mobile Live 2, Customer Assistant Subscription, Real Green Comm Plan – 3,500 Credits and Dynamic Routing – 3,000 Services. In addition, you must license our Technology Package (currently FranConnect, Qvinci, Customer Engagement Platform, Neighborly Franchise Portal, one Microsoft Office365 E3 account and one Microsoft Office365 Exchange email account (2 email accounts in total) and one RingCentral phone line) from our designated supplier(s) (currently the third-party suppliers described in Software System User and Maintenance Agreement that is attached as Exhibit J-1) and sign a software license agreement for same in the form prescribed by us or such designated supplier (the current Software System User and Maintenance Agreement is attached as Exhibit J-1). The current monthly fee for the Technology Package is $186.95/month (payable to our affiliate ZorWare), and additional Office365 Exchange email accounts are $5.50 per month, additional Office365 E1 email accounts are $19.00 per month, and additional Office365 E3 email accounts are $30.00 per month. These fees cover maintenance on the Technology Package as provided in the Software System User and Maintenance Agreement; any maintenance on the Real Green software is provided at ZorWare's then-current hourly rates (currently $125/hour), as provided in the Software System User and Maintenance Agreement.

We or our designated supplier will provide you access to the Software System in their hosted environment (via Remote Desktop or access to a website). The Software System provides customer and prospect tracking, scheduling, dispatching, point of sale invoicing, customer service history, sales analysis, reporting functions and our confidential operations set-up.

You must report your Gross Sales from the operation of your franchise to us electronically through the Software System. We will request from Workwave, LLC access to information that you input into the Real Green business management software (the "system") or develop on the system in or with respect to accounts related to your franchised business, including, but not limited to customer data, transaction data and operational and financial data about your franchised business(es) (the "data"). Such access may be in individual or aggregated form and may take place with or without notice to you. You must consent to this disclosure by Workwave, LLC of any and all data to franchisor and its affiliates and agree to indemnify and hold harmless Workwave, LLC and its subsidiaries, affiliates, officers, agents, and employees, for any damages, expenses, losses or liabilities suffered by you in connection with any such disclosure whether such damages are under contract or tort or under any other theory of liability.

We may also request to be granted administrative access to your Real Green user account(s) related to your franchised business(es), to export, transfer or grant access to your account or to data associated with such account(s) or your franchised business(es), to suspend such account(s) or your access to the system for your franchised business(es) or, in connection with a termination of your franchise agreement(s) with us, to terminate or delete your Real Green account(s) related to your franchised business(es). You must

consent to all such access and actions by us and agree that you will not seek any mass export of your data with respect to your franchised business without our written consent. You must also agree to indemnify and hold harmless Workwave, LLC and its subsidiaries, affiliates, officers, agents, and employees, for any damages, expenses, losses or liabilities suffered by you in connection with any such actions of franchisor whether such damages are under contract or tort or under any other theory of liability.

You may not at any time substitute any other software for the software we require. We will have independent access to the Software System and certain information in your Computer System, including sales and related data, and there are no contractual limitations on our right to access this information and data.

We will make available to you an optional third-party web-based job applicant tracking system ("Paradox ATS"), which will allow you to create and manage local job postings online, track job applicants, and manage your recruiting efforts. Your use of the Paradox ATS will be subject to Paradox, Inc.'s terms of use. You will pay us or our affiliate an annual fee at the then-current rate ($703/year). We may increase the fee in the future but as of the date of this Disclosure Document we don't anticipate an increase to b more than 30% annually in addition to any direct price increases from the vendor, Paradox, Inc. You may opt out of using Paradox at any time. Your access to this third-party applicant tracking system in no way shifts any employee or employment related responsibility from you to us. You are, and will remain, the sole employer of your employees at all times, and you are solely responsible for all employment decisions and actions related to your employees.

In addition, you must also purchase or obtain separately and use the following:

- An operating system that will provide access to the Internet and run Software System
- Google Chrome or Firefox internet browser
- Adobe Acrobat Portable Document File (PDF) Reader
- QuickBooks Online, licensed pursuant to the terms and conditions at https://quickbooks.intuit.com/global/terms-of-service/

We currently estimate the cost for the software you must purchase separately to be approximately $400 to $550, but this may vary based on whether some of the software is purchased together with your computer hardware. Our computer hardware and software requirements, including the Software System, will periodically change and you will be required to update your systems and you may incur additional or higher fees and costs in connection with any such changes or updates. There are no contractual limitations on your obligations to upgrade your Computer System and pay for those upgrades or changes. We will advise you of any required upgrades, updates or changes. You have the option to obtain QuickBooks Online directly from the third-party vendor (Intuit) or you can obtain it through our affiliate, Zorware, in which case your use of QuickBooks Online will also be subject to the terms of the Software System User and Maintenance Agreement and you will pay to ZorWare the fee for QuickBooks Online (which will be $30-$220 per month depending on the license tier that you select).

You must utilize the BackOffice HelpDesk Program for the first 15 months of operation. Our affiliate BackOffice will train you and assist you with the operation of the Bookkeeping Software (currently QuickBooks Online) and completing your bookkeeping. The cost of this program could vary depending on the number of hours required to complete your monthly bookkeeping ($200 for 3 hours of services; $400 per month for up to 6 hours of assistance, plus $75/hour for additional assistance) and is paid directly to BackOffice.

We may periodically develop other proprietary software and other systems, products and upgrades that we may require you to use. We may charge you a license fee for any new software.

Other than the Computer System requirements described above, you do not have to buy or use an electronic cash register.

Internet Service Provider

You must have a primary and we recommend a secondary or "back-up" source of internet access. Your primary internet access must be high speed business class internet service with a minimum of 100 megabit per second (Mbps) of available band width per named Software System user. We may modify these requirements in the future. You may use any independent Internet service providers ("ISP") of your choice as long as each allows you to perform all necessary functions. (Franchise Agreement, Section 5E)

System Website, Intranet and Electronic Communications and Data

We own the domain name www.lawnpride.com and use it as our primary website for information about franchised businesses. You must provide information to us promoting your Business to post on the website. You may not separately register any domain name or any social media account containing any of the Marks or establish a website or social media account for the Business without our prior written consent. We reserve the right to pre-approve, establish rules, procedures, and policies relating to any website or social media account you create for the operation of your Business. Our system standards will apply to website advertising. At our option, we may, in the future, establish one or more additional websites to advertise, market, promote and operate Lawn Pride businesses and the franchise opportunity, and provide you certain additional website-related services such as a listing for your location, or a web page, and we may charge you a fee for such services. (Franchise Agreement, Section 5K)

We make no warranties and disclaim any express or implied warranty relating to any software, data, Intranet, website or other related items provided or recommended by us. If we provide you with any software or require the use of any software, Intranet, website or other related items we will not be liable for any costs or expenses, including any special, indirect, or other damages (including lost profits), even if we have been advised of the possibility of damages and even if the software did not function properly or had design problems that may have contributed to any loss.

You must comply with all policies and procedures as described in our Manuals, and execute any required agreements for use of our Intranet or any electronic communication, or data storage/retrieval system, website or software, as we periodically require, including policies that require you to identify yourself in all electronic communications as an independently owned business. We may periodically modify these rules and policies at our discretion. We are not obligated to provide you with an internet or intranet email account or system but we do currently use an on-line system for the communication of information and Internet/electronic mail access. We may discontinue the current system of communication and Internet/electronic mail at any time and you may be required to maintain an account we designate with a provider of our selection and pay the required fees. See Item 6. We are not obligated to monitor or create/maintain any backup of email and information/data related to email. There are no contractual limitations on our right to access information and data on the electronic communication and Internet/electronic mail systems. You agree you have no right of privacy with respect to such communications and data and we may access these email communications and data. Any access to, monitoring or copies of, data related to electronic communications and emails will be solely for our benefit.

We may use all data provided by you to us for any and all purposes for which we may solely determine, including financial information and assessments or similar data, and may share and disclose the

data to/with our affiliates, their franchisees and our franchisees, and all prospective franchisees, without restriction and without compensation, subject to compliance with applicable laws. We will disclose such financial information and data to any other third party only after your name has been omitted unless you consent or as required by judicial process or a governmental investigation, in each case subject to compliance with applicable laws. (Franchise Agreement, Section 5E).

Site Selection

You may operate the Business from your home if your home is located within your Territory and if local zoning permits; however, you have the option to lease office space. If your home is located outside of your Territory or if local zoning does not permit operation from your home, you will be required to secure a storage unit facility with parking for service vehicles and you will select the site for the Business with site selection guidelines we provide. You must verify to us that your site complies with our site selection guidelines. We do not select your site. We will approve your site so long as it meets our site selection guidelines. The factors we consider in approving your site are whether the site is located within your Territory and whether it meets zoning requirements. We will attempt to approve or disapprove your selected site within 10 business days after you submit the location (together with evidence of its compliance with our site selection guidelines) to us for approval. Since you may operate the Business from your home (subject to it meeting our site selection guidelines), there are no consequences if you and we can't agree upon a location, except that you must begin operating your Business within 30 days of the Scheduled Opening Date in Schedule A of the Franchise Agreement, although you may not commence operations of your Business until you successfully complete our training program and have otherwise complied with your pre-opening obligations. We do not generally own the premises for a franchised business and lease them to a franchisee. (Franchise Agreement, Section 5A)

Manuals

The "Manuals" include the Operations Manual and other manuals that we may create in the future.

We will loan you copies of (or provide electronic access to) our Manuals, which contain mandatory and suggested specifications, standards and procedures. You must adopt and use as your continuing operational routine the required standards, service style, procedures, techniques, and management systems described in our Manuals or other written materials relating to the Business. The Manuals will contain both mandatory standards and recommended standards. You must treat the Manuals, and other written materials created for or approved for use in the operation of the Business, and the information contained in them, as confidential. The Manuals will remain solely our property. We may, from time to time, revise the contents of the Manuals and you must comply with each new or changed standard.

The table of contents of our Operations Manual is contained in Exhibit K. The Operations Manual contains a total of 95 pages. (Franchise Agreement, Section 5G)

Training

TRAINING PROGRAM

Subject	Hours of Classroom Training	Hours of On-the-Job Training	Location
Overview	1	0	Indianapolis, IN or Waco, TX

Subject	Hours of Classroom Training	Hours of On-the-Job Training	Location
Systems & Processes	1	0	Indianapolis, IN or Waco, TX
Marketing & Sales	4	0	Indianapolis, IN or Waco, TX
Administrative & CSR	2	0	Indianapolis, IN or Waco, TX
Call Center	1	0	Indianapolis, IN or Waco, TX
Software	4	0	Indianapolis, IN or Waco, TX
Customer Service	2	0	Indianapolis, IN or Waco, TX
Policies & Procedures	1	0	Indianapolis, IN or Waco, TX
Recruiting & Retention	1	0	Indianapolis, IN or Waco, TX
Technical & Safety (includes technical training on the lawn care and maintenance services through the application of fertilizer and other products)	6	0	Indianapolis, IN or Waco, TX
Service Delivery & Production Management	2	0	Indianapolis, IN or Waco, TX
Financial Management	1	0	Indianapolis, IN or Waco, TX
Total	26	0	

The training program is held 3 times per year or whenever minimum class sizes are achieved.

Our instructional materials consist of our Operations Manual.

Our instructors include Susan McIntosh, who has over 32 years of experience in the lawn care industry, all with us and Predecessor; David Holmes, who has over 38 years of experience in the lawn care industry and 3 years with us; Bryan McIntosh, who has over 33 years of experience in the lawn care industry and all of that with us and Predecessor; David Ridenour who has 18 years of industry experience and with us and Predecessor; Sandy Mitchell, who has over 15 years of experience in the industry and all of that with us and Predecessor; Patrick Moser, Technical Training Manager, who has over 20 years of experience in the lawn care industry, all of that with us and Predecessor; and Ann Weycker, Franchise Business Coach, who has over 11 years in franchising experience and 1 year with us. The instructors have experience relevant to the subjects covered in our initial training program.

The initial training program must be successfully completed before the Business opens using our Mark. You, your Principal Owner (if you're an entity) and/or such other persons as we may reasonably require must attend our initial training program and must complete the program to our satisfaction. You may designate, and we will approve or disapprove, additional persons to attend the initial training program. The initial training program will take place at our principal place of business (and/or virtually/remotely). The length of our initial training program will run for 3-5 days of classroom training.

You and/or such personnel as we may reasonably require must also attend additional courses, seminars, and training programs that we may offer from time to time. For all required initial and training courses, we will provide instructors and training materials. There is a charge of $500 per day per person for any additional training courses that you request. You and your trainees will be responsible for all other expenses which they incur in connection with the courses, including the cost of transportation, lodging, meals, and wages during any training courses. (Franchise Agreement, Section 4.l.)

Any training provided by us to any of your workers will be limited to training or guidance regarding the delivery of approved services to clients in a manner that reflects the customer and client service standards of the System. You are, and will remain, the sole employer of your employees at all times, including during all training programs, and you are solely responsible for all employment decisions and actions related to your workers. You are solely responsible for ensuring that your workers receive adequate training.

You must also attend, every year, at your expense, the annual training or conference event specified by us and currently referred to as "Reunion", and any other training we designate as required. You must have at least one representative attend the Lawn Pride portion of the Reunion meetings every year. We may also require you to attend and complete a "refresher" training course or advanced training course if we determine that you are not current on all aspects of the System or are otherwise in need of training.

Opening of Franchise

Our franchisees are typically open for business within 90 days after signing the Franchise Agreement. Operations may not commence until you have successfully completed training and complied with all pre-opening obligations. Exceptions to these timelines may arise due to the seasonality of the business depending on location where, for example, training may occur in December, but weather may dictate an opening in April. The Franchise Agreement requires you to open within 30 days of the Scheduled Opening Date, which is set forth on Schedule A to the Franchise Agreement. The Scheduled Opening Date is typically set as a date that is 90 days after the Franchise Agreement's effective date or, if the Franchise Agreement's effective date is outside of the franchised business' operating season (where the business is seasonal due to the territory's geographic location), then the Scheduled Opening Date will be a date at the start of the next operating season, as set by us. The factors that affect how quickly you can open your Business include the training schedule, your ability to obtain necessary financing, site selection approval, securing equipment or vehicles, any local requirements for permits or licenses and your ability to complete our recommended pre-training agenda. (Franchise Agreement, Section 5A)

ITEM 12

TERRITORY

Franchise Agreement

You will receive the right to operate the Business at a location within your territory that meets our site selection guidelines (the "Franchise Location"). Your Franchise Agreement will also specify a

designated territory that will provide you limited territory protection (the "Territory"). The Franchise Agreement does not grant you any territorial rights beyond the Territory.

Your Territory will have at least 45,000 Targeted Households ("THs"). A typical territory will include between 45,000 and 70,000 THs. You will maintain rights to your Territory even if the number of THs in your Territory increases. We determine the number of THs in your Territory by reference to data from third-party demographic service providers. While we believe this data to be accurate within an acceptable margin of error, there is no way to know the actual number of THs in a territory. Because of this, the actual number of THs in the Territory may be more or less than the number of THs we designate in your Franchise Agreement.

If you wish to relocate from your Franchise Location to a new business site, we will authorize you to do so; provided (1) you are not in default of the Franchise Agreement, any other agreements with us, or the lease for the former Franchise Location, (2) you are current on your financial obligations to us and our affiliates and all your third party creditors, (3) you open for business at the new location on the same day you close your former Franchise Location, and (4) the new business site is within your Territory. You may operate from your home if your home is located within your Territory and if local zoning permits or from any existing business premises.

In the limited instance that Google (or another designated vendor we use for search engine optimization purposes to drive online customer marketing) requires a secondary physical location in your Territory (in addition to your Franchise Location) in order to align with the marketing areas identified by Google/the vendor, we and you will agree on how you can establish and operate the secondary location in a manner that meets Google/the vendor's requirements as well as our applicable System standards for a secondary location; provided that this requirement will not apply during the first year of operation of your Business.

You will not receive an exclusive territory. You may face competition from other franchisees, from outlets we own, or from other channels of distribution or competitive brands that we, our affiliates or third parties control, operate or franchise. However, provided you are in full compliance with your Franchise Agreement, we will not operate or grant a franchise for the operation of another Lawn Pride franchise with rights to market within your Territory during the term of your Franchise Agreement.

We and our affiliates reserve all other rights not specifically granted to you, including the right, while your Franchise Agreement is in effect, to sell or allow others to sell: any products or services anywhere (including on the Internet) using different trademarks; the same or similar products and services, competitive with those you will provide, anywhere using different channels of distribution (including the Internet); different products and services anywhere (including on the Internet) using the Marks; or the same products and services using the same trademarks anywhere outside your Territory. In addition, we may advertise, solicit and enter into Key Accounts, which are national, regional or other accounts we believe will benefit the system as further described in the Franchise Agreement, the Manuals and Item 8, and Key Accounts may involve marketing in your Territory. In addition to allowing others to offer products and services in your Territory generally, in the specific case when a Key Account is involved we may also designate or authorize a corporate employee, another franchisee or any other third party to perform or assist you in performing services within your Territory if you refuse or, in our judgment, are not qualified, interested, able or available to perform services for any customer in the Territory, including any Key Account customer; if you request assistance; or if a customer, orally or in writing, specifically requests services in the territory from a different franchisee or any other third party. If you agree to participate in or service Key Accounts, you must do so on the terms we specify, which terms may include, but may not be limited to, the provision of certain insurance, equipment, products and services, and the offer of services at prices not to exceed the maximum prices specified as well as payment by you of any applicable sales or

broker commissions. If we allow others to provide services in your Territory, you will not be entitled to any compensation for the sales or services performed. Subject to the rights granted to you in your Franchise Agreement, we may provide in the Manuals for other programs in which we offer and sell, and/or authorize others to offer and sell, using the Marks or other marks, goods and services in your Territory that are identical or similar to and/or competitive with those provided at your Business. We may also acquire businesses or be acquired by a business offering similar products and services anywhere. We will not pay you any compensation for soliciting or accepting orders from inside your Territory in accordance with our reserved rights.

You cannot advertise for or attempt to solicit customers for any products or services, including using Internet, telemarketing or other direct marketing, outside your Territory. If we permit you to advertise, solicit, service or sell in areas outside the Territory that are not serviced by another franchisee (each, a "Territory Available for Sale" or "TAFS"), you must comply with all of the conditions and other requirements that we may from time to time specify (in the Manuals or otherwise in writing) with respect to such activities. At any time upon our demand or upon your actual notice that a TAFS has been purchased by another franchisee, you agree to immediately cease all activities in such TAFS and to comply with our procedures for the transition of customer accounts for such TAFS.

You may only provide products/services to customers outside your Territory in accordance with our policies and procedures (including the Preferred Lead Program described below) and only with our prior written consent. We may identify in the Manuals or otherwise in writing the conditions under which we would grant our consent to your servicing or selling outside of your Territory and our consent may be conditioned upon whether you have obtained a required level or the highest level of quality or service as determined by a rating system we designate, which may change from time to time. Under our Preferred Lead Program, you may provide services within a specified area outside your Territory (such area, "designated area"), if such services are provided to your existing customer that has locations inside your Territory and within the designated area and the franchisee who owns the territory in which the designated area is located also participates in the Preferred Lead Program. Additional terms and conditions of the Preferred Lead Program are described in the Manuals. You must meet the qualifications described in the Manuals before you may participate in the Preferred Lead Program.

Our Manuals may also set specific rules for engaging in, and what may constitute, marketing within your Territory and other related matters, including what telephone area codes and exchanges may be used within the Territory (depending on the areas covered by those area codes/exchanges); which publications or media you may advertise in (depending on whether the circulation of the publication/media is wholly or mostly within your Territory); participation in promotional events, tradeshows, continuing education programs, chambers of commerce and industry association meetings; the post office box or mailing address that may be displayed on advertising; which phone numbers may be displayed on your vehicles; how, when and from which customers or accounts you may solicit work (depending on their location and the location and/or duration of the work); requirements for referral of work; enforcement, administration and interpretations of provisions of marketing/territory rules and procedures; and other matters; and we may update and change these rules from time to time.

We do not otherwise limit or restrict your solicitation of customers in your Territory.

Neither we nor any other party are required to pay you as a result of us exercising in your Territory any of our rights described in this Item.

Beginning with the second full calendar year of operations, your Business must achieve (a) in each calendar year, annual Gross Sales that are in the top 90% of the annual Gross Sales per franchised business for the Lawn Pride franchise system for that calendar year (the "Gross Sales MPS") and (b) a Net Promoter

Score (or another customer satisfaction survey score we designate) ("NPS") that is not more than 10 points below the average NPS for the Lawn Pride franchise system for each applicable measurement period we set (the "Customer Satisfaction MPS" and collectively with the Gross Sales MPS, the "Minimum Performance Standards"). If you operate multiple Lawn Pride businesses, the Minimum Performance Standards will apply separately to each franchised business. We can make changes to the Minimum Performance Standards upon 6 months' prior written notice in accordance with our reasonable business judgement and so long as such revised Minimum Performance Standards are applied to all similarly situated Lawn Pride franchised businesses.

If you do not meet the Minimum Performance Standards for any applicable calendar year or measurement period, we will meet with you to identify the reasons for the substandard performance and establish a performance improvement plan ("PIP") for the Business to take specific actions with the goal to improve the overall performance of the Business, including its annual Gross Sales and/or NPS. Your failure to implement or comply with the PIP over the three to six month period we designate will be a default under your Franchise Agreement, subject to a 30-day cure period. During the cure period, you will have the opportunity to advise us of your intent to sell your Business to a third party, in which case we will give you an additional 90 days (from the date of your notice of intent to sell) to transfer the Business in accordance with the transfer requirements of the Franchise Agreement. Failure to timely cure the default or transfer the Business will give us the right to either reduce the size of your Territory or terminate your Franchise Agreement.

Although you do not have a right to do so, we may permit you to establish another Lawn Pride Business, if you meet our then-current Expansion Criteria. We have the absolute right to determine whether an existing franchisee meets our Expansion Criteria, which we may modify from time to time. As of the date of this Disclosure Document, the criteria we consider are, among other factors: a franchisee's compliance with the System, operational success (including your existing Franchised Business(es) meeting or exceeding certain performance thresholds), leadership ability and team development, financial stability and ability to expand and potential limits on the number of Businesses any franchisee owns.

We do not generally grant any right of first refusal to obtain additional territory. You may, if qualified, including under our then-current Expansion Criteria, purchase an 18 month option on additional territory by paying us, at the time you purchase your franchise, a fee of 10% of the initial franchise fee for the territory you wish to buy. You must enter into an Option to Purchase Agreement. At any time in the 18 month period, you may, if you are in compliance with your franchise agreement, purchase the additional territory by paying us the balance of the initial franchise fee. The 10% deposit will be applied to the purchase price. We do not refund your deposit if you decide not to purchase or do not qualify to purchase the additional territory. If we approve you to purchase additional territory, whether or not through the Option to Purchase Agreement, we may require that you sign a general release releasing us from all claims you may have except claims that under state law may not be released. If you do not qualify for renewal of your Franchise Agreement, we may, in some cases, but are not required to, offer to enter into a franchise agreement with you for a smaller territory and you would then have the option to accept that territory on the terms offered.

We do not operate or franchise, or currently plan to operate or franchise, any business under a different trademark that sells or will sell goods or services similar to those that our franchisees sell. However, certain of our affiliates described in Item 1, and other portfolio companies that currently are or in the future may be owned by private equity funds managed by our affiliates, may operate and/or franchise businesses that sell similar goods or services to those that our franchisees sell. Item 1 describes our current affiliated franchise programs that offer franchises, their principal business addresses, the goods and services they sell, whether their businesses are franchised and/or company-owned, and their trademarks. As noted in Item 1, all of these affiliated franchise brands (with the exception of MoJo, PDS, and any KKR portfolio

companies) have the same principal business address as us and they generally do not maintain physically separate offices and training facilities from our offices and training facilities (except for Rainbow International, which maintains some separate training space) although each affiliated brand has its own separate meeting space. Most of the affiliated franchisors and the affiliated franchise brands are not direct competitors of our franchise network given the products or services they sell, although some are to a limited extent, including Grounds Guys and U.S. Lawns as described in Item 1. All of the businesses that our affiliates and their franchisees operate may solicit and accept orders from customers in your territory. Because they are separate companies, we do not expect any conflicts between our franchisees and our affiliates' franchisees regarding territory, customers and support, and we have no obligation to resolve any perceived conflicts that might arise.

ITEM 13

TRADEMARKS

We grant you the right to operate a franchise under the name LAWN PRIDE®. You may use our other current or future trade names, trademarks, service marks, symbols, emblems, logos and indicia of origin designated by us ("Marks") to identify your franchise.

We own the following Marks that are registered on the Principal Register of the United States Patent and Trademark Office ("USPTO"):

Mark	Registration No./ Serial No.	Registration Date
Lawn Pride - Design	Reg. No. 6461081	August 24, 2021
Lawn Pride – Word Mark	Reg. No. 2316200	February 8, 2000

As noted in Item 1, we became the owner of the above listed Marks in January 2023.

Our Parent, Neighborly Assetco LLC, owns the following Marks, which are registered on the Principal Register of the USPTO, and we license from Parent the right to use and to allow our franchisees to use these Marks under a Trademark License Agreement (the "License Agreement"). The License Agreement grants us a worldwide, non-exclusive, nontransferable license to use and to license others to use the Marks. Parent may terminate the License Agreement due to our material breach, ownership change or for any reason upon 90 days' notice. Upon any termination of the License Agreement, we will be required to cease all use of these Marks and we will require you to do the same.

Mark	Registration No./ Serial No.	Registration Date
NEIGHBORLY	5,365,894	December 26, 2017
NEIGHBORLY (Stylized) neighborly	5,365,895	December 26, 2017
House Logo	5,347,941	November 28, 2017

Mark	Registration No./ Serial No.	Registration Date
YOUR HUB FOR HOME SERVICES	7,281,370	January 16, 2024

Required affidavits and renewals for the registrations for these principal trademarks have been filed when due.

In addition to the Federal rights that apply to use of the registered Marks above, we claim common law rights, based on use of the Marks, to all of the Marks. There may be areas, however, in which a third party has prior common law rights to the use of one of the Marks. If you propose to operate a franchise in one of those areas, we may attempt to obtain exclusive use of that Mark, or, in the alternative, we may designate and grant you permission to utilize a different proprietary mark. There may be other instances in which we may elect to use, or require you to use, a different proprietary mark in a market, region or systemwide. In any instance in which we require you to use a different proprietary mark, you must, at your expense, comply with our designation and use, or change your use to the designated mark. You must modify or discontinue the use of a Mark, at your expense, if we direct. If we direct, you must adopt or use one or more additional or substituted Marks.

There are no currently effective determinations of the USPTO, the Trademark Trial and Appeal Board, the trademark administrator of any state or any court, no pending infringement, opposition or cancellation proceedings and no pending litigation involving any of the Marks that may significantly affect the ownership or use of any Mark listed above. Except for the License Agreement noted above, no agreements limit our right to use or license the use of our Marks.

We are currently aware of a third party, Lawn Pride Irrigation and Ground Works LLC ("LPIGW"), located in Hastings, Minnesota, using a confusingly similar trade name to our registered Lawn Pride trademarks in connection with its irrigation business. It is possible that LPIGW may have used the Lawn Pride name since 2003 and may claim to have superior rights to the mark; however, we own the USPTO registration for the Lawn Pride trademark for "lawn care and landscape gardening" services, and our predecessors first registered the Lawn Pride mark with the USPTO on February 8, 2000, which registration is now incontestable. We consider LPIGW's use of the Lawn Pride name an infringement on our rights to the Lawn Pride trademarks and intend to protect and enforce our rights to the maximum extent available under the law.

Other than as noted above regarding LPIGW, we do not have actual knowledge of any infringing uses that could materially affect your use of our Marks. You must notify us immediately when you learn about an infringement of or challenge to your use of the Marks. We will take the action we think appropriate but are not obligated to protect your rights to use the Marks. We have the right to control the defense of any claim using attorneys we choose and you must cooperate in that defense. You may participate in the defense and settlement at your own expense but our decisions will be final and binding. We will indemnify you or reimburse you for your liability and reasonable costs if there is a challenge to your authorized use of the Marks provided you have notified us immediately after you learned of the challenge and cooperate with us in defending the challenge as required.

You must follow our rules when you use the Marks and you may only use the Marks for the operation of your Business in your Territory. You must execute any documents we require to protect the Marks or to maintain their continued validity and enforceability. You may not directly or indirectly contest the validity of the Marks, our (or Parent's, as applicable) ownership of the Marks or our right to use or license the Marks, trade secrets, confidential information or business techniques that are part of our business. You cannot use the Marks as part of a corporate or other legal name and you must comply with our instructions in filing and maintaining trade name or fictitious name registrations.

You must modify or discontinue the use of a Mark, at your expense if we direct. If we direct, you must adopt or use one or more additional or substituted Marks.

ITEM 14

PATENTS, COPYRIGHTS, AND PROPRIETARY INFORMATION

You do not receive the right to use an item covered by a patent but you can use the proprietary information in our Manuals and software which are described in Item 11. We have not filed an application for a copyright registration in these items, but we claim a common-law copyright in our Manuals and software and we treat the information in these items as confidential and proprietary. Item 11 describes limitations on the use of the Manuals and software by you and your employees. You must treat these items and the information as confidential. You must also promptly tell us when you learn about unauthorized use of this proprietary information. We are not obligated to take any action to protect or defend use of proprietary information but will respond as we think appropriate and will control any action we decide to bring or defend. We are not required to participate in your defense or indemnify you for use of copyrighted material or patents. We do not actually know of any infringing uses of our copyrights that could materially affect your use of the copyrighted materials in any state and there are no agreements that limit our rights to use our copyrights or to allow others to use them.

Confidential information includes all information, data, knowledge, materials, techniques and know-how designated or treated by us as confidential and includes any and all Manuals, computer software or programs, training materials, operational videos, marketing programs, franchise rosters, franchisee lists, customer and prospective customer lists and data, and any other materials designated or treated by us as confidential. You may not, at any time during or after the term of the Franchise Agreement, disclose, copy or use any confidential information except as we specifically authorize.

If we ask, you must have your personnel who receive or will have access to confidential information sign covenants not to divulge the confidential information or use it for their own benefit. If you are a corporation or other business entity, your shareholders, members and/or owners must also abide by these covenants and sign a Guaranty (attached to the Franchise Agreement as Schedule C). If you are an individual, we may require your spouse to sign and abide by a confidentiality agreement. If we ask, your employees with access to your password and log-in name for our Intranet must sign a confidentiality agreement agreeing to not disclose this information.

If you develop any new product, service offering, concept, invention, business venture, technique, process or improvement in the operation or promotion of your Business, you must promptly notify us and provide us with all necessary information free of charge. You acknowledge that we own any such information and you agree to assign ownership of same to us, and you acknowledge that we may provide the information to other franchisees for use in their franchises.

There currently are no effective adverse determinations of the USPTO, United States Copyright Office or any court, nor are there any pending infringements, opposition or cancellation proceedings or material litigation, involving the copyright materials that are relevant to their use by our franchisees.

ITEM 15

OBLIGATION TO PARTICIPATE IN THE ACTUAL OPERATION

OF THE FRANCHISE BUSINESS

If you are an individual, you must directly perform or supervise the operation of the Business unless we consent otherwise. You must obtain and maintain an immigration status that will allow you to live, work, own and operate a business in the United States for the initial term of the Franchise Agreement and for the length of any renewal term of the Franchise Agreement. If you do not have or maintain the required status, the Franchise Agreement will immediately expire by its terms with no further notice or opportunity to cure and we will have no liability to you, and no refund of any fee will be made. However, you will remain bound by all post-termination obligations in the Franchise Agreement, including all obligations regarding non-competition, de-identification, confidentiality, and indemnity.

If we agree that you need not personally perform or supervise operation of the Business, an individual who has successfully completed our training program ("manager") must directly supervise the Business, and that individual must be a bona fide manager, as determined by us. If we ask, the manager must sign a written agreement to maintain confidentiality of the trade secrets described in Item 14.

If you are a corporation or other legal entity, direct, on-site supervision must be done by a designated owner who has successfully completed our training program unless we consent otherwise ("principal owner"). If we ask, the principal owner must sign a written statement to maintain confidentiality of the trade secrets described in Item 14 and to conform to the covenants not to compete described in Item 17. If we agree that a principal owner need not personally perform or supervise the operation of the Business, a manager must directly supervise the Business. The manager need not have an ownership interest in the Business. If you are a corporation or other legal entity, your principal shareholders, members and/or owners must sign a Guaranty agreeing to pay and perform all obligations under the Franchise Agreement (attached to the Franchise Agreement as Schedule C). If you obtain financing from us as provided in Item 10, we have the right to require a spouse's personal guaranty.

While you own the Business, you cannot have an interest or relationship with any competitors. If you own an existing business when you sign the Franchise Agreement, we may (in our sole discretion) allow you to exclude such business from the Business by executing the Excluded Services Addendum attached as Schedule I to the Franchise Agreement. If such existing business is rolled into the Business, you will execute and become bound by the Roll-In Addendum (attached as Schedule H to the Franchise Agreement).

ITEM 16

RESTRICTIONS ON WHAT THE FRANCHISEE MAY SELL

Franchise Agreement

You must offer and sell only the goods and services that conform to our standards and specifications. You must offer the goods and/or services that we designate as required for all franchisees and you may elect to offer other products and/or services only if we approve them in advance. You must

offer lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control, mole and vole control, tree and shrub feeding, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers, pursuant to certain standards and specifications.

We may change the authorized services and/or products that we require you and all franchisees to offer by adding additional services and/or products or deleting products and/or services, or both, and there are no limits on our right to make changes. If we make any changes, we will notify you. We have no plans to make significant changes in the future.

You must honor our warranty policies for fertilization and weed control applications as described in the Manuals. This policy states that we handle warranty claims on a case-by-case basis with some basic guidelines and, as a result, you will be obligated to perform warranty work, at no charge, on certain services, including services that another franchisee originally performed.

You must comply with all applicable laws and regulations and obtain all appropriate governmental approvals for the Business, including obtaining a license if required by your locality. To ensure that the highest degree of quality and service is maintained, you must operate in conformity with the methods, standards and specifications in the Manuals and as we may otherwise require in writing periodically. You must not deviate from our standards and specifications without our prior written consent.

We do not limit or restrict your solicitation of customers in your Territory, although we own all customer information and may use the customer information as we deem appropriate (subject to applicable law), including, without limitation, sharing it with our affiliates for cross-marketing, customer loyalty programs or other purposes.

ITEM 17

RENEWAL, TERMINATION, TRANSFER, AND DISPUTE RESOLUTION

THE FRANCHISE RELATIONSHIP

This table lists certain important provisions of the franchise and related agreements. You should read these provisions in the agreements attached to this disclosure document.

Provision	Section in Franchise Agreement (unless otherwise specified)	Summary
a. Length of the franchise term	4(A)	Initial term is 10 years.
b. Renewal or extension of the term	4(B), (C)	Your Franchise Agreement can be renewed for one additional 10-year term by executing the then-current form of franchise agreement and meeting the other requirements for renewal; if you continue to operate after expiration of the initial or a renewal term, we

Provision	Section in Franchise Agreement (unless otherwise specified)	Summary
		may, at our sole election, treat the Franchise Agreement as expired or as continued on a month-to month basis until both parties agree to enter into our then-current form of franchise agreement for a renewal term or until one party provides the other with written notice of termination, in which case the interim period will terminate 30 days after receipt of the notice of termination. In the latter case, all of your obligations shall remain in full force and effect during the interim period as if the Franchise Agreement had not expired, except that the License Fee during the interim period will be increased to 10% of Gross Sales for all types of products/services and without any reductions. Once you have renewed your Franchise Agreement, you have no automatic further right of renewal and the provisions about renewal described in this section do not apply. At that point you may enter into a new franchise agreement on the then current terms if you and we agree to a new agreement.
c. Requirements to renew or extend	4(B), (C)	Requirements for renewal are as follows: you cannot be in default of current Franchise Agreement or any related agreement, have satisfied all monetary and other material obligations on a timely basis during the term, are in good standing and have received no more than 2 written notices of default during the term of the Franchise Agreement; you have not failed to meet the Minimum Performance Standards for any 2 calendar years (or 2 measurement periods, as applicable) during the term of the Franchise Agreement; you must give us written notice at least 180 days (but not more than 240 days) before the end of the expiring term; you and your guarantors must sign a general release; you must pay us a renewal fee of $7,500; you must complete our then-current training requirements, and you must sign the then-current version of our franchise agreement,

Provision	Section in Franchise Agreement (unless otherwise specified)	Summary
		which may have terms, conditions and fees that could be materially different as compared with your original franchise agreement.
d. Termination by you	12(C)	You may terminate the Franchise Agreement as a result of our breach of a material provision of the Franchise Agreement, provided that you give us written notice of the breach and we fail to cure the breach within 30 days after our receipt of your written notice. If we fail to cure the breach, the termination will become effective 60 days after our receipt of your written notice of breach. You may also terminate for any reasons allowed under the law.
e. Termination by us without Cause	None	We cannot terminate your Franchise Agreement without cause.
f. Termination by us with Cause	12(B)	We can terminate your Franchise Agreement only if you default.
g. "Cause" defined – curable defaults	12(B)(1)	You have 10 days (subject to local state law) to cure if you fail to pay amounts due or fail to submit required reports. You have 30 days to cure all other defaults of the Franchise Agreement except for the non-curable defaults described below.
h. "Cause" defined – non-curable defaults	12(B)(2)	You made material misrepresentations to us in the application for the franchise or other reports or information provided to us; you voluntarily abandon performance of the Franchise Agreement (including by failing to operate the Business for seven or more consecutive days); state or local authority close the Business for safety reasons; you register any domain name containing our Marks or use Confidential Information in unauthorized manner; you or your guarantor become insolvent or make an assignment for the benefit of creditors or other similar arrangements; you or your guarantor are

Provision	Section in Franchise Agreement (unless otherwise specified)	Summary
		convicted of (or plead no contest to) any misdemeanor bringing the Marks into disrepute or impairing your reputation or goodwill of the Marks or of the Business; you or your guarantor are convicted of (or plead no contest to) any felony; you intentionally understate or underreport Gross Sales, License Fees, or MAP Fees; any understatement or 3% variance on a subsequent audit within a 2-year period; any transfer or assignment without our consent as provided in the Franchise Agreement; or any default by you that is the second default of any type within any 12-month consecutive period even if the default(s) were cured.
i. Your obligations on termination/non-renewal	13	Your obligations include complete de-identification of the Business (including all vehicles) and immediate discontinuation of advertising or any other use of the Marks or any other promotional materials furnished by us; return to us all copies of the Manuals, software, customer lists and ongoing customer contracts; assignment to us of all right in the telephone numbers, websites, social media accounts and domain names for the Business and cancelation or assignment, at our option, of any assumed name rights or equivalent registrations; assignment to us, upon our demand, of your remaining interest in any lease for the Business; and payment of any amounts due to us or to third parties for amounts guaranteed by us; compliance with non-competition covenants (see r., below).
j. Assignment of contract by us	10(G)	We may assign your Franchise Agreement to any 3rd party without prior notice to you and without your consent.
k. "Transfer" by you – defined	10(A)	Includes any sale, lease, pledge, management agreement, contract for deed, option agreement, bequest, gift, any arrangement in which you turn over all or part of the operation of the Business to someone who shares in the losses or profits of the Business other than an

Provision	Section in Franchise Agreement (unless otherwise specified)	Summary
		employee; any 20% or more change in the direct or indirect ownership of the franchisee entity; or any change in the general partner of a franchisee that is a partnership entity.
l. Franchisor approval of transfer by Franchisee	10(B)	We have the right to approve all transfers but will not unreasonably withhold approval.
m. Conditions for Franchisor approval of transfer	10(B) – (D)	You are not in default; you have paid in full all amounts owed to us, our affiliates, or your suppliers, or upon which we have contingent liability; you have provided all required reports; the new franchisee qualifies; training for new franchisee is arranged; you, owners and guarantors sign release; transfer fee paid; current franchise agreement signed by new franchisee; new franchisee agrees to be bound by all customer obligations of Franchisee, including all warranty work and service plans obligations (also see r, below).
n. Franchisor's right of first refusal to acquire the Business	10(F)	We may buy your franchise at the same price and on the same terms as those of a third-party offer.
o. Franchisor's option to purchase the Business	None	N/A
p. Death or disability of Franchisee	10(E)	Your personal representative must, within 120 days, tender the right of first refusal, apply for our consent to the transfer, pay the transfer fee and satisfy the transfer conditions (provided that no right of first refusal or transfer fee is applicable if the transferee is your spouse or child).
q. Non-competition covenants during the term of the Franchise Agreement	9(D)	You (including your guarantors and owners, if you are an entity, or your spouse, children, parents, or siblings if you are an individual) cannot be involved in a Competitive Business. A "Competitive Business" is any business that offers or sells any product or service or component thereof that (i) composes a part of our System, (ii) is the same as or similar to any product or service then-offered by our

Provision	Section in Franchise Agreement (unless otherwise specified)	Summary
		franchisees or (iii) otherwise competes directly or indirectly with our System.
r. Non-competition covenants after the Franchise Agreement is terminated or expires	9(D)	For 2 years, no Competitive Business in your Territory, within a 25-mile radius of the outer boundary of your Territory, or inside the territory of another LAWN PRIDE business.
s. Modification of the Franchise Agreement	14(B)	No modification of the Franchise Agreement except by written agreement of both parties.
t. Integration/merger clause	14(B)	Only the terms of the Franchise Agreement are binding (subject to state law). Any other promises may not be enforceable. Nothing in the Franchise Agreement or any related agreement is intended to disclaim our representations made in this disclosure document.
u. Dispute resolution by arbitration or mediation	11	Most disputes must be initially mediated. If a dispute is not resolved through the mediation process described in the Franchise Agreement, most disputes must be settled by litigation, subject to state law. Only if a court invalidates a jury waiver or a class action waiver will the dispute be resolved through arbitration, subject to state law.
v. Choice of venue	14(H)	Unless state law supersedes this provision, venue for mediation, arbitration, and litigation is in McLennan County, Texas.
w. Choice of law	14(G)(1)	Texas law applies unless state law supersedes this provision.

SEE THE ATTACHED STATE ADDENDA (Exhibit O) FOR ADDITIONAL DISCLOSURES.

ITEM 18

PUBLIC FIGURES

We do not use any public figure to promote our franchise business.

ITEM 19

FINANCIAL PERFORMANCE REPRESENTATIONS

The FTC's Franchise Rule permits a franchisor to provide information about the actual or potential financial performance of its franchised and/or franchisor-owned outlets, if there is a reasonable basis for the information, and if the information is included in the disclosure document. Financial performance information that differs from that included in Item 19 may be given only if: (1) a franchisor provides the actual records of an existing outlet you are considering buying; or (2) a franchisor supplements the information provided in this Item 19, for example, by providing information about possible performance at a particular location or under particular circumstances.

As of December 31, 2025, there were 44 Lawn Pride businesses in operation in the United States, 42 of which were franchised businesses and 2 affiliate-operated businesses. Part I of this Item 19 includes Gross Sales per Customer data for our 2 affiliate-operated businesses. Part II includes Gross Sales per Customer data for our 42 franchised businesses. We obtained the figures for Part II of this Item 19 from information provided to us by our franchisees using our software program for the period from January 1, 2025 through December 31, 2025 (the "Reporting Period") although as noted above 9 of the reporting franchised businesses included in this Item 19 only first opened during the Reporting Period and so they have operated their franchised business for less than one year. Franchisees are not required to use generally accepted accounting principles when reporting these figures. The following charts and tables are a historic financial performance representation.

Three franchised businesses were not included in this Item 19 because they closed during the Reporting Period and so they were not in operation for the entire Reporting Period and were not in operation as of December 31, 2025. Of the 3 businesses that closed during the Reporting Period, 1 business closure resulted from a consolidation of two locations into a single operating location rather than a termination of operations and none were in operation less than 12 months before closing.

As used herein, "Gross Sales" means and includes the total revenues and receipts from whatever source (whether in the form of cash, credit, agreement to pay, barter, trade or other consideration) that arise, directly or indirectly, from the operation of – or in connection with – a Lawn Pride® business whether under any of the Marks or otherwise. Gross Sales exclude sales taxes collected from customers and paid to the appropriate taxing authority and any other bona fide refunds, rebates or discounts that we authorize in writing. Gross Sales also exclude sales from any Excluded Services (as defined in the Excluded Services Addendum (see Schedule I to the Franchise Agreement).

Part I -- Gross Sales per Customer Data for the Affiliate-Operated Location

The below two tables present historical average and median Gross Sales per Customer data for our one affiliate-operated Lawn Pride business located in Indianapolis, Indiana. This business has been in operation since 1993 and so it is a mature, established business. Its territory is estimated to include 661,075 targeted households, which is approximately 13 to 22 times more targeted households than will be included in a typical territory of a franchised business offered under this Franchise Disclosure Document. This affiliate-owned Lawn Pride business historically provided certain services that will not be offered by the Lawn Pride franchised businesses offered under this Franchise Disclosure Document (e.g., snow removal services or flying insect and disease control services). Therefore, the data related to such services were excluded from the data presented in this Item 19.

Table I.A - Average and Median Gross Sales per Customer Data -- Residential Customer

Table I.A below provides the average and median Gross Sales per Customer data for residential customers, as well as the actual highest and lowest Gross Sales per residential customers, for the calendar years 2021 through 2025, for the affiliate-operated Lawn Pride business.

	Average[1]	**Median**[1]	**Highest**[2]	**Lowest**[2]
2021	$1,341	$545	$7,109	$26
2022	$1,203	$583	$7,690	$25
2023	$1,005	$591	$11,829	$26
2024	$730	$569	$11,076	$28
2025	$724	$565	$11,630	$33

Notes to Table I.A:

[1] This is the average and median of Gross Sales per residential Customer for each applicable calendar year for our affiliate-operated Lawn Pride business.

[2] This is the actual highest and actual lowest Gross Sales per residential Customer for each applicable calendar year for our affiliate-operated Lawn Pride business.

The typical residential customer of the affiliate-operated Lawn Pride business enrolls in an auto-renewable annual service plan for the provision of Program Services, which plan includes 5 to 12 service visits over a period of a year, with payments collected upon completion of each service visit. Upsell services are additional services offered to customers that go beyond the standard Program Services. The data used to prepare this Table I.A includes all invoiced Program Services and Upsell Services for residential customers for each applicable calendar year. Residential customer pricing is based upon the total square footage of the service coverage area with the minimum service fee normally set at $25.00.

Table I.B - Average and Median Gross Sales per Customer -- Commercial Customer

Table I.B below provides the average and median Gross Sales per Customer data for commercial customers, as well as the actual highest and lowest Gross Sales per Customer for commercial customers, for the calendar years 2021 through 20254 for the affiliate-operated Lawn Pride business.

	Average[1]	**Median**[1]	**Highest**[2]	**Lowest**[2]
2021	$2,657	$743	$40,953	$60
2022	$2,414	$910	$45,803	$75
2023	$2,192	$867	$46,056	$66
2024	$1,669	$816	$45,965	$148
2025	$1,635	$827	$30,750	$56

Notes to Table I.B:

[1] This is the average and median of Gross Sales per commercial Customer for each applicable calendar year for our affiliate-operated Lawn Pride business.

[2] This is the actual highest and actual lowest Gross Sales per commercial Customer for each applicable calendar year for our affiliate-operated Lawn Pride business.

The typical commercial customer of the affiliate-operated Lawn Pride business enrolls in an auto-renewable annual service plan for the provision of Program Services, which plan includes 5 to 12 service visits over a period of a year, with payments collected upon completion of each service visit. Upsell services are additional services offered to customers that go beyond the standard Program Services. The data used to prepare this Table I.B includes all invoiced Program Services and Upsell Services for commercial customers for each applicable calendar year. Commercial customer pricing is based upon the total square footage of the service coverage area with the minimum service fee normally set at $25.00.

Part II – **2025 Gross Sales per Customer Data for the Franchised Businesses**

Tables II.A and II.B of this Item 19 include data from 35 franchised businesses (the "Reporting Businesses") for the Reporting Period. No franchised businesses closed during the Reporting Period.

Table II.A - Average and Median Gross Sales per Customer Data – Residential Customer

Table II.A below provides the average and median Gross Sales per Customer data for residential customers, as well as the actual highest and lowest Gross Sales per Customer data for residential customers, for the calendar years 2024 and 2025, for the Reporting Businesses.

	Average[1]	**Median**[1]	**Highest**[2]	**Lowest**[2]
2024	$702	$450	$5,914	$29
2025	$684	$433	$20,500	$28

Number/ percentage of Reporting Businesses that achieved at least the average: 21/46%

Notes to Table II.A:

[1] The average Gross Sales per Customer data (for residential customer jobs) was calculated as follows: (i) first, we obtained the annual Gross Sales and Customer counts for all Reporting Businesses during the Reporting Period from our Software System, (ii) next, we calculated the Gross Sales per Customer by dividing the total Gross Sales by the total Customer count for each Reporting Business ("Individual Business Average Gross Sales per Residential Customer"), and (iii) then, we calculated the median or average, as applicable, of the Individual Business Average Gross Sales per Residential Customer for all Reporting Businesses during the Reporting Period.

[2] The highest and lowest Gross Sales per Customer in this Table refer to the highest Individual Business Average Gross Sales per Residential Customer and the lowest Individual Business Average Gross Sales Per Residential Customer, respectively.

The typical residential customer enrolls in an auto-renewable annual service plan for the provision of Program Services, which plan includes 5 to 12 service visits over a period of a year, with payments collected upon completion of each service visit. Upsell services are additional services offered to customers that go beyond the standard Program Services. The data used to prepare this Table II.A includes all invoiced Program Services and Upsell Services for residential customers of the Reporting Businesses for the Reporting Period. Residential customer pricing is based upon the total square footage of the service coverage area with the minimum service fee normally set at $25.00.

Table II.B - Average and Median Gross Sales per Customer Data – Commercial Customer

Table II.B below provides the average and median Gross Sales per Customer data for commercial customers, as well as the actual highest and lowest Gross Sales per Customer data for commercial customers, for the calendar years 2024 and 2025, for the Reporting Businesses.

	Average	**Median**	**Highest**	**Lowest**
2024	$2,628	$756	$38,186	$63
2025	$2,262	$633	$21,488	$75

Number/ percentage of Reporting Businesses that achieved at least the average: 6/67%
Notes to Table II.B:

[1] The average Gross Sales per Customer data (for commercial customer jobs) was calculated as follows: (i) first, we obtained the annual Gross Sales and Customer counts for all Reporting Businesses during the Reporting Period from our Software System, (ii) next, we calculated the Gross Sales per Customer by dividing the annual Gross Sales by the total Customer count for each Reporting Business ("Individual Business Average Gross Sales per Commercial Customer"), and (iii) then, we calculated the median or average, as applicable, of the Individual Business Average Gross Sales per Commercial Customer for all Reporting Businesses during the Reporting Period.

[2] The highest and lowest Gross Sales per Customer in this Table refer to the highest Individual Business Average Gross Sales per Commercial Customer and the lowest Individual Business Average Gross Sales Per Commercial Customer, respectively.

The typical commercial customer enrolls in an auto-renewable annual service plan for the provision of Program Services, which plan includes 5 to 12 service visits over a period of a year, with payments collected upon completion of each service visit. Upsell services are additional services offered to customers that go beyond the standard Program Services. The data used to prepare this Table II.B includes all invoiced Program Services and Upsell Services for commercial customers of the Reporting Businesses for the Reporting Period. Commercial customer pricing is based upon the total square footage of the service coverage area with the minimum service fee normally set at $25.00.

Additional Notes:

1. **Some outlets have earned this amount. Your individual results may differ. There is no assurance that you will earn as much.**

2. Written substantiation for the basis for the information set forth in this Item 19 will be made available to any prospective franchisee upon reasonable request.

Other than the preceding financial performance representation, Lawn Pride SPV LLC does not make any financial performance representations. We also do not authorize our employees or representatives to make any such representations either orally or in writing. If you are purchasing an existing territory, however, we may provide you with the actual records of that territory. If you receive any other financial performance information or projections of your future income, you should report it to the franchisor's management by contacting Susan McIntosh, 1010 North University Parks Drive, Waco, Texas 76707, (254) 745-2400 the Federal Trade Commission, and the appropriate state regulatory agencies.

ITEM 20

OUTLETS AND FRANCHISEE INFORMATION

Table 1 – Systemwide Outlet[1] Summary For Years 2023 to 2025

Outlet Type	Year	Outlets at Start of Year	Outlets at End of Year	Net Change
Franchised	2023	0	5	+5
	2024	5	35	+30
	2025	35	42	+7
Company-Owned	2023	1	1	0
	2024	1	1	0
	2025	1	2	+1
Total Outlets	2023	1	6	+5
	2024	6	36	+30
	2025	36	44	+8

[1] Included in "outlets" are all Businesses that have opened an operating location. Neither sale of a new territory to an existing franchisee where a separate operating location will not be opened nor execution of a franchise agreement for a new location where the location is not yet open are included.

Table 2 – Transfer of Franchised Outlets
Transfers[2] of Outlets from Franchisees to New Owners (other than Franchisor)
For Years 2023 to 2025

State	Year	Number of Transfers
Alabama	2023	0
	2024	0
	2025	2
Total	2023	0
	2024	0
	2025	2

[2] Transfer" means the acquisition of a controlling interest in a franchised outlet, during its term, by a person other than the franchisor or an affiliate. Sale of territory only, not including a franchised outlet, from one franchisee to another franchisee is not included in transfers.

Table 3 – Status of Franchised Outlets For Years 2023 to 2025

State	Year	Outlets at Start of Year	Outlets Opened[1]	Terminations[2]	Non-Renewals	Reacquired by Franchisor[3]	Ceased Operation For Other Reason[4]	Outlets at End of Year
Alabama	2023	0	2	0	0	0	0	2
	2024	2	1	0	0	0	0	3
	2025	3	0	0	0	0	0	3
Arkansas	2023	0	0	0	0	0	0	0
	2024	0	0	0	0	0	0	0
	2025	0	1	0	0	0	0	1
Florida	2023	0	0	0	0	0	0	0
	2024	0	1	0	0	0	0	1
	2025	1	0	1	0	0	0	0
Georgia	2023	0	0	0	0	0	0	0
	2024	0	1	0	0	0	0	1
	2025	1	0	0	0	0	0	1
Indiana	2023	0	0	0	0	0	0	0
	2024	0	0	0	0	0	0	0
	2025	0	1	0	0	0	0	1
Michigan	2023	0	0	0	0	0	0	0
	2024	0	1	0	0	0	0	1
	2025	1	0	0	0	0	0	1
New York	2023	0	0	0	0	0	0	0
	2024	0	1	0	0	0	0	1
	2025	1	0	0	0	0	0	1
North Carolina	2023	0	1	0	0	0	0	1
	2024	1	2	0	0	0	0	3
	2025	3	2	0	0	0	0	5
Oklahoma	2023	0	0	0	0	0	0	0
	2024	0	1	0	0	0	0	1
	2025	1	0	0	0	0	0	1
South Carolina	2023	0	1	0	0	0	0	1
	2024	1	1	0	0	0	0	2
	2025	2	4	1	0	0	0	5
Tennessee	2023	0	0	0	0	0	0	0
	2024	0	6	0	0	0	0	6
	2025	6	0	0	0	0	0	6

State	Year	Outlets at Start of Year	Outlets Opened[1]	Terminations[2]	Non-Renewals	Reacquired by Franchisor[3]	Ceased Operation For Other Reason[4]	Outlets at End of Year
Texas	2023	0	1	0	0	0	0	1
	2024	1	14	0	0	0	0	15
	2025	15	1	0	0	0	0	16
Virginia	2023	0	0	0	0	0	0	0
	2024	0	1	0	0	0	0	1
	2025	1	0	0	0	0	0	1
Total	**2023**	**0**	**5**	**0**	**0**	**0**	**0**	**5**
	2024	**5**	**30**	**0**	**0**	**0**	**0**	**35**
	2025	**35**	**9**	**2**	**0**	**0**	**0**	**42**

[1] "Outlets opened" does not include outlets for which a franchise agreement was signed but the outlet was not open as of the end of our last fiscal year. Included in "Outlets Opened" are outlets that were opened after a new franchisee purchased the franchised business from an existing owner and the previous owner's franchise agreement was terminated.

[2] "Termination" means the franchisor's termination of a franchise agreement prior to the end of its term and without paying any money or other compensation to the franchisee. Mutual terminations, where both the Franchisor and franchisee agree to end the franchise relationship are also included in terminations listed above.

[3] For purposes of these tables, a "reacquisition" means the Franchisor's acquisition of a franchised outlet during its term in exchange for a payment of money or other compensation. The franchisor's purchase of a territory or a portion of a territory not including an operating outlet is not included in the "reacquisitions" listed above.

[4] "Ceased operations – other reasons" includes abandonment of the franchise outlet after an existing outlet was opened. If no outlet was opened and there was no termination of the franchise agreement, the "abandonment" would not be included in the "ceased operations" column. Also included in this column are franchise outlets that have been sold and/or transferred to an existing franchisee or a franchisee in another state. Also included in Ceased operations – other reasons" are outlets where the franchise agreement was terminated and the territory was added to an existing franchise outlet.

Table 4 – Status of Company-Owned Outlets For Years 2023 to 2025

State	Year	Outlets At Start of Year	Outlets Opened	Outlets Re-acquired From Franchisee	Outlets Closed	Outlets Sold to Franchisees	Outlets At End Of Year
Indiana	2023	1	0	0	0	0	1
	2024	1	0	0	0	0	1
	2025	1	1	0	0	0	2

State	Year	Outlets At Start of Year	Outlets Opened	Outlets Re-acquired From Franchisee	Outlets Closed	Outlets Sold to Franchisees	Outlets At End Of Year
TOTALS	2023	1	0	0	0	0	1
	2024	1	0	0	0	0	1
	2025	1	1	0	0	0	2

Table No. 5

Projected Openings as of December 31, 2025

State	Franchise Agreements Signed But Outlet Not Opened	Projected New Franchised Outlets In the Next Fiscal Year	Projected New Company-Owned Outlets In the Next Fiscal Year
Alabama	0	1	0
Connecticut	0	1	0
Georgia	0	1	0
Indiana	2	0	0
Kansas	0	1	0
Kentucky	0	1	0
Nebraska	1	0	0
New Jersey	0	1	0
Pennsylvania	0	1	0
Texas	1	2	0
Virginia	0	1	0
TOTAL	**4**	**10**	**0**

States not listed currently do not have any projected openings.

Exhibit E-1 contains the names of current franchisees and the addresses and telephone numbers of their outlets as of December 31, 2025. Exhibit E-2 contains the names, address and telephone number of current franchisees who have left the system in the past 12 months as of December 31, 2025. If you buy this franchise, your contact information may be disclosed to other buyers when you leave the franchise system. Our affiliate, Local Operations, owns the operation(s) listed on Exhibit E-3.

During our last three fiscal years no franchisees signed confidentiality clauses.

There is currently no Franchise Advisory Council created or sponsored by us. There are no other trademark-specific franchisee organization associated with the franchise that have asked to be included in this disclosure document.

ITEM 21

FINANCIAL STATEMENTS

Included as Exhibit C are the following audited combined financial statements of Neighborly Assetco LLC, our direct parent: (a) the audited combined financial statements as of and for the year ended December 31, 2023, (b) audited combined financial statements as of and for the year ended December 31, 2024, and (c) audited combined financial statements as of and for the year ended December 31, 2025.

Neighborly Assetco LLC guarantees our performance under the Franchise Agreement. A copy of the Parent guaranty is included in Exhibit D.

As reflected in Item 1, Manager (i.e., Neighborly Company) will be providing required support and services to franchisees under a management agreement with us. Attached in Exhibit C are the audited consolidated financial statements of Manager (a) as of and for the year ended December 31, 2025, (b) as of and for the year ended December 31, 2024, and (c) as of and for the year ended December 31, 2023. These financial statements are being provided for disclosure purposes only. Manager is not a party to the Franchise Agreement we sign with franchisees nor does it guarantee our obligations under the Franchise Agreement we sign with franchisees.

ITEM 22

CONTRACTS

EXHIBIT A	Franchise Agreement and Schedules:	
	Schedule A.	Data Sheet
	Schedule B.	ACH Form
	Schedule C.	Personal Guarantee
	Schedule D.	Acknowledgement Addendum
	Schedule E.	Telephone Number and Internet Agreement
	Schedule F.	Confidentiality Agreement
	Schedule G.	Promissory Note and Security Agreement
	Schedule H.	Roll-In Addendum
	Schedule I.	Excluded Services Addendum
	Schedule J.	State Addendum
EXHIBIT F-1	Option to Purchase Agreement	
EXHIBIT F-2	Option to Purchase Agreement (The Grounds Guys and/or Mosquito Joe franchisees only)	
EXHIBIT G	Renewal Addendum	
EXHIBIT H	General Release [sample]	
EXHIBIT I	ProTradeNet Agreement	
EXHIBIT J-1	Software System User and Maintenance Agreement	
EXHIBIT J-2	Real Green Software Terms of Service	
EXHIBIT L	Assignment and Consent Agreement	
EXHIBIT M	Call Center Program Agreement	
EXHIBIT N	Backoffice HelpDesk Service Agreement	
EXHIBIT O	State Addenda and Riders to Franchise Agreement	

ITEM 23

RECEIPTS

Our and your copies of the Franchise Disclosure Document Receipt are located at the last 2 pages of this disclosure document.

EXHIBIT A

LAWN PRIDE
FRANCHISE AGREEMENT

RECEIPT FOR FRANCHISE AGREEMENT

The undersigned hereby acknowledges and agrees that on the date below, they received a FRANCHISE AGREEMENT for a LAWN PRIDE® franchised business including all applicable exhibits with all information completed in a form ready to execute.

_____	_____
Date	Signature
_____	_____
Date	Signature

LAWN PRIDE® FRANCHISE AGREEMENT

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LAWN PRIDE® FRANCHISE AGREEMENT

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SCHEDULES

Schedule A	Data Sheet
Schedule B	ACH Form
Schedule C	Personal Guarantee
Schedule D	Acknowledgement Addendum
Schedule E	Telephone Number and Internet Agreement
Schedule F	Confidentiality Agreement
Schedule G	Promissory Note and Security Agreement
Schedule H	Roll-In Addendum
Schedule I	Excluded Services Addendum
Schedule J	State Addendum

FRANCHISE AGREEMENT

This Franchise Agreement (the "Agreement") is made as of the Effective Date by and between LAWN PRIDE SPV LLC, a Delaware limited liability company with its principal business located at 1010 N. University Parks Drive, Waco, Texas 76707 ("we", "us" or "Franchisor"), and the person or entity (the "Franchisee" or "you") identified as Franchisee on the Data Sheet attached as Schedule A (together with addenda attached thereto, the "Data Sheet"). If the Franchisee is a corporation, partnership, limited liability company or other legal entity, the provisions of this Agreement also apply to its owners.

RECITALS

A. We have developed a system for establishing and operating businesses identified by the Marks (as defined below) and engaged in lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control, mole and vole control, tree and shrub care and feeding, deer protection services, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers, pursuant to certain standards and specifications (each, a "LAWN PRIDE Business").

B. We own the LAWN PRIDE service mark and other marks, as well as other Intellectual Property (as defined below) used in connection with the operation of a LAWN PRIDE Business.

C. You desire to develop and operate a LAWN PRIDE Business, and we have agreed to grant you a franchise to operate a LAWN PRIDE Business, subject to the terms and conditions of this Agreement.

In consideration of the foregoing and the promises and consideration below, you and we agree as follows:

DEFINITIONS

1. For purposes of this Agreement, the terms below have the following definitions (other terms are defined in the body of this Agreement):

A. "Business" means the LAWN PRIDE Business you develop and operate pursuant to this Agreement.

B. "Confidential Information" means any proprietary and non-public information, data, Intellectual Property, materials and know-how relating to the development or operation of LAWN PRIDE Businesses, whether contained in the Operations Manual or otherwise, including, but not limited to: (1) training programs and materials; (2) databases of customers and potential customers, including Customer Information; (3) sales and marketing programs and techniques for LAWN PRIDE Businesses; (4) knowledge of operating systems of LAWN PRIDE Businesses; and (5) computer systems, technology and software programs.

C. "Customer" means any person or entity (1) included on any marketing or customer lists you develop or use, including any such lists provided by us to you; (2) who has purchased or purchases products or services from you during the term (even if you have solicited the person and/or established a relationship independent of us and without our assistance) or whom you have solicited to purchase any products or services; (3) for whom you provide products or services on

our behalf or at our direction; and (4) if any of the foregoing is an entity, all employees of such entity.

D. "Customer Information" means any contact information (including name, address, phone and fax numbers, and e-mail addresses), sales and payment history, and all other information about any Customer, including any information that identifies, relates to, describes, is capable of being associated with, or could reasonably be linked, directly or indirectly, with a particular individual or household.

E. "Effective Date" means the date designated as Effective Date on the Data Sheet. If no Effective Date is designated on the Data Sheet, the Effective Date is the date when we sign this Agreement.

F. "Franchise Location" is the premises that are located within the Territory, that meet our site selection guidelines and criteria and from which you will operate your Business.

G. "Gross Sales" include the total revenues and receipts from whatever source (whether in the form of cash, credit, agreement to pay, barter, trade or other consideration) that arise, directly or indirectly, from the operation of or in connection with your Business whether under any of the Marks or otherwise. Gross Sales exclude sales taxes collected from Customers and paid to the appropriate taxing authority and any other bona fide refunds, rebates or discounts that we authorize in writing. Gross Sales also exclude sales from any Excluded Services (as defined in a mutually executed Excluded Services Addendum (attached as Schedule I hereto)).

H. "Intellectual Property" means patents, rights to inventions, copyright and related rights, the Marks, business names, domain names, social media accounts and identifiers (and all related content and programming, and related security codes and passwords), rights in goodwill and the right to sue for passing off, rights in designs, database rights, rights to use, and protect the confidentiality of, confidential information (including know-how), and all other intellectual property rights, in each case whether registered or unregistered and including all applications and rights to apply for and be granted, renewals or extensions of, and rights to claim priority from, such rights and all similar or equivalent rights or forms of protection that subsist or will subsist now or in the future in any part of the world relating to the LAWN PRIDE Business and the System, owned by us and acquired by us from time to time.

I. "Internet" means all communications between computers and television, telephone, facsimile and any other communication or communication capable devices and another such device or machine, including the World Wide Web, proprietary online services, social media platforms, blogs, E-mail, news groups and electronic bulletin boards and forums.

J. "Key Accounts" means national, regional or other customers of LAWN PRIDE Businesses located within and/or outside the Territory with whom we have entered or plan to enter into contracts, programs or other arrangements (i) for servicing of multiple locations of such customers and/or (ii) that we determine are designed to benefit the System as a whole by gaining otherwise unavailable business or addressing the concerns of such customers that may require specific terms or provisions of our arrangement with them, including without limitation special insurance, experience, equipment, pricing, payment terms, turnaround requirements, or approvals.

K. "Marks" means the "LAWN PRIDE" service mark, logo, the "neighborly" service mark and logo, and such other trade names, trademarks, service marks, trade dress, logos, social

media indicators, social media handles, and commercial symbols as we may from time to time expressly authorize or direct you, in writing to use in connection with the operation of the Business.

L. "Operations Manual" means any collection of written, video, audio and/or software media (including materials distributed electronically), regardless of title and consisting of various subparts and separate components, all of which we or our agents produce and which contain specifications, standards, policies, procedures and recommendations for operating LAWN PRIDE Businesses, all of which we may change from time to time. The term "Operations Manual" includes all means of communicating such information, regardless of format.

M. "Preferred Lead Program" means a program that we offer to qualified franchisees that permits each such franchisee to perform services in a defined area outside of its territory (the "designated area") so long as (i) such services are for such franchisee's existing customer that has locations within and outside of such franchisee's territory (but within the designated area) and (ii) the franchisee who owns the territory in which the designated area is located also participates in the Preferred Lead Program. Additional terms and conditions of the Preferred Lead Program are set forth in the Operations Manual. You must meet the qualifications set forth in the Operations Manual before you may participate in the Preferred Lead Program.

N. "Principal Owner" means any person or entity who, now or hereafter, directly or indirectly, owns a 5% or greater interest in the franchisee when the franchisee is a corporation, limited liability company, partnership, or other entity. However, if we are entering into this Agreement totally or partially based on the financial qualifications, experience, skills or managerial qualifications of any person or entity who directly or indirectly owns less than a 5% interest in the franchisee, we have the right to designate that person or entity as a Principal Owner for all purposes under this Agreement. In addition, if the franchisee is a partnership entity, then each person or entity who, now or hereafter is or becomes a general partner is a Principal Owner, regardless of the percentage ownership interest. If the franchisee is one or more individuals, each individual is a Principal Owner of the franchisee. Each franchisee must have at least one Principal Owner. Your Principal Owner(s) are identified in the Data Sheet in Schedule A to this Agreement. As used in this Agreement, any reference to Principal Owner includes all Principal Owners.

O. "System" means our operating systems, marketing systems, business techniques, and methods, processes, policies and procedures for selling and providing lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services, including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control, mole and vole control, tree and shrub feeding, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers, along with items of trade dress, sales, leadership and management training for the development and operation of LAWN PRIDE Businesses, including all training materials, all as the same may exist today or as the same may change from time to time, as specified in the Operations Manual or as otherwise reasonably directed by us from time to time.

P. "Territory" means the area designated on the Data Sheet. If the Territory is not designated at the time you and we sign this Agreement, we will notify you of the Territory within 30 days of the Effective Date. To the extent any portion of the Territory includes an area designated as an Indian Reserve, a governmental territory or other territory that may have separate or additional laws, regulations or other requirements for performing work in such territory, Franchisee is granted such territory only to the extent and for so long as Franchisee is qualified under such separate or

additional requirements to perform work in such territory; knowledge of and compliance with such requirements being the sole responsibility of Franchisee.

GRANT OF LICENSE

2. The following provisions control with respect to the license granted hereunder:

A. Rights Granted. Subject to the terms and conditions of this Agreement, we hereby grant you the right and license to engage in and conduct, in the Territory, during the term of this Agreement, a LAWN PRIDE Business identified by the Marks.

You hereby accept said license and undertake the obligation to operate your Business faithfully, honestly and diligently, using the System and in compliance with this Agreement and our standards and requirements. You may not subfranchise, sublicense, assign or transfer your rights under this Agreement, except as specifically provided in this Agreement. You undertake the obligation to develop and service Customers throughout the Territory.

B. Rights to Territory. During the term of this Agreement and provided that you are in compliance with the terms and conditions of this Agreement, we will not (i) modify the Territory without your written permission, subject to your compliance with the Minimum Performance Standards set forth in Section 5.R, or (ii) subject to our reservation of rights set forth in Section 2C, establish either a company- or affiliate-owned or franchised LAWN PRIDE Business geographically located within the Territory.

You may not advertise or solicit customers, perform services or sell products related to the Business outside the Territory without our prior written consent, which consent we may give, condition or withdraw as we deem appropriate. If you receive a request for services or products from outside the Territory, you must refer that request to the franchisee, if any, that owns the applicable territory, or seek our written permission to process such a request. Notwithstanding the foregoing, under certain limited circumstances, you may process such a request from outside the Territory if such activity is permitted under our Preferred Lead Program as more particularly set forth in the Operations Manual.

If we permit you to advertise, solicit, service or sell in areas outside the Territory that are not serviced by another franchisee (each, a "Territory Available for Sale" or "TAFS"), you must comply with all of the conditions and other requirements that we may from time to time specify (in the Operations Manual or otherwise in writing) with respect to such activities. At any time upon our demand or upon your actual notice that a TAFS has been purchased by another franchisee, you agree to immediately cease all activities in such TAFS and to comply with our procedures for the transition of Customer accounts for such TAFS.

C. Our Reservation of Rights. Except as expressly limited by Section 2.B, we and our affiliates may engage in any activity whatsoever on any terms and conditions we deem advisable whenever and wherever we or they desire. We and our affiliates retain all rights whatsoever not expressly granted herein, including, but not limited to:

(i) the right to establish and operate, and to grant to others the right to establish and operate similar businesses or any other businesses offering similar or dissimilar products and services through similar or dissimilar channels of distribution, at any locations inside or outside the Territory (A) under trademarks or service marks other than the Marks and on any terms and conditions we deem appropriate or (B) under the

Marks, but if inside the Territory, then only pursuant to programs set forth in the Operations Manual (including the Preferred Lead Program);

(ii) the right to provide, offer and sell and to grant others the right to provide, offer and sell goods and services that are identical or similar to and/or competitive with those provided at the Franchise Location hereunder, whether identified by the Marks or other trademarks or service marks, through dissimilar channels of distribution (including internet or similar electronic media) both inside and outside the Territory and on any terms and conditions we deem appropriate;

(iii) the right to establish and operate, and to grant to others the right to establish and operate businesses offering dissimilar products and services, both inside and outside the Territory under the Marks and on any terms and conditions we deem appropriate;

(iv) the right to establish and operate, and to grant others the right to establish and operate a LAWN PRIDE Business located anywhere outside the Territory under any terms and conditions we deem appropriate and regardless of their proximity to the Franchise Location or their actual or threatened impact on sales at the Franchise Location;

(v) (a) the right, directly or through an authorized third party (including, another franchisee), to advertise, solicit, enter into contracts with and service Key Accounts in any area, including in the Territory, upon such terms as we negotiate from time to time; or (b) further, if (i) you refuse or, in our sole judgment, are not qualified, interested or available to perform services or otherwise cannot or do not perform services for any customer located within the Territory, including a Key Account, (ii) you request assistance in the performance of services to a customer, or (iii) a customer, orally or in writing, specifically requests services within the Territory from a different franchisee or another third party, we have the right to authorize another franchisee (or designate or authorize a corporate employee or any other third party) to perform services for or sell products to the applicable customers inside the Territory. You agree that you will not be entitled to any compensation for sales or services performed inside the Territory by someone other than you as contemplated under this paragraph;

(vi) the right to acquire the assets or ownership interests of one or more businesses providing products and services similar to those provided at the Business, and franchising, licensing or creating similar arrangements with respect to these businesses once acquired, wherever these businesses (or the franchisees or licensees of these businesses) are located or operating (including in the Territory); and

(vii) the right to be acquired (in whole or in part and regardless of the form of transaction), by a business providing products and services similar to those provided at the Business, or by another business, even if such business operates, franchises and/or licenses a business(es) that competes with you in the Territory.

TRADEMARK STANDARDS AND REQUIREMENTS

3. We hereby grant you the right to use the Marks in connection with the operation of the Business hereunder, subject to the following terms and conditions:

A. Mark Ownership. The Marks are our and/or our affiliates' valuable property, and we and/or our affiliate(s) are the sole and exclusive owner of all right, title and interest in and to the Marks and all past, present or future goodwill of the Business and of the business conducted that is associated with or attributable to the Marks. Your use of the Marks will inure to our benefit. You may not, during or after the term of this Agreement, engage, directly or indirectly, in any conduct that would infringe upon, harm, contest or otherwise interfere with our or our affiliates' rights in any of the Marks or the goodwill associated with the Marks, including any use of the Marks in a derogatory, negative, or other inappropriate manner in any media, including but not limited to print or electronic media. You agree that you will not grant or attempt to grant a security interest in, or otherwise encumber, the Marks or record any such security interest or encumbrance against any application or registration regarding the Marks in the United States Patent and Trademark Office or elsewhere.

B. Use of Marks. You may not use, or permit the use of, any trademarks, trade names, logos, service marks or any other names or marks in connection with the Business except those we authorize or direct in writing. You may use the Marks only in the form and manner we prescribe in writing and only in connection with the products and services that we specify and that meet our standards and requirements with respect to quality, production, installation and sale. You must strictly comply with all trademark, trade name and service mark notice marking requirements and other brand usage guidelines that we may provide from time to time.

C. Business Identification. You must use the name LAWN PRIDE and the city, county or region we designate for you as the trade name of the Business (e.g., LAWN PRIDE of Indianapolis, Indiana), and you must obtain and maintain corresponding fictitious or assumed name registration as required under applicable laws in the jurisdiction in which your Business is located and provide us with evidence of the same prior to opening for business. You may not use the words "LAWN PRIDE" or any other Mark as part of the name of your corporation, partnership, limited liability company or other business entity. You may not use any other mark or words to identify the Business without our prior written consent. You may not change your legal entity name, trade name, or fictitious or assumed name without our prior written consent. You may use the Marks on various materials associated with the Business, such as business cards, stationery and checks; provided that you (i) accurately depict the Marks on the materials as we direct, (ii) use the Marks in accordance with all of our trademark usage and branding standards, (iii) include a statement on the materials indicating that the Business is independently owned and operated by you, (iv) do not use the Marks in connection with any other trademarks, trade names, logos, service marks or any other names or marks unless we specifically approve in writing prior to such use, and (v) make available to us, upon our request, a copy of any materials depicting the Marks. You must put Customers on notice (by language in your contracts) identifying you as a LAWN PRIDE franchisee in a format we deem acceptable, including an acknowledgment that you independently own and operate the Business.

D. Litigation. If any person or entity improperly uses or infringes the Marks or challenges your use or our use or ownership of or the validity of the Marks, we will control all litigation and other proceedings and we have the right to determine whether suit or other proceeding will be instituted, prosecuted or settled, the terms of settlement and whether any other action will be taken. You must promptly notify us of any such use or infringement of which you become aware or any challenge or claim arising out of your use of any Mark. You must take reasonable steps, without compensation, to assist us with any action we undertake. We will be responsible for our fees and expenses incurred in connection with any such action, unless the challenge or claim results from your misuse of the Marks in violation of this Agreement, in which case you must pay us for our costs and expenses including our attorney's fees.

Provided that you are using the Marks in compliance with the terms of this Agreement, we will defend, at our own expense, any action against you brought by a third party alleging that any of the Marks infringes any U.S. trademark of a third party, and we will pay those costs and damages finally awarded against you in any such action that are specifically attributable to such claim or those costs and damages agreed to in a monetary settlement of such action. The foregoing obligations are conditioned on you: (i) notifying us promptly in writing of such action; (ii) giving us sole control of the defense thereof and any related settlement negotiations; and (iii) cooperating and, at our request and expense, assisting in such defense.

E. Changes. Unless we direct you so in writing, you may not make any changes or substitutions to the Marks. We reserve the right to change the Marks at any time and you must comply with any such changes within the time frames we specify.

F. Creative Works. All ideas, business ventures, concepts, inventions, techniques, or materials concerning a LAWN PRIDE Business, whether or not protectable Intellectual Property and whether created by or for you or one of your owners or employees, must be promptly disclosed to us in writing and will be deemed to be solely and exclusively our property, part of the System, and "works made-for-hire," as the phrase is defined in the Copyright Act of 1976 (17 U.S.C. 101 et seq.), for us. To the extent any item does not qualify as a "work made-for-hire" for us, by operation of law or otherwise, you agree to assign and hereby irrevocably assign, for no additional consideration, ownership of that item, and all related rights to that item, to us, our successors and assigns, including without limitation, the right to sue, counterclaim, and recover for all past, present, and future infringement, misappropriation, or dilution thereof, and all rights corresponding thereto throughout the world and agree to take whatever action (including signing an assignment agreement or other documents or obtaining an assignment from any third party, when necessary) we request to show our ownership or to help us obtain intellectual property rights in the item. Notwithstanding anything to the contrary, neither the expiration nor the termination of this Agreement shall affect our ownership of the items herein or alter any of our rights or privileges hereunder.

TERM AND RENEWAL

4. The following provisions control with respect to the term and renewal of this Agreement:

A. Term. The initial term of this Agreement commences on the Effective Date and expires on the 10-year anniversary of the Effective Date, unless terminated earlier as provided herein.

B. Renewal Term and Conditions of Renewal. You may renew your license for one renewal term of 10 years; provided that: (i) you have given us written notice of your request to renew at least 180 days but not more than 240 days prior to the end of the expiring term; (ii) you sign our then-current form of franchise agreement (modified to reflect that the agreement relates to the grant of a renewal), the terms of which may differ from this Agreement, including higher fees; (iii) you are not in default of this Agreement or any other agreement pertaining to the franchise granted, have satisfied all monetary and other material obligations on a timely basis during the term, are in good standing, have received no more than 2 written notices of default during the term of this Agreement, and have not failed to meet the Minimum Performance Standards for any two calendar years (or two measurement periods, as applicable) during the term; (iv) you comply with our then-current training requirements; (v) you and your guarantors execute a general release of claims in a form we prescribe; and (vi) you pay a renewal fee of $7,500.

C. Interim Period. If this Agreement expires without you properly exercising your renewal right and you continue to accept the benefits of this Agreement thereafter, then, at our option, we may treat this Agreement either as (i) expired as of the date of expiration, with you then illegally operating a franchise in violation of our rights; or (ii) continued on a month-to-month basis (the "Interim Period") until both parties agree to enter into our then-current form of franchise agreement for a renewal term or until one party provides the other with written notice of termination, in which case the Interim Period will terminate 30 days after receipt of the notice of termination. In the latter case, all of your obligations shall remain in full force and effect during the Interim Period as if this Agreement had not expired, except that the License Fee during the Interim Period will be increased to 10% of Gross Sales for all types of products/services and without any reductions. All obligations and restrictions imposed on you upon expiration of this Agreement shall take effect upon termination of the Interim Period.

OPERATIONS STANDARDS AND REQUIREMENTS

5. You must implement and abide by our requirements and standards directed to enhancing substantial System uniformity. The following provisions control with respect to operation of your Business:

A. Franchise Location. You are responsible for finding and purchasing or leasing a site that meets our site selection guidelines and standards and is located in the Territory. We will approve your site as long as it meets our site selection guidelines and we will attempt to provide our approval or disapproval within 10 business days after you submit the location information (together with evidence of compliance with our site selection guidelines) to us. In addition, your Franchise Location must meet the following conditions:

(i) You must begin operating your Business within 30 days of the scheduled opening date (the "Scheduled Opening Date") set forth in the Data Sheet, although you may not commence operations of your Business until you have satisfactorily completed our training program and complied with your other pre-opening obligations. We are not responsible or liable for any of your pre-opening obligations, losses or expenses, including those you might incur for your failure to comply with these obligations or your failure to open by a particular date. We have no responsibility for any lease; it is your sole responsibility to evaluate, negotiate and enter into a lease or a purchase agreement for the Franchise Location premises. However, you may not enter into a lease or a purchase agreement for the Franchise Location until you have received our prior approval.

(ii) You must construct and equip your Franchise Location in accordance with our current approved specifications and standards as set forth in the Operations Manual, including any specific requirements if you intend to operate your Business from your residence. You must maintain and periodically refresh the building, equipment, vehicles, fixtures, furnishings, signage and trade dress (including the interior and exterior appearance) used in the operation of your Business in accordance with our requirements established periodically and any periodic evaluations of the premises by our representatives.

From time to time as we require, you must effect items of modernization and/or replacement of the premises, trade dress, vehicles, equipment and grounds as may be necessary for your Business to conform to the standards for similarly situated new LAWN PRIDE Businesses.

Each Transfer of any interest in this Agreement or your Business under Section 10 and each renewal under Section 4 are expressly conditioned upon your compliance with our then-current modernization or replacement requirements.

(iii) If you need to relocate your Franchise Location for reasons other than your breach of your lease, we will grant you authority to relocate to another site within the Territory that meets our site selection guidelines and standards; provided that you are not in default under this Agreement or any other agreement with us and you are current on all of your financial obligations to us, our affiliates and third parties. You still must continue to operate the Business at all times during any such relocation.

(iv) In the limited instance that Google (or another designated vendor we use for search engine optimization purposes to drive online customer marketing) requires a secondary physical location in your Territory (in addition to your Franchise Location) in order to align with the marketing areas identified by Google/the vendor, we and you will agree on how you can establish and operate the secondary location in a manner that meets Google/the vendor's requirements as well as our applicable System standards for a secondary location; provided that this requirement will not apply during the first year of operation of the Business.

B. Vehicle Acquisition and Maintenance. You must acquire and maintain, at your sole expense, one or more vehicles as specified by us for use in the Business. Each vehicle shall be equipped, outfitted, insured and maintained in accordance with our specifications and standards. You must maintain the interior, exterior and mechanical parts of all required vehicles in good repair and condition and regularly service and maintain the vehicles to keep them clean and in good working order.

C. Authorized Services and Products. You can only offer and sell authorized services and products from your Business and you must refrain from selling any other services or products. You must use in the operation of your Business and in the offer and sale of authorized services and products of your Business only those techniques, procedures and supplies we specify in writing. You acknowledge and agree that we may change any of our requirements periodically and you agree to conform to any such changes. All Customer service materials, techniques, and promotional items of all descriptions and types must meet our standards of uniformity and quality.

D. Approved Supplies and Suppliers. We reserve the right to require that you only use approved products, services, inventory, equipment, signs, advertising materials, and other items (collectively "approved products and supplies") in the Business. We may introduce new approved products and supplies and change previously approved products and supplies from time to time and you agree to promptly comply with our new or changed requirements. Although we do not do so for every item, we have the right to approve the supplier of approved products and supplies. You acknowledge and agree that certain approved products and supplies may only be available from one approved supplier source, and we or our affiliates may be that source. You will pay the then-current price in effect for any approved products and supplies you purchase from us or our affiliates. All products, materials, services and other items and supplies used in the operation of the Business must conform to the specifications and standards we establish from time to time. We may furnish to you from time to time lists of approved products and supplies and/or approved suppliers, which lists we may amend from time to time. We or our affiliate may make available to you the opportunity to participate from time to time in certain discounts, rebates or other benefits in connection with your purchases from approved suppliers.

WE AND OUR AFFILIATES MAKE NO WARRANTY WITH RESPECT TO ANY PRODUCTS, SERVICES, EQUIPMENT, SUPPLIES OR OTHER ITEMS WE APPROVE AND WE EXPRESSLY DISCLAIM ALL WARRANTIES, EXPRESS AND IMPLIED, INCLUDING IMPLIED WARRANTIES OF MERCHANTABILITY AND FITNESS FOR A PARTICULAR PURPOSE, WITH RESPECT TO ANY SUCH PRODUCTS, EQUIPMENT (INCLUDING WITHOUT LIMITATION AND ANY REQUIRED COMPUTER SYSTEMS), SUPPLIES, OR OTHER APPROVED ITEMS.

E. Computer System; Call Center Program. You must purchase a computer system (including all future updates, supplements and modifications) and other technology that meets our standards and requirements (the "Computer System"). The Computer System will be used to develop a database of Customers and prospective customers and other related Customer Information, schedule appointments, generate proposals, maintain communications over the Internet, and produce your accounting records. You agree that, without our prior written consent, you may not input, provide or otherwise use any Confidential Information in connection with any Computer System that leverages artificial intelligence or machine learning models, including but not limited to any publicly-available generative AI tools (*e.g.,* ChatGPT). The foregoing restriction includes inputting, providing or otherwise using any Confidential Information to train, develop or modify any such models.

You may be required to license software from us, our affiliate, or a third party and you also may be required to sign software license agreements and pay an additional software licensing or user fee(s) in connection with your use of the software. All right, title and interest in and to the software will remain with the licensor of the software. You will be liable for all damages (under this Agreement, any other software license agreement you execute and under applicable law) and problems caused by your use of any software on the Computer System. You acknowledge and agree that we will have full and complete access to the information and data entered into or produced by the Computer System, including, without limitation, email communications and related data, and we can use the same in any way we deem appropriate, including in connection with the development, training, or modification of artificial intelligence / machine learning models, subject to applicable law. You must have Internet access with a form of high speed connection as we may require and you must maintain a dedicated email account for the Business, separate from any personal or other email account. You must purchase any upgrades, updates, enhancements and/or replacements to the Computer System and/or related hardware, software or other technology as we may from time to time require. It is your responsibility to make sure that you are in compliance with all laws that are applicable to the Computer System, including all data protection, privacy and security laws as well as payment card industry (PCI) compliance.

As to any malfunctioning of the Computer System or any website as further described in Section 5.K, neither we nor any affiliate will be liable to you for any consequential, incidental, indirect, economic, special, exemplary or punitive damages, such as, but not limited to, loss of revenue or anticipated profits or lost business, even if you have advised us that such damages are possible as a result of any breach or malfunction.

In addition, you are required to participate in our call center program that processes customer requests for services, schedules estimates, refers services requests to franchisees and otherwise handles customer inquiries ("Call Center Program") and pay us or our designee a call center fee as specified in Section 8. We reserve the right to designate a third-party vendor to administer the Call Center Program.

F. Customer Information. You agree that we own all Customer Information and may use the Customer Information as we deem appropriate (subject to applicable law), including disclosing it to vendors, developing, training or modifying artificial intelligence / machine learning models, or sharing it with our affiliates for cross-marketing or other purposes. You may only use Customer Information for the purpose of operating the Business to the extent permitted under this Agreement, including the Operations Manual, during the term hereof and subject to such restrictions as we may from time to time impose and in compliance with all data privacy, security and other applicable laws. Without limiting the foregoing, you agree to comply with applicable law in connection with your collection, storage disclosures and your use and our use of such Customer Information, including, complying with all laws and regulations relating to data protection, privacy and security, including data breach response requirements ("Privacy Laws"), as well as data privacy and security policies, procedures and other requirements we may periodically establish. Some laws require you to obtain consent to collect, store, disclose, and use (collectively "process") personal information or provide notice regarding your processing of personal information. You are responsible for obtaining appropriate Customer consent and notice, as well as all necessary rights in the Customer Information, to ensure you and we may process Customer Information as outlined in this Agreement, including but not limited to as set forth in Section 5(E). You must notify us immediately of any suspected data breach at or in connection with the Business. You must fully cooperate with us and our counsel in determining the most effective way to meet our standards and policies pertaining to Privacy Laws within the bounds of applicable law. You are responsible for any financial losses you incur or remedial actions that you must take as a result of breach of security or unauthorized access to Customer Information in your control or possession.

If any federal or state Privacy Law, including the California Consumer Privacy Act, as revised by the California Consumer Privacy Rights Act, Cal. Civ. Code § 1798.100, et seq. (collectively, the "CCPA"), and any related regulations applies to the operation of the Business, whenever and to the extent you operate as a "Service Provider" or "Contractor" under the CCPA, a data processor, or in a similar capacity under any federal or state Privacy Law, you represent and warrant that:

(1) Except for the purpose of operating the Business in accordance with this Agreement, including the Operations Manual, you will not retain, use, combine or disclose any Customer Information;

(2) You will not sell, share, make available or otherwise disclose any Customer Information to any third party for valuable consideration or for the purpose of performing cross-context behavioral advertising, targeted advertising, or profiling, as those terms are defined under applicable Privacy Laws;

(3) You will not retain, use, or disclose Customer Information outside of the direct business relationship between you and us;

(4) You will delete any Customer Information upon our request unless you can prove that such request is subject to an exception under applicable law; and

(5) If you receive a Customer Information data request (e.g., a request to delete Customer Information) directly from a consumer (e.g., a California resident under the CCPA, or a resident of another jurisdiction under other applicable Privacy Law), you shall inform us of that request within one business day and cooperate with us to ensure that the consumer receives an appropriate and timely acknowledgement and response.

(6) You will implement reasonable security procedures and practices appropriate to the Customer Information you collect, retain, use or disclose, in order to protect it from unauthorized or illegal access, including following minimum requirements that may be set forth in the Operations Manual.

(7) You will cooperate with us to the extent necessary to assist us with conducting required data protection assessments or other similar assessments under applicable Privacy Laws, responding to Customer Information data requests, responding to requests or inquiries from government authorities, or if we seek to ensure that you have collected, retained, used, or disclosed Customer Information consistent with Privacy Laws and this Agreement, including but not limited to providing us with requested compliance documents, or allowing us or our designee to assess, audit, or test your privacy and security controls at least annually.

(8) You will cooperate with us to stop or remediate any unauthorized use of Customer Information, including verifying that you no longer retain or process personal information that a consumer has asked you or us to delete under applicable Privacy Laws.

(9) You will notify us immediately if you determine you cannot meet your obligations under Privacy Laws or this Agreement regarding your collection, retention, use, or disclosure of Customer Information.

You certify that you understand the restrictions in Paragraphs (1) – (9) of this section and will comply with them. You also acknowledge and agree that we may modify these restrictions from time to time by written notice to you, by issuing updates to our standards and policies pertaining to Privacy Laws, including by adding other similar restrictions that may be required under other state or federal Privacy Laws, and you agree to comply with the same. You also agree to execute any addenda that we may determine are required to conform this Agreement to new or changed Privacy Laws.

To the extent that you engage another person to collect, use, sell, share, store, disclose, analyze, delete, modify, or to otherwise perform any processing of Customer Information for the purpose of operating the Business (a "Subprocessor"), you will notify us of such engagement, which shall be governed by a written contract that includes the same restrictions as in Paragraphs (1) – (9) of this section and imposes reasonable confidentiality obligations and privacy and security controls on the Subprocessor.

G. Operating Procedures; Operations Manual. We will loan you a copy of our Operations Manual. We will make it available to you online or in such other manner and format as we approve. You acknowledge that the Operations Manual is at all times our Intellectual Property and owned exclusively by us. You must, at all times, treat the Operations Manual, and the information it contains, as secret and confidential, and must use all reasonable efforts to maintain such information secret and confidential. You must adopt and use as your continuing operational routine the required standards, service style, procedures, techniques and management systems described in the Operations Manual or other written materials relating to the Business provided from time to time by us. We will revise the Operations Manual and these standards, procedures, techniques and management systems periodically to meet changing conditions and in the best interest of the LAWN PRIDE Businesses and the System. We will notify you of any such updates or revisions and you expressly agree to comply with each new or changed requirement. You must at all times ensure that your copy of the Operations Manual is kept current and up to date, and in the event of any dispute as to the contents of said Operations Manual, the terms of the master copy of the Operations Manual that we maintain are controlling.

The Operations Manual will contain both mandatory standards and recommended standards. Any required standards exist to protect our interests in the System and the Marks and not for the purpose of establishing any control or duty to take control over those matters that are reserved to you. The required standards generally will be set forth in the Operations Manual or other written materials. The Operations Manual also will include guidelines or recommendations in addition to required standards. In some instances, the required standards will include recommendations or guidelines to meet the required standards. You may follow the recommendations or guidelines or some other suitable alternative, provided you meet and comply with the required standards. In other instances, no suitable alternative may exist. In order to protect our interests in the System and the Marks, we reserve the right to determine if you are meeting a required standard and whether an alternative is suitable to any recommendations or guidelines.

H. Confidential Information. You may not, during the term of this Agreement or thereafter, communicate, divulge or use any Confidential Information for the benefit of any other person or entity, except that you may communicate Confidential Information to such employees as must have access to it in order to operate the Business. All Confidential Information, including, without limitation, methods, procedures, suggested pricing, specifications, processes, materials, techniques, Customer Information and other data, may not be used for any purpose other than operating the Business hereunder. In the interest of protecting our System, we may require that you obtain nondisclosure and confidentiality agreements in a form satisfactory to us from your owners (if franchisee is an entity), your spouse, your manager and other key employees. You must provide executed copies of these agreements to us upon our request. A copy of the current Confidentiality Agreement form to be used with your owners (if franchisee is an entity) or your spouse is included as Schedule F. Notwithstanding anything to the contrary herein, as between you and us, you agree that all Confidential Information, including all Intellectual Property rights therein, belong to us.

I. Evaluations. We and our authorized representative have the right to visit and inspect your Business at all reasonable times during the business day for the purpose of making periodic evaluations and to ascertain your compliance with the provisions of this Agreement, and to inspect and evaluate your services, supplies or products and other aspects of your Business. Any failure of an inspection is a default under this Agreement. Further, if we determine that any condition in the Business presents a threat to customers or public health or safety, we may take whatever measures we deem necessary, including requiring you to immediately close the Business until the situation is remedied to our satisfaction. Any evaluation or inspection we conduct is not intended to exercise control over your day-to-day operation of your Business or to assume any responsibility for your obligations under this Agreement.

J. Compliance with Laws; Licenses and Permits. You must, at your expense and at all times, maintain and conduct your Business operations in compliance with all applicable federal, state and local laws, regulations, codes and ordinances. You must secure and maintain in force all required licenses, permits and certificates relating to your Business, including but not limited to obtaining and maintaining required authorizations from federal and state transportation authorities and public utility commissions. Without limiting the foregoing, if you or any of your Principal Owners is not a U.S. national, you represent that you and/or such Principal Owner(s) have an immigration status that allows you and/or such Principal Owner(s) to live and work in the United States, and you hereby promise that you and/or such Principal Owner(s) will maintain such status during the term of this Agreement.

You acknowledge that you are an independent business and responsible for control and management of your Business, including, but not limited to, the hiring and discharging of your employees, tax withholdings, and setting and paying wages and benefits of your employees. You

acknowledge that we have no power, responsibility or liability in respect to the hiring or discharging of employees, tax withholdings or setting or paying of wages or related matters.

You must immediately notify us in writing of any claim, litigation or proceeding that arises from or affects the operation or financial condition of your Business or names us as a party.

K. Participation in Internet Websites or Other Online Communications. We may require you, at your expense, to participate in our LAWN PRIDE website on the Internet, our intranet or extranet system or other online communications as we may from time to time prescribe. We have the right to determine the content and use of our website and intranet or extranet system and establish the rules under which franchisees may or must participate. We will post your Business contact information on our website. You may not separately register any domain name containing any of the Marks or operate a website or social media account for your Business. We reserve the right to pre-approve, establish rules, procedures and policies relating to any website and social media account that you create or use for the operation of your Business. We may immediately terminate this Agreement if you register any domain name or social media account containing any of the Marks. We retain all rights relating to our website, intranet system and social media accounts and may alter or terminate our website, extranet system or intranet system, or any social media accounts. Your general conduct on our website, social media accounts, intranet or extranet system or other online communications and specifically your use of the Marks or any advertising is subject to the provisions of this Agreement. You acknowledge that certain information related to your participation in our website, social media accounts, extranet system or intranet system may be considered Confidential Information, including access codes and identification codes. Your right to participate in our website, social media accounts, and intranet or extranet system, or otherwise use the Marks or System on the Internet or other online communications, will terminate when this Agreement expires or terminates. You acknowledge and agree that you do not have any right to use the Marks or other Intellectual Property of the System on any website or any social media platform except as expressly approved by us in writing.

Unless we direct otherwise, simultaneously herewith, you agree to execute the Telephone Number and Internet Agreement (attached hereto as Schedule E), pursuant to which you assign to us ownership of all Telephone Listings and Internet Listings (each term as defined in Schedule E).

L. System Modifications. You acknowledge and agree that we have the right to modify, add to or rescind any requirement, standard or specification that we prescribe under this Agreement to adapt the System to changing conditions, competitive circumstances, business strategies, business practices and technological innovations and other changes as we deem appropriate. You must comply with these modifications, additions or rescissions at your expense, subject to any express limitations set forth in this Agreement.

M. Suggested Pricing Policies. Based on examples from LAWN PRIDE Businesses, we may, from time to time, make suggestions to you with regard to your pricing policies. In addition, we have the right to negotiate Key Account arrangements, including pricing which will bind all LAWN PRIDE Businesses providing services to such Key Accounts. Although you generally have the right to establish prices for the products and services you sell, we reserve the right to establish and enforce prices, both minimum and maximum, to the extent permitted by applicable law.

N. Key Accounts. We reserve the right to establish and administer a Key Accounts program. If such a program is established, you must participate in it. If you elect to participate, you must comply with all Key Accounts standards and procedures set forth in the Operations Manual

and/or as we may otherwise communicate to you, as well as the specific terms of our arrangement with each applicable Key Account, which terms may include, without limitation, the provision of certain insurance and other products and services, special pricing, payment terms, turnaround on services, etc.

O. Customer Service; Service Warranties. You must honor our warranty policies for services you provide to Customers, as described in the Operations Manual. You are solely responsible for the quality and results of the services and products you sell and provide to Customers, maintaining a continuing responsibility with respect to such services and products beyond the termination or expiration of this Agreement. You must render and must cause each of your employees to render prompt, competent and courteous service to Customers and you shall offer and honor such service warranties as we direct. You must also honor the national discount programs we may specify from time to time.

You must respond to any dissatisfied Customers within 24 hours after the complaint is received or as otherwise set forth in the Operations Manual. If you are unable to equitably resolve the Customer's complaint within 2 days after the initial contact, you must contact us for assistance in handling the complaint. In no event shall our assistance be construed to make us liable to you or to a Customer in connection with such complaint. You are solely responsible for satisfactorily and timely resolving all warranty claims, Customer disputes, and online Customer reviews. Should you fail to do so, you must reimburse the cost of any such services to us or any third party that we authorize to perform the services or you must reimburse us for any refund or other payment we may make to a Customer (as applicable). We may at any time contact Customers concerning the quality of services you provide, the level of Customer satisfaction, or other aspects of the Business that we deem relevant, and we may institute and use a "secret shopper" system.

P. Ethical Business Conduct. You agree to adhere to good business practices, observing high standards of honesty, integrity, fair dealing and ethical business conduct and good faith in all business dealings with Customers, vendors, your employees, our corporate employees, and all other LAWN PRIDE franchisees. You must not engage in deceptive, misleading or unethical practices or conduct that may have a negative impact on the reputation and goodwill associated with the Marks.

Q. Crisis Situations. In the interest of protecting the LAWN PRIDE brand, Marks and the System, we have the sole and absolute right to determine a response, including what steps will be taken and what communications will be made, in instances of a Crisis, and you agree to comply with and implement our directions in response to a Crisis. "Crisis" means an event or development that negatively impacts the LAWN PRIDE brand or System in such a way that we determine may cause substantial harm or injury to the Marks, System, the Intellectual Property associated with the System, or the reputation or image of the LAWN PRIDE brand.

R. Minimum Performance Standards. Beginning with the second full calendar year of operating the Business, the Business must achieve (a) in each calendar year, annual Gross Sales that are in the top 90% of the annual Gross Sales per franchised business for the LAWN PRIDE franchise system for that calendar year (the "Gross Sales MPS") and (b) a Net Promoter Score (or another customer satisfaction survey score we designate) ("NPS") that is not more than 10 points below the average NPS for the LAWN PRIDE franchise system for each applicable measurement period we set (the "Customer Satisfaction MPS" and collectively with the Gross Sales MPS, the "Minimum Performance Standards"). If you operate multiple LAWN PRIDE businesses, the Minimum Performance Standards will apply separately to each franchised business. You agree we can make changes to the Minimum Performance Standards upon 6 months' prior written notice in

accordance with our Reasonable Business Judgement (as defined in Section 14.G.3) and so long as such revised Minimum Performance Standards are applied to all similarly situated LAWN PRIDE franchised businesses.

If you do not meet the Gross Sales MPS (i.e., the Business' annual Gross Sales are in the bottom 10% of the LAWN PRIDE franchised businesses for that calendar year) for any applicable calendar year or the Customer Satisfaction MPS for any applicable measurement period, we will meet with you to identify the reasons for the substandard performance and establish a performance improvement plan ("PIP") for the Business to take specific actions with the goal to improve the overall performance of the Business, including its annual Gross Sales and/or NPS. Your failure to implement or comply with the PIP over the three to six month period we designate will be a default under this Agreement, subject to a 30-day cure period. During the cure period, you will have the opportunity to advise us of your intent to sell the Business to a third party, in which case we will give you an additional 90 days (from the date of your notice of intent to sell) to transfer the Business in accordance with the transfer requirements of Section 10 of this Agreement. Failure to timely cure the default or transfer the Business as provided herein will give us the right to either reduce the size of your Territory or terminate this Agreement.

PERSONNEL AND SUPERVISION STANDARDS

6. The following provisions and conditions control with respect to personnel, training and supervision:

A. Supervision of the Business; Guarantors. You, or your Principal Owner(s) (as identified on the Data Sheet) if you are a business entity, must devote full-time attention to your Business, which at all times must be under your, or your Principal Owner(s)'s direct and active supervision and management. If you are a business entity, (i) all your owners must sign a Confidentiality Agreement; (ii) you must designate one or more Principal Owners; and (iii) all persons and entities that, as of the date of this Agreement hold, or during the term of this Agreement become holders of, 5% or more of your ownership interests must personally guarantee your performance hereunder to us by executing the personal guarantee attached hereto as Schedule C. If two (2) or more persons are the Franchisee or guarantors, their obligations and liability to us shall be joint and several.

B. Training. You must comply with all of the training requirements we prescribe for the Business. You, or your Principal Owners if you are a legal entity, must attend our initial training program and complete it to our satisfaction. You must pay all costs and expenses, including hotel and transportation costs, you incur in attending our initial training program. If it becomes necessary to re-train a certain individual, we reserve the right to charge you a training fee. You also must pay all costs and expenses for any additional personnel who attend our initial training program. The training requirements may vary depending on your experience and other factors specific to the Business. If you are given notice of default that relates, in whole or in part, to your failure to meet any operational standards, we may require that, as a condition of curing the default, you and your manager, at your expense, comply with the additional training requirements we prescribe. Under no circumstances may you permit management of the Business' operations on a regular basis by a person who has not successfully completed to our reasonable satisfaction all applicable training we require.

C. Ongoing Training. We may require you and other key employees of the Business to attend ongoing training at our training facility or other locations we designate. If you request training in addition to the initial training program identified above, we reserve the right to charge

you a training fee, plus you must pay your costs and expenses in connection with such training. Any training provided by us to any of your workers will be limited to training or guidance regarding the delivery of approved services to Customers in a manner that reflects the customer and client service standards of the System. You are, and will remain, the sole employer of your employees at all times, including during all training programs, and you are solely responsible for all employment decisions and actions related to your workers. You are solely responsible for ensuring that your workers receive adequate training.

D. Staffing. You must employ a sufficient number of competent and trained employees to ensure efficient service to Customers. It is your responsibility to make sure that no employee or subcontractor enters a Customer's home if such person has not passed the required background checks. No employee of yours will be deemed to be an employee of ours for any purpose whatsoever, and nothing in any aspect of the System or the Marks in any way shifts any employee or employment related responsibility from you to us.

E. Attendance at Annual Convention and Meetings, Regional Meetings and Owners Summits. You must attend, at your expense, any annual franchise convention we may hold or sponsor and any meetings relating to new services or products, new operational procedures or programs, training, business management, sales or sales promotion, or similar topics, regional meetings or owners summits, including any system-wide teleconferences or web-conferences, as more particularly set forth in the Operations Manual. We reserve the right to charge you a fee to attend any such franchise conventions, meetings, summits, programs or other trainings, and we may collect such a fee from you whether you attend or not. If you do not attend or participate in the annual franchise convention, we may charge you up to $2,000 on a pro-rata basis based on number of days you miss at said convention. If you are not able to attend a meeting or convention, you must give us prior notice and must have a substitute person acceptable to us attend such meeting or convention. Nothing in this Agreement is intended to require us to hold any annual conventions or other meetings.

MARKETING

7. You agree to actively promote your Business, to abide by all of our marketing and advertising requirements and to comply with the following provisions:

A. MAP Fund. We have established and manage a Marketing, Advertising and Promotion Fund for LAWN PRIDE Businesses (the "MAP Fund"). All MAP Fees (as defined in Section 8.E) you pay to us hereunder will be placed in the MAP Fund. On behalf of our company and affiliate-owned LAWN PRIDE Businesses, we will pay the same MAP Fund fee as similarly situated franchised LAWN PRIDE Businesses. The MAP Fund is not a trust or escrow account, and we have no fiduciary obligation to franchisees with respect to it. We have the right to make disbursements from the MAP Fund for expenses incurred in connection with the cost of formulating, developing, implementing and administering marketing, advertising, public relations, and promotional campaigns. The disbursements may include payments to us for the expense of administering the MAP Fund, including accounting expenses and salaries and benefits paid to our employees engaged in the administration and operation of the MAP Fund or otherwise providing services with respect to the MAP Fund. We have the right to determine the methods of marketing, advertising, media employed and contents, terms and conditions of marketing campaigns and promotional programs. Because of the methods used, we are not required to spend a prorated amount on each LAWN PRIDE Business or in each advertising market. We, as the administrator of the MAP Fund, may collaborate with the administrators of advertising funds of certain other franchise systems affiliated with us. You acknowledge that there can be no assurance that the MAP

Fund's participation in these collaborations and joint efforts will benefit LAWN PRIDE Businesses proportionately or equivalently to the benefits received by any other franchised businesses of the other participating affiliated franchise systems.

The MAP Fund will be accounted for separately and will not be used to defray any of our general operating expenses, except for such expenses, administrative costs, and overhead relating to MAP Fund business, including compensation of employees and others providing services to the MAP Fund and other expenses that we incur in activities related to maintaining, administering, directing and conducting the MAP Fund programs, including, without limitation, conducting market research and public relations activities; preparing advertising promotion and marketing materials; and collecting and accounting for MAP Fund contributions and expenses. If requested, we will provide you an annual unaudited statement of the financial condition of the MAP Fund.

We assume no direct or indirect liability or obligation to you with respect to collecting amounts due to the MAP Fund or related to our maintenance, direction or administration of the MAP Fund, including with respect to the efficiency or effectiveness, if any, of the MAP Fund in enhancing the Marks, brand or System or advancing the business interests of a franchisee or franchisees in general.

We have the right, but not the obligation, to cause the MAP Fund to be incorporated or operated through an entity separate from us at such time as we deem appropriate, and any such successor entity shall have all our rights and duties under this Section 7.A. We may use collection agents and institute legal proceedings at the MAP Fund's expense to collect MAP Fund contributions. We also may forgive, waive, settle, and compromise all claims by or against the MAP Fund. If we terminate the MAP Fund, we will refund to you your pro-rata portion of any amounts remaining in the MAP Fund, based on your contributions to the MAP Fund.

B. Required Local Expenditures. You must use your best efforts to promote and advertise the Business and participate in any local marketing and promotional programs we establish from time to time. In addition to the payment of the MAP Fee, you must spend the minimum amounts set forth in the Data Sheet on approved local marketing and promotion in the Territory each year ("Local Marketing Spend Requirement"). Upon our request, you must provide us with itemized documentation and proof of such expenditures. If you fail to make the required expenditures, we have the right to collect the deficiency and spend it as provided below in this paragraph. We reserve the right to require you to use one or more designated vendors in connection with your local marketing and promotional activities. In addition, we reserve the right to collect (on a monthly or quarterly basis, as we may from time to time designate) the Local Marketing Spend Requirement and in return provide to you local promotional, marketing and advertising materials and related services to promote the Business in the Territory. Should this Agreement terminate prior to our providing such local promotional, marketing and advertising materials and related services in the Territory, we reserve the right to contribute the Local Marketing Spend Requirement collected to the MAP Fund.

C. Approved Materials. You must use only such marketing materials (including any print, radio, television, electronic, on-line or other media forms that may become available in the future) as we furnish, approve in writing or make available, and the materials must be used only in the manner we prescribe and in compliance with all trademark usage and branding standards. Furthermore, any promotional activities you conduct for the Business are subject to our approval. You must submit all advertising and promotional materials to us for approval prior to your use. If we do not respond within 14 days of your submission, the materials will be deemed not approved. We will not unreasonably withhold approval of any materials or media and activities; provided that

they are current, in good condition, in good taste and accurately depict the Marks. Notwithstanding our approval, it is solely your responsibility to conduct your promotional activities in accordance with all applicable laws.

D. Local Marketing Groups. We have the right to designate local advertising markets and advertising cooperatives and/or local marketing groups for such markets (collectively, each such cooperative or group, a "LMG"), and if designated, you must participate in the LMG and its programs in your designated local advertising market. If established, you must contribute to the LMG the amount we designate, but such contribution amount shall not exceed 3% of your Gross Sales. We may require that some or all of your LMG contribution be paid to us or our affiliate, and we reserve the right to use your LMG contribution on any promotional, marketing and advertising initiatives, including digital and other marketing and brand awareness programs. As of the date of this Agreement, we may require that a portion of your LMG contribution (currently, 2% of your Gross Sales) be paid for use towards the Neighborly marketing and brand awareness initiatives, which may include service professional recruitment marketing. If established, each LAWN PRIDE Business, including those operated by us or our affiliates within a designated local advertising area, will be a member of the LMG. You must obtain our written approval of all promotional and advertising materials, creative execution and media schedules prior to their implementation. Your contribution to the LMG will count towards the Local Marketing Spend Requirement, but the Local Marketing Spend Requirement does not represent a limit on your LMG contribution. We have the right to establish how the LMGs operate and we have the right to require LMGs to be formed, changed, dissolved or merged.

FEES, REPORTING AND AUDIT RIGHTS

8. You must pay the fees described below and comply with the following provisions:

A. Initial Fees. Upon signing of this Agreement, you must pay to us an initial franchise fee as set forth in the Data Sheet (the "Initial Franchise Fee"), which is earned upon receipt and is non-refundable. Any financing of the Initial Franchise Fee is only available if we offer you financing under the terms of the Promissory Note and Security Agreement included as .

B. License Fees; License Fee Adjustment. From and after the Effective Date, you must pay to us, weekly in the manner specified in Section 8.E, a fee (the "License Fee") in the amount equal to the greater of (i) the applicable percentage of Gross Sales set forth on the Data Sheet or (ii) the applicable Minimum License Fee (if any) set forth on the Data Sheet. The License Fee calculation may differ based on the type of service or product from which the Gross Sales are generated, as specified on the Data Sheet. The Minimum License Fee shall be calculated in the manner set forth on the Data Sheet.

C. MAP Fees. You must pay to us each week, in the manner specified in Section 8.E, a MAP Fund fee (the "MAP Fees") in an amount equal to the applicable percentage of Gross Sales set forth in the Data Sheet. The MAP Fee calculation may differ based on the type of service or product from which the Gross Sales were generated.

D. Call Center Fees. You must pay to us or our designee each month, in the manner specified in Section 8.E, a call center fee (the "Call Center Fee") in the amount set forth in the Data Sheet.

E. Manner of Payment; Electronic Transfer of Funds. All payments of the License Fees and MAP Fees are due to us by the day of the week we specify for the prior week's Gross

Sales, together with a weekly report of Gross Sales. We currently require that all reports be submitted to us on Monday of each week (for the prior week's Gross Sales) and all payments of the License Fees and MAP Fees be submitted to us by Friday of the same week (for the prior week's Gross Sales). All payments of the Call Center Fees must be submitted to us as provided in the Data Sheet. We may modify the day of the week (or month, as applicable) on which you are required to provide reports or make payments of License Fees, MAP Fees, and Call Center Fees by prior written notice to you. You must sign an electronic ACH Form, attached as Schedule B, to authorize and direct your bank or financial institution to allow us or our affiliate to initiate a transfer of funds electronically directly to our or our affiliate's account and to charge to your account all amounts due to us or any affiliate. You must maintain a balance in your account sufficient to allow us and our affiliates to collect the amounts owed when due. You are responsible for any penalties, fines or other similar expenses associated with the transfer of funds described in this Section.

F. Late Payments. A late payment fee of $25.00 per day (the "Late Payment Fee") plus interest at the highest applicable legal rate for open account business credit in the state of your domicile, not to exceed 12.0% per annum, will accrue on all late payments from the due date until all sums are paid. If a check is returned or an ACH draft is refused by your financial institution due to insufficient funds in your account, you must pay us an insufficient funds fee of $50. In addition, if you fail to timely provide any Gross Sales report to us, in addition to any other rights available to us, we may withdraw from your account the applicable Minimum License Fee (as applicable), and once the applicable Gross Sales report becomes available to us, you will be required to immediately pay us any additional amounts owed as shown in the calculation of the License Fees and MAP Fees in such Gross Sales report. You acknowledge and agree that this Section 8.F does not constitute our agreement to accept payments or reports after they are due or a commitment by us to extend credit to you or to otherwise finance your operation of the Business. Further, you acknowledge and agree that your failure to pay all amounts and provide all reports when due will constitute grounds for termination of this Agreement, notwithstanding the provisions of this Section 8.F. You will not, on grounds of the alleged nonperformance by us of any of our obligations under this Agreement, withhold payment of any License Fees, MAP Fees or any other amounts due to us and you will not, on such grounds, discontinue providing services to Customers of the Business in accordance with this Agreement.

G. Application of Fees. Notwithstanding any designation by you, we have the right to apply any payments received from you to any past due indebtedness to us or any affiliate in such amounts and in such order as we determine.

H. Financial Planning and Management. You must compile and keep books and records that accurately reflect the operations and condition of your Business, including detailed daily sales, cost of sales, and other relevant records and information, maintained in an electronic media format and using the methods of bookkeeping and accounting as we periodically may prescribe. You must also retain check registers, purchase records, invoices, sales summaries and inventories, sales tax records and returns, state, federal, personal and other income tax records and returns covering or related to the Business, payroll records, cash disbursement journals and general ledgers. You must submit to us such reports, statement of profit and loss, balance sheet, tax returns, books and records as we may require, including those identified in Section 8.I below, all on the forms and according to reporting formats, methodologies and time schedules that we establish from time to time. You must preserve the books, records and reports for the longer of (i) five years from creation or (ii) such period as required under applicable laws. You must allow us electronic and manual access to any and all records relating to your Business.

I. Reports. Simultaneously with each payment of License Fees and MAP Fees hereunder, you must submit to us a report of the corresponding Gross Sales and gross receipts of the Business, and a computation of the corresponding License Fees and MAP Fees with respect to the preceding week. Gross Sales must be entered into the software and reported for the week in which they are earned; you may not postpone the reporting of any Gross Sales for any reason. In addition, within 15 days after the end of each month, you must submit to us the following information for the preceding month: (i) copies of your most recent balance sheet and statement of profit and loss, including a summary of your costs for labor, rent and other material cost items; and (ii) if requested by us to verify your Gross Sales, all such books and records as we may require under our audit policies published from time to time. You also must, at your expense, submit to us within 90 days after the end of each fiscal year a detailed balance sheet, profit and loss statement and statement of cash flows for such fiscal year. All reports shall be provided in the form and content as we periodically prescribe. You must certify in writing all reports to be true and correct. You acknowledge and agree that we have the right to impose these requirements on you regardless of whether we impose the same requirement on our other franchisees. You further agree and acknowledge that, subject to compliance with applicable law, we may use any information, data or other materials related to your Business for any reason that we deem appropriate and you shall provide the same to us promptly upon our request. Without limiting the foregoing, we may disclose the Business' financial information and operating performance ratings, assessments or similar data to our other franchisees, our affiliates and their franchisees, and prospective franchisees through the use of newsletters, bulletins, award ceremonies, and otherwise as we deem necessary or advisable.

J. Audits. We or our authorized representative have the right, at all times (i) during the business day to enter the premises where your books and records relative to the Business are kept and to evaluate, copy and audit such books and records, including, but not limited to any and all financial statements, reports, state, federal, personal income tax records or other income tax records covering or related to the Business, sales tax records, payroll records, databases, and other related records (ii) to remotely access and evaluate, copy and audit your electronic records located on the Computer System, and (iii) to evaluate remotely or on the Business premises your compliance with your obligations regarding Customer Information. In addition, if, in our reasonable business judgment, we believe that you have failed to comply with your reporting and/or record keeping obligations hereunder, we have the right to also access and evaluate, copy and audit books and records related to any other business in which you have an ownership or management interest. We also have the right to request information from you and your suppliers, vendors, and Customers. You must fully cooperate with us in connection with our exercise of our audit rights. If you fail to timely make available to us requested documents in connection with an audit, we may charge you $500 per missing document (up to $2,500 per audit), and if we must reschedule an audit due to your failure to cooperate, you must reimburse us for the cost of the audit (including, without limitation, professional fees, travel, and room and board expenses directly related thereto, collectively "Audit Cost"). If any evaluation or audit reveals an understatement of 3% or more of your Gross Sales or you do not provide any requested information within 30 days from the date of our initial request, you must pay for the Audit Cost, in addition to the amount owed (if any) plus interest and late fees as provided in Section 8.F. In addition to any other rights we may have in such an event, we have the right to conduct further periodic audits and evaluations of your books and records as we reasonably deem necessary and you must reimburse us for the Audit Cost of any such further audits and evaluations conducted within two years.

K. thereafter. Furthermore, if you intentionally understate or underreport Gross Sales at any time, or if a subsequent audit or evaluation conducted within the two-year period reveals any understatement of your Gross Sales of 2% or more, in addition to any other remedies provided for

in this Agreement, at law or in equity, we have the right to terminate this Agreement immediately. To verify the information that you supply, we have the right to reconstruct your Gross Sales through any reasonable method of analyzing and reconstructing Gross Sales, and you agree to accept any such reconstruction of Gross Sales unless you provide evidence in a form satisfactory to us of your Gross Sales within a period of 14 days from the date of notice of understatement or variance. If you dispute any audit findings, you must do so in writing and in accordance with the Operations Manual within 30 days of the notice of understatement or variance, or you will waive the right to challenge the audit findings. For avoidance of doubt, no provision of this Section 8.J shall be deemed to supersede or waive the 10-day cure period for failure-to-pay defaults set forth in Section 12.B.1.

YOUR OTHER OBLIGATIONS; NONCOMPETITION COVENANTS

9. You agree to comply with the following terms and conditions:

A. Payment of Debts. You agree to (i) pay promptly when due all payments, obligations, assessments and taxes due and payable to us and our affiliates, vendors, suppliers, lessors, federal, state or local governments, or creditors in connection with your Business; (ii) promptly discharge and remove all liens and encumbrances of every kind and character created or placed upon or against any of the property used in connection with the Business; and (iii) timely pay all accounts and discharge other indebtedness of every kind incurred by you in the conduct of the Business. If you default in making any such payment, we are authorized, but not required, to pay and discharge the same on your behalf and you agree promptly to reimburse us on demand for any such payment.

You also will pay all federal, state and local taxes, other than taxes assessed on our income, that may be imposed on us as the result of our receipt or accrual of the Initial Franchise Fee, the License Fees, the MAP Fees, or other fees referenced in this Agreement, whether assessed against you through withholding or other means or whether paid by us directly. In either case, you shall pay us (and to the appropriate governmental authority) such additional amounts as are necessary to provide us, after taking such taxes into account (including any additional taxes imposed on such additional amounts), with the same amounts that we would have received or accrued had such withholding or other payment, whether by you or by us, not been required.

B. Indemnification. You waive any and all Claims (as defined below) against us for damages to property or injuries to persons arising in any way out of this Agreement, your servicing of Customers under this Agreement or any other contracts, your actions or omissions, or the operation of your Business. Except to the extent otherwise provided in Section 3.D., you agree, at your sole expense, to defend, fully protect, indemnify and hold harmless, us, our affiliates, our parent companies, our sister companies and our owners, directors, officers, members, managers, employees, attorneys, successors and assigns (collectively, "Franchisor Parties"), as well as our customers and the owners of each and every property you service, from any and all Claims. "Claims" as used herein means any and all claims, demands, damages, assessments, violations, interest, causes of action, lawsuits, liens, and liabilities of any nature whatsoever arising in any manner, directly or indirectly, out of or in connection with or incidental to the operation of your Business (regardless of cause or any concurrent, superseding or contributing fault, liability or negligence of us, our affiliates, our parent companies, and our customers and the owners of any property you service), your actions or omissions, or any breach by you or your failure to comply with any of the terms and conditions of this Agreement. We also reserve the right to select our own legal counsel to represent our interests, and you agree to reimburse us for our costs and attorneys' fees immediately upon our request.

It is the intention of the parties to this Agreement that we shall not be deemed a joint employer with you for any reason; however, you will at your sole expense, defend, fully protect, indemnify and hold harmless, Franchisor Parties, from any and all Claims arising in any manner, directly or indirectly, out of or in connection with or incidental to the actions or omissions of your employees or independent contractors or allegations that we are joint employer of your employees.

C. Insurance. Before you begin operating your Business you must purchase, and maintain at all times during the term of this Agreement, at your sole cost, insurance coverage, from a responsible carrier, with an A.M. Best rating of A-VIII or better, with the coverage amounts, types and other features as we from time to time specify, using the insurance industry form(s) acceptable to us, and such other insurance coverage as required by law and any other agreement related to the Business. We reserve the right to designate a primary or single source for all or any of the insurance coverage for the Business, and we or our affiliates may be that primary or single source. Any person or entity with an insurable interest that we designate (each, an "Named Insured") must be named an additional insured on all required liability policies. Each insurance policy must contain a waiver of subrogation in favor of the Named Insureds. Your insurance must apply as primary and non-contributory. Currently, our minimum insurance requirements include (i) commercial general liability insurance, with minimum liability coverage of $1,000,000 per occurrence (including Products/Completed Operations and Personal Injury and Advertising Injury) and $2,000,000 in the aggregate; (ii) auto liability coverage, combined single limit in the amount we specify, up to $2,000,000 but no less than $1,000,000, on each owned, non-owned or hired vehicle used in connection with the Business; (iii) workers' compensation coverage regardless of whether required by state law, but with minimum coverage as required by law (if applicable); (iv) a pesticide and herbicide pollution liability coverage with a limit in the amount we specify, but no less than $1,000,000 per occurrence and in the aggregate; (v) cyber-liability insurance for financial losses arising from unauthorized access, loss or corruption of data, including but not limited to privacy and data security breaches, misdirected funds, virus transmission, denial of service and loss of income from network security failures, with a minimum limit of $500,000 per claim and in the aggregate; and (vi) such other insurance as from time to time required by us, under applicable law and under other agreements applicable to your Business. With respect to Key Accounts, if the insurance amount required for any Key Account or for Key Account work in general exceeds the amount specified as the amount required by us for any type of insurance, that higher amount required for the Key Account work will apply. Additional insurance requirements are set forth in the Operations Manual. We may develop an insurance program and require you to participate in it.

The commercial general liability policy must name Franchisor and any and all parents, subsidiaries, directors, officers, employees, and agents as their interest may appear as Additional Insureds. The policy must also include a waiver of subrogation against all parties named as Additional Insureds. The auto liability policy must name Franchisor and any and all parents, subsidiaries, directors, officers, employees, and agents as their interest may appear as Additional Insureds. The policy must also include a waiver of subrogation against all parties named as Additional Insureds. The workers' compensation policy must include a waiver of subrogation against Franchisor and any and all parents, affiliates, subsidiaries, directors, officers, employees, and agents.

Additional Insured status for Franchisor and any and all parents, subsidiaries, directors, officers, agents, employees or any other party required to be named as additional insureds under this Agreement will extend to the full limits of liability maintained by you even if those limits of liability are in excess of those required in this Agreement. Your insurance will be primary and any insurance carried by Franchisor is strictly excess and secondary and will not contribute with your

insurance. The requirements of this Agreement as to insurance limits and acceptability of insurers and insurance to be maintained by you are not intended to and will not in any manner limit or qualify the liabilities and obligations assumed by you under this Agreement.

You must deliver to us at least 5 days prior to commencement and thereafter annually or at our request a proper certificate of insurance, insurance policy endorsements and other evidence of compliance - showing the existence of the insurance coverage and your compliance with this Section. Your certificate of insurance will provide proof of the following: (i) Franchisor and all other affiliated parties are included as an Additional Insured where required; (ii) waiver of subrogation included in favor of Franchisor and all other affiliated parties; (iii) your insurance is primary, and all insurance maintained by Franchisor is excess and secondary and shall not contribute with your insurance; and (iv) no insurance may be cancelled or substantially changed without thirty (30) days' prior written notice by certified mail to Franchisor. If you change your insurance provider, you must immediately deliver the proper certificate of insurance to us. We also may request copies of all insurance policies. Any review we conduct of your insurance coverage does not limit your obligation to comply with this Section. We may modify the required minimum limits and types of coverage, by written notice to you. Upon such notification, you must immediately implement the modification of the policy, and provide evidence thereof, in accordance with our request. You may satisfy the insurance coverage limits through an umbrella policy that meets all the requirements of this Section. We have the right to terminate this Agreement for cause if you fail to comply with this Section.

You acknowledge that these minimum insurance requirements do not constitute advice or a representation by us that such coverages are necessary or adequate to protect you from losses in connection with the Business. Nothing in this Agreement restricts you from obtaining insurance with higher policy limits and/or additional coverage.

D. Noncompetition Covenants. You agree that you will receive valuable training and Confidential Information that you otherwise would not have received or had access to but for the rights licensed to you under this Agreement. You therefore agree to the following noncompetition covenants and agree that the following noncompetition covenants are reasonable and necessary to protect the System's legitimate business interests, including its Confidential Information, Intellectual Property, and customer goodwill:

1. Unless otherwise specified, the term "you" as used in this Section 9.D means and includes, collectively and individually, (a) if you are an entity, the entity, all guarantors and all shareholders, members, partners, as the case may be, and other holders of any ownership interest in the entity (collectively, "Owners"), as well as any spouse, children, parents and siblings of any guarantor and Owner, or (b), if you are an individual, the individual and the individual's spouse, children, parents and siblings. We may require you to obtain from your guarantors and Owners, and/or from your spouse, children, parents and siblings or any spouse, children, parents, and siblings of any Owner or guarantor, as applicable, a signed non-compete agreement in a form satisfactory to us that contains the non-compete provisions of this Section 9.D.

2. You promise that during the term of this Agreement, and during any Interim Period (if applicable), you will not, either directly or indirectly, for yourself, or through, on behalf of, or in conjunction with, any person or entity, own, manage, operate, maintain, engage in, consult with or have any interest in any Competitive Business (as defined below).

3. You promise that you will not, for a period of two years after the expiration or termination of this Agreement, or after the expiration or termination of any Interim Period (as applicable), regardless of the cause of termination, or within two years of the sale or Transfer of the Business or any interest in you, either directly or indirectly, for yourself, or through, on behalf of, or in conjunction with any person or entity, own, manage, operate, maintain, engage in, advertise, promote in any media including social media platforms, or consult with or have any interest in a Competitive Business (as defined below) that is located:

a. In the Territory;

b. Within a 25-mile radius of the outer boundary of the Territory; or

c. Inside the territory of another LAWN PRIDE Business, whether franchised or owned by us or our affiliates.

For purposes of this Agreement, a "Competitive Business" is any business that offers or sells any product or service or component thereof that (i) composes a part of our System, (ii) is the same as or similar to any product or service then-offered by our franchisees or (iii) otherwise competes directly or indirectly with our System.

4. You agree that the length of time in paragraph 3 above will be tolled for any period during which you are in breach of the non-compete covenants or any other period during which we seek to enforce this Agreement.

5. In addition, you agree that during the term of this Agreement and for one year thereafter, you will not, without our prior written consent, directly or indirectly, for yourself or on behalf of any other person, divert, or attempt to divert, any business or customer of the Business or any other LAWN PRIDE Business away from the System.

6. The parties agree that each of the foregoing covenants in this Section 9.D will be construed as independent of any other covenant or provision of this Agreement. To the extent anyone successfully contests the validity or enforceability of any part of this Section 9.D in its present form predicated upon the area of coverage, this provision will not be deemed invalid or unenforceable, but will instead be deemed modified, so as to be valid and enforceable, to provide coverage for the maximum scope that any court of competent jurisdiction or arbitrator will deem reasonable and necessary to protect our legitimate interests.

TRANSFER OF FRANCHISE

10. You agree that the following provisions govern any Transfer or proposed Transfer:

A. Transfers. We have entered into this Agreement with specific reliance upon your financial qualifications, experience, skills and managerial qualifications as being essential to the satisfactory operation of the Business. Consequently, neither your interest in this Agreement nor in the Business may be directly or indirectly Transferred to or assumed by any other person or entity (at times referred to as the "Assignee"), in whole or in part, unless (i) you have first tendered to us the right of first refusal to acquire this Agreement in accordance with Section 10.F, and we do not exercise such right; (ii) our prior written consent is obtained; (iii) the Transfer fee provided for in Section 10.C is paid; and (iv) the Transfer conditions described in Section 10.D are satisfied.

Any direct or indirect sale (including installment sale), lease, pledge, management agreement, contract for deed, option agreement, assignment, bequest, gift or otherwise, or any arrangement pursuant to which you turn over all or part of the daily operation of the Business to a person or entity who shares in the losses or profits of the Business (including merger, combination, or reorganization or as a result of death, disability, divorce, insolvency, or bankruptcy) in a manner other than as an employee will be considered a "Transfer" for purposes of this Agreement. A Transfer also includes the following which triggers the Transfer conditions set forth in this Section 10:

1. For purposes of this Section 10.A, a transfer, pledge or seizure, or change in control of any 20% direct or indirect ownership interest in you or in any Principal Owner, whether accomplished in a single transaction or a series of related or unrelated transactions; or

2. Any change in the general partner of a franchisee that is a general, limited or other partnership entity.

You may not place in any communication media or any form of advertising, any information relating to the sale of the Business or the rights under this Agreement, without our prior written consent.

B. Consent to Transfer. We will not unreasonably withhold our consent to a Transfer; provided we determine that all of the conditions described in this Section 10 have been satisfied. Application for our consent to a Transfer and tender of the right of first refusal provided for in Section 10.F must be made by submission on our form of application for consent to Transfer, which must be accompanied by the documents (including a copy of the proposed purchase or other Transfer agreement) and other required information. The application must indicate whether you or an owner will retain an interest in the property to be Transferred. No interest may be retained or created without our prior written consent and only upon conditions acceptable to us. Any agreement used in connection with a Transfer shall be subject to our prior written approval, which approval will not be withheld unreasonably. You immediately must notify us of any proposed Transfer and must submit promptly to us the application for consent to Transfer. Any attempted Transfer by you without our prior written consent or otherwise not in compliance with the terms of this Agreement will be void and will provide us with the right to elect either to default and terminate this Agreement or to collect from you and the guarantors a Transfer fee equal to two times the Transfer fee provided for in Section 10.C as damages.

C. Transfer Fee. You must pay to us a Transfer fee in the amount equal to the greater of (i) 5% of the purchase price of the Business (or portion thereof) or other interest that is being Transferred or (ii) $7,500. We will reduce the Transfer fee to $500 for a Transfer to an immediate family member (i.e., a spouse or a child; for avoidance of doubt, a sibling is not considered an immediate family member for this purpose). The Transfer fee is nonrefundable. You will not be required to pay a Transfer fee if you are an individual and wish to Transfer this Agreement to a newly formed legal entity wholly owned by you and established solely for purposes of the convenience of ownership and the operation of the Business; provided that you must become a guarantor of the Business as required under Section 6.A.

D. Conditions of Transfer. We condition our consent to any proposed Transfer, whether to an individual, a corporation, a partnership or any other entity, upon the following:

1. Assignee Requirements. The Assignee must meet all of our then-current requirements for our LAWN PRIDE franchise program we are offering at the time of the proposed Transfer, sign our then-current form of franchise agreement, and its owners must become guarantors of the Business as required under Section 6.A.

2. Payment of Amounts Owed. All amounts owed by you to us, or any of our affiliates or your suppliers, or upon which we or our affiliates have any contingent liability, must be paid in full.

3. Reports. You must have provided all required reports to us.

4. Guarantee. In the case of an installment sale for which we have consented to you or any owner retaining an interest or other financial interest in this Agreement or the Business, you or such owner, and the guarantors, are obligated to guarantee the performance under this Agreement until the final close of the installment sale or the termination of such interest, as the case may be.

5. Assumption of Obligations. The Assignee must assume and agree to be bound by all of your Customer obligations, including all warranty work and service plans obligations.

6. General Release. You and each guarantor must sign a general release of all claims arising out of or relating to this Agreement, your Business or the parties' business relationship, in the form we designate, releasing us and our affiliates.

7. Training. The assignee must, at your or assignee's expense, comply with our training requirements.

8. Financial Reports and Data. We have the right to require you to prepare and furnish to assignee and/or us such financial reports and other data relating to the Business and its operations as we deem reasonably necessary or appropriate for assignee and/or us to evaluate the Business and the proposed Transfer. You agree that we have the right to confer with proposed assignees and furnish them with information concerning the Business and proposed Transfer without being held liable to you, except for intentional misstatements made to an assignee. Any information furnished by us to proposed assignees is for the sole purpose of permitting the assignees to evaluate the Business and proposed Transfer and must not be construed in any manner or form whatsoever as earnings claims or claims of success or failure.

9. Other Conditions. You must have complied with any other conditions that we reasonably require from time to time as part of our Transfer policies. You acknowledge and agree that following any Transfer hereunder, you and your owners will continue to be subject to the noncompetition covenant under Section 9.D.3.

E. Involuntary Transfers.

1. Death, Disability or Incapacity. You will promptly notify us in the event of a death, disability or incapacity of Franchisee (or, if Franchisee is a legal entity, of Franchisee's Principal Owner). In such event, if the decedent's or disabled or incapacitated person's heir or successor-in-interest wishes to continue as the Franchisee or the Principal Owner of the Franchisee entity, such person or entity must tender the right of first refusal

provided for in Section 10.F, apply for our consent under Section 10.B, pay the applicable Transfer fee under Section 10.C, and satisfy the Transfer conditions under Section 10.D, as in any other case of a proposed Transfer, all within 120 days of the death or event of disability or incapacity. During any transition period to an heir or successor-in-interest, the Business still must be operated in accordance with the terms and conditions of this Agreement. If the assignee of the decedent, disabled, or incapacitated person is the spouse or child of such person, no Transfer fee will be payable to us and we will not have a right of first refusal as set forth in Section 10.F.

2. Insolvency or Bankruptcy. In the event of your insolvency or the filing of any petition by or against you under any provisions of any bankruptcy or insolvency law, if your legal representative, successor, receiver or trustee desires to succeed to your interest in this Agreement or the business conducted hereunder, such person first must notify us, tender the right of first refusal provided for in Section 10.F, and if we do not exercise such right, must apply for and obtain our consent to the Transfer, pay the Transfer fee provided for in Section 10.C, and satisfy the Transfer conditions described in Section 10.D. In addition, you or the Assignee must pay the attorneys' fees and costs that we incur in any bankruptcy or insolvency proceeding pertaining to you.

3. Divorce. You will promptly notify us of any divorce proceedings that may result in a Transfer and tender the right of first refusal provided for in subsection 10.F. If we do not exercise such right, you must apply for and obtain our consent to the Transfer, pay the Transfer fee provided for in Section 10.C, and satisfy the Transfer conditions described in Section 10.D.

F. Right of First Refusal. If you propose to Transfer this Agreement or your interest herein or in the Business, in whole or in part, to any third party, as contemplated by Section 10.A, you first must deliver a statement to us offering to sell to us your interest in this Agreement and the land, building, equipment, furniture and fixtures and any other assets or leasehold interests used in the operation of the Business (subject to this Section 10). If the proposed Transfer involves an offer from a third party, then you must obtain from the third-party offeror and deliver to us a statement, in writing, signed by the offeror and by you, of the binding terms of the offer.

If the Transfer does not involve an offer from a third party, then the purchase price for our purchase of assets described above will be established by a qualified appraiser selected by the parties. The price determined by the appraiser(s) will be the reasonable fair market value of the assets based on their continuing use in, as, and for the operation of the Business and the appraiser will designate a price for each category of asset (e.g., land, building, equipment, fixtures, etc.), but shall not include the value of any goodwill of the Business, as the goodwill of the Business is attributable to the Marks and the System. If the parties cannot agree upon the selection of such an appraiser, a Judge of the United States District Court for the District in which the Franchise Location is located will appoint one upon petition of either party. You or your legal representative must deliver to us a statement in writing incorporating the appraiser's report and all other information we have requested. We and you will each pay one-half of the appraiser's fees and expenses.

We then have 10 days from our receipt of the statement setting forth the third-party offer or the appraiser's report, as applicable (and all other information requested by us) to accept the offer by delivering written notice of acceptance to you. We will have an additional 45 days to complete the purchase if we elect to exercise our right of first refusal. Our acceptance of any right of first refusal will be on the same price and terms set forth in the statement delivered to us; provided, however (and regardless of whether the following are inconsistent with the price and

terms set forth in the statement) (1) we have the right to substitute equivalent cash for any noncash consideration included in the offer, (2) we will prepare the transaction documents for the Transfer, which will be on terms customary for this type of transaction (including representations and warranties, covenants, conditions, and indemnification), and (3) our purchase may be limited to any assets related to the Business.

If we fail to accept the offer within the 10-day period, you will be free for 60 days after such period to effect the disposition described in the statement delivered to us; provided such Transfer is in accordance with this Section 10, including obtaining our consent under Section 10.B. You may effect no other sale or assignment of you, this Agreement or the Business without first offering the same to us in accordance with this Section 10.F.

G. Transfer by Us. We have the right to sell or assign, in whole or in part, our interest in this Agreement without prior notice to you and without your consent.

DISPUTE RESOLUTION

11. The following provisions apply with respect to dispute resolution:

A. Mediation. Before any party may bring an action in court against the other, or commence an arbitration proceeding (except as noted in Section 11.B below), the parties must first meet to mediate the dispute. The mediation will be held in McLennan County, Texas. Any such mediation shall be non-binding and shall be conducted by the American Arbitration Association (the "AAA") in accordance with its then-current rules for mediation of commercial disputes unless the parties agree otherwise in writing. The mediator will be appointed in accordance with the rules and regulations of the AAA unless the parties agree on a mediator in writing within 10 days after either party gives written notice of mediation. The mediation hearing will be held within 20 days after the mediator has been appointed. Each party will bear its own costs and expenses for the mediation and will be responsible to pay 50% of the mediator's costs and expenses.

B. Exceptions to Mediation. Notwithstanding Section 11.A or any other provision of this Agreement, the parties agree that the following claims will not be subject to mediation and may be brought in any court of competent jurisdiction, subject to Sections 14.G.1 and 14.H:

1. any action for temporary, preliminary or permanent injunctive relief, ex parte seizure, specific performance, writ of attachment, or other equitable relief necessary to enjoin any harm or threat of harm to such party's tangible or intangible property, including trademarks, service marks and other Intellectual Property, confidential and/or trade secret information, or noncompetition covenants. You specifically acknowledge that your breach or threatened breach of any of your obligations under this Agreement, including but not limited to Sections 3 (Trademark Standards and Requirements), 5.C (Authorized Services and Products), 5.E (Computer System; Call Center Program), 5.F (Customer Information), 5.H (Confidential Information), 5.K (Participation in Internet Websites), 9.D (Noncompetition Covenants), 10.A (Transfers), or 13.A (Reversion of Rights; Discontinuation of Trademark Use), will cause irreparable harm to our tangible and/or intangible property and goodwill. You understand that irreparable harm is an injury for which monetary damages are not an adequate remedy. Therefore, upon any such breach or threatened breach by you, in addition to any other rights or remedies that may be available to us at law, equity or otherwise, you acknowledge that we will be entitled to equitable relief, including an injunction, restraining order or specific performance, without

any requirement to prove irreparable harm. In addition, you hereby waive any right to request that a bond be issued as security (except for a nominal bond not to exceed $100);

2. any action in ejectment or for possession of any interest in real or personal property; and

3. any action related solely to the collection of moneys owed to us or our affiliates under this Agreement (including, without limitation, License Fees, Minimum License Fees and MAP Fees), or any other agreement related to the franchise granted under this Agreement, including, without limitation, any promissory note or a guarantee executed hereunder. "Moneys owed" also includes attorneys' fees incurred in the collection of moneys owed, including through the judicial process.

C. Litigation. Except as provided in Section 11.D., any dispute between you and us or any of our or your affiliates, including without limitation, your owners and guarantors, arising under, out of, in connection with or in relation to this Agreement, the parties' relationship, or your Business (collectively, "Dispute") not resolved through mediation under Section 11.A must be submitted to litigation pursuant to Section 14.H.

D. Arbitration. If a court of competent jurisdiction determines that Section 14.I (Jury Waiver) and/or Section 14.J (No Class or Consolidated Actions) is invalid or unenforceable with respect to the Dispute, then and only then, notwithstanding any other provision of this Agreement to the contrary, the Dispute must be submitted to binding arbitration under the authority of the Federal Arbitration Act and must be determined by arbitration administered by the AAA pursuant to its then-current commercial arbitration rules and procedures. The arbitration must take place in McLennan County, Texas. The arbitration must be conducted by a single arbitrator. The arbitrator must follow the law and not disregard the terms of this Agreement. The arbitrator must have at least five years of significant experience in franchise law. The court shall decide the gateway issue of arbitrability. Any arbitration must be on an individual basis and the parties and the arbitrator will have no authority or power to proceed with any claim as a class action or otherwise to join or consolidate any claim with any other claim or any other proceeding involving third parties. If this limitation on joinder of or class action certification of claims within arbitration is held to be unenforceable, then this entire commitment to arbitrate shall become null and void and the parties shall submit all claims to the jurisdiction of the courts. A judgment may be entered upon the arbitration award in any court of competent jurisdiction. The decision of the arbitrator will be final and binding on all parties to the dispute; however, the arbitrator may not under any circumstances: (1) stay the effectiveness of any pending termination of this Agreement; (2) except as provided in Section 14.K, assess punitive or exemplary damages; or (3) make any award which extends, modifies or suspends any lawful term of this Agreement or any reasonable standard of business performance that we set. Each party will bear its own costs and expenses for the arbitration and will be responsible to pay 50% of the arbitrator's fees and costs (including arbitrator's and AAA's fees and costs); provided that the prevailing party will be entitled to reimbursement of its fees and costs under Section 11.E.

E. Attorneys' Fees. The prevailing party in any action or proceeding arising under, out of, in connection with, or in relation to this Agreement, the parties' relationship or the Business will be entitled to recover its reasonable attorneys' fees and costs (including arbitrator's and AAA's fees and costs).

DEFAULT AND TERMINATION

12. The following provisions apply with respect to default and termination:

A. Defaults. You are in default if we determine that you or any guarantor has breached any of the terms of this Agreement or any other agreement between you and us or our affiliates, which without limiting the generality of the foregoing includes (i) making any false report to us; (ii) intentionally understating or underreporting or failing to pay when due any amounts required to be paid to us or any of our affiliates; (iii) conviction of you or a guarantor of (or pleading no contest to) any misdemeanor that brings or tends to bring any of the Marks into disrepute or impairs or tends to impair your reputation or the goodwill of any of the Marks or the Business, or any felony; (iv) filing of tax or other liens that may affect this Agreement; or (v) the filing of voluntary or involuntary bankruptcy by or against you or any guarantor, insolvency, making an assignment for the benefit of creditors or any similar voluntary or involuntary arrangement for the disposition of assets for the benefit of creditors.

B. Termination by Us. We have the right to terminate this Agreement in accordance with the following provisions:

1. Termination After Opportunity to Cure. Except as otherwise provided in this Section 12.B: (i) you will have 30 days from the date of our issuance of a written notice of default to cure any default under this Agreement, other than a failure to pay amounts due or submit required reports, in which case you will have 10 days to cure those defaults, and other than a failure to meet the Minimum Performance Standards, in which case you will have 12 months to cure the default; (ii) your failure to cure a default within the 30-day or 10-day period will provide us with good cause to terminate this Agreement; (iii) the termination will be accomplished by mailing or delivering to you written notice of termination that will identify the grounds for the termination; and (iv) the termination will be effective immediately upon our issuance of the written notice of termination.

2. Immediate Termination With No Opportunity to Cure. If any of the following defaults occur, you will have no right to cure the default and this Agreement will terminate effective immediately on our issuance of written notice of termination: (i) any material misrepresentation or omission in your franchise application or other reports or information provided to us; (ii) your voluntary abandonment of this Agreement (which includes your failure to operate the Business for seven or more consecutive days); (iii) the closing of the Business by any state or local authorities for public safety reasons; (iv) your registration of any domain name or social media account containing our Marks; (v) any unauthorized use of the Confidential Information; (vi) insolvency of you or guarantor, you or a guarantor making an assignment or entering into any similar arrangement for the benefit of creditors; (vii) conviction of you or any guarantor of (or pleading no contest to) any misdemeanor that brings or tends to bring any of the Marks into disrepute or impairs or tends to impair your reputation or the goodwill of the Marks or the Business, or any felony; (viii) intentionally understating or underreporting Gross Sales, License Fees or MAP Fees or any understatement or 3% variance on a subsequent audit within a 2-year period; (ix) a violation of the non-competition covenant under Section 9.D and/or Schedule F; (x) any actual or attempted unauthorized Transfer in violation of Section 10; (xi) a final judgment against you in our or our affiliates' favor is issued by a court or an arbitrator of competent jurisdiction; or (xii) any default by you that is the second default of any type within any 12-month consecutive period even if the default(s) were cured.

3. Immediate Termination After No More than 24 Hours to Cure. If a default under this Agreement occurs that materially impairs the goodwill associated with any of the Marks, violates any health or safety law or regulation, violates any System standard as to cleanliness, health and safety, or if the operation of your Business presents a health or safety hazard to the public or to Customers or employees: (i) you will have no more than 24 hours after we provide written notice of the default to cure the default; and (ii) if the default is not timely cured, this Agreement will terminate effective immediately on our issuance of written notice of termination.

4. Effect of Other Laws. The provisions of any valid, applicable law or regulation prescribing permissible grounds, cure rights or minimum periods of notice for termination of this franchise supersede any provision of this Agreement that is less favorable to you.

C. Termination by You. You may terminate this Agreement as a result of a breach by us of a material provision of this Agreement; provided that: (i) you provide us with written notice of the breach that identifies the grounds for the breach; and (ii) we fail to cure the breach within 30 days after our receipt of the written notice. If we fail to cure the breach, the termination will be effective 60 days after our receipt of your written notice of breach. Your termination of this Agreement under this Section will not release or modify your post-term obligations under Section 13 of this Agreement.

POST-TERM OBLIGATIONS

13. Upon the expiration or termination of this Agreement, or the expiration or termination of any Interim Period:

A. Reversion of Rights; Discontinuation of Trademark Use and Use of Intellectual Property. All of your rights to the use of the Marks and Intellectual Property and all other rights and licenses granted herein and the right and license to conduct business under the Marks will revert to us immediately upon expiration or termination of this Agreement without further act or deed of any party. All of your right, title and interest in, to and under this Agreement will become our property. Upon our demand, you must assign to us or our assignee your remaining interest in any lease then in effect for the Business (although we will not assume any past due obligations).

You must immediately comply with the post-term noncompetition obligations under Section 9.D, cease all use and display of the Marks, all other Intellectual Property associated with the System and of any proprietary material (including the Operations Manual) and of all or any portion of promotional materials furnished or approved by us, assign and transfer all right, title and interest in the telephone numbers, domain names, and social media or digital marketing accounts used at any time for the Business and cancel or assign, at our option, any assumed name rights or equivalent registrations filed with authorities. You are solely responsible for removing and ceasing use of the Marks on any social media or digital marketing accounts that you set up for the Business and providing us with written confirmation of the same. You must immediately pay all sums due to us, our affiliates or designees and to third parties, such debts being accelerated automatically without further notice to you. You must immediately deliver to us, at your expense, all copies of the Operations Manual, Customer lists and ongoing Customer contracts then in your possession or control or previously disseminated to your employees and continue to comply with the confidentiality provisions of Section 5.H. You must promptly, at your expense, remove or obliterate all LAWN PRIDE Business signage, displays or other materials in your possession that bear any of the Marks or names or material confusingly similar to the Marks, including all such

signage and displays on any vehicles, and so alter the appearance of the Business premises, vehicles and trailers as to differentiate the Business unmistakably from duly licensed LAWN PRIDE Businesses identified by the Marks. You must cease any and all advertising and use of any identifying materials generated during the term of the franchise, including, but not limited to, terminating all business listings in electronic and print format, cancelation of all websites, domain names, social media accounts, internet keywords, and telephone numbers (if not assigned to us) used at any time in connection with the Business. You must provide sufficient proof to Franchisor that you have complied with the post-termination obligations. If you fail to immediately de-identify your Business, you must pay all expenses we incur to de-identify your Business.

Upon expiration or termination of this Agreement (or the expiration or termination of any Interim Period), any continued use of the Marks by you or the Business or use of any other Intellectual Property associated with the System: (i) will constitute willful and knowing infringement, dilution of our trademark rights and unfair competition; (ii) will constitute the false designation of origin, source, or sponsorship and false or misleading descriptions and representations in violation of Section 43 of the Lanham Act, 15 U.S.C. § 1125(a), and (iii) may constitute trafficking in a counterfeit mark, among other causes of action.

In the event of expiration or termination of this Agreement (or the expiration or termination of any Interim Period), you will remain liable for your obligations pursuant to this Agreement or any other agreement between you and us or our affiliates that expressly or by their nature survive the expiration or termination of this Agreement, including your indemnification obligations under Section 9.B.

B. Claims. You and your owners and guarantors may not assert any claim or cause of action against us or our affiliates arising out of or relating to this Agreement or your Business after the shortest period of (i) the applicable statute of limitations, (ii) two years and one day following the effective date of expiration or earlier termination of this Agreement or (iii) two years and one day from the accrual of any such claim or cause of action; provided that where the two-year-and-one-day limitation of time in clause (ii) or clause (iii) is prohibited or invalid by or under any applicable law, then and in that event only, no suit or action may be commenced or maintained unless commenced within the applicable statute of limitations.

GENERAL PROVISIONS

14. The parties agree to the following provisions:

A. Severability. Should one or more clauses of this Agreement be held void or unenforceable for any reason by any court of competent jurisdiction, such clause or clauses will be deemed to be separable in such jurisdiction and the remainder of this Agreement is valid and in full force and effect and the terms of this Agreement must be equitably adjusted so as to compensate the appropriate party for any consideration lost because of the elimination of such clause or clauses. It is the intent and expectation of each party that each provision of this Agreement will be honored, carried out and enforced as written. Consequently, each party agrees that any provision of this Agreement sought to be enforced in any proceeding must, at the election of the party seeking enforcement and notwithstanding the availability of an adequate remedy at law, be enforced by specific performance or any other equitable remedy.

B. Waiver/Integration/Amendments. No waiver by us of any breach by you, nor any delay or failure by us to enforce any provision of this Agreement, may be deemed to be a waiver of any other or subsequent breach or be deemed a bar or an estoppel to enforce our rights with

respect to that or any other or subsequent breach. Subject to our rights to modify the Operations Manual and/or standards and as otherwise provided herein, this Agreement may not be waived, altered or rescinded, in whole or in part, except by a writing signed by you and us. This Agreement together with the addenda and appendices hereto constitutes the entire agreement between the parties concerning the franchise for the Business and supersedes any and all prior negotiations, understandings, representations, and agreements. Nothing in this or in any related agreement, however, is intended to disclaim the representations we made in the Disclosure Document we furnished to you. You must pay us our then-current processing fee (currently $300) if we make any modifications to this Agreement upon your request.

C. Notices. Except as otherwise provided in this Agreement, any notice, demand or communication provided for herein must be in writing and signed by the party serving the same and either delivered personally, in electronic form via email to an authorized email address or deposited in the United States mail, service or postage prepaid, and if such notice is a notice of default or of termination, by a reputable overnight service, and addressed as follows:

1. If intended for us, addressed to LAWN PRIDE SPV LLC, 1010 N. University Parks Drive, Waco, Texas 76707, Attn: President, with a copy to 1010 North University Parks Drive, Waco, Texas 76707, Attn: General Counsel;

2. If intended for you, addressed to you at the address set forth on the Data Sheet; or,

in either case, to such other address as may have been designated by notice to the other party. Notices for purposes of this Agreement will be deemed to have been received if mailed or delivered as provided in this Section.

D. Authority. Any modification, consent, approval, authorization or waiver granted hereunder required to be effective by signature will be valid only if in writing executed by you or, if on behalf of us, in writing executed by our President or one of our authorized Vice Presidents or other authorized officer.

E. References. If the franchisee is two or more individuals, the individuals are jointly and severally liable hereunder, and references to you in this Agreement include all of the individuals. Headings and captions contained herein are for convenience of reference and may not be taken into account in construing or interpreting this Agreement.

F. Successors/Assigns. Subject to the terms of Section 10 hereof, this Agreement is binding upon and inures to the benefit of the administrators, executors, heirs, successors and permitted assigns of the parties.

G. Interpretation of Rights and Obligations. The following provisions apply to and govern the interpretation of this Agreement, the parties' rights under this Agreement, and the relationship between the parties:

1. Applicable Law and Waiver. The parties agree that the execution of this Agreement and the acceptance of its terms occurred in the state of Texas. The parties further agree that the performance of material obligations arising under the Agreement, including but not limited to, your payment of monies due hereunder and the satisfaction of certain of our training requirements, shall occur in the state of Texas. Accordingly, subject to our rights under federal trademark laws and the parties' rights under the Federal

Arbitration Act in accordance with Section 11, this Agreement, the parties' rights under this Agreement, and the relationship between the parties under this Agreement are governed by, and will be interpreted in accordance with, the laws (statutory and otherwise) of the state of Texas (excluding any conflicts of laws principles).

2. Our Rights. Whenever this Agreement provides that we have a certain right, that right is absolute and the parties intend that our exercise of that right will not be subject to any limitation or review. We have the right to operate, administrate, develop, and change the System in any manner that is not specifically precluded by the provisions of this Agreement.

3. Our Reasonable Business Judgment. Whenever we reserve discretion in a particular area or where we agree to exercise our rights reasonably or in good faith, we will satisfy our obligations whenever we exercise "Reasonable Business Judgment" (as defined below) in making our decision or exercising our rights. Our decisions or actions will be deemed to be the result of "Reasonable Business Judgment," even if other reasonable or even arguably preferable alternatives are available, if our decision or action is intended, in whole or significant part, to promote or benefit the System generally even if the decision or action also promotes our financial or other individual interest. Examples of items that will promote or benefit the System include, without limitation, enhancing the value of the Marks, improving Customer service and satisfaction, improving product and service quality, improving uniformity, enhancing or encouraging modernization and improving the competitive position of the System.

H. Venue. Any dispute between you and us or any of our or your affiliates, including without limitation, your owners and guarantors, arising under, out of, in connection with or in relation to this Agreement, the parties' relationship, or your Business, including disputes not resolved through mediation, must be brought in the state or federal district court located in McLennan County, Texas. Both parties hereto irrevocably submit themselves to, and consent to, the jurisdiction of said courts and specifically waive any objection to the jurisdiction and venue of such courts. The parties specifically waive the right to remove any action brought in the state court of McLennan County, Texas to a federal district court. The provisions of this Section will survive the termination of this Agreement. The parties are aware of and acknowledge the business purposes and needs underlying the language of this Section, and with a complete understanding thereof, agree to be bound in the manner set forth.

I. **Jury Waiver. ALL PARTIES HEREBY WAIVE ANY AND ALL RIGHTS TO A TRIAL BY JURY IN CONNECTION WITH THE ENFORCEMENT OR INTERPRETATION BY JUDICIAL PROCESS OF ANY PROVISION OF THIS AGREEMENT, AND IN CONNECTION WITH ALLEGATIONS OF STATE OR FEDERAL STATUTORY VIOLATIONS, FRAUD, MISREPRESENTATION OR SIMILAR CAUSES OF ACTION OR ANY LEGAL ACTION INITIATED FOR THE RECOVERY OF DAMAGES FOR BREACH OF THIS AGREEMENT AND CLAIMS ARISING OUT OF THE PARTIES' RELATIONSHIP.**

J. **No Class or Consolidated Actions. ALL CLAIMS, CONTROVERSIES AND DISPUTES MAY ONLY BE BROUGHT BY THE FRANCHISEE ON AN INDIVIDUAL BASIS AND MAY NOT BE COMBINED OR CONSOLIDATED WITH ANY CLAIM, CONTROVERSY OR DISPUTE FOR OR ON BEHALF OF ANY OTHER FRANCHISEE OR BE PURSUED AS PART OF A CLASS ACTION**.

K. Waiver of Punitive and Consequential Damages. Except with respect to indemnification obligations hereunder with respect to third-party claims and except for damages under the Lanham Act, you and us and our affiliates agree to waive, to the fullest extent permitted by law, the right to or claim for any consequential, indirect, special, punitive or exemplary damages against the other and agree that in the event of any dispute between them, each will be limited to the recovery of actual damages sustained. Notwithstanding anything herein to the contrary, each party waives, to the fullest extent permitted by law, the right to or claim for any punitive or exemplary damages against the other.

L. WAIVER OF CONSUMER RIGHTS. YOU WAIVE ANY RIGHTS YOU MAY HAVE UNDER THE TEXAS DECEPTIVE TRADE PRACTICES CONSUMER PROTECTION ACT, SECTION 17.41, ET SEQ., BUSINESS AND COMMERCE CODE, AND UNDER ANY OTHER SIMILAR LAW OF TEXAS OR ANY OTHER JURISDICTION THAT GIVES CONSUMERS SPECIAL RIGHTS AND PROTECTIONS. AFTER AN ADEQUATE OPPORTUNITY TO REVIEW THIS PROVISION INCLUDING THE OPPORTUNITY TO CONSULT WITH AN ATTORNEY OF YOUR OWN SELECTION, YOU VOLUNTARILY CONSENT TO THIS WAIVER.

M. Relationship of the Parties. You and we are independent contractors. Neither party is the agent, legal representative, partner, subsidiary, joint venturer or employee of the other. Neither party may obligate the other or represent any right to do so. This Agreement does not reflect or create a fiduciary relationship or a relationship of special trust or confidence.

N. Construction. The parties mutually agree that any ambiguities in this Agreement shall not be construed or interpreted more strictly against the drafting party.

O. Force Majeure. A party's failure of performance of this Agreement according to its terms will not be deemed a breach of this Agreement to the extent such failure was caused by events beyond the party's control and which could not be avoided by the exercise of due care including, but not limited to terrorism, strikes (except those caused by employees or agents), war, riots, civil disorder, and acts of government except as may be specifically provided for elsewhere in this Agreement. Nothing in this provision shall excuse a party from any obligations, or deprive any party of rights, that survive termination of this Agreement, including but not limited to those obligations and rights set forth in Sections 9.B and 9.D.

P. Adaptations and Variances. You acknowledge that complete and detailed uniformity under many varying conditions may not always be possible, practical, or in the best interest of the System. Accordingly, we have the right to vary the standards, specifications, and requirements for any franchised business based on conditions we deem important to the operation of such business and/or the System, as more particularly set forth in the Operations Manual. We are not required to grant you a like or other variation. You acknowledge that the obligations and rights of the parties to other agreements may differ materially from your rights and obligations under this Agreement.

Q. Notice of Potential Profit. You acknowledge that we and/or our affiliates may from time to time make a profit on our sales of goods or services to you for use in your Business. Further, we and/or our affiliates may from time to time receive rebates and/or other consideration from suppliers and/or manufacturers in respect of sales of goods or services to you or in consideration of services rendered or rights licensed to such persons. You agree that we and/or our affiliates are entitled to said rebates, profits and/or consideration and we may use same as we deem appropriate.

R. Anti-Terrorism Provision. You and each of your Owners represent and warrant to us that: (i) neither you nor any Owner is named, either directly or by an alias, pseudonym or nickname, on the lists of "Specially Designated Nationals" or "Blocked Persons" maintained by the U.S. Treasury Department's Office of Foreign Assets Control currently located at www.treas.gov/offices/ enforcement/ofac/; (ii) you and each Owner will take no action that would constitute a violation of any applicable laws against corrupt business practices, against money laundering and against facilitating or supporting persons or entities who conspire to commit acts of terror against any person or entity, including as prohibited by the U.S. Patriot Act (currently located at www.epic.org/privacy/ terrorism/hr3162.html), U.S. Executive Order 13244 (currently located at www.treas.gov/offices/enforcement/ofac/sanctions/terrorism.html) or any similar laws; and (iii) you and each Owner shall immediately notify us in writing of the occurrence of any event or the development of any circumstance that might render any of the foregoing representations and warranties false, inaccurate or misleading.

S. Franchisor's Affiliates. You agree that except for any affiliate that guarantees our performance hereunder pursuant to a guarantee included in our Franchise Disclosure Document, no other past, present or future director, officer, employee, incorporator, member, partner, stockholder, subsidiary, affiliate, controlling party, entity under common control, ownership or management, vendor, service provider, agent, attorney or representative of LAWN PRIDE SPV LLC will have any liability for: (i) any obligations or liabilities of LAWN PRIDE SPV LLC relating to or arising from this Agreement; (ii) any claim against LAWN PRIDE SPV LLC based on, in respect of, or by reason of the relationship between you and LAWN PRIDE SPV LLC; or (iii) any claim against LAWN PRIDE SPV LLC based on any alleged unlawful act or omission of LAWN PRIDE SPV LLC.

EACH PERSON SIGNING THIS AGREEMENT REPRESENTS AND WARRANTS THAT HE OR SHE IS AUTHORIZED TO BIND THE RESPECTIVE PARTY TO THIS AGREEMENT. THIS AGREEMENT IS NOT BINDING OR ENFORCEABLE UNTIL WE SIGN IT.

[*Signature Page Follows*]

IN WITNESS WHEREOF, the parties have executed this Franchise Agreement as of the dates written below.

FRANCHISEE:

_____
_____, individually

_____
Date

FRANCHISOR:

LAWN PRIDE SPV LLC, a Delaware limited liability company

BY: _____

_____
Date

Schedule A to the Franchise Agreement

Data Sheet

1. Franchisee: _____

_____

_____

_____

Email: _____

Telephone: _____

Cell Phone: _____

2. Owners. You represent and warrant to us that the following persons are the only Owners of Franchisee:

Name	Home Address	Percentage of Ownership	Principal Owner (Y/N)

The foregoing Principal Owners will be devoting their full time to the Business with _____ being identified as the Managing Principal Owner. The Managing Principal Owner is a Principal Owner for all purposes under this Agreement, except that the Managing Principal Owner shall have primary responsibility for the management of the Business and shall have the authority to make all decisions on behalf of the Franchisee and the Managing Principal Owner's decisions will bind the Franchisee.

Within 10 days from the date of any and every change in the identity and/or ownership holdings of any Owner of Franchisee (any such change being subject to the limitations and requirements of this Agreement, including Section 10) or a change in the identity of the Managing Principal Owner you must update this Data Sheet accordingly and provide us a copy of the updated Data Sheet.

3. Territory. _____

_____

_____

Targeted Households in the Territory: _____

4. Initial Fees:

Initial Franchise Fee: $_____[1]

[1] Initial Franchise Fee equals to $0.89 per Targeted Household ("TH") in the Territory.

a. _____ Roll-in: The above listed Initial Franchise Fee reflects a discount of 5% for each $100,000 of annual gross sales which Franchisee has attained in the Existing Business and has hereby rolled into the Business (pursuant to the Roll-In Addendum attached hereto as Schedule H), up to a maximum discount of fifty percent (50%).

5. **License Fees:** From and after you execute the Franchise Agreement, you begin to report Gross Sales and pay us a weekly license fee (the "License Fee") equal to the applicable percentage of Gross Sales as set forth in the first table below; provided that March through November of each year, Minimum License Fee obligation applies as described in the second table below:

License Fees (as a percentage of weekly Gross Sales)				
	Weeks 1 – 52	**Weeks 53 – 104**	**Weeks 105 – 156**	**Weeks 157 - End**
Standard	8%	8%	8%	8%
Small Roll-in	4%	6%	8%	8%
Medium Roll-in	4%	4%	8%	8%
Large Roll-in	4%	4%	4%	6%

	March - November Minimum License Fees*							
Agreement Year**	1,2, and 3	4	5	6	7	8	9	10
Minimum License Fee per Monthly Reporting Period – during Months of March – November only	N/A	$975	$1,300	$1,755	$1,755	$1,755	$1,755	$1,755

* Minimum License Fees are only due for the months of March through November of every calendar year.

"Monthly Reporting Period" means a 4-week or a 5-week period as determined by us for each calendar year and communicated to you in writing prior to the beginning of each calendar year.

** Agreement Year is each 12 consecutive month period during the term of the Franchise Agreement, with Year 1 starting on the Effective Date of the Franchise Agreement and ending on the 12-month anniversary of the Effective Date.

Current Monthly Reporting Period Calendar

Month	**Begin Date**		**End Date**	
1	12/29/2025	to	2/1/2026	No Minimums
2	2/2/2026	to	3/1/2026	No Minimums
3	3/2/2026	to	5/3/2026	
4	3/30/2026	to	5/3/2026	
5	5/4/2026	to	5/31/2026	

Month	Begin Date		End Date	
6	6/1/2026	to	6/28/2026	
7	6/29/2026	to	8/2/2026	
8	8/3/2026	to	8/30/2026	
9	8/31/2026	to	9/27/2026	
10	9/28/2026	to	11/1/2026	
11	11/2/2026	to	11/29/2026	
12	11/30/2026	to	1/3/2027	No Minimums

Roll-in Definition

Special Rates for Roll-in with $200,000 to $599,999 in Annual Gross Sales ("Small Roll-in"). If you have an Existing Business with $200,000 to $599,999 in annual gross sales volume that you "roll-in" to the franchise, we allow you to use special rates at certain times. The percentages in the chart are multiplied by weekly Gross Sales, or in the case of Minimum License Fees and Minimum MAP Fees, Roll-In Services Average Weekly Gross Sales, which are the annual gross sales you "rolled-in" to the franchise, divided by 52.

Special Rates for Roll-in with $600,000 to $899,999 in Annual Gross Sales ("Medium Roll-in"). If you have an Existing Business with $600,000 to $899,999 in annual gross sales volume that you "roll-in" to the franchise, we allow you to use special rates at certain times. The percentages in the chart are multiplied by weekly Gross Sales, or in the case of Minimum License Fees and Minimum MAP Fees, Roll-In Services Average Weekly Gross Sales, which are the annual gross sales you "rolled-in" to the franchise, divided by 52.

Special Rates for Roll-in with $900,000 or Greater in Annual Gross Sales ("Large Roll-in"). If you have an Existing Business with $900,000 or greater in annual gross sales volume ("Large Roll-in") that you "roll-in" to the franchise, we allow you to use special rates at certain times. The percentages in the chart are multiplied by weekly Gross Sales, or in the case of Minimum License Fees and Minimum MAP Fees, Roll-In Services Average Weekly Gross Sales, which are the annual gross sales you "rolled-in" to the franchise, divided by 52.

If you currently perform services that are related to, but distinguishable from the services to be performed by the Business, you may elect, if we consent, in our sole discretion, to exclude that work from your franchise by executing the Excluded Services Addendum attached hereto. If so, the services to be excluded must be specifically listed as Excluded Services performed by your Existing Business under the Excluded Services Addendum. If you do not currently perform these services or sales in an existing business but elect to start offering those services in the future, you will not have the option of excluding those services from the franchise.

All Gross Sales generated by the Business in servicing Customers in TAFS or pursuant to the Preferred Lead Program shall be subject to a License Fee rate of 15% of applicable Gross Sales.

6. **MAP Fee:** 2% of Gross Sales

7. **Local Marketing Spend Requirement:** In year one of Business operations, you must spend at least $80,000 on local marketing and advertising. In year two of operations, you must spend at least $52,500. After the time period for the Initial Marketing Spend Requirement, the annual minimum local marketing requirement is: (i) at least $40,000 so long as annual Gross Sales of the Business are $525,000 or less; or (ii) once the Business' annual Gross Sales exceed $525,000, then, at least 8% of the annual Gross Sales of the Business.

9. **Proprietary Call Center Fees:*** Paid monthly in arrears the first week of each month.

   a. $_____[2] per month, plus

   b. $25 per sales appointment booked.

   *Subject to change upon 30 days' prior notice, but not more than by 30% annually in addition to any direct price increases from third-party vendors.

10. **Technology Package Software Set Up Fee:** $1,250

11. **Single Family Households located within the Territory: _____**

12. **Scheduled Opening Date: _____**

13. **Effective Date: _____**

[SIGNATURES ON FOLLOWING PAGE]

[2] 349.99-$499.99

FRANCHISEE:

_____
_____, individually

_____
Date

FRANCHISOR:

LAWN PRIDE SPV LLC
A Delaware limited liability company

BY: _____

_____
Date

Schedule B to the Franchise Agreement

ACH FORM

ACH Origination services will not be considered until this application is

FILLED OUT COMPLETELY

Date of Application:	Business Phone:
Franchise ID #:	Cell Phone:
Franchise Business Owner Name:	
Name of DBA:	
Contact Person:	Title:
Business Address:	
SPECIAL DRAFTING INSTRUCTIONS:	

Please complete blanks below with your banking information using the sample as a reference only, or attach a sample voided check that displays the required information.

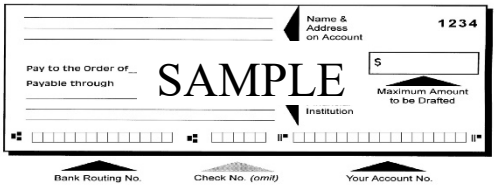
We recommend attaching an image of a cancelled check, banking statement that clearly shows the routing and accounting number to ensure accuracy:

Name of Financial Institution:

Name and Address on Account:

Bank Routing No.:

Account No:



I hereby authorize Lawn Pride SPV LLC ("Franchisor"), its affiliates, including Neighborly Assetco LLC, and the financial institution named above to initiate entries, including debit and credit entries, to my checking/savings account identified above periodically, including weekly, monthly, annually or as necessary, on a day specified from time to time by Franchisor to pay all fees, charges and any other amounts owed (including, License Fees, MAP fees, call center fees, late fees, interest charges, note payments, software fees and any other amounts owed) pursuant to the terms of the Franchise Agreement and all related agreements entered into with Franchisor and/or its affiliates, with License Fees and MAP fees to be in accordance with the weekly sales analysis submitted by me; and, if necessary, to initiate adjustments for any transactions credited in error. These debits are related to the operation of the franchised business and the amount of each debit will vary, including from week to week, to a maximum amount (if any) as set forth in the Franchise Agreement. The credits are the amounts due to the franchised business that Franchisor receives from third parties for services performed by the franchised business net of Franchisor's deductions for audit and any related administrative fees and/or credit entries to correct any debit entries that may have been made in error. This authority will remain in effect until I notify you in writing to cancel it in such time as to afford the financial institution a reasonable opportunity to act on such instructions. I can stop payment of any entry by notifying the financial institution at least 3 days before my account is scheduled to be charged. I can have the amount of an erroneous charge immediately credited to my account for up to 15 days following issuance of my statement by the financial institution or up to 60 days after deposit, whichever occurs first.

_____ _____

Date Signature of Franchisee

Schedule C to the Franchise Agreement

PERSONAL GUARANTEE AND AGREEMENT TO BE BOUND PERSONALLY BY THE TERMS AND CONDITIONS OF THE FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement by us, and for other good and valuable consideration, the undersigned, for themselves, their heirs, successors, and assigns, do jointly, individually and severally hereby become surety and guarantor for the payment of all amounts and the performance of the covenants, terms and conditions in the Franchise Agreement, to be paid, kept and performed by the franchisee, including without limitation the arbitration and other dispute resolution provisions of the Franchise Agreement.

Further, the undersigned, individually and jointly, hereby agree to be personally bound by each and every condition and term contained in the Franchise Agreement, including but not limited to the provisions in Section 9, and agree that this Personal Guarantee will be construed as though the undersigned and each of them executed a Franchise Agreement containing the identical terms and conditions of the Franchise Agreement.

Each of the undersigned waives: (1) notice of demand for payment of any indebtedness or nonperformance of any obligations hereby guaranteed; (2) protest and notice of default to any party respecting the indebtedness or nonperformance of any obligations hereby guaranteed; and (3) any right he/she may have to require that an action be brought against the franchisee or any other person as a condition of liability.

In addition, each of the undersigned consents and agrees that: (i) the undersigned's liability will not be contingent or conditioned upon our pursuit of any remedies against the franchisee or any other person; and (ii) such liability will not be diminished, relieved or otherwise affected by franchisee's insolvency, bankruptcy or reorganization, the invalidity, illegality or unenforceability of all or any part of the Franchise Agreement, or any amendment or extension of the Franchise Agreement, with or without notice to the undersigned. It is further understood and agreed by the undersigned that the provisions, covenants and conditions of this Guarantee will inure to the benefit of our successors and assigns.

FRANCHISEE: _____

PERSONAL GUARANTORS:

_____

_____, individually
Address
City, State, Zip Code
Telephone

Schedule D to the Franchise Agreement

For franchisees in the State of Washington: **Do not sign this document.**

THIS SCHEDULE D DOES NOT APPLY TO CANDIDATES LOCATED IN, OR FRANCHISED BUSINESSES TO BE LOCATED IN, ANY OF THE FOLLOWING FRANCHISE REGISTRATION STATES: CA, HI, IL, IN, MD, MI, MN, NY, ND, RI, SD, VA, WA, or WI.

ACKNOWLEDGMENT ADDENDUM TO LAWN PRIDE FRANCHISE AGREEMENT

As you know, you and we are entering into a Franchise Agreement for the operation of a LAWN PRIDE franchise. The purpose of this Acknowledgment Addendum is to determine whether any statements or promises were made to you that we have not authorized or that may be untrue, inaccurate or misleading, and to be certain that you understand the limitations on claims that may be made by you by reason of the offer and sale of the franchise and operation of your business. Please review each of the following statements carefully and confirm their accuracy or advise us of their inaccuracy.

Acknowledgments and Representations. I, the undersigned, hereby acknowledge and represent to LAWN PRIDE SPV LLC, as follows:

1. I have received a copy of LAWN PRIDE SPV LLC Franchise Disclosure Document (and all exhibits and attachments) (the "Disclosure Document") at least fourteen calendar days prior to signing the LAWN PRIDE® Franchise Agreement (the "Franchise Agreement").
   Please select one: ☐ **I Agree** ☐ **I Disagree**
   If you disagree, please comment:_____

2. I have reviewed carefully the Disclosure Document and Franchise Agreement.
   Please select one: ☐ **I Agree** ☐ **I Disagree**
   If you disagree, please comment:_____

3. I understand all the information contained in both the Disclosure Document and Franchise Agreement.
   Please select one: ☐ **I Agree** ☐ **I Disagree**
   If you disagree, please comment:_____

4. No oral, written or visual claim or representation was made to me that contradicted the disclosures in the Disclosure Document.
   Please select one: ☐ **I Agree** ☐ **I Disagree**
   If you disagree, please comment:_____

5. Other than as expressly stated in Item 19 of the Disclosure Document, no employee or other person speaking on behalf of LAWN PRIDE SPV LLC has made any oral, written or visual claim,

statement, promise or representation to me that stated, suggested, predicted or projected sales, revenues, expenses, earnings, income or profit levels at any LAWN PRIDE business, or the likelihood of success at my franchised business.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

_____

_____

6. No employee or other person speaking on behalf of LAWN PRIDE SPV LLC has made any statement or promise regarding the costs involved in operating a franchise that is not contained in the Disclosure Document or that is contrary to, or different from, the information contained in the Disclosure Document.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

_____

_____

7. I acknowledge and agree that except for the right granted to me to operate a LAWN PRIDE Business within the Territory during the Franchise Agreement term so long as I am in compliance with the Franchise Agreement, LAWN PRIDE SPV LLC and its affiliates reserve all other rights to the Marks and the System and they may engage in any activity whatsoever, whenever and wherever they desire, as set forth in the Franchise Agreement.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

_____

_____

8. The Franchise Agreement together with the addenda and appendices thereto constitutes the entire agreement between me and LAWN PRIDE SPV LLC concerning the franchise for the LAWN PRIDE Business and supersedes any and all prior negotiations, understandings representations, and agreements, which means that any prior oral or written statements not set out in the Franchise Agreement or Disclosure Document will not be binding. However, nothing in the Franchise Agreement or any related agreement is intended to disclaim the representations LAWN PRIDE SPV LLC made in the Disclosure Document it furnished to me.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

_____

_____

9. I acknowledge and agree that in entering into the Franchise Agreement I have not relied on and am not relying on any representations, warranties or other statements whatsoever, whether written or oral other than those included in the Franchise Agreement and the Disclosure Document (including any exhibits, addenda, amendments and attachments) and that I will not have any right or remedy rising out of any representation, warranty or other statement not expressly set out in the Franchise Agreement and the Disclosure Document (including any exhibits, addenda, amendments and attachments). I am entering into the Franchise Agreement as a result of my own independent investigation of the franchised business and not as a result of any representations about LAWN PRIDE system made by LAWN PRIDE SPV LLC's shareholders, officers, members, managers, directors, employees, agents, representatives, independent contractors, or franchisees that are contrary to the terms set forth in the Franchise Agreement or in any disclosure document given to me pursuant to applicable law. I UNDERSTAND THAT I SHOULD NOT SIGN THE

FRANCHISE AGREEMENT IF I BELIEVE LAWN PRIDE SPV LLC OR ANY OF ITS REPRESENTATIVES HAVE PROMISED ME SOMETHING THAT IS NOT PART OF THE FRANCHISE AGREEMENT, ANY ATTACHED EXHIBIT, SCHEDULE OR ADDENDUM OR THE FRANCHISE DISCLOSURE DOCUMENT.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

10. I understand that the success or failure of my LAWN PRIDE Business will depend in large part upon my skills and experience, my business acumen, my location, the local market for products and services under the LAWN PRIDE trademarks, interest rates, the economy, inflation, taxes, the number of employees I hire and their compensation, the extent to which I follow established systems, policies and guidelines, the cost of capital and the extent to which I finance the business operations, my contractual arrangements with suppliers, landlord and professional advisors, competition and other economic and business factors. Further, I understand that the economic and business factors that exist at the time I open my LAWN PRIDE Business may change.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

11. I understand that I am bound by the non-compete covenants (both in-term and post-term) and that an injunction is an appropriate remedy to protect the interest of the LAWN PRIDE system if I violate the covenant(s). Further, I understand that any actions in violation of the covenants by those holding any interest in the franchisee entity may result in an injunction, default and termination of the Franchise Agreement.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

12. I understand that any training, support, guidance or tools LAWN PRIDE SPV LLC provides to me as part of the franchise are for the sole purpose of protecting the LAWN PRIDE brand and Marks and the Intellectual Property associated with the System and to assist me in the operation of my business and not for the purpose of controlling or in any way intended to exercise or exert control over my decisions or day-to-day operations of my business, including my sole responsibility for the hiring, wages and other compensation (including benefits), training, supervision and termination of my employees and all other employment and employee related matters.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please comment:_____

13. The individuals identified on the receipt pages of my Disclosure Document as the franchise sellers are the only franchise sellers (i.e., the company representatives who offered me my franchise) involved in this franchise sales process.

Please select one: ☐ **I Agree** ☐ **I Disagree**

If you disagree, please identify any additional franchise sellers involved in this franchise sales process:_____

_____

14. I have been advised to seek professional assistance, to have legal, financial and/or other professional advisors review the documents, and to consult with other franchise owners regarding the risks associated with the purchase of the franchise.
Please select one: ☐ **I Agree** ☐ **I Disagree**
If you disagree, please comment:_____
_____
_____

IF MORE SPACE IS NEEDED TO RESPOND TO ANY REPRESENTATION, CONTINUE ON A SEPARATE SHEET AND ATTACH.

I UNDERSTAND THAT MY ANSWERS ARE IMPORTANT AND THAT LAWN PRIDE SPV LLC WILL RELY ON THEM. BY SIGNING THIS ADDENDUM, I REPRESENT THAT I HAVE CONSIDERED EACH REPRESENTATION CAREFULLY AND RESPONDED FULLY AND TRUTHFULLY.

NOTE: IF THE RECIPIENT IS A CORPORATION, PARTNERSHIP, LIMITED LIABILITY COMPANY OR OTHER ENTITY, EACH OF ITS PRINCIPAL OWNERS MUST EXECUTE THIS ACKNOWLEDGMENT.

All representations requiring prospective franchisees to assent to a release, estoppel or waiver of liability are not intended to nor shall they act as a release, estoppel or waiver of any liability incurred under any applicable law that prohibits releases, estoppels or waivers of liability under such law. Should one or more clauses of this Addendum be held void or unenforceable for any reason by any court of competent jurisdiction, such clause or clauses will be deemed to be separable in such jurisdiction and the remainder of this Addendum shall be valid and in full force and effect. **Do not sign** this Acknowledgement if you are a resident of Maryland or the franchise is to be operated in Maryland.

FRANCHISEE:

_____
_____, individually

_____
Date

Schedule E to the Franchise Agreement

TELEPHONE NUMBER AND INTERNET AGREEMENT

_____
(Name of Telephone Company)

_____
(Address)

_____
(City, State, Zip)

This TELEPHONE NUMBER AND INTERNET AGREEMENT, ASSIGNMENT AND POWER OF ATTORNEY ("Assignment") is made pursuant to the terms of the Franchise Agreement dated _____ ("Agreement") by and between LAWN PRIDE SPV LLC ("Franchisor") and _____ ("Franchisee"), authorizing Franchisee to use Franchisor's Marks and System in the operation of a business offering lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control, mole and vole control, tree and shrub feeding, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers and related products and services (the "Franchised Business") in and for the Territory. Capitalized terms used herein without a definition shall have the meaning assigned to them in the Agreement.

For value received, Franchisee hereby irrevocably assigns to Franchisor all telephone listings and numbers at any time used by Franchisee in any printed or internet telephone directory in connection with the operation of the Franchised Business in the Territory, whether now-existing or adopted by Franchisee in the future (collectively "Telephone Listings") and all email addresses, domain names, social media accounts and comparable electronic identities that use the Marks or any portion of them at any time used by Franchisee in connection with any Internet directory, website or similar item in connection with the operation of the Franchised Business, whether now-existing or adopted by Franchisee in the future (collectively "Internet Listings") (collectively referred to herein as "Listings"). From time to time upon Franchisor's request, Franchisee agrees to promptly provide a complete list of all Listings to Franchisor (in such format and level of detail as required by Franchisor).

Franchisee shall have the right to use the Listings only in connection with advertising and promoting the Franchised Business in the Territory. Franchisee agrees to pay all amounts pertaining to the use of the Listings incurred by it when due. Upon expiration or termination of the Agreement for any reason, Franchisee's right of use of the Listings shall terminate. In the event of termination or expiration of the Agreement, Franchisee agrees to pay all amounts owed in connection with the Listings, including all sums owed under existing contracts for telephone directory advertising and to immediately at Franchisor's request, (i) take any other action as may be necessary to transfer the Listings and numbers to Franchisor or Franchisor's designated agent, (ii) install and maintain, at Franchisee's sole expense, an intercept message, in a form and manner acceptable to Franchisor, on any or all of the Listings; (iii) disconnect the Listings; and/or (iv) cooperate with Franchisor or its designated agent in the removal or relisting of any telephone directory or directory assistance listing, Internet directory, website, social media account or advertising, whether published or online.

Franchisee agrees that Franchisor may require that all telephone numbers and telephone and internet equipment and service must be owned or provided by Franchisor or a supplier approved by Franchisor and that Franchisor has the right to require Franchisee to "port" or transfer to Franchisor or an approved call routing and tracking vendor all phone numbers associated with the Franchised Business or published in any print or online directory, advertisement, marketing or promotion associated with the Marks.

Franchisee appoints Franchisor as Franchisee's attorney-in-fact, to act in Franchisee's place, for the purpose of assigning any Listings covered by this Assignment to Franchisor or Franchisor's designated agent or taking any other actions required of Franchisee under this Assignment. Franchisee grants Franchisor full authority to act in any manner proper or necessary to the exercise of the foregoing powers, including full power of substitution and execution or completion of any documents required or requested by any telephone or other company to transfer such Listings, and Franchisee ratifies every act that Franchisor may lawfully perform in exercising those powers. This power of attorney shall be effective for a period of two (2) years from the date of expiration, cancellation or termination of Franchisee's rights under the Agreement for any reason. Franchisee intends that this power of attorney be coupled with an interest. Franchisee declares this power of attorney to be irrevocable and renounces all rights to revoke it or to appoint another person to perform the acts referred to in this instrument. This power of attorney shall not be affected by the subsequent incapacity of Franchisee. This power of attorney is created to secure performance of a duty to Franchisor and is for consideration.

FRANCHISEE:

_____
_____, individually

_____
Date

Schedule F to the Franchise Agreement

CONFIDENTIALITY AGREEMENT

This **CONFIDENTIALITY AGREEMENT** is entered into by the undersigned, _____ ("you"), for the benefit of **LAWN PRIDE SPV LLC**, a Delaware limited liability company having a principal place of business at 1010 N. University Parks Drive, Waco, Texas 76707 ("Franchisor"); and _____ ("Franchisee");

WHEREAS, you are associated with Franchisee as a spouse or owner of Franchisee;

WHEREAS, Franchisor intends to enter into a Franchise Agreement (the "Franchise Agreement") pursuant to which Franchisor will grant Franchisee a license to use Franchisor's trademarks, services marks, logos and other indicia of origin (the "Marks") and Franchisor's methods of operation (the "System") in connection with the operation of a business offering lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control, mole and vole control, tree and shrub feeding, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers (the "Franchise") in and for a specified geographical area described in the Franchise Agreement. (Capitalized terms used herein without a definition shall have the same meaning as assigned to them in the Franchise Agreement); and

WHEREAS, Franchisor has undertaken, at considerable effort and expense, to create the System which will be revealed to Franchisee pursuant to the Franchise Agreement and you either will be involved in the operation of the franchise, or, if a spouse of Franchisee, may not intend to hold an ownership interest in the Franchise or be actively involved in the operation of the Franchise but through your relationship with Franchisee, will be exposed to and learn many procedures, techniques and other matters that are identified and treated by Franchisor as confidential, proprietary or trade secret, including, without limitation, information regarding the operational, sales, and marketing methods and techniques of Franchisor, which are beyond your skills and experience ("Confidential Information"); and

WHEREAS, you agree that you will receive material benefit from Franchisor entering into the Franchise Agreement with Franchisee. In exchange for that good consideration, you agree to execute and be bound by this Agreement, including the noncompetition covenant set forth herein.

NOW, THEREFORE, you hereby agree as follows:

1. Acknowledgement of Confidentiality Obligation. You acknowledge that through your association or relationship with Franchisee, you will receive valuable Confidential Information that provides a competitive advantage in the development of the Franchise. You acknowledge and agree that the Confidential Information and any Operations Manual are confidential and proprietary in nature and contain trade secrets belonging to Franchisor and that all such tangible evidence of Confidential Information is a property right of great value to Franchisor. You hereby agree to be bound by the provisions of the Franchise Agreement related to confidentiality and protection of trade secrets, including but not limited to Section 5.H of the Franchise Agreement, to the same extent as if a party to the Franchise Agreement.

2. Non-Use. You agree not to (a) use Confidential Information without prior written approval from Franchisor or as otherwise permitted by the Franchise Agreement, or (b) do or perform any other act injurious to the goodwill associated with the Marks and the System.

3. Non-Disclosure. Without prior written approval from Franchisor, you agree not to disclose, communicate or divulge any Confidential Information for your benefit or for the benefit of any other third party, including, without limitation, a competitor of the Franchise and/or Franchisor.

4. Exclusions. Confidential Information does not include and this Agreement does not apply to information that you can establish by reliable documentary evidence (a) was previously known by you, (b) is or becomes part of the public domain other than through your wrongful act, (c) is otherwise lawfully in your hands by a means other than breach of this Agreement or (to your knowledge) third party's breach of its confidentiality obligation to Franchisor, or (d) is sought pursuant to a subpoena or written discovery ("Process"); provided that Franchisor shall be immediately notified of the receipt of the Process, whereupon Franchisor has the right to request that Franchisee and/or you delete the Confidential Information from the scope thereof, and if Franchisee or you refuse, then Franchisor may seek any and all available remedies, including, without limitation, commencing proceedings to enjoin the disclosure of Confidential Information or intervening impending proceedings to seek the entry of protective orders or other appropriate relief. Nothing in this Agreement shall be construed to interfere with a party's obligations to comply with lawful court orders; however, no disclosure of Confidential Information by a party pursuant thereto shall be deemed to place the Confidential Information in the public domain or to relieve the party from the future performance of all its confidentiality obligations under this Agreement, absent express orders of the court to the contrary.

5. Covenant Not to Compete. Except as otherwise approved in writing by Franchisor, you may not, directly or indirectly, through, on behalf of, or in conjunction with, any other person, partnership, or legal entity, own, maintain, operate, or engage or participate in, inure benefit to, or have any financial interest, either as an officer, agent, employee, principal, partner, director, shareholder or any other individual or representative capacity, in any corporation, partnership or other legal entity that engages in any business that is the same as or similar to the Franchise, or is otherwise in competition with the business of Franchisor or Franchisor's franchisees, that engages in the distribution of similar products, services and/or equipment and that is located (a) anywhere, while the Franchise Agreement is in effect or (b) (i) within the territory specified on the Data Sheet to the Franchise Agreement, (ii) within a 25-mile radius of the outer boundary of such territory, or (iii) inside the territory of another LAWN PRIDE business, in each case during a period of two (2) years commencing with the earlier of the termination of the Franchise Agreement or the date on which you cease to be associated with Franchisee (or the individual who is the principal of a legal entity identified as Franchisee) whether because of a termination of an employment arrangement or marriage or otherwise, which period shall be extended by any period of non-compliance. You further agree that upon Franchisor's request you shall make his/her personal and business records available for inspection by Franchisor to determine your compliance with this provision.

6. Customer Non-Solicitation Covenant. In addition, you agree that during the term of the Franchise Agreement and for a period of one year commencing with the earlier of the termination of the Franchise Agreement or the date on which you cease to be associated with Franchisee (or the individual who is the principal of a legal entity identified as Franchisee) whether because of a termination of an employment arrangement or marriage or otherwise, you will not, without our prior written consent, directly or indirectly, for yourself or on behalf of any other person, divert, or attempt to divert, any business or customer of the Business or any other LAWN PRIDE Business to any competitor by direct or indirect inducement.

7. Scope of Covenants. The parties agree that each of the foregoing covenants in Section 5 and Section 6 will be construed as independent of any other covenant or provision of this Agreement. To the extent anyone successfully contests the validity or enforceability of any part of Section 5 or Section 6 in its present form predicated upon the scope of coverage, this provision will not be deemed invalid or unenforceable, but will instead be deemed modified, so as to be valid and enforceable, to provide coverage

for the maximum scope that any court of competent jurisdiction or arbitrator will deem reasonable and necessary to protect Franchisor's legitimate interests.

8. Choice of Law and Jurisdiction. This Agreement shall be governed by the internal laws of the State of Texas, without regard to conflicts of laws provisions. You agree that any litigation or legal action to enforce or relating to this Agreement shall be filed in Waco, McLennan County, Texas. You hereby consent to the jurisdiction of such Courts and further agree to waive any rights or objections to the jurisdiction or venue of any such actions when filed in such Courts.

9. Legal Fees and Costs. Any unauthorized disclosure following execution of this Agreement may be cause for suit for injunctive relief and damages. If you breach this Agreement, you shall pay reasonable attorney's fees and other costs incurred by Franchisor and/or Franchisee in enforcing the provisions of this Agreement. If any legal proceeding is commenced to enforce or interpret any provision of this Agreement, the prevailing party will be entitled to recover reasonable attorney's fees and all costs and disbursements allowed by law.

10. Defend Trade Secrets Act of 2016 Disclosure. 18 U.S.C. § 1833(b) states: "An individual shall not be held criminally or civilly liable under any Federal or State trade secret law for the disclosure of a trade secret that—(A) is made—(i) in confidence to a Federal, State, or local government official, either directly or indirectly, or to an attorney; and (ii) solely for the purpose of reporting or investigating a suspected violation of law; or (B) is made in a complaint or other document filed in a lawsuit or other proceeding, if such filing is made under seal." Accordingly, the Parties to this Agreement have the right to disclose in confidence trade secrets to Federal, State, and local government officials, or to an attorney, for the sole purpose of reporting or investigating a suspected violation of law. The Parties also have the right to disclose trade secrets in a document filed in a lawsuit or other proceeding, but only if the filing is made under seal and protected from public disclosure. Nothing in this Agreement is intended to conflict with 18 U.S.C. § 1833(b) or create liability for disclosures of trade secrets that are expressly allowed by 18 U.S.C. § 1833(b).

11. Entire Agreement. This Agreement sets forth the entire understanding among you, Franchisor and Franchisee with respect to its subject matter and cannot be changed except by written instrument signed by you, Franchisor and Franchisee. There are no representations of any kind except as contained herein. This Agreement will be binding upon and inure to the benefit of the parties, their legal representatives, successors, and assigns.

_____
Signature, individually

_____
Date

Schedule G to the Franchise Agreement

PROMISSORY NOTE AND SECURITY AGREEMENT

DATE: _____

DEBTOR: _____

DEBTOR'S MAILING ADDRESS: _____

SECURED PARTY: LAWN PRIDE SPV LLC
a Delaware limited liability company, or its successors or assigns

SECURED PARTY'S MAILING ADDRESS: 1010 N. University Parks Drive, Waco, Texas 76707

PRINCIPAL:_____AND 00/100 DOLLARS ($____.__)

INTEREST: _____ percent (____%) per annum on unmatured, unpaid PRINCIPAL beginning thirty (30) days before the due date of the first payment and the maximum legal rate of interest on matured, unpaid amounts from the date of maturity.

TERMS OF PAYMENT:

The principal and interest of this note shall be payable in monthly installments of _____ **AND** 00/100 **DOLLARS ($_____)** each, beginning on _____ and continuing on the first day of each month thereafter until _____, on which date the entire principal balance, any accrued, unpaid interest and all other amounts payable under this document are due in full. By execution of the ACH Form attached to the Franchise Agreement entered into by and between DEBTOR and SECURED PARTY (the "Franchise Agreement"), DEBTOR authorizes SECURED PARTY and the financial institution named thereon to make the foregoing payments from DEBTOR'S account until DEBTOR cancels such automatic draft in accordance with the terms of the Authorization or this note is paid in full.

DEBTOR promises to pay PRINCIPAL and INTEREST according to the above TERMS OF PAYMENT to the order of SECURED PARTY. This note may be prepaid in any amount at any time before maturity without penalty. Installments shall continue to be payable regularly after any partial payment unless and until this note has been fully paid. INTEREST shall be calculated on the unpaid PRINCIPAL to the date of any payment or prepayment, with that payment or prepayment being credited first to pay the accrued INTEREST and then to reduce the PRINCIPAL.

If DEBTOR defaults in the payment of any indebtedness or the performance of any obligations under this document or any document collateral to it, including, without limitation, the Franchise Agreement, or DEBTOR sells, assigns or transfers the Franchise Agreement or any interest therein or in the franchise granted thereunder to a third party, SECURED PARTY may declare the entire unpaid PRINCIPAL, earned INTEREST and any other amounts payable under this document immediately due. DEBTOR and each surety, endorser and guarantor waive all demands for payment, presentations for payment, notices of intention to accelerate, notices of acceleration, protests and notices of protest to the extent permitted by law.

If this document or any document collateral to it, including, without limitation, the Franchise Agreement, is given to an attorney for collection or enforcement, is collected or enforced after suit is

brought for that purpose or is collected or enforced through probate, bankruptcy or other judicial proceeding, DEBTOR shall pay SECURED PARTY all costs of collection and enforcement (including, without limitation, reasonable attorney's fees and court costs) in addition to amounts due. Reasonable attorney's fees shall be ten percent (10%) of all amounts due unless plead otherwise.

Interest on any indebtedness under this document or any document collateral to it shall not exceed the maximum amount of nonusurious interest that may be contracted for, taken, reserved, charged or received under law. Any interest in excess of that maximum amount shall be credited on the principal of the indebtedness or, if that has been paid, refunded. Any such excess resulting from any acceleration or prepayment shall be canceled automatically or, if already paid, credited on the unpaid principal of the indebtedness or, if the principal of the indebtedness has been paid, refunded. This provision overrides other provisions in this and all other instruments related hereto.

If any installment of this note is not paid within thirty (30) days of its due date, a late charge in the amount of TEN AND NO/100 DOLLARS ($10.00) per payment per day will be paid by DEBTOR upon demand as compensation for any expense or inconvenience incurred in collecting that delinquent installment. DEBTOR is not hereby authorized to be delinquent in paying any installment. Any demand for a late charge shall not affect any other remedies available.

If any draft or check is returned by DEBTOR'S financial institution for insufficient funds or any other reason, SECURED PARTY is entitled to reimbursement from DEBTOR in the amount of TWENTY FIVE AND 00/100 DOLLARS ($25.00) per draft or check. Any demand for reimbursement shall not in any manner affect any other remedies available.

COLLATERAL:

All right, title and interest of DEBTOR to all fixtures, furniture, leasehold improvements, furnishings, materials, supplies, equipment, goods, machinery, general intangibles, money, accounts, inventory, chattel paper, documents, instruments, commercial tort claims, deposit accounts, investment property, letter-of-rights, letters of credit and other personal property of any kind whatsoever, whether now or hereafter existing, arising, acquired or used by DEBTOR in any manner in connection with the LAWN PRIDE franchise operated by DEBTOR under the Franchise Agreement or any other business which has provided or is providing lawn care and maintenance services through the application of fertilizer and other products, perimeter pest control services, and performance of related services including fungus and other disease control and prevention, grub treatments, aeration, lawn overseeding, lawn weed control, mole and vole control, tree and shrub feeding, and insect and disease control (but specifically excluding mosquito or other flying pest, tick and flea control services), to both residential and commercial customers; and all replacements, betterments, substitutions, renewals, additions, products and proceeds thereto or therefrom.

GRANT OF SECURITY INTEREST:

DEBTOR grants SECURED PARTY a security interest in the COLLATERAL to secure the payment of all indebtedness owed and the performance of all obligations performable by DEBTOR to or for SECURED PARTY (including, without limitation, all indebtedness and obligations under this document or any document collateral to it).

SECURED PARTY's sole duty with respect to the custody, safekeeping and physical preservation of COLLATERAL in its possession or under its control will be to use reasonable care in the custody and preservation of such COLLATERAL. DEBTOR agrees that SECURED PARTY will be deemed to have used reasonable care in the custody and preservation of COLLATERAL if SECURED PARTY deals with such COLLATERAL in the same manner as SECURED PARTY deals with similar property for its own

account and, to the extent permitted by applicable law. SECURED PARTY need not take any steps to preserve rights against any other person or entity. Neither SECURED PARTY nor any of its directors, officers, managers, members, employees or agents will be liable for failure to demand, collect or realize upon the COLLATERAL or will be under any obligation to sell or otherwise dispose of any COLLATERAL.

DEBTOR confirms that value has been given, that DEBTOR has rights in the COLLATERAL, and that DEBTOR and SECURED PARTY have not agreed to postpone the time for attachment of the security interest to any of the COLLATERAL. In respect of COLLATERAL which is acquired after the execution date of this Promissory Note and Security Agreement, the time for attachment will be the time when DEBTOR acquires such COLLATERAL.

SECURED PARTY may (and DEBTOR hereby authorizes SECURED PARTY to) execute and file such financing statements and other documents as SECURED PARTY may at any time deem appropriate to perfect the foregoing security interest. Without limiting the generality of the foregoing, DEBTOR authorizes SECURED PARTY to file financing statements designating the collateral as "all personal property" or "all assets" of DEBTOR, and authorizes, ratifies and approves any financing statement filed by SECURED PARTY on or prior to the date of this document.

DEBTOR'S WARRANTIES AND COVENANTS:

DEBTOR warrants, represents and covenants that: 1) No financing statement covering the COLLATERAL is filed in any public office; 2) DEBTOR is validly existing and in good standing under the laws of the state of its jurisdiction of organization, and the execution and delivery of this document by DEBTOR and the performance of its obligation hereunder have been duly authorized by all necessary action in accordance with applicable laws; 3) DEBTOR owns the COLLATERAL, free and clear of all liens other than liens in favor of SECURED PARTY, and has the authority to grant this security interest; 4) none of the COLLATERAL is or will be affixed to real estate, an accession to any goods, commingled with other goods, or a fixture, accession or part of a product or mass with other goods; 5) all information about DEBTOR'S financial condition provided to SECURED PARTY was accurate when submitted, as will be any information subsequently provided; 6) DEBTOR will defend the COLLATERAL against all claims and demands adverse to SECURED PARTY'S interest in it; 7) the COLLATERAL will remain in DEBTOR'S possession or control at all times; 8) DEBTOR will maintain the COLLATERAL in good condition and protect it against misuse, abuse, waste and deterioration except for ordinary wear and tear resulting from its intended use; 9) DEBTOR will insure the COLLATERAL in accordance with SECURED PARTY'S reasonable requirements regarding choice of carrier, casualties insured against and amount of coverage; 10) insurance policies will be written in favor of DEBTOR and SECURED PARTY according to their respective interests or according to SECURED PARTY'S other requirements; 11) all insurance policies shall provide that the SECURED PARTY will receive at least ten (10) days' notice before cancellation, and the policies or certificates evidencing them will be provided to SECURED PARTY when issued; 12) DEBTOR assumes all risk of loss or damage to the COLLATERAL to the extent of any deficiency in insured coverage; 13) DEBTOR irrevocably appoints SECURED PARTY as DEBTOR'S attorney-in-fact to collect on DEBTOR'S behalf any returned unearned premiums and proceeds of any insurance on the COLLATERAL and to endorse any draft or check deriving from the policies and made payable to DEBTOR; 14) DEBTOR will pay all expenses incurred by SECURED PARTY in negotiating, obtaining, preserving, perfecting, defending and enforcing this document, any document collateral to it or the COLLATERAL (expenses for which DEBTOR is liable include, without limitation, taxes, assessments, reasonable attorney's fees and other legal expenses, these expenses will bear interest from the dates of payments at the highest legal rate of interest, and DEBTOR will pay SECURED PARTY this interest on demand at a time and place reasonably specified by SECURED PARTY); 15) DEBTOR will sign any papers that SECURED PARTY considers necessary to obtain, maintain and perfect this security interest or

to comply with any relevant law, including, without limitation, such documents as may be required to have the security interest granted hereunder property noted on a certificate of title; 16) DEBTOR will immediately notify SECURED PARTY in writing of any material change in the COLLATERAL, of any change in DEBTOR'S name, address or location, of any change in any matter warranted or represented in this document or any document collateral to it, of any change that may affect the security interest in the COLLATERAL, or perfection thereof, and of any event of default; 17) without SECURED PARTY'S prior written consent, DEBTOR will not sell, transfer or encumber any of the COLLATERAL other than sales of inventory in the ordinary course of business; 18) DEBTOR will maintain accurate books and records covering the COLLATERAL; and 19) DEBTOR will furnish SECURED PARTY any requested information related to the COLLATERAL and DEBTOR will allow SECURED PARTY, at any time and place, to inspect the COLLATERAL and all records describing or related to the COLLATERAL.

RIGHTS AND REMEDIES OF SECURED PARTY:

Regardless of whether or not DEBTOR is in default hereunder, SECURED PARTY may: 1) release any COLLATERAL in SECURED PARTY'S possession to any debtor, temporarily or otherwise; 2) take control of any proceeds generated by the COLLATERAL, such as refunds from and proceeds of insurance, and reduce any part of the owed indebtedness accordingly or permit DEBTOR to use such funds to repair or replace damaged/destroyed COLLATERAL; 3) contact account debtors directly to verify information furnished by DEBTOR; 4) notify obligors on the COLLATERAL to pay SECURED PARTY directly and reduce any part of the owed indebtedness accordingly; and 5) as DEBTOR'S agent, endorse any documents or chattel paper that is COLLATERAL or that represents proceeds of COLLATERAL.

SECURED PARTY has no obligation to collect any account and will not be liable for failure to collect any account or for any act or omission on the part of SECURED PARTY or SECURED PARTY'S officers, agents or employees, except willful misconduct. If DEBTOR fails to maintain insurance as required, SECURED PARTY may purchase single-interest insurance coverage that will protect only SECURED PARTY. If SECURED PARTY purchases this insurance, the insurance premiums will become part of the indebtedness owed by DEBTOR to SECURED PARTY under this document.

EVENTS OF DEFAULT:

Each of the following conditions is an event of default: 1) if DEBTOR defaults in the timely payment or performance of any indebtedness, obligation, covenant or liability in this document, in any document collateral to it, including, without limitation, the Franchise Agreement, or in any other agreement between DEBTOR and SECURED PARTY and fails to cure the same within the applicable cure period (if any); 2) if any warranty, covenant or representation made to SECURED PARTY by or on behalf of DEBTOR proves to have been false or incomplete in any material respect when made; 3) if a receiver is appointed for DEBTOR or any of the COLLATERAL or if the COLLATERAL is assigned for the benefit of creditors or, to the extent permitted by law, if bankruptcy or insolvency proceedings are commenced against or by DEBTOR, any partnership of which DEBTOR is a general partner or any maker, drawer, acceptor, endorser, guarantor, surety, accommodation party or other person liable on or for any part of the indebtedness owed or obligations performable by DEBTOR under this document or any document collateral to it; 4) if any lien attaches to any of the COLLATERAL other than any lien granted in favor of SECURED PARTY; and 5) if any of the COLLATERAL is lost, stolen, damaged or destroyed, unless it is promptly restored or replaced with collateral of like quality.

REMEDIES OF SECURED PARTY ON DEFAULT:

During the existence of any event of default, SECURED PARTY may declare the unpaid PRINCIPAL and earned INTEREST and all other amounts payable under this document immediately due

in whole or part, enforce the payment of indebtedness and performance of obligations by DEBTOR under this document and any document collateral to it and exercise any rights and remedies granted by this document, any document collateral to it or by applicable law (including, without limitations, the Texas Uniform Commercial Code), including, without limitation, the following: 1) require DEBTOR to deliver to SECURED PARTY all books and records relating to the COLLATERAL; 2) require DEBTOR to assemble the COLLATERAL and make it available to SECURED PARTY at a place reasonably convenient to both parties; 3) take possession of any of the COLLATERAL and for this purpose enter any premises where it is located; 4) sell, lease or otherwise dispose of any of the COLLATERAL in accord with the rights, remedies and duties of a secured party under Chapters 2 and 9 of the Texas Uniform Commercial Code after giving notice as required by those chapters; 5) surrender any insurance policies covering the COLLATERAL and receive the unearned premium; 6) apply any proceeds from disposition of the COLLATERAL after default in the manner specified in Chapter 9 of the Texas Uniform Commercial code, including, without limitation, payment of SECURED PARTY'S reasonable attorney's fees and court expenses; and 7) if disposition inadequate, collect the deficiency.

GENERAL PROVISIONS:

1. SECURED PARTY'S rights under this document shall inure to the benefit of its successors and assigns.

2. Neither delay in exercise nor partial exercise of any of SECURED PARTY'S remedies or rights shall waive further exercise of those remedies or rights. SECURED PARTY'S failure to exercise remedies or rights does not waive subsequent exercise of those remedies or rights. SECURED PARTY'S waiver of any default does not waive further default. SECURED PARTY may remedy any default without waiving the default. The rights, remedies, powers, and privileges herein provided are cumulative and not exclusive of any rights, remedies, powers, and privileges provide by law.

3. If DEBTOR fails to perform any of DEBTOR'S obligations, SECURED PARTY may perform those obligations and be reimbursed by DEBTOR on demand for any sums so paid (including, without limitation, attorney's fees and other legal expenses) plus interest on those sums from the dates of payment at the maximum legal rate of interest. The sum to be reimbursed shall be secured by the security interest under this document.

4. This document constitutes the entire contract between DEBTOR and SECURED PARTY with respect to the subject matter hereof and supersedes all previously executed agreements and understandings, oral or written, with respect thereto. No provisions of this document shall be modified or limited except by written agreement executed by both parties.

5. The unenforceability of any provision will not affect the enforceability or validity of any other provision.

6. This document and the agreement evidenced hereby is to be construed according to Texas laws. All indebtedness is payable and all obligations are performable in Waco, McLennan County, Texas.

7. A carbon, photographic, electronic or other reproduction of this Promissory Note and Security Agreement or any financing statement covering the COLLATERAL is sufficient as a financing statement.

8. If the COLLATERAL is sold after default, recitals in the transfer document will be prima facie evidence of their truth, and all prerequisites to the sale specified herein and by the Texas UCC will be presumed satisfied.

9. The security interest under this document shall neither affect nor be affected by any other security for any of the indebtedness owed or obligations performable by DEBTOR under this document or any document collateral to it. Neither extensions of any of that indebtedness or those obligations nor releases of any of the COLLATERAL will affect the priority or validity of the security interest under this document.

10. Foreclosure of the security interest under this document by suit shall not limit SECURED PARTY'S remedies, including, without limitation, the right to sell the COLLATERAL. All remedies of SECURED PARTY may be exercised at the same or different times, and no remedy shall be a defense to any other. SECURED PARTY'S rights and remedies include all those granted in this document, by law or otherwise.

11. DEBTOR'S appointment of SECURED PARTY as DEBTOR'S attorney-in-fact or agent is coupled with an interest and will specifically survive any death or disability of DEBTOR.

12. As used in this document and unless the context requires another construction, the masculine, feminine and neuter gender shall each include the others and the singular and plural case shall each include the other.

13. DEBTOR acknowledges receipt of an executed copy of this document. DEBTOR waives the right to receive any amount that it may now or hereafter be entitled to receive (whether by way of damages, fine, penalty, or otherwise) by reason of the failure of SECURED PARTY to deliver to DEBTOR a copy of any financing statement or any statement issued by any entity that confirms registration of a financing statement.

FRANCHISEE / DEBTOR:

_____
_____, individually

_____
Date

Schedule H to the Franchise Agreement

ROLL-IN ADDENDUM

This ROLL-IN ADDENDUM (the "Addendum") is entered into by and between **LAWN PRIDE SPV LLC**, a Delaware limited liability company having a principal place of business at 1010 N. University Parks Drive, Waco, Texas 76707 ("we" or "us" or "Franchisor"), and _____, individually, having an address of _____ _____ ("you" or "Franchisee").

WHEREAS, we and you have contemporaneously herewith entered into a Franchise Agreement (the "Agreement") for the operation of the Business (the "Franchised Business") (Capitalized terms used herein without a definition shall have the meaning assigned to them in the Agreement);

WHEREAS, you (or your affiliate) currently operate an existing business ("Existing Business") which performs services for existing customers (the "Roll-In Services") that are similar to services provided by the Franchised Business operated under the Agreement; and

WHEREAS, in consideration of an assignment or "roll-in" of the Roll-In Services (including the customer base for work which falls within the definition of the Franchised Business) from the Existing Business to the Franchised Business, we are willing to alter certain fees payable by you under the Agreement for a time period specified in the Data Sheet to which this Addendum is attached.

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

1. **Roll-In.** This Addendum documents a Small Roll-In, Medium Roll-In or Large roll-In, each defined below (*check the applicable category*):

_____ SMALL ROLL-IN (an Existing Business with annual gross sales of the Roll-In Services of at least $200,000 but not more than $599,999).

_____ MEDIUM ROLL-IN (an Existing Business with annual gross sales of the Roll-In Services of at least $600,000 but not more than $899,999).

_____ LARGE ROLL-IN (an Existing Business with annual gross sales of the Roll-In Services of at least $900,000).

2. **Roll-In Services Gross Sales; Weekly Roll-In Services Gross Sales.**

(a) The gross sales generated by the Roll-In Services during the last 12 months are: $_____.

(b) The average weekly gross sales generated by the Roll-In Services during the last 12 months are: $_____ (annual Roll-In Services Gross Sales, divided by 52) (the "Roll-In Services Average Weekly Gross Sales").

3. **Assignment of Revenues and Customers; Definition of Gross Sales.**

(a) You hereby assign or have caused your affiliate to assign (as applicable) to the Franchised Business (i) all gross sales arising from the operation of the Roll-In Services from and after the Effective Date, and (ii) the customers and/or accounts associated with the Roll-In Services.

(b) Anything in the Agreement to the contrary notwithstanding, from and after the Effective Date the definition of "Gross Sales" (as defined in the Agreement) shall apply to the operation of the Roll-In Services to the same extent as it applies to the operation of the Franchised Business and you shall pay License Fees and MAP Fees with respect to the Gross Sales arising from the operation of the Roll-In Services, as specified below and in the Data Sheet.

4. **License Fees.** Anything in the Agreement to the contrary notwithstanding, you shall pay License Fees with respect to the Roll-In Services in the amount equal to the greater of the percentage of Gross Sales set forth on the Data Sheet and the applicable Minimum License Fee set forth on the Data Sheet.

5. **MAP Fees**. Anything in the Agreement to the contrary notwithstanding, you shall pay MAP Fees with respect to the Roll-In Services in the amount equal to the applicable percentage of Gross Sales set forth on the Data Sheet.

6. **Manner of Operation of Roll-In Services.** All provisions of the Agreement shall apply to the Roll-In Services and the accounts and customers associated with such services, including the insurance and covenants, to the same extent as they apply to the Franchised Business. For avoidance of doubt, except as specifically provided otherwise herein, for purposes of the Agreement, from and after the Effective Date, the Roll-In Services are included in the definition of the Franchised Business.

7. **Inspections; Audits.** If, after the date hereof, you (directly or through an affiliate) continue to operate the Existing Business, other than the Roll-In Services that become part of the Franchised Business (such remaining Existing Business, the "Separate Business"), you shall make and if applicable shall cause your affiliate to make the books and records (including all electronic records) for the Separate Business available to us for inspection and audit, upon reasonable prior notice, so that we may verify your compliance with the requirements of this Addendum. In addition, the provisions of Section 8.K of the Agreement regarding audits shall apply in all respects to the Separate Business, and we, in our reasonable business judgment, shall have the same rights to access (including remotely) and audit the books and records of the Separate Business, and to require payment for the audit if the audit reveals that you did not comply with the requirements of this Addendum, in addition to any other remedies available to us hereunder or under the law.

8. **Franchisee's Representations and Warranties.** You hereby represent and warrant to us that you have all necessary power and authority to execute this Addendum, to bind the Existing Business to the terms hereof and to perform and comply with all of your obligations hereunder. There is no agreement or understanding (and you will not permit any such agreement or understanding to be entered into during the term of this Addendum) with respect to the Existing Business or the Roll-In Services that would conflict with the terms of this Addendum.

9. **Construction.** Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified specifically herein.

< SIGNATURES APPEAR ON THE NEXT PAGE >

FRANCHISEE:

_____
_____, individually

_____
Date

FRANCHISEE'S AFFILIATE:

_____
_____, individually

FRANCHISOR:

LAWN PRIDE SPV LLC
A Delaware Limited Liability Company

BY: _____

_____
Date

Schedule I to the Franchise Agreement

EXCLUDED SERVICES ADDENDUM

This EXCLUDED SERVICES ADDENDUM (the "Addendum") is entered into by and between LAWN PRIDE SPV LLC, a Delaware limited liability company having a principal place of business at 1010 N. University Parks Drive, Waco, Texas 76707 ("Franchisor"), and _____, individually, having an address of _____ _____ ("Franchisee").

WHEREAS, Franchisor and Franchisee have contemporaneously herewith entered into a Franchise Agreement (the "Agreement") for the operation by Franchisee of the Business (the "Franchised Business") (Capitalized terms used herein without a definition shall have the meaning assigned to them in the Agreement);

WHEREAS, Franchisee or its affiliate (as applicable) currently operates an Existing Business (as defined below) which offers Excluded Services (as defined below) that are related to but distinguishable from the services provided by the Franchised Business under the Agreement; and

WHEREAS, Franchisor has agreed that, subject to Franchisee's and, if applicable, its affiliate's continuing compliance with the conditions set forth in this Addendum, the continued operation of the Excluded Services by the Existing Business shall not be deemed to be a violation of Section 9.D of the Agreement (Noncompetition Covenants), and the gross sales attributable to such Excluded Services shall not be included as "Gross Sales" under the Agreement.

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties agree as follows:

1. **Identification of Existing Business.** The name of the Existing Business authorized pursuant to this Addendum is: _____, a _____ located at _____ ("Existing Business"), and the Excluded Services performed by the Existing Business are: _____ ("Excluded Services").

2. **Authorization of Excluded Services Offered by the Existing Business.** Anything in the Agreement to the contrary notwithstanding, the continued offer of the Excluded Services by the Existing Business shall not be deemed to be a violation of Section 9.D of the Agreement (Noncompetition Covenants) and the gross sales of such Excluded Services shall not be deemed to be "Gross Sales" under the Agreement; provided, that the conditions set forth in subparagraphs 2(a)-(d) below are satisfied as of the date of this Addendum and throughout the term of the Agreement (including any extensions or renewals thereof):

(a) the operation of such Existing Business does not interfere with Franchisee's operation of the Franchised Business;

(b) the Existing Business does not utilize Franchisor's Marks, System or Confidential Information;

(c) the Existing Business offers only the Excluded Services identified herein and does not offer the services offered by the Franchised Business or services that otherwise compete with the Franchised Business; and

(d) the Franchised Business and the Existing Business maintain separate books and records.

3. **Effect of Failure to Comply with Conditions.** If Franchisee or its affiliate (as applicable) at any time fails to satisfy any of the conditions set forth in subparagraphs 2.(a)-(d) of this Addendum, then the continued operation of the Existing Business shall be deemed to be a violation of Section 9.D of the Agreement (Noncompetition Covenants). In that event Franchisor may terminate the Agreement immediately if Franchisee fails (or fails to cause its affiliate) to cure the breach within a reasonable period of time, not to exceed ten (10) calendar days following written notice from Franchisor (provided however that a breach of clause 2(b) shall not be subject to a cure opportunity). Upon any termination of the Agreement pursuant to this provision, Franchisor shall be entitled to any and all legal and equitable remedies available under the Agreement and applicable law, including, without limitation, the collection, as liquidated damages and not as a penalty, of an amount equal to the License Fees provided in the Agreement with respect to all Gross Sales of the Existing Business for all periods during which the breach is continuing or, if such period cannot be ascertained with certainty, during all periods during which this Addendum has been in effect. This provision shall survive any transfer, expiration, termination or non-renewal of the Agreement or the Franchised Business for the time period set forth in Section 9.D.3 of the Agreement.

4. **Inspections; Audits.** Franchisee shall make and if applicable shall cause its affiliate to make the books and records (including all electronic records, tax returns and personal tax returns) for the Existing Business available to Franchisor for inspection and audit upon reasonable prior notice, so that Franchisor may verify Franchisee's compliance with the requirements of this Addendum, including the requirements in subparagraph 2(d) above. In addition, the provisions of Section 8.J of the Agreement regarding audits shall apply in all respects to the Existing Business and Franchisor shall have the same rights to access (including remotely) and audit the books and records of the Existing Business, and to require payment for the audit if the audit reveals that Franchisee did not comply with the requirements of this Addendum, in addition to any other remedies available to Franchisor hereunder or under the law.

5. **Franchisee's Representations and Warranties.** Franchisee hereby represents and warrants to Franchisor that it has all necessary power and authority to execute this Addendum, to bind the Existing Business to the terms hereof and to perform and comply with all of its obligations hereunder. There is no agreement or understanding (and Franchisee will not permit any such agreement or understanding to be entered into during the term of this Addendum) with respect to the Existing Business that would conflict with the terms of this Addendum.

6. **Construction.** Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. Except as specifically provided in this Addendum, the Agreement remains fully effective in all respects in accordance with its terms, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified specifically herein.

7. **No Restriction on In-Term and Post-Term Covenants.** Except as specifically stated in this Addendum, nothing in the Agreement or this Addendum or in the terms used herein shall be construed in any way to limit or restrict the application of the provisions of Section 9.D of the Agreement as it relates to the Existing Business or any other business Franchisee or any of its affiliates may engage in.

< SIGNATURES APPEAR ON THE NEXT PAGE >

FRANCHISEE:

_____
_____, individually

_____
Date

FRANCHISOR:

LAWN PRIDE SPV LLC, a Delaware limited liability company

BY: _____

_____
Date

Schedule J to the Franchise Agreement

STATE ADDENDUM

Schedule K to the Franchise Agreement

GROUNDS GUYS AND MOSQUITO JOE FRANCHISEE ADDENDUM

ADDENDUM TO LAWN PRIDE® FRANCHISE AGREEMENT
(FOR GROUNDS GUYS® AND MOSQUITO JOE® FRANCHISEES ONLY)

This Addendum to Franchise Agreement (the "**Addendum**") is entered into as of _____ [__], 202__ (the "**Addendum Effective Date**") by and between Lawn Pride SPV LLC, a Delaware limited liability company ("**Franchisor**"), and _____, a _____ (**"Franchisee"**). All capitalized terms not defined in this Addendum have the meanings ascribed to them in the Lawn Pride Franchise Agreement.

A. Franchisor and Franchisee are parties to that certain Grounds Guys and/or Mosquito Joe Franchise Agreement dated _____ (the **"Grounds Guys Franchise Agreement" and/or "The Mosquito Joe Franchise Agreement"**), pursuant to which Franchisee received the right and the obligation to operate a Grounds Guys and/or Mosquito Joe franchised business in the territory identified therein (the "**Grounds Guys Business**" and/or the "**Mosquito Joe Business**").

B. Simultaneously herewith, the parties are entering into a Lawn Pride Franchise Agreement (the "**Lawn Pride Franchise Agreement**" and collectively with the Grounds Guys Franchise Agreement and/or Mosquito Joe Franchise Agreement, each a "**Franchise Agreement**") pursuant to which Franchisee shall receive the right and the obligation to develop and operate a Lawn Pride franchised business in the territory identified therein (the "**Lawn Pride Business**" and collectively with the Lawn Pride Business, each, "**Business**").

AGREEMENT

NOW THEREFORE, in consideration of the mutual agreements, covenants and promises contained in this Addendum and for mutual consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto agree as follows:

1. **Separate Business Operations**. Franchisee understands and agrees that the Grounds Guys Business, the Mosquito Joe Business and the Lawn Pride Business are separate, independent businesses, and Franchisee understands and agrees to develop and operate each Business in compliance with the terms of the applicable Franchise Agreement, including without limitation, (a) keeping separate books and records for each Business, (b) providing to Franchisor separate reports for each Business, (c) maintaining separate employees for each Business and (d) maintaining separate insurance policies for each Business.

2. **Cross-Default**. Franchisee understands and agrees that a default under a Franchise Agreement that gives Franchisor the right to terminate the Franchise Agreement will also be deemed a default under the other Franchise Agreement, giving Franchisor the right to also terminate the other Franchise Agreement.

3. **Release**. Franchisee, for itself and its past and present heirs, executors, administrators, representatives, affiliates, directors, officers, members, managers, owners, successors and assigns and on behalf of any other party claiming an interest through Franchisee, in their corporate and individual capacities (each, a "**Releasor**" and collectively "**Releasors**"), jointly and severally, hereby release, forever discharge and covenant not to sue, Franchisor and each of its predecessors, successors, affiliates, subsidiaries, assigns, officers, directors, shareholders, members, managers, agents and employees, and their respective heirs, executors, administrators, representatives, successors and assigns, in their corporate and individual capacities (collectively "**Releasees**"), from, in respect of and in relation to any and all claims, actions, causes of action, suits, debts, obligations, liabilities, sums of money, costs and expenses, acts, omissions or refusals to act, damages, judgments and demands, of any kind whatsoever, joint or several,

known or unknown, vested or contingent, which each Releasor ever had, now has or which Releasor hereinafter can, will or may have, against Releasees related to, arising from, for, upon or by reason of any matter, cause or thing whatsoever related to the Grounds Guys Franchise Agreement and/or the Mosquito Joe Franchise Agreement or any other agreement between Releasors and Releasees, the Grounds Guys Business and/or the Mosquito Joe Business, or the relationship between Releasors, on the one hand, and Franchisor Releasees, on the other hand, through the Addendum Effective Date (collectively, the "**Claims**"), for known or unknown damages or other losses, including but not limited to any alleged violations of any deceptive or unfair trade practices laws, franchise laws, or other local, municipal, state, federal, or other laws, statutes, rules or regulations, and any alleged violations of any agreement between the Releasor and Releasees or the relationship between Releasor and Releasees through and including the Addendum Effective Date.

The release of the Claims as set forth above (the "**Release**") is intended by the Releasors to be a full and unconditional general release, as that phrase is used and commonly interpreted, extending to all claims of any nature, whether or not known, expected or anticipated to exist in favor of the Releasees regardless of whether any unknown, unsuspected or unanticipated claim would materially affect settlement and compromise of any matter mentioned herein. To effect a full and complete release, each Releasor expressly waives and relinquishes all rights and benefits of Section 1542 of the Civil Code of the State of California, and does so understanding and acknowledging the significance and consequence of specifically waiving Section 1542. Section 1542 of the California Civil Code states: "A general release does not extend to claims which the creditor or releasing party does not know or suspect to exist in his favor at the time of executing the release, which if known by him must have materially affected his settlement with the debtor or released party."

For avoidance of doubt, the Release does not extend to any Claims for alleged violations of any franchise laws in connection with the grant of the franchise under the Lawn Pride Franchise Agreement.

Each Releasor agrees that this Release is an essential, integral and material term of this Addendum. Each Releasor further acknowledges and agrees that no violation of this Addendum shall void the Release.

4. Entire Agreement. The Franchise Agreement and this Addendum constitute the entire agreement between the parties concerning the matters discussed therein and herein and supersede any prior agreements, commitments, and obligations between the parties regarding same. Except as amended hereby, all other terms and conditions of the Franchise Agreement remain in full force and effect. This Addendum may be executed in multiple counterparts, each of which shall constitute an original and together they shall constitute one and the same agreement.

FRANCHISEE:

_____
_____, individually

Date: _____

FRANCHISOR:

LAWN PRIDE SPV LLC
A Delaware Limited Liability Company

BY: _____
Susan McIntosh, President

Date: _____

EXHIBIT B

AGENCIES/AGENTS
FOR SERVICE OF PROCESS

AGENCIES/AGENTS
FOR SERVICE OF PROCESS

This list includes the names, addresses and telephone numbers of state agencies having responsibility for franchising disclosure/registration laws, and serving as our agents for service of process (to the extent that we are registered in their states). This list also includes the names, addresses and telephone numbers of other agencies, companies or entities serving as our agents for service of process.

State	State Agency	Agent for Service of Process
CALIFORNIA	California Department of Financial Protection & Innovation 651 Bannon Street, Suite 300 Sacramento, CA 95811 (213) 576-7500 Toll-free (866-275-2677)	Commissioner of Department of Financial Protection & Innovation
HAWAII	Department of Commerce and Consumer Affairs Business Registration Division Commissioner of Securities King Kalakaua Building 335 Merchant Street, Room 205 Honolulu, HI 96813 (808) 586-2722	Hawaii Commissioner of Securities
ILLINOIS	Franchise Division Office of Attorney General Franchise Division 500 South Second Street Springfield, IL 62706 (217) 782-1090	Illinois Attorney General
INDIANA	Securities Commissioner Indiana Securities Division 302 West Washington St., Room E-111 Indianapolis, IN 46204 (317) 232-6681	Indiana Secretary of State 201 State House 200 West Washington Street Indianapolis, IN 46204
MARYLAND	Office of the Attorney General Securities Division 200 St. Paul Place Baltimore, MD 21202-2020 (410) 576-6360	Maryland Securities Commissioner
MICHIGAN	Michigan Department of Attorney General Consumer Protection Division Attn: Franchise Section 525 W. Ottawa Street G. Mennen Williams Bldg. 1st Floor Lansing, MI 48933 (517) 373-7117	Michigan Department of Commerce Corporations and Securities Bureau
MINNESOTA	Minnesota Department of Commerce 85 7th Place East, Suite 280 St. Paul, MN 55101-2198 (651)-539-1600	Minnesota Commissioner of Commerce

State	State Agency	Agent for Service of Process
NEW YORK	NYS Department of Law Investor Protection Bureau 28 Liberty Street, 21st Floor New York, NY 10005-1495 (212) 416-8222	Attention: New York Secretary of State New York Department of State One Commerce Plaza, 99 Washington Avenue, 6th Floor Albany, NY 12231-0001 (518) 473-2492
NORTH DAKOTA	North Dakota Insurance & Securities Department 600 East Boulevard, Dept. 401 Bismarck, ND 58505-0510 (701) 328-2910	North Dakota Securities Commissioner
RHODE ISLAND	Rhode Island Department of Business Regulation Division of Securities 1511 Pontiac Avenue John O. Pastore Complex – Bldg. 69-1 Cranston, RI 02920 (401) 462-9500 x5	Director of Rhode Island Department of Business Regulation
SOUTH DAKOTA	South Dakota Division of Insurance Securities Regulation 124 S Euclid, Suite 104 Pierre, SD 57501 (605) 773-3563	Director of the South Dakota Division of Securities
VIRGINIA	State Corporation Commission Division of Securities and Retail Franchising 1300 East Main Street, 9th Floor Richmond, VA 23219 (804) 371-9051	Clerk of the State Corporation Commission Tyler Building, 1st Floor 1300 E. Main Street Richmond, VA 23219 804-371-9051
WASHINGTON	Department of Financial Institutions Securities Division PO Box 41200 Olympia, WA 98504-1200 (360) 902-8760	Director of Washington Financial Institutions Securities Division 150 Israel Rd S.W. Tumwater, WA 98501 (360) 902-8760
WISCONSIN	Department of Financial Institutions Division of Securities 4822 Madison Yards Way, North Tower Madison, WI 53705 (608) 266-0448	Wisconsin Commissioner of Securities
OTHER STATES	N/A	Grayson Brown 1010 N. University Parks Drive Waco, TX 76707

EXHIBIT C

FINANCIAL STATEMENTS

Neighborly Assetco LLC and Subsidiaries

Combined Financial Statements

As of December 31, 2025 and 2024 and
for the years ended December 31, 2025 and 2024

Neighborly Assetco LLC and Subsidiaries

Contents

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Combined Financial Statements:

Balance Sheets 5

Statements of Operations and Comprehensive Income 6

Statements of Changes in Member's Equity 7

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Building a better working world

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2323 Victory Avenue
Dallas, TX 75219

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Fax: +1 214 969 8587
ey.com

Report of Independent Auditors

To the Board of Directors and Member of
Neighborly Assetco LLC and Subsidiaries

Opinion

We have audited the combined financial statements of Neighborly Assetco LLC and subsidiaries (the Company), which comprise the combined balance sheets as of December 31, 2025 and 2024, and the related combined statements of operations and comprehensive income, changes in member's equity and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than

for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst + Young LLP

Dallas, Texas
March 31, 2026

Neighborly Assetco LLC and Subsidiaries

Combined Balance Sheets
($000's)

	December 31, 2025	December 31, 2024
Assets		
Current assets		
Cash	$ 4,181	$ 2,499
Restricted cash	4,362	4,037
Trade accounts receivable – net	28,789	24,255
Trade notes receivable - current portion – net	7,530	7,445
Prepaid expenses and other current assets	12,058	13,044
Total current assets	56,920	51,280
Property and equipment - net	5,502	16,721
Prepaid selling expenses – less current portion	56,149	51,495
Trade notes receivable – less current portion - net	12,466	13,332
Intangible assets – net	1,170,362	1,251,674
Goodwill	1,737,327	1,731,288
Total assets	$ 3,038,726	$ 3,115,790
Liabilities and Member's Equity		
Current liabilities		
Accrued liabilities	$ 4,802	$ 2,998
Deferred revenue - current	14,623	14,745
Total current liabilities	19,425	17,743
Deferred revenue - less current portion	68,813	70,787
Commitments and Contingencies - Note 9	-	-
Member's equity		
Additional paid-in equity	2,288,283	2,531,790
Accumulated earnings	648,835	494,774
Accumulated other comprehensive income	13,370	696
Total Member's equity	2,950,488	3,027,260
Total liabilities and member's equity	$ 3,038,726	$ 3,115,790

See accompanying notes to combined financial statements.

Neighborly Assetco LLC and Subsidiaries

Combined Statements of Operations and Comprehensive Income
($000's)

	Year ended December 31, 2025	Year ended December 31, 2024
Revenues and income		
Franchise service fees and related revenue	$ 353,906	$ 321,208
Sales of products and services	126,891	140,458
Total revenues and income	480,797	461,666
Cost of products and services	69,473	72,612
Gross profit	**411,324**	389,054
Selling expense	20,564	15,364
General and administrative expense	33,961	17,967
Advertising and promotional fund expense	55,204	49,981
Depreciation and amortization	94,436	95,532
Management expenses	45,342	47,126
Loss on impairment	4,068	-
Credit losses	3,688	3,714
Net income	**154,061**	159,370
Other comprehensive income		
Foreign currency translation adjustment	12,674	5,465
Comprehensive income	**$ 166,735**	$ 164,835

See accompanying notes to combined financial statements.

Neighborly Assetco LLC and Subsidiaries

Combined Statements of Changes in Member's Equity
($000's)

		Member's Equity
Balance – December 31, 2023	$	3,111,215
Distributions		(248,790)
Currency translation adjustment		5,465
Net income		159,370
Balance – December 31, 2024	$	3,027,260
Distributions		(243,507)
Currency translation adjustment		12,674
Net income		154,061
Balance – December 31, 2025	$	2,950,488

See accompanying notes to combined financial statements.

Neighborly Assetco LLC and Subsidiaries

Combined Statements of Cash Flows
($000's)

	Year ended December 31, 2025	Year ended December 31, 2024
Operating activities		
Net income	$ 154,061	$ 159,370
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	94,436	95,532
Loss on impairment	4,068	-
Loss on disposal	4,722	-
Credit losses	3,688	3,714
Notes received	(15,048)	(14,803)
Collections of notes receivable	14,419	17,158
Changes in assets and liabilities:		
Trade accounts receivable	(6,814)	(2,524)
Prepaid expenses and other assets	(3,935)	(4,440)
Accrued liabilities	1,368	(1,361)
Deferred revenue	(2,095)	1,725
Net cash provided by operating activities	248,870	254,371
Investing activities		
Purchase of property, equipment and other assets	(3,356)	(3,782)
Net cash used in investing activities	(3,356)	(3,782)
Financing activities		
Distribution of equity	(243,507)	(248,790)
Net cash used in financing activities	(243,507)	(248,790)
Net increase in cash and restricted cash	2,007	1,799
Cash and restricted cash - Beginning of period	**$ 6,536**	**$ 4,737**
Cash and restricted cash - End of period	**$ 8,543**	**$ 6,536**

See accompanying notes to combined financial statements.

1. Description of Business and Significant Accounting Policies

Organization and Description of Business

Neighborly Assetco LLC ("we", "our" and the "Company") is an infinite-lived single-member special purpose Delaware limited liability company and was organized on November 13, 2020, with no operations until March 25, 2021. The Company is a direct, wholly owned subsidiary of Neighborly Issuer LLC (the "Issuer"), which is a special purpose Delaware limited liability company and a direct, wholly owned subsidiary of Neighborly SPV Guarantor LLC (the "SPV Guarantor"), which is a special purpose Delaware limited liability company that is an indirect, wholly owned subsidiary of Neighborly Company (the "Manager"). All of the issued and outstanding limited liability company interests of the Company are directly owned by the Issuer, upon an initial $1.00 capital contribution. The Company is a bankruptcy remote entity that owns substantially all of the US intellectual property including tradenames, franchise agreements, national account relationships and systems-in-place, as well as the United Kingdom (the "UK") tradenames of the Manager. The Company conducts transactions with affiliated parties under common control, and as such, results of operations may not be indicative of operations on a stand-alone basis, without those transactions with related parties. The Company has no employees and relies on the Manager for continued operations.

As of March 25, 2021 the Company's subsidiaries were comprised of a number of franchisors and related supporting businesses operating in the United States (the "US") and internationally and include the following businesses: Aire Serv SPV LLC, Mr. Electric SPV LLC, The Grounds Guys SPV LLC, Rainbow International SPV LLC, Glass Doctor SPV LLC, Mr. Appliance SPV LLC, Mr. Rooter SPV LLC, Molly Maid SPV LLC, Mr. Handyman SPV LLC, Five Star Painting SPV LLC, Window Genie SPV LLC, Real Property Management SPV LLC, Mosquito Joe SPV LLC, HouseMaster SPV LLC, Dryer Vent Wizard SPV LLC, ShelfGenie SPV LLC, and Precision Door Service SPV LLC (each an "SPV Franchisor" and together the "SPV Franchisors") and ProTradeNet SPV LLC, Back Office SPV LLC and G-O Manufacturing SPV LLC (each a "Non-Franchisor SPV Entity" and together the "Non-Franchisor SPV Entities"), each of which is a direct, wholly owned subsidiary of the Company.

In June 2021, assets of Neighborly Services Solutions SPV LLC, a Non-Franchisor SPV entity, were contributed to the Company.

In January 2022, assets of Zorware SPV LLC, NBLY Co Ops CO SPV LLC, and Trench Right SPV LLC were contributed to the Company and intangible assets were acquired by Pimlico SPV Limited, all Non-Franchisor entities. In March 2022, additional assets of NBLY Co Ops CO SPV LLC as well as assets of NBLY Co Ops AZ SPV, both Non-Franchisor entities, were contributed to the Company. In December 2022, intangible assets of Greensleeves Limited were contributed to the Company.

In January 2023, assets of NBLY Co Ops IN SPV LLC, NBLY Logistics SPV LLC, Lawn Pride SPV LLC, and Junk King SPV LLC, were contributed to the Company.

The Company holds all the equity interests in the SPV Franchisors and the Non-Franchisor SPV Entities, certain intellectual property, certain license agreements and certain vendor agreements. Each SPV Franchisor holds the tradenames and the franchise agreements related to such brand and any product supply agreements or vendor agreements related to such brand. The Non-Franchisor SPV Entities hold certain tradenames, certain product supply agreements, certain vendor agreements and the office service agreements.

The Company was formed in connection with a financing transaction (the "Securitization Transaction"), which was completed on March 25, 2021 (see Note 2). On March 25, 2021, the Manager, a Non-Securitization Entity, contributed to the Company through a series of asset transfers to the SPV Guarantor, the Issuer, the Company and its subsidiaries (the "Securitization Entities"), substantially all of its US intellectual property, including tradenames (the "Securitization IP"), franchise agreements, national account relationships and systems-in-place and the UK tradenames (collectively, the "Securitization Assets"). The Manager, certain Securitization Entities and the SPV Franchisors entered into license agreements pursuant to which they granted, respectively, to certain Non-Securitization Entities (i) a non-exclusive license to use and sublicense the Securitization IP in connection with owning and operating certain company-owned store locations, UK locations and Canadian locations and (ii) an exclusive license to use and sublicense the Securitization IP in connection with other products and services.

The contributions of the Securitization Assets are between entities under common control and are recorded at book value. No gain or loss has been realized on the transactions.

On March 25, 2021, the Securitization Entities entered into the management agreement (the "Management Agreement") with the Manager to perform certain services on behalf of the Securitization Entities, including, among other things, collecting franchisee payments, managing the operations on behalf of the Securitization Entities, and performing certain franchising, marketing, and operational and reporting services, as well as managing the intangible assets on behalf of the Securitization Entities. In exchange for providing such services, the Manager will be entitled to receive certain management fees on a weekly basis.

Basis of Presentation

The accompanying combined financial statements as of December 31, 2025 and December 31, 2024 include the accounts of the Company and its wholly owned subsidiaries. All significant intercompany accounts and transactions have been eliminated in consolidation.

FASB ASC Topic 810-10, Consolidation, applies to certain entities in which equity investors do not have the characteristics of a controlling financial interest or do not have sufficient equity at risk for the entity to finance its activities without additional subordinated financial support. Such an entity is referred to as a variable interest entity ("VIE"). FASB ASC Topic 810-10 requires the consolidation of a VIE by its primary beneficiary. The primary beneficiary is the entity, if any, that has the obligation to absorb losses or the right to receive benefits of the VIE that could potentially be significant to the VIE, which is the Company and its subsidiaries.

The Company has determined that the Securitization Entities qualify as VIE's and that Neighborly Company, the Manager, is the primary beneficiary, having both power and benefits, of the Securitization Entities. Accordingly, consolidation of the Company and its subsidiaries (including the SPV Franchisors and the Non-franchisor SPVs) is precluded, and as a result, combined financial statements are presented. All intercompany transactions have been eliminated.

Acquisition of the Manager

On June 29, 2021, Kohlberg Kravis and Roberts ("KKR"), and associated co-investors formed Nest Bidco Inc. which, on September 1, 2021, purchased 100% of the shares of Balcones Holdco, Inc., the parent company of Neighborly Company, from TDG Investment Holdings, LP. Nest Bidco Inc. is an indirectly wholly owned subsidiary of Nest Holdings LP, which is the ultimate parent company of the

newly formed business. The transaction was effected to add Neighborly to KKR's investment portfolio.

Use of Estimates

The preparation of combined financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the combined financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Income Taxes

The Company is a single-member limited liability company for federal and state income tax purposes with all income tax liabilities and/or benefits of the Company being passed through to the Manager. As such, no recognition of federal or state income taxes will be provided for in the financial statements of the Company.

Revenue Recognition

The Company's primary sources of revenue are as follows:

- Franchise service fees and related revenue include fees from existing franchise owners based on a percentage of each franchise owner's gross sales, which generally range from 2% to 15% of the franchise owner's gross sales, as well as fees for franchise sales generated from the sale of new and existing franchise territories; and

- Sales of products and services to unrelated third parties.

Franchise service fees and related revenue

Typically, franchise agreements are granted to franchise owners for an initial term of ten years with an option to renew. Our performance obligations under franchise agreements consist of providing a license of our brand's intellectual property, a list of approved suppliers, certain training programs, an operations manual, and to maintain the marketing, advertising, and promotional (MAP) fund. These performance obligations are highly interrelated and we do not consider them to be individually distinct, and therefore account for them as a single performance obligation, which collectively represent the obligation to provide a license for the right to use our brand's intellectual property. Revenue related to franchise sales agreements is recognized on a straight-line basis over the term of the agreement and the contract liabilities are recorded in Deferred revenue – current and Deferred revenue in the Combined Balance Sheets. Other revenue associated with the franchise agreements includes variable or sales-based royalties and services and MAP fund fees collected, which are recognized as the underlying sales occur and performance obligations are satisfied.

In the event a franchise agreement is terminated, without a corresponding agreement executed by the same franchise owner, any remaining deferred fees as well as applicable termination fees are recognized in the period of termination.

The Company at times extends credit to entities for the purchase of franchises. These entities are typically controlled by individuals who operate their franchise as an owner/manager. Generally, the

trade notes receivables are collateralized by the related franchise territory rights. The Company also periodically extends unsecured credit to its franchise owners for unpaid franchise service fees. The Company places notes receivable on nonaccrual status when payment is ninety days past due and ceases to recognize revenue from interest on the note until such time as the note receivable is no longer past due. Interest on trade notes receivable is recorded as Franchise service fees and related revenue when earned. Each entity's ability to perform is dependent upon the economic condition of the business. The Company maintains ongoing credit evaluations of its franchise owners.

Allowances for expected credit losses is required on financial instruments based on the total estimated amount to be collected over the lifetime of the instrument. The Company considers both current conditions and reasonable and supportable forecasts of future conditions for estimating expected credit losses. Current conditions considered include pre-defined aging criteria, as well as specified events that indicate the balance due is not collectible. Reasonable and supportable forecasts used in determining the probability of future collection consider publicly available macroeconomic data and whether future credit losses are expected to differ from historical losses.

Franchise service fee revenues represent sales-based royalties that are related entirely to the Company's performance obligation under the franchise agreement and are recognized in the period in which the sales occur. Sales-based royalties are variable consideration related to our performance obligations to our franchise owners to maintain the intellectual property being licensed.

The right to collect MAP fees and the obligation to maintain the MAP fund is assigned to the Manager by each SPV Franchisor, and the performance obligation and fulfillment thereof resides with the Manager. The Manager's obligation related to these funds is to administer the MAP fund, keep unused MAP fees in segregated bank accounts and use MAP fees for certain activities related to the marketing and promotion of the individual businesses. The Manager acts as the principal in the transaction related to the MAP fund contributions and expenditures. MAP fund contributions and expenditures are reported on a gross basis in the accompanying Combined Statements of Operations and Comprehensive Income in Franchise service fees and related revenue. As noted above, we have concluded the advertising services provided to franchise owners are highly interrelated with the franchise rights and not a distinct performance obligation; therefore, revenues from MAP fund fees are recognized as advertising and promotion fund revenue when the related sales occur based on the application of the sales-based royalty exception within ASC 606, Revenue from contracts with customers.

Synthetic royalties from affiliated entities represent sales-based royalties that are related entirely to our performance obligation under intellectual property license agreements with affiliated entities and are recognized in the period in which the sales occur in Franchise service fees and related revenue in the accompanying Combined Statements of Operations and Comprehensive Income. Synthetic royalties were $26,582 and $28,242 for the years ended December 31, 2025 and 2024, respectively. These sales-based royalties are variable consideration related to our performance obligations to affiliated entities to maintain the intellectual property being licensed. The synthetic royalties are based on separate agreements with affiliates depending on the circumstances and revenues earned. Generally, these royalties are based on a percentage of revenues or profits.

Sales of products and services

Revenues from product sales are recorded in Sales of products and services and recognized upon transfer of title, when delivered to the customer, when the work is performed, or orders are shipped.

Contract Balances

The contract liabilities which we classify as "deferred revenue" consist primarily of the unamortized portion of initial franchise fees that are currently being amortized into revenue, amounts related to pending agreements, or other deferred revenues not related to franchise agreements. The contract balances related to deferred franchise revenue represents our remaining performance obligations to our franchise owners, as we account for our highly interrelated obligations as a single performance obligation, which collectively represent the obligation to provide a license for the right to use our brand's intellectual property excluding amounts of variable consideration related to sale-based royalties, synthetic royalties, license fees and advertising. The other deferred revenues not related to the franchise agreements are included in current deferred revenue.

The components of the change in deferred revenue are as follows:

	Year Ended December 31,	
	2025	2024
Balance at beginning of period	$ 85,532	$ 83,807
Fees received from franchise owners	36,358	35,141
Franchise sales fee revenue recognized	(39,428)	(33,680)
Other changes in deferred revenue	974	264
Balance at end of period	83,436	85,532
Less: current portion	14,623	14,745
Deferred revenue noncurrent	$ 68,813	$ 70,787

As of December 31, 2025, the deferred revenue expected to be recognized for each of the next five years, and in the aggregate, is as follows:

Years ending December 31,	
2026	$ 14,623
2027	12,383
2028	11,779
2029	10,604
2030	9,413
Thereafter	24,634
	$ 83,436

Direct, incremental selling expenses are reimbursed by the Company to the Manager. Such costs paid when the franchise agreement is executed are recorded as a contract asset by the Company and amortized over the life of the agreement consistent with the recognition of the deferred revenue. Contract assets are included in Prepaid expenses and other current assets and Prepaid selling expenses - less current portion in the accompanying Combined Balance Sheets. For the year ended December 31, 2025, $24,756 of costs were incurred and expense of $18,906 was recognized. For the year ended December 31, 2024, $24,044 of costs were incurred and expense of $14,023 was recognized. The ending asset for deferred contract costs as of December 31, 2025 was $65,285, of which $9,135 was current. The ending asset for deferred contract costs as of December 31, 2024 was $59,435, of which $7,940 was current.

Advertising

The Company expenses advertising costs as incurred. Advertising expense was $13,554 and $12,013 for the years ended December 31, 2025 and 2024, respectively. Advertising expense is included in General and administrative expense in the accompanying Combined Statements of Operations and Comprehensive Income. This is separate from MAP fees which are presented on their own line in Combined Statements of Operations and Comprehensive Income.

Inventories

Inventories consist of products to be sold and are stated at the lower of cost (first-in, first-out method) or net realizable value. Inventories were $1,289 and $1,783 as of December 31, 2025 and 2024, respectively.

Property and Equipment

Property and equipment is stated at cost and is depreciated using the straight-line method over the estimated useful lives of the respective assets which are generally as follows: machinery, equipment, and vehicles (5-10 years); and software (3 years). Additions, renewals, and betterments are capitalized; maintenance and repairs which do not extend the useful life of the asset are expensed as incurred.

Management evaluates long-lived assets used in operations for impairment when indicators of impairment are present. If the sum of the estimated undiscounted future cash flows related to the asset is less than the carrying amount, we recognize a loss equal to the difference between the carrying value and the fair value, usually determined by the estimated discounted cash flow analysis of the asset. The Company's evaluation of these long-lived assets indicated that certain assets within a single asset group were not recoverable as the carrying value exceeded the estimated fair value of the assets based on the undiscounted future cash flows. The Company recorded an impairment charge of $4,068 for the year ended December 31, 2025 reducing the carrying value of the property and equipment with a corresponding charge to earnings. The impairment amount recognized in 2025 is classified in the Loss on impairment financial statement line item on the Combined Statement of Operations and Comprehensive Income. No impairment losses were recorded for property and equipment in 2024.

Goodwill

Goodwill represents the excess of the consideration transferred over the fair value of identifiable net assets acquired. The Company tests goodwill annually for impairment, or earlier if events or changes in circumstances indicate that impairment may exist. Management's impairment tests are

generally performed as of October 1st annually. The Company's current goodwill balance was measured as of September 1, 2021, resulting from the acquisition of the Manager and pushdown accounting election, based on the excess of consideration over the fair value of assets acquired.

The Company performed a qualitative assessment of its goodwill as of October 1, 2025 and concluded it is not more likely than not that the fair value of its reporting unit is less than the carrying amount and, as such, a quantitative impairment test was not considered necessary. Management determined that there was no impairment of goodwill in the combined financial statements.

Intangible Assets

Intangible assets consist of tradenames, franchise relationships, national accounts, developed technology, and domain name, and are stated at their acquisition-date fair value, less subsequent amortization. The Company's intangible assets are definite lived, other than domain name, which is indefinite lived.

For definite lived intangible assets, when events or changes in circumstances indicate that the carrying amount of the asset may not be recoverable, the Company evaluates the definite lived intangible assets for impairment by comparing the carrying value to the anticipated future undiscounted cash flows expected to be generated from the use of the intangible assets. If the carrying amount is not recoverable, a loss is recorded in the amount the carrying value exceeds the fair market value of the assets. The Company performed a qualitative assessment of its intangible assets and determined that no indicators of impairment were present for definite lived intangible assets.

Tradenames are amortized over their estimated useful life of 20 years, using the straight-line method. Franchise relationships and national accounts relationships are amortized over their estimated useful lives of 15 years, using the straight-line method. Software is amortized over its estimated useful life of 3 years, using the straight-line method.

Domain names are stated at their acquisition-date fair value, and are not amortized, as their useful lives are considered indefinite, but are subject to annual impairment testing. The Company performed a qualitative assessment of its indefinite lived intangible assets as of October 1 in each of 2025 and 2024 and concluded it is not more likely than not that the fair value of its domain names is less than the carrying amount and, as such, a quantitative impairment test was not considered necessary.

Fair Value of Financial Instruments and Non-Financial Assets

In accordance with FASB ASC 820, Fair Value Measurements, certain assets carried at fair value are categorized based on the level of judgment associated with the inputs used to measure their fair value. The standard establishes a hierarchy that prioritizes the inputs to valuation techniques used to measure fair value into three levels:

Level 1 - Inputs are unadjusted quoted market prices in active markets for identical assets or liabilities at the measurement date.

Level 2 - Inputs (other than quoted prices included in Level 1) are either directly or indirectly observable for the asset or liability through correlation with market data at the measurement date for the duration of the instrument's anticipated life.

Level 3 - Inputs are unobservable and therefore reflect management's best estimate of the assumptions that market participants would use in pricing the asset or liability.

As of December 31, 2025 and December 31, 2024, the Company's cash, restricted cash, accounts payable and accrued liabilities are carried at cost, which approximates fair value due to the short-term nature of each instrument and are classified as Level 1. The carrying values reported for trade accounts receivable and trade notes receivables, net of allowances, includes a degree of counterparty non-performance risk and are classified as level 2.

The trade names, systems in place, and developed technology were valued using the relief from royalty method and the franchise relationships and national account relationships were valued using the multi-period excess earnings method in the periods acquired. The future projections and estimates used for the valuations are considered Level 3 inputs.

Foreign Currency Translation

Combined entities that have a functional currency that differs from the Company's reporting currency include our foreign subsidiaries, which are in the UK Foreign currency denominated assets and liabilities are translated using the exchange rates at the end of each reporting period. Results of foreign operations are translated at the weighted average exchange rate for each reporting period. Translation adjustments are included as a component of accumulated other comprehensive income until realized. Where amounts denominated in a foreign currency are converted into US dollars by remittance or repayment, the realized exchange differences are included in the accompanying Combined Statements of Operations and Comprehensive Income, primarily in general and administrative expense, and was immaterial in all periods presented.

Cash and Restricted Cash

Cash consists of cash held on deposit. Restricted cash includes securitized cash held on deposit in Company accounts related to the Securitization Transaction.

Cash and restricted cash consists of the following:

	December 31,	
	2025	2024
Cash	$ 4,181	$ 2,499
Restricted cash:		
Whole business securitization	4,362	4,037
Total cash and restricted cash	$ 8,543	$ 6,536

The Company maintains its cash in banks in which deposits may, from time to time, exceed federally insured limits. The Company has not experienced any losses in such accounts and believes that it is not exposed to any significant credit risks related to cash.

2. Securitization Transactions

On March 25, 2021, the Manager, a Non-Securitization Entity, contributed to the Company through a series of asset transfers to the Securitization Entities, substantially all of the US intellectual property, including tradenames, franchise agreements, national account relationships and systems-in-place and the UK tradenames. The Manager, certain Securitization Entities and the SPV Franchisors entered into license agreements pursuant to which they granted, respectively, to certain Non-Securitization Entities (i) a non-exclusive license to use and sublicense the Securitization IP in connection with owning and operating certain company-owned store locations, UK locations and Canadian locations and (ii) an exclusive license to use and sublicense the Securitization IP in connection with other products and services.

The Company received a cash capital contribution in January 2022 of $102,000 which the Company used to acquire $102,000 in intangible assets. Also in January 2022, the Company received a non-cash capital contribution of $13,456, consisting of $10,862 in property and equipment, $2,082 in intangible assets, and $512 in inventories. In March 2022, the Company received a non-cash contribution of $1,214, consisting of $1,169 in property and equipment and $45 in inventories. In December 2022, the Company received a non-cash contribution of $2,112 in intangible assets from the Manager.

In January 2023, the Company received a non-cash contribution of $101,756, consisting of $99,349 in intangible assets, $3,600 in accounts receivable, $2,241 in property and equipment, $280 in inventories, and an unearned revenue liability, net of prepaid selling expenses, of $3,714.

The contributions of the Securitization Assets are between entities under common control and are recorded at book value as of the unaudited interim date. No gain or loss has been realized on the transactions.

The Issuer is dependent on the Company for sufficient cash flows from their securitized operations to service the Series 2021-1, Series 2022-1, and Series 2023-1 Senior Notes (see Note 3), remit management fees to the Manager, and pay certain other ongoing costs related to the Securitization Transaction.

3. Debt Guarantee

In conjunction with the Securitization Transaction, on March 25, 2021, the Issuer issued $800,000 Series 2021-1 3.584% Fixed Rate Senior Secured Notes (the "Series 2021-1 Senior Notes"). The Series 2021-1 Senior Notes have an anticipated repayment date of April 30, 2028, and a final maturity date of April 30, 2051. Scheduled principal payments of $2,000 and interest are paid quarterly. As of December 31, 2025 and 2024, the Series 2021-1 Senior Notes had $764,000 and $772,000 outstanding, respectively.

Additionally, the Securitization Transaction provided for a $10,000 variable rate Delayed Draw Class A-1-LR Senior Note ("Series 2021-1 Class A-1 Notes"), with a final maturity date of April 30, 2051, which is only available for limited purposes and may not be drawn by the Issuer. Interest on draws is paid weekly at the Secured Overnight Financing Rate (SOFR) plus 300 basis points. As of December 31, 2025 and 2024, no borrowings had been made on the Series 2021-1 Class A-1 Notes.

On January 19, 2022, in connection with a second securitization, the Issuer, issued $410,000 Series 2022-1 3.695% Fixed Rate Senior Secured Notes (the "Series 2022-1 Senior Notes") through a second whole business securitization transaction (the "Second Securitization Transaction"). The Series 2022-1 Senior Notes have an anticipated repayment date of January 30, 2029, and a final maturity date of January 30, 2052. Scheduled principal payments of $1,030 and interest are paid quarterly. As of December 31, 2025 and 2024, the Series 2022-1 Senior Notes had $394,625 and $398,725 outstanding, respectively.

Additionally, the Second Securitization Transaction provided for a $4,000 variable rate Delayed Draw Class A-1-LR Senior Note (the "Series 2022-1 Class A-1 Notes"), with a final maturity date of January 30, 2052, which is only available for limited purposes and may not be drawn by the Issuer. Interest on draws is paid weekly at a rate equal to Prime plus 300 basis points. As of December 31, 2025 and 2024, no draws had been made on the Series 2022-1 Class A-1 Notes.

On February 3, 2023, in connection with a third securitization, the Issuer, issued $275,000 Series 2023-1 7.308% Fixed Rate Senior Secured Notes (the "Series 2023-1 Senior Notes") through a third whole business securitization transaction (the "Third Securitization Transaction"). The Series 2023-1 Senior Notes have an anticipated repayment date of January 30, 2028, and a final maturity date of January 30, 2053. Scheduled principal payments of $687 and interest are paid quarterly. As of December 31, 2025 and 2024, the Series 2023-1 Senior Notes had $267,438 and $270,188 outstanding, respectively.

Additionally, the Third Securitization Transaction provided for a $5,025 variable rate Delayed Draw Class A-1-LR Senior Note (the "Series 2023-1 Class A-1 Notes"), with a final maturity date of January 30, 2053, which is only available for limited purposes and may not be drawn by the Issuer. On December 11, 2024, the Series 2023-1 Class A-1 Notes maturity date was amended to change to January 30, 2055. Interest on draws is paid weekly at a rate equal to SOFR plus 300 basis points. As of December 31, 2025, no draws had been made on the Series 2023-1 Class A-1 Notes.

The Series 2021-1 Senior Notes, the Series 2022-1 Senior Notes, the Series 2023-1 Senior Notes, the Series 2021-1 Class A-1 Notes, the Series 2022-1 Class A-1 Notes, and the Series 2023-1 Class A-1 Notes described above issued in conjunction with the Securitization Transaction, the Second Securitization Transaction, and the Third Securitization Transaction (together, the "Securitization Transactions") are secured by substantially all assets of the Securitization Entities and guaranteed by the Securitization Entities, including the Company, each of which is a bankruptcy remote entity and which owned substantially all of the Manager's US intellectual property including tradenames, franchise agreements, national account relationships and systems-in-place, as well as the UK tradenames as of the date of issuance. The restrictions placed on the Issuer and its subsidiaries require that interest and scheduled principal payments on the Senior Notes and Class A-1 Notes be paid prior to any residual distributions to the Manager, and amounts are segregated weekly to ensure appropriate funds are reserved to pay the quarterly interest and scheduled principal amounts due. The amount of weekly cash flow that exceeds all expenses and obligations of the Issuer and its subsidiaries is generally remitted to the Manager in the form of a distribution. The Manager also receives a fee for the services it provides to the Securitization Entities that is senior to debt service. The Securitization Transaction requires, among other things, maintenance of minimum debt-service coverage ratio levels and additional incurrence of indebtedness and scheduled amortization requirements are subject to compliance with maximum leverage ratio levels. As of December 31, 2025 and 2024, the Issuer was in compliance with all debt-service coverage covenants.

4. Intangible Assets and Goodwill

On March 25, 2021, intangible assets were contributed to the Company, along with certain dates thereafter as discussed in Note 1. Each of the SPV Franchisors are wholly owned subsidiaries and there was no change in ultimate ownership. Accordingly, there has been no change in control and therefore the Company concluded that the guidance in ASC 805 Business Combinations was not applicable. Intangible assets were recorded at the carrying value from the contributing entities on the date of the contribution, as the entities are under common control. Upon the acquisition by KKR (see Note 1), and the Company's election to apply pushdown accounting, the intangible assets were recorded at their acquisition-date fair values.

Intangible assets as of December 31, 2025, consisted of the following:

	Useful Life	Gross Amount	Accumulated Amortization	Net Amount
Tradenames	20 years	$ 976,304	$ 206,518	$ 769,786
Franchise relationships	15 years	552,020	158,755	393,265
National accounts	15 years	2,530	666	1,864
Customer relationships	5 years	12,400	8,267	4,133
Developed Technology	3 years	720	720	-
Total definite-lived intangibles		$ 1,543,974	$ 374,926	$ 1,169,048

	Useful Life	Gross Amount	Accumulated Amortization	Net Amount
Domain Name	Indefinite	$ 1,314	$ -	$ 1,314
Total indefinite-lived intangibles		$ 1,314	$ -	$ 1,314

Intangible assets as of December 31, 2024, consisted of the following:

	Useful Life	Gross Amount	Accumulated Amortization	Net Amount
Tradenames	20 years	$ 968,277	$ 156,717	$ 811,560
Franchise relationships	15 years	552,020	121,954	430,066
National accounts	15 years	2,530	497	2,033
Customer relationships	5 years	12,400	5,787	6,613
Developed Technology	3 years	720	631	89
Total definite-lived intangibles		$ 1,535,947	$ 285,586	$ 1,250,361

	Useful Life	Gross Amount	Accumulated Amortization	Net Amount
Domain Name	Indefinite	$ 1,314	$ -	$ 1,314
Total indefinite-lived intangibles		$ 1,314	$ -	$ 1,314

Amortization expense was $88,214 and $89,241 for the years ended December 31, 2025 and 2024, respectively.

Estimated amortization expense for the subsequent five years is as follows:

Years ending December 31,		
2026	$	88,245
2027		87,418
2028		85,765
2029		85,765
2030		85,765
Thereafter		736,090
	$	**1,169,048**

Goodwill

The Company has assigned goodwill to its reporting units based on fair valuation analysis completed for the acquisition of the Manager by KKR. There have been no impairments recorded on goodwill from the date of the acquisition by KKR on September 1, 2021.

The changes in the carrying amount of goodwill are as follows:

	December 31,			
		2025		2024
Balance at beginning of period	$	1,731,288	$	1,732,653
Adjustment to goodwill for unrealized gain (loss) on foreign currency		6,039		(1,365)
Balance at end of period	$	1,737,327	$	1,731,288

5. Member's Equity

Neighborly Assetco LLC ("the Limited Liability Company") was formed pursuant to and in accordance with the Delaware Limited Liability Company Act (6 Del.C. §18-101, et seq.), as amended from time to time (the "Act").

The Limited Liability Company is governed by a Limited Liability Company Agreement in which management of the Company is vested in the member ("the Member"), the Manager, who has all powers, statutory or otherwise, possessed by members of a limited liability company under the laws of the State of Delaware. The Member has the authority to bind the Company.

The Member may appoint officers of the Company and may revoke delegated authorities and duties at any time by the Member.

The Limited Liability Company is capitalized with a single membership unit with a $1 per unit par value.

Pursuant to the Management Agreement, excess cash collections after distributions to the Issuer for quarterly interest and scheduled principal payments, expense reimbursements to the Manager and payment of management fees, are distributed to the Manager, as discussed in Note 8. The Member's equity is the residual of equity contributions from the Manager and income earned from operations, less distributions to the Issuer and Manager.

The Company shall dissolve, and its affairs be wound up upon the first to occur of the following: (i) the written consent of the Member, (ii) the retirement, resignation or dissolution of the Member or the occurrence of any other event which terminates the continued membership of the Member in the Company unless the business of the Company is continued in a manner permitted by the Act, or (iii) the entry of a decree of judicial dissolution under Section 18-802 of the Act.

6. Trade Notes Receivable

The Company periodically receives notes from the sale of new franchises. The rights to the related franchise territory sold generally collateralize these notes. The Company also from time-to-time receives notes for delinquent franchise service fees. Such notes, as of December 31, 2025 and 2024, bear interest at rates typically ranging from 9% to 12% and generally require equal monthly installments over a life of one to ten years. Initial trade notes receivable for the respective SPV Franchisors were contributed to the Company as of March 31, 2021 by the Manager and subsequently at various dates thereafter. As the contribution was between entities under common control, the notes receivable transferred were recorded at their historical cost basis in the financial records of the Manager.

A summary of trade notes receivable as of December 31 is as follows:

	2025	2024
Amounts due within one year, net of allowance for credit losses of $549 and $167 as of December 31, 2025 and 2024, respectively	$ 7,530	$ 7,445
Amounts due after one year, net of allowance for credit losses of $935 and $299 as of December 31, 2025 and 2024, respectively	12,466	13,332
Total trade notes receivable, net	**$ 19,996**	$ 20,777

An analysis of the changes in trade notes receivable is as follows:

	Year Ended December 31,	
	2025	2024
Gross trade notes receivable, beginning of period	$ 21,242	$ 25,314
Principal payments received	(14,419)	(17,158)
Notes issued	15,048	14,803
Net write-offs	(389)	(1,727)
Foreign currency translation	-	10
Gross trade notes receivable, end of period	21,482	21,242
Allowance for credit losses	(1,486)	(465)
Net trade notes receivable, end of period	**$ 19,996**	$ 20,777

An analysis of the changes in the trade notes receivable allowance is as follows:

	Year Ended December 31,	
	2025	2024
Allowance, beginning of period	$ 466	$ 563
Provision for credit losses	1,409	1,630
Net write-offs	(389)	(1,727)
Allowance, end of period	**$ 1,486**	$ 466

Scheduled future maturities of trade notes receivable are as follows:

Years ending December 31,	
2026	$ 8,079
2027	4,488
2028	3,160
2029	2,557
2030	1,817
Thereafter	1,381
	$ 21,482

7. Property and Equipment

A summary of property and equipment as of December 31 is as follows:

	2025	2024
Machinery & equipment	$ 6,869	$ 8,448
Software	9,892	11,172
Vehicles	6,443	10,479
Total property and equipment	23,204	30,099
Less accumulated depreciation	(17,702)	(13,378)
Property and equipment - net	$ 5,502	$ 16,721

Depreciation expense was $6,221 and $6,291 for the years ended December 31, 2025 and 2024, respectively. The Company recorded an impairment charge of $4,068 in 2025 related to property and equipment within one asset group as discussed in Note 2, primarily in Machinery and Equipment and vehicles.

8. Related Party Transactions

The Company has material ongoing transactions with the Manager and other direct and indirect subsidiaries of the Manager.

Related parties, some of which are outside the United States, pay the Company, or its subsidiaries, a synthetic royalty or license fee for access to and use of their intellectual property, none of which are denominated in a foreign currency. Synthetic royalties and master license fees from affiliated entities were $28,115 and $28,241 for the years ended December 31, 2025 and 2024, respectively.

As discussed in Note 2, the Securitized Entities entered into the Management Agreement with the Manager to perform certain services on behalf of the Securitized Entities. In exchange for the services, the Securitized Entities pay a management fee for each 12-month period equal to the sum of (i) an annual base management fee of $8,000, plus (ii) a fee of $12.425 for every $100 of aggregate total securitization revenues in the form of collections for the applicable period.

The Company incurred management fees of $45,342 and $47,126 for the years ending December 31, 2025 and 2024, respectively.

Costs of products and services as well as advertising and promotion fund expenses are reimbursed by the Company to the Manager.

Excess cash collections after distributions to the Issuer for quarterly interest and scheduled principal payments, expense reimbursements to the Manager and payment of management fees, are distributed to the Manager. Distributions were $243,507 and $248,790 for the years ended December 31, 2025 and 2024, respectively.

9. Contingencies

The Company is engaged in various legal proceedings incidental to its normal business activities. Management has determined that it is not probable that the Company has incurred any loss contingencies as defined in FASB ASC Topic 450, Contingencies. Accordingly, no liabilities have been accrued for these matters as of December 31, 2025 and 2024.

Management believes that the outcome of such matters will not have a material effect on the Company's combined financial statements.

10. Subsequent Events

In preparation of its financial statements, the Company considered subsequent events through March 31, 2026, which was the date the Company's financial statements were available to be issued.

Neighborly Assetco LLC and Subsidiaries

Combined Financial Statements

As of December 31, 2024 and 2023 and
for the years ended December 31, 2024 and 2023

Neighborly Assetco LLC and Subsidiaries

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Report of Independent Auditors

To the Board of Directors and Stockholders of
Neighborly Assetco LLC and Subsidiaries

Opinion

We have audited the combined financial statements of Neighborly Assetco LLC and subsidiaries (the Company), which comprise the combined balance sheets as of December 31, 2024 and 2023, and the related combined statements of operations and comprehensive income, changes in member's equity and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2024 and 2023, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material

misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst + Young LLP

Dallas, Texas
March 31, 2025

Neighborly Assetco LLC and Subsidiaries

Combined Balance Sheets
($000's)

As of December 31,		2024		2023
Assets				
Current assets				
Cash	$	**2,499**	$	3,171
Restricted Cash		**4,037**		1,566
Trade accounts receivable - net		**24,255**		23,826
Trade notes receivable, current portion – net		**7,445**		9,530
Inventories		**1,783**		989
Prepaid selling expenses, current		**7,940**		6,935
Other current assets		**3,321**		2,597
Total current assets		**51,280**		48,614
Property and equipment – net		**16,721**		18,779
Prepaid selling expenses, less current portion		**51,495**		42,479
Trade notes receivable, less current portion - net		**13,332**		15,221
Intangible assets - net		**1,251,674**		1,341,184
Goodwill		**1,731,288**		1,732,653
Total assets	$	**3,115,790**	$	3,198,930
Liabilities and Member's Equity				
Current liabilities				
Accrued liabilities	$	**2,998**	$	3,908
Deferred revenue, current		**14,745**		13,631
Total current liabilities		**17,743**		17,539
Deferred Revenue, less current portion		**70,787**		70,176
Contingencies (Note 9)				
Member's Equity				
Additional paid-in equity	$	**2,531,790**	$	2,780,580
Accumulated earnings		**494,774**		335,404
Accumulated other comprehensive income/(loss)		**696**		(4,769)
Total Member's Equity		**3,027,260**		3,111,215
Total liabilities and member's equity	$	**3,115,790**	$	3,198,930

See accompanying notes to combined financial statements.

Neighborly Assetco LLC and Subsidiaries

Combined Statements of Operations and Comprehensive Income
($000's)

For the years ended December 31,		2024	2023
Revenues and income			
Franchise service fees	$	180,984	169,842
Synthetic royalties and master license fees		28,242	28,705
Franchise sales fees		33,680	36,783
Sales of products and services		140,458	143,807
Advertising and promotional fund revenue		47,800	42,404
Other revenue		30,502	30,338
Total revenues and income		461,666	451,879
Cost of Sales			
Products and services		72,612	68,752
Gross Profit		389,054	383,127
Selling expense		15,364	6,939
General and administrative expense		17,967	18,705
Advertising and promotional fund expense		49,981	47,365
Depreciation and amortization		95,532	97,290
Management expenses		47,126	44,075
Bad debt expense		3,714	2,283
Net income	$	159,370	166,470
Other comprehensive income			
Foreign currency translation adjustment		5,465	18,104
Comprehensive income	$	164,835	184,574

See accompanying notes to combined financial statements.

Neighborly Assetco LLC and Subsidiaries

Combined Statements of Changes in Member's Equity
($000's)

	Member's Equity
Balance – December 31, 2022	**$ 3,090,123**
Adoption of accounting principle	506
Equity contribution	101,756
Distributions	(265,744)
Net income	166,470
Foreign currency translation adjustment	18,104
Balance – December 31, 2023	**$ 3,111,215**
Distributions	(248,790)
Net income	159,370
Foreign currency translation adjustment	5,465
Balance – December 31, 2024	**$ 3,027,260**

See accompanying notes to combined financial statements.

Neighborly Assetco LLC and Subsidiaries

Combined Statements of Cash Flows
($000's)

For the years ended December 31,	2024	2023
Operating activities		
Net income	$ 159,370	$ 166,470
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	95,532	97,290
Bad debt expense	3,714	2,283
Trade notes issued	(14,803)	(15,050)
Collections of notes receivable	17,158	16,293
Changes in assets and liabilities:		
Trade accounts receivable	(2,524)	(464)
Inventories	(794)	883
Prepaid selling expenses and other assets	(3,646)	(11,464)
Accrued liabilities	(1,361)	198
Deferred revenue	1,725	11,195
Net cash provided by operating activities	254,371	267,634
Investing activities		
Purchase of equipment and other assets	(3,782)	(2,893)
Net cash used in investing activities	(3,782)	(2,893)
Financing activities		
Distributions paid	(248,790)	(265,744)
Net cash used in financing activities	(248,790)	(265,744)
Net increase (decrease) in cash and restricted cash	1,799	(1,003)
Cash and restricted cash - Beginning of period	4,737	5,740
Cash and restricted cash - End of period	$ 6,536	$ 4,737
Supplemental cash flow disclosures:		
Non-cash contribution of equity	$ -	$ 101,756

See accompanying notes to combined financial statements.

1. Description of Business and Significant Accounting Policies

Organization and Description of Business

Neighborly Assetco LLC ("we", "our" and the "Company") is an infinite-lived single-member special purpose Delaware limited liability company and was organized on November 13, 2020, with no operations until March 25, 2021. The Company is a direct, wholly owned subsidiary of Neighborly Issuer LLC (the "Issuer"), which is a special purpose Delaware limited liability company and a direct, wholly owned subsidiary of Neighborly SPV Guarantor LLC (the "SPV Guarantor"), which is a special purpose Delaware limited liability company that is an indirect, wholly owned subsidiary of Neighborly Company (the "Manager"). All of the issued and outstanding limited liability company interests of the Company are directly owned by the Issuer, upon an initial $1.00 capital contribution. The Company is a bankruptcy remote entity that owns substantially all of the US intellectual property including tradenames, franchise agreements, national account relationships and systems-in-place, as well as the United Kingdom (the "UK") tradenames of the Manager. The Company conducts transactions with affiliated parties under common control, and as such, results of operations may not be indicative of operations on a stand-alone basis, without those transactions with related parties. The Company has no employees and relies on the Manager for continued operations.

As of March 25, 2021 the Company's subsidiaries were comprised of a number of franchisors and related supporting businesses operating in the United States (the "US") and internationally and include the following businesses: Aire Serv SPV LLC, Mr. Electric SPV LLC, The Grounds Guys SPV LLC, Rainbow International SPV LLC, Glass Doctor SPV LLC, Mr. Appliance SPV LLC, Mr. Rooter SPV LLC, Molly Maid SPV LLC, Mr. Handyman SPV LLC, Five Star Painting SPV LLC, Window Genie SPV LLC, Real Property Management SPV LLC, Mosquito Joe SPV LLC, HouseMaster SPV LLC, Dryer Vent Wizard SPV LLC, ShelfGenie SPV LLC, and Precision Door Service SPV LLC (each an "SPV Franchisor" and together the "SPV Franchisors") and ProTradeNet SPV LLC, Back Office SPV LLC and G-O Manufacturing SPV LLC (each a "Non-Franchisor SPV Entity" and together the "Non-Franchisor SPV Entities"), each of which is a direct, wholly owned subsidiary of the Company.

In June 2021, assets of Neighborly Services Solutions SPV LLC, a Non-Franchisor SPV entity, were contributed to the Company.

In January 2022, assets of Zorware SPV LLC, NBLY Co Ops CO SPV LLC, and Trench Right SPV LLC were contributed to the Company and intangible assets were acquired by Pimlico SPV Limited, all Non-Franchisor entities. In March 2022, additional assets of NBLY Co Ops CO SPV LLC as well as assets of NBLY Co Ops AZ SPV, both Non-Franchisor entities, were contributed to the Company. In December 2022, intangible assets of Greensleeves Limited were contributed to the Company.

In January 2023, assets of NBLY Co Ops IN SPV LLC, NBLY Logistics SPV LLC, Lawn Pride SPV LLC, and Junk King SPV LLC, were contributed to the Company.

The Company holds all the equity interests in the SPV Franchisors and the Non-Franchisor SPV Entities, certain intellectual property, certain license agreements and certain vendor agreements. Each SPV Franchisor holds the tradenames and the franchise agreements related to such brand and any product supply agreements or vendor agreements related to such brand. The Non-Franchisor SPV Entities hold certain tradenames, certain product supply agreements, certain vendor agreements and the office service agreements.

The Company was formed in connection with a financing transaction (the "Securitization Transaction"), which was completed on March 25, 2021 (see Note 2). On March 25, 2021, the Manager, a Non-Securitization Entity, contributed to the Company through a series of asset transfers to the SPV Guarantor, the Issuer, the Company and its subsidiaries (the "Securitization Entities"), substantially all of its US intellectual property, including tradenames (the "Securitization IP"), franchise agreements, national account relationships and systems-in-place and the UK tradenames (collectively, the "Securitization Assets"). The Manager, certain Securitization Entities and the SPV Franchisors entered into license agreements pursuant to which they granted, respectively, to certain Non-Securitization Entities (i) a non-exclusive license to use and sublicense the Securitization IP in connection with owning and operating certain company-owned store locations, UK locations and Canadian locations and (ii) an exclusive license to use and sublicense the Securitization IP in connection with other products and services.

The contributions of the Securitization Assets are between entities under common control and are recorded at book value. No gain or loss has been realized on the transactions.

On March 25, 2021, the Securitization Entities entered into the management agreement (the "Management Agreement") with the Manager to perform certain services on behalf of the Securitization Entities, including, among other things, collecting franchisee payments, managing the operations on behalf of the Securitization Entities, and performing certain franchising, marketing, and operational and reporting services, as well as managing the intangible assets on behalf of the Securitization Entities. In exchange for providing such services, the Manager will be entitled to receive certain management fees on a weekly basis.

Basis of Presentation

The accompanying combined financial statements as of December 31, 2024 and December 31, 2023 include the accounts of the Company and its wholly owned subsidiaries. All significant intercompany accounts and transactions have been eliminated in consolidation.

FASB ASC Topic 810-10, Consolidation, applies to certain entities in which equity investors do not have the characteristics of a controlling financial interest or do not have sufficient equity at risk for the entity to finance its activities without additional subordinated financial support. Such an entity is referred to as a variable interest entity ("VIE"). FASB ASC Topic 810-10 requires the consolidation of a VIE by its primary beneficiary. The primary beneficiary is the entity, if any, that has the obligation to absorb losses or the right to receive benefits of the VIE that could potentially be significant to the VIE, which is the Company and its subsidiaries.

The Company has determined that the Securitization Entities qualify as VIE's and that Neighborly Company, the Manager, is the primary beneficiary, having both power and benefits, of the Securitization Entities. Accordingly, consolidation of the Company and its subsidiaries (including the SPV Franchisors and the Non-franchisor SPVs) is precluded, and as a result, combined financial statements are presented. All intercompany transactions have been eliminated.

Acquisition of the Manager

On June 29, 2021, Kohlberg Kravis and Roberts ("KKR"), and associated co-investors formed Nest Bidco Inc. which, on September 1, 2021, purchased 100% of the shares of Balcones Holdco, Inc., the parent company of Neighborly Company, from TDG Investment Holdings, LP. Nest Bidco Inc. is an indirectly wholly owned subsidiary of Nest Holdings LP, which is the ultimate parent company of the

newly formed business. The transaction was effected to add Neighborly to KKR's investment portfolio, and allows Neighborly to gain access to KKR's capital and resources.

Use of Estimates

The preparation of combined financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the combined financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Income Taxes

The Company is a single-member limited liability company for federal and state income tax purposes with all income tax liabilities and/or benefits of the Company being passed through to the Manager. As such, no recognition of federal or state income taxes will be provided for in the financial statements of the Company.

Revenue Recognition

The Company's primary sources of revenue are as follows:

- Franchise service fees from existing franchise owners based on a percentage of each franchise owner's gross sales. These fees generally range from 2% to 15% of the franchise owner's weekly sales, depending upon the particular franchise concept and upon various other factors;

- Synthetic royalties and master license fees from affiliated entities resulting from their use of the Company's intellectual property;

- Franchise sales fees generated from the sale of new franchise territories and the sale of additional franchise territories to existing franchise owners;

- Sales of products and services to unrelated third parties;

- Advertising and promotional revenue represents marketing, advertising and promotional ("MAP") fund fees collected from existing franchise owners. These fees are typically a percentage of each franchise owner's gross sales and vary depending upon the particular franchise concept and various other factors;

- Other revenue consists of incentives earned from services performed for unrelated third parties and interest generated from notes receivable.

Typically, franchise agreements are granted to franchise owners for an initial term of ten years with an option to renew. The respective franchisor's obligations under franchise agreements consist of providing a license of the applicable brand's intellectual property, a list of approved suppliers, certain training programs, an operations manual, and to maintain the MAP fund. These performance obligations are highly interrelated, and we do not consider them to be individually distinct, and therefore account for them as a single performance obligation, which collectively represent the

obligation to provide a license for the right to use our brand's intellectual property. Revenue related to franchise agreements is recognized on a straight-line basis over the term of the agreement, with the exception of variable or sales-based royalties, MAP fund fees collected and revenue allocated to goods and services and other variable fees which are recognized as the underlying sales occur and performance obligations are satisfied.

In the event a franchise agreement is terminated, without a corresponding agreement executed by the same franchise owner, any remaining deferred fees are recognized in the period of termination.

The Company periodically extends credit to entities for the purchase of franchises. These entities are typically controlled by individuals who operate their businesses as an owner/manager. Generally, the notes receivable are collateralized by the related franchise territory rights. The Company also extends unsecured credit to its franchise owners for unpaid franchise service fees. The Company places notes receivable on nonaccrual status when payment is ninety days past due, and ceases to recognize revenue from interest on the note until such time as the note is no longer past due. Interest on trade notes receivable is recorded as revenue when earned. Each entity's ability to perform is dependent upon the economic condition of the business. The Company maintains ongoing credit evaluations of its franchise owners.

The Company adopted ASU 2016-13, Financial Instruments - Credit Losses, on January 1, 2023, which was retroactively applied as of the first day of 2023, as further described below. This accounting standard requires companies to measure expected credit losses on financial instruments based on the total estimated amount to be collected over the lifetime of the instrument. Prior to the adoption of this accounting standard, the Company recorded incurred loss reserves against receivable balances based upon past loss experience, known and inherent risks in the accounts, adverse situations that may affect a franchise owner's ability to repay, and current economic conditions.

Expected credit losses for uncollectible receivable balances consider both current conditions and reasonable and supportable forecasts of future conditions. Current conditions considered include pre-defined aging criteria, as well as specified events that indicate the balance due is not collectible. Reasonable and supportable forecasts used in determining the probability of future collection consider publicly available macroeconomic data and whether future credit losses are expected to differ from historical losses.

Franchise service fee revenues represent sales-based royalties that are related entirely to the applicable franchisor's performance obligation under the franchise agreement and are recognized in the period in which the sales occur. Sales-based royalties are variable consideration related to our performance obligations to the franchise owners to maintain the intellectual property being licensed.

The right to collect marketing, advertising, and promotional ("MAP") fees and the obligation to maintain the MAP fund is assigned to the Manager by each SPV Franchisor, and the performance obligation and fulfillment thereof resides with the Manager. The Manager's obligation related to these funds is to administer the MAP fund, keep unused MAP fees in segregated bank accounts and use MAP fees for certain activities related to the marketing and promotion of the individual businesses. We have determined we act as the principal in the transaction related to the MAP fund contributions and expenditures. MAP fund contributions and expenditures are reported on a gross basis in the accompanying Combined Statements of Operations and Comprehensive Income. As noted above, we have concluded the advertising services provided to franchise owners are highly interrelated with the franchise rights and not a distinct performance obligation; therefore, revenues from MAP fund fees are recognized as advertising and promotion fund revenue when the related

sales occur based on the application of the sales-based royalty exception within ASC 606, Revenue from contracts with customers.

Revenues from product sales are recognized upon transfer of title, when delivered to the customer, when the work is performed, or orders are shipped. Incentives earned are recognized as services are performed.

Synthetic royalties from affiliated entities represent sales-based royalties that are related entirely to our performance obligation under intellectual property license agreements with affiliated entities and are recognized in the period in which the sales occur. These sales-based royalties are variable consideration related to our performance obligations to affiliated entities to maintain the intellectual property being licensed.

Master license and services fees from affiliated entities represent variable consideration in a series for which our performance obligation is satisfied over time, as our intellectual property is simultaneously accessed and benefits thereof consumed by affiliated entities.

Contract Balances

The contract liabilities which we classify as "deferred revenue" consist primarily of the unamortized portion of initial franchise fees that are currently being amortized into revenue, amounts related to pending agreements, or other deferred revenues not related to franchise agreements. Contract deferred franchise revenue represents our remaining performance obligations to our franchise owners, as we account for our highly interrelated obligations as a single performance obligation, which collectively represent the obligation to provide a license for the right to use our brand's intellectual property excluding amounts of variable consideration related to sale-based royalties, synthetic royalties, license fees and advertising. The other deferred revenues not related to the franchise agreements are included in current deferred revenue.

The components of the change in deferred revenue are as follows:

For the years ended December 31,		**2024**		2023
Balance at beginning of period	$	**83,807**	$	68,226
Fees received from franchise owners		**35,141**		47,447
Franchise sales revenue recognized		**(33,680)**		(36,783)
Contributed from Manager		**-**		4,386
Other deferred revenue recognized		**264**		531
Balance at end of period		**85,532**		83,807
Less: current portion		**14,745**		13,631
Deferred revenue, noncurrent	$	**70,787**	$	70,176

As of December 31, 2024, the deferred revenue expected to be recognized for each of the next five years, and in the aggregate, is as follows:

Years ending December 31,		
2025	$	14,745
2026		11,949
2027		11,701
2028		11,109
2029		9,829
Thereafter		26,199
	$	85,532

Direct, incremental selling expenses are reimbursed by the Company to the Manager. Such costs paid when the franchise agreement is executed are recorded as a contract asset by the Company and amortized over the life of the agreement consistent with the recognition of the deferred revenue. Contract assets are included in current and non-current prepaid selling expenses in the accompanying Combined Balance Sheets. For the year ended December 31, 2024, $24,044 of costs were incurred and expense of $14,023 was recognized. For the year ended December 31, 2023, $23,590 of costs were incurred and expense of $6,181 was recognized. The ending asset for deferred contract costs as of December 31, 2024 was $59,435, of which $7,940 was current. The ending asset for deferred contract costs as of December 31, 2023 was $49,414, of which $6,935 was current.

Advertising

The Company expenses advertising costs as incurred. Advertising expense was $12,013 and $13,353 for the years ended December 31, 2024 and 2023, respectively. Advertising expense is included in general and administrative expense in the accompanying Combined Statements of Operations and Comprehensive Income. This is separate from MAP fees which are presented on their own line in Consolidated Statements of Operations and Comprehensive Income (Loss).

Inventories

Inventories consist of products to be sold and are stated at the lower of cost (first-in, first-out method) or net realizable value.

Property and Equipment

Property and equipment is stated at cost and is depreciated using the straight-line method over the estimated useful lives of the respective assets which are generally as follows: machinery, equipment, and vehicles (5-10 years); and software (3 years). Additions, renewals, and betterments are capitalized; maintenance and repairs which do not extend the useful life of the asset are expensed as incurred.

Management evaluates long-lived assets used in operations for impairment when indicators of impairment are present. Impairment losses are recorded in the amount that carrying value exceeds fair market value when the undiscounted cash flows estimated to be generated by those assets are less than the carrying amount of the assets. No impairment losses for property and equipment were recorded for the years ended December 31, 2024 and December 31, 2023.

Goodwill

Goodwill represents the excess of the consideration transferred over the fair value of identifiable net assets acquired. The Company tests goodwill annually for impairment, or earlier if events or changes in circumstances indicate that impairment may exist. Management's impairment tests are generally performed as of October 1st annually. The Company's current goodwill balance was measured as of September 1, 2021, resulting from the acquisition of the Manager and pushdown accounting election, based on the excess of consideration over the fair value of assets acquired.

The Company performed a qualitative assessment of its goodwill as of October 1, 2024 and concluded it is not more likely than not that the fair value of its reporting unit is less than the carrying amount and, as such, a quantitative impairment test was not considered necessary. Management determined that there was no impairment of goodwill in the combined financial statements.

Intangible Assets

Intangible assets consist of tradenames, franchise relationships, national accounts, developed technology, and domain name, and are stated at their acquisition-date fair value, less subsequent amortization. The Company's intangible assets are definite lived, other than domain name, which is indefinite lived.

For definite lived intangible assets, when events or changes in circumstances indicate that the carrying amount of the asset may not be recoverable, the Company evaluates the definite lived intangible assets for impairment by comparing the carrying value to the anticipated future undiscounted cash flows expected to be generated from the use of the intangible assets. If the carrying amount is not recoverable, a loss is recorded in the amount the carrying value exceeds the fair market value of the assets. The Company performed a qualitative assessment of its intangible assets and determined that no indicators of impairment were present for definite lived intangible assets.

Tradenames are amortized over their estimated useful life of 20 years, using the straight-line method. Franchise relationships and national accounts relationships are amortized over their estimated useful lives of 15 years, using the straight-line method. Software is amortized over its estimated useful life of 3 years, using the straight-line method.

Domain names are stated at their acquisition-date fair value, and are not amortized, as their useful lives are considered indefinite, but are subject to annual impairment testing. The Company performed a qualitative assessment of its indefinite lived intangible assets as of October 1 in each of 2024 and 2023 and concluded it is not more likely than not that the fair value of its domain names is less than the carrying amount and, as such, a quantitative impairment test was not considered necessary.

Fair Value of Financial Instruments and Non-Financial Assets

In accordance with FASB ASC 820, Fair Value Measurements, certain assets carried at fair value are categorized based on the level of judgment associated with the inputs used to measure their fair

value. The standard establishes a hierarchy that prioritizes the inputs to valuation techniques used to measure fair value into three levels:

Level 1 - Inputs are unadjusted quoted market prices in active markets for identical assets or liabilities at the measurement date.

Level 2 - Inputs (other than quoted prices included in Level 1) are either directly or indirectly observable for the asset or liability through correlation with market data at the measurement date for the duration of the instrument's anticipated life.

Level 3 - Inputs are unobservable and therefore reflect management's best estimate of the assumptions that market participants would use in pricing the asset or liability.

The trade names, systems in place, and developed technology were valued using the relief from royalty method and the franchise relationships and national account relationships were valued using the multi-period excess earnings method in the periods acquired. The future projections and estimates used for the valuations are considered Level 3 inputs.

Foreign Currency Translation

Combined entities that have a functional currency that differs from the Company's reporting currency include our foreign subsidiaries, which are in the UK Foreign currency denominated assets and liabilities are translated using the exchange rates at the end of each reporting period. Results of foreign operations are translated at the weighted average exchange rate for each reporting period. Translation adjustments are included as a component of accumulated other comprehensive income (loss) until realized. Where amounts denominated in a foreign currency are converted into US dollars by remittance or repayment, the realized exchange differences are included in the accompanying Combined Statements of Operations and Comprehensive Income, primarily in general and administrative expense, and was immaterial in all periods presented.

Cash and Restricted Cash

Cash consists of cash held on deposit. Restricted cash includes securitized cash held on deposit in Company accounts related to the Securitization Transaction.

Cash and restricted cash consists of the following:

As of December 31,		2024		2023
Cash	$	2,499	$	3,171
Restricted Cash:				
Whole business securitization		4,037		1,566
Total cash and restricted cash	$	6,536	$	4,737

The Company maintains its cash in banks in which deposits may, from time to time, exceed federally insured limits. The Company has not experienced any losses in such accounts and believes that it is not exposed to any significant credit risks related to cash.

2. Securitization Transactions

On March 25, 2021, the Manager, a Non-Securitization Entity, contributed to the Company through a series of asset transfers to the Securitization Entities, substantially all of the US intellectual property, including tradenames, franchise agreements, national account relationships and systems-in-place and the UK tradenames. The Manager, certain Securitization Entities and the SPV Franchisors entered into license agreements pursuant to which they granted, respectively, to certain Non-Securitization Entities (i) a non-exclusive license to use and sublicense the Securitization IP in connection with owning and operating certain company-owned store locations, UK locations and Canadian locations and (ii) an exclusive license to use and sublicense the Securitization IP in connection with other products and services.

The Company received a cash capital contribution in January 2022 of $102,000 which the Company used to acquire $102,000 in intangible assets. Also in January 2022, the Company received a non-cash capital contribution of $13,456, consisting of $10,862 in property and equipment, $2,082 in intangible assets, and $512 in inventories. In March 2022, the Company received a non-cash contribution of $1,214, consisting of $1,169 in property and equipment and $45 in inventories. In December 2022, the Company received a non-cash contribution of $2,112 in intangible assets from the Manager.

In January 2023, the Company received a non-cash contribution of $101,756, consisting of $99,349 in intangible assets, $3,600 in accounts receivable, $2,241 in property and equipment, $280 in inventories, and an unearned revenue liability, net of prepaid selling expenses, of $3,714.

The contributions of the Securitization Assets are between entities under common control and are recorded at book value as of the unaudited interim date. No gain or loss has been realized on the transactions.

The Issuer is dependent on the Company for sufficient cash flows from their securitized operations to service the Series 2021-1, Series 2022-1, and Series 2023-1 Senior Notes (see Note 3), remit management fees to the Manager, and pay certain other ongoing costs related to the Securitization Transaction.

3. Debt Guarantee

In conjunction with the Securitization Transaction, on March 25, 2021, the Issuer issued $800,000 Series 2021-1 3.584% Fixed Rate Senior Secured Notes (the "Series 2021-1 Senior Notes"). The Senior Notes have an anticipated repayment date of April 30, 2028, and a final maturity date of April 30, 2051. Scheduled principal payments of $2,000 and interest are paid quarterly. As of December 31, 2024 and 2023, $772,000 and $780,000, respectively, was outstanding on the Senior Notes.

On January 19, 2022, in connection with a second securitization, the Issuer, issued $410,000 Series 2022-1 3.695% Fixed Rate Senior Secured Notes (the "Series 2022-1 Senior Notes") through a second whole business securitization transaction (the "Second Securitization Transaction"). The Series 2022-1 Senior Notes have an anticipated repayment date of January 30, 2029, and a final maturity date of January 30, 2052. Scheduled principal payments of $1,030 and interest are paid quarterly. As of December 31, 2024 and 2023, respectively, $398,725 and $402,825, was outstanding on the Series 2022-1 Senior Notes.

On February 3, 2023, in connection with a third securitization, the issuer, issued $275,000 Series 2023-1 7.308% Fixed Rate Senior Secured Notes (the "Series 2023-1 Senior Notes") through a third whole business securitization transaction (the "Third Securitization Transaction"). The Series 2023-1 Senior Notes have an anticipated repayment date of January 30, 2028, and a final maturity date of January 30, 2053. Scheduled principal payments of $687and interest are paid quarterly. As of December 31, 2024 and 2023 respectively, $270,188 and $272,938 was outstanding on the Series 2023-1 Senior Notes.

The Series 2021-1 Senior Notes, the Series 2022-1 Senior Notes, the Series 2023-1 Senior Notes, the Series 2021-1 Class A-1 Notes, the Series 2022-1 Class A-1 Notes, and the Series 2023-1 Class A-1 Notes described above issued in conjunction with the Securitization Transaction, the Second Securitization Transaction, and the Third Securitization Transaction (together, the "Securitization Transactions") are secured by substantially all assets of the Securitization Entities and guaranteed by the Securitization Entities, including the Company, each of which is a bankruptcy remote entity and which owned substantially all of the Manager's US intellectual property including tradenames, franchise agreements, national account relationships and systems-in-place, as well as the UK tradenames as of the date of issuance. The restrictions placed on the Issuer and its subsidiaries require that interest and scheduled principal payments on the Senior Notes and Class A-1 Notes be paid prior to any residual distributions to the Manager, and amounts are segregated weekly to ensure appropriate funds are reserved to pay the quarterly interest and scheduled principal amounts due. The amount of weekly cash flow that exceeds all expenses and obligations of the Issuer and its subsidiaries is generally remitted to the Manager in the form of a distribution. The Manager also receives a fee for the services it provides to the Securitization Entities that is senior to debt service. The Securitization Transaction requires, among other things, maintenance of minimum debt-service coverage ratio levels and additional incurrence of indebtedness and scheduled amortization requirements are subject to compliance with maximum leverage ratio levels. As of December 31, 2024 and 2023, the Issuer was in compliance with all debt-service coverage covenants.

4. Intangible Assets and Goodwill

On March 25, 2021, intangible assets were contributed to the Company, along with certain dates thereafter as discussed in Note 1. Each of the SPV Franchisors are wholly owned subsidiaries and there was no change in ultimate ownership. Accordingly, there has been no change in control and therefore the Company concluded that the guidance in ASC 805 Business Combinations was not applicable. Intangible assets were recorded at the carrying value from the contributing entities on the date of the contribution, as the entities are under common control. Upon the acquisition by KKR (see Note 1), and the Company's election to apply pushdown accounting, the intangible assets were recorded at their acquisition-date fair values.

Intangible assets as of December 31, 2024, consisted of the following:

	Useful Life	Gross Amount	Accumulated Amortization	Net Amount
Tradenames	20 years	$ 968,277	$ 156,717	$ 811,560
Franchise relationships	15 years	552,020	121,954	430,066
National accounts	15 years	2,530	497	2,032
Customer relationships	5 years	12,400	5,787	6,613
Developed technology	3 years	720	631	89
Total definite-lived intangibles		$ 1,535,947	285,586	$ 1,250,360

	Useful Life	Gross Amount	Accumulated Impairment	Net Amount
Domain name	Indefinite	$ 1,314	-	$ 1,314
Total indefinite-lived intangibles		$ 1,314	$ -	$ 1,314

Intangible assets as of December 31, 2023, consisted of the following:

	Useful Life	Gross Amount	Accumulated Amortization	Net Amount
Tradenames	20 years	$ 968,512	$ 107,087	$ 861,425
Franchise relationships	15 years	551,918	85,051	466,867
National accounts	15 years	2,521	320	2,201
Customer relationships	5 years	11,573	2,480	9,093
Developed technology	3 years	702	418	284
Total definite-lived intangibles		$ 1,535,226	195,356	$ 1,339,870

	Useful Life	Gross Amount	Accumulated Impairment	Net Amount
Domain name	Indefinite	$ 1,314	-	$ 1,314
Total indefinite-lived intangibles		$ 1,314	$ -	$ 1,314

Amortization expense was $89,241 and $92,198 for the years ended December 31, 2024 and 2023, respectively.

Estimated amortization expense for the subsequent five years is as follows:

Years ending December 31,	
2025	$ 87,927
2026	87,838
2027	87,011
2028	85,358
2029	85,358
Thereafter	816,868
	$ 1,250,360

Goodwill

The Company has assigned goodwill to its reporting units based on fair valuation analysis completed for the acquisition of the Manager by KKR.

The changes in the carrying amount of goodwill are as follows:

Balance as of December 31, 2022	$	1,728,584
Adjustment to goodwill for unrealized gain/loss on foreign currency		4,069
Balance as of December 31, 2023	$	**1,732,653**
Adjustment to goodwill for unrealized gain/loss on foreign currency		(1,365)
Balance as of December 31, 2024	**$**	**1,731,288**

5. Member's Equity

Neighborly Assetco LLC ("the Limited Liability Company") was formed pursuant to and in accordance with the Delaware Limited Liability Company Act (6 Del.C. §18-101, et seq.), as amended from time to time (the "Act").

The Limited Liability Company is governed by a Limited Liability Company Agreement in which management of the Company is vested in the member ("the Member"), the Manager, who has all powers, statutory or otherwise, possessed by members of a limited liability company under the laws of the State of Delaware. The Member has the authority to bind the Company.

The Member may appoint officers of the Company and may revoke delegated authorities and duties at any time by the Member.

The Limited Liability Company is capitalized with a single membership unit with a $1 per unit par value.

Pursuant to the Management Agreement, excess cash collections after distributions to the Issuer for quarterly interest and scheduled principal payments, expense reimbursements to the Manager and payment of management fees, are distributed to the Manager, as discussed in Note 8. The Member's equity is the residual of equity contributions from the Manager and income earned from operations, less distributions to the Issuer and Manager.

The Company shall dissolve, and its affairs be wound up upon the first to occur of the following: (i) the written consent of the Member, (ii) the retirement, resignation or dissolution of the Member or the occurrence of any other event which terminates the continued membership of the Member in the Company unless the business of the Company is continued in a manner permitted by the Act, or (iii) the entry of a decree of judicial dissolution under Section 18-802 of the Act.

6. Trade Notes Receivable

The Company periodically receives notes from the sale of new franchises. The rights to the related franchise territory sold generally collateralize these notes. The Company also from time-to-time

receives notes for delinquent franchise service fees. Such notes, as of December 31, 2024 and 2023, bear interest at rates typically ranging from 9% to 12% and generally require equal monthly installments over a life of one to ten years. Initial trade notes receivable for the respective SPV Franchisors were contributed to the Company as of March 31, 2021 by the Manager and subsequently at various dates thereafter. As the contribution was between entities under common control, the notes receivable transferred were recorded at their historical cost basis in the financial records of the Manager.

A summary of trade notes receivable as of December 31 is as follows:

		2024		2023
Amounts due within one year, net of allowance for credit losses of $167 and $89 as of December 31, 2024 and 2023, respectively	**$**	**7,445**	**$**	**9,530**
Amounts due after one year, net of allowance for credit losses of $299 and $474 as of December 31, 2024 and 2023, respectively		**13,332**		**15,221**
Total trade notes receivable, net	**$**	**20,777**	**$**	**24,751**

An analysis of the changes in trade notes receivable is as follows:

For the years ended December 31,		**2024**		2023
Balance at beginning of period	**$**	**25,314**	$	26,275
Notes receivable, contributed, net		**-**		1,652
Principal payments received		**(17,158)**		(16,293)
Notes issued		**14,803**		15,050
Net write-offs		**(1,727)**		(1,370)
Other		**10**		-
Gross trade notes receivable, at end of period		**21,242**		25,314
Allowance for credit losses		**(465)**		(563)
Net trade notes receivable, at end of period	**$**	**20,777**	$	24,751

An analysis of the changes in the trade notes receivable allowance is as follows:

For the years ended December 31,		**2024**		2023
Allowance, beginning of period	**$**	**563**	$	545
Provisions for bad debts		**1,630**		1,382
Net write-offs		**(1,727)**		(1,364)
Allowance, end of period	**$**	**465**	$	563

Scheduled future maturities of trade notes receivable are as follows:

Years ending December 31,		
2025	$	7,612
2026		3,999
2027		2,820
2028		2,907
2029		1,980
Thereafter		1,924
	$	21,242

7. Property and Equipment

A summary of property and equipment as of December 31 is as follows:

		2024		2023
Machinery and equipment	$	**8,448**	$	6,303
Software		**11,172**		11,035
Vehicles		**10,479**		9,614
Total property and equipment		**30,099**		26,952
Less accumulated depreciation		**(13,378)**		(8,173)
Property and equipment – net	$	**16,721**	$	18,779

Depreciation expense was $6,291 and $5,092 for the years ended December 31, 2024 and 2023, respectively.

8. Related Party Transactions

The Company has material ongoing transactions with the Manager and other direct and indirect subsidiaries of the Manager.

Related parties, some of which are outside the United States, pay the Company, or its subsidiaries, a synthetic royalty or license fee for access to and use of their intellectual property, none of which are denominated in a foreign currency. Synthetic royalties and master license fees from affiliated entities were $28,241 and $28,705 for the years ended December 31, 2024 and 2023, respectively.

As discussed in Note 2, the Securitized Entities entered into the Management Agreement with the Manager to perform certain services on behalf of the Securitized Entities. In exchange for the services, the Securitized Entities pay a management fee for each 12-month period equal to the sum of (i) an annual base management fee of $8,000, plus (ii) a fee of $12.425 for every $100 of aggregate total securitization revenues in the form of collections for the applicable period.

The Company incurred management fees of $47,126 and $44,075 for the years ending December 31, 2024 and 2023, respectively.

Costs of products and services as well as advertising and promotion fund expenses are reimbursed by the Company to the Manager.

Excess cash collections after distributions to the Issuer for quarterly interest and scheduled principal payments, expense reimbursements to the Manager and payment of management fees, are distributed to the Manager. Distributions were $248,790 and $265,744 for the years ended December 31, 2024 and 2023, respectively.

9. Contingencies

The Company is engaged in various legal proceedings incidental to its normal business activities. Management has determined that it is not probable that the Company has incurred any loss contingencies as defined in FASB ASC Topic 450, Contingencies. Accordingly, no liabilities have been accrued for these matters as of December 31, 2024 and 2023.

Management believes that the outcome of such matters will not have a material effect on the Company's combined financial statements.

10. Subsequent Events

In preparation of its financial statements, the Company considered subsequent events through March 31, 2025, which was the date the Company's financial statements were available to be issued.

Neighborly Company and Subsidiaries

Consolidated Financial Statements

As of December 31, 2025 and 2024 and
for the years ended December 31, 2025 and 2024

Neighborly Company and Subsidiaries

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Report of Independent Auditors

To the Board of Directors and Stockholders of
Neighborly Company and subsidiaries

Opinion

We have audited the consolidated financial statements of Neighborly Company and subsidiaries (the Company), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of operations and comprehensive income (loss), changes in stockholders' equity and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than

for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst + Young LLP

Dallas, Texas
March 31, 2026

Neighborly Company and Subsidiaries
Consolidated Balance Sheets
($000's, except share data)

	December 31, 2025	December 31, 2024
Assets		
Current assets:		
Cash	$ 32,023	$ 18,436
Restricted cash	26,533	28,077
Trade accounts receivable – net	48,222	44,747
Trade notes receivable - current portion – net	7,675	7,776
Income tax receivable	3,121	9,231
Prepaid expenses and other current assets	8,193	14,608
Assets held for sale	7,023	-
Total current assets	132,790	122,875
Property and equipment - net	76,554	92,158
Operating lease right of use assets	14,849	20,221
Prepaid and other non-current assets	22,413	21,654
Trade notes receivable - net	13,076	13,577
Intangible assets – net	1,238,191	1,327,052
Goodwill	1,575,760	1,739,179
Total Assets	**$ 3,073,633**	$ 3,336,716
Liabilities and Stockholder's Equity		
Current liabilities:		
Trade accounts payable	$ 16,191	$ 17,856
Accrued liabilities	61,121	48,074
Deferred revenue - current	17,043	18,215
Income tax payable	1,495	-
Current portion of long-term debt	9,858	10,051
Current portion of operating lease liabilities	4,045	5,401
Current portion of finance lease liabilities	5,594	5,941
Liabilities held for sale	8,649	-
Total current liabilities	123,996	105,538
Long-term debt	1,516,490	1,571,110
Operating lease liabilities	11,283	15,639
Finance lease liabilities	6,758	10,278
Deferred tax liabilities	150,279	199,638
Deferred revenue	73,177	74,718
Other non-current liabilities	276	1,616
Total liabilities	1,882,259	1,978,537
Commitments and contingencies (Note 11)	-	-
Stockholders' equity		
Common stock-par value $0.01 per share; 100 shares authorized, issued and outstanding	-	-
Additional paid-in capital	1,935,266	1,933,936
Accumulated deficit	(714,363)	(528,523)
Accumulated other comprehensive loss	(29,529)	(47,234)
Total stockholders' equity	1,191,374	1,358,179
Total Liabilities and Stockholder's Equity	**$ 3,073,633**	$ 3,336,716

See accompanying notes to consolidated financial statements

Neighborly Company and Subsidiaries
Consolidated Statements of Operations and Comprehensive Income (Loss)
($000's)

	Year Ended December 31,	
	2025	**2024**
Net sales		
Franchise service fees and related revenue	$ 384,916	$ 342,945
Sales of products and services	233,846	282,737
Total net sales	618,762	625,682
Cost of products and services	139,465	174,140
Gross profit	479,297	451,542
Selling expense	27,850	26,173
General and administrative expense	225,451	213,182
Advertising and promotional fund expense	63,500	61,482
Depreciation and amortization	128,839	123,676
Loss on impairment	182,616	-
Credit losses	4,436	3,810
Operating (loss) income	(153,395)	23,219
Interest expense	79,773	70,278
Loss before income taxes	(233,168)	(47,059)
Income tax benefit	(47,328)	(7,941)
Net loss	**(185,840)**	(39,118)
Other comprehensive income (loss)		
Foreign currency translation adjustment, net of tax of $4,426 and $1,070	13,279	(3,208)
Total other comprehensive income (loss)	13,279	(3,208)
Comprehensive loss	**$ (172,561)**	$ (42,326)

See accompanying notes to consolidated financial statements

Neighborly Company and Subsidiaries
Consolidated Statement of Changes in Stockholders' Equity
($000's, except share data)

	Common Stock		Additional Paid - In	Accumulated	Accumulated Other Comprehensive	
	Shares	Amount	Capital	Deficit	Income (Loss)	Total
Balance at December 31, 2023	100	$ -	$ 2,100,435	$ (489,405)	$ (42,956)	$ 1,568,074
Contribution to Equity	-	-	575	-	-	575
Distribution to parent	-	-	(170,204)	-	-	(170,204)
Non-cash equity-based compensation expense	-	-	3,130	-	-	3,130
Currency translation adjustment	-	-	-	-	(4,278)	(4,278)
Net loss	-	-	-	(39,118)	-	(39,118)
Balance at December 31, 2024	100	$ -	$ 1,933,936	$ (528,523)	$ (47,234)	$ 1,358,179
Non-cash equity-based compensation expense	-	-	1,330	-	-	1,330
Currency translation adjustment	-	-	-	-	17,705	17,705
Net loss	-	-	-	(185,840)	-	(185,840)
Balance at December 31, 2025	**100**	**$ -**	**$ 1,935,266**	**$ (714,363)**	**$ (29,529)**	**$ 1,191,374**

See accompanying notes to consolidated financial statements

Neighborly Company and Subsidiaries
Consolidated Statement of Cash Flows
($000's unless otherwise noted)

	Year Ended December 31, 2025	Year Ended December 31, 2024
Operating activities		
Net loss	$ (185,840)	$ (39,118)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation and amortization	128,839	123,676
Amortization of deferred financing costs	5,037	4,409
Loss on impairment	182,616	-
Credit losses	4,436	3,810
Notes received	(15,638)	(14,978)
Collection of notes receivable	14,770	17,660
Loss on disposal of assets	4,078	3,589
Deferred income tax	(50,875)	(20,651)
Equity-based compensation	1,330	3,130
Changes in assets and liabilities:		
Trade accounts receivable	(7,722)	(2,848)
Prepaid selling expenses and other assets	4,702	(4,064)
Trade accounts payable	(2,489)	1,907
Accrued liabilities	14,948	(9,729)
Change in operating lease assets & liabilities	(142)	(181)
Income tax payable	7,784	(7,352)
Deferred revenue and other liabilities	(4,389)	1,240
Net cash provided by operating activities	101,445	60,500
Investing activities		
Proceeds from asset dispositions	1,033	-
Purchase of property, equipment and other assets	(23,421)	(25,719)
Net cash used in investing activities	(22,388)	(25,719)
Financing activities		
Equity contribution	-	575
Distributions paid	-	(170,204)
Deferred financing costs paid	-	(3,241)
Payments on revolving credit	(55,000)	(25,000)
Proceeds from revolving credit	10,000	158,000
Payments on principal portion of finance lease liabilities	(5,466)	(4,749)
Payments on long-term borrowings	(14,850)	(14,850)
Net cash used in financing activities	(65,316)	(59,469)
Effect of exchange rate changes on cash and restricted cash	(1,698)	(851)
Net increase in cash and restricted cash	12,043	(25,539)
Cash and restricted cash - Beginning of period	$ 46,513	$ 72,052
Cash and restricted cash - End of period	$ 58,556	$ 46,513
Supplemental cash flow disclosures:		
Cash paid for income taxes, net of refunds	$ (4,721)	$ 16,770
Cash paid for interest	$ 72,821	$ 65,052

See accompanying notes to consolidated financial statements

1. Organization and Description of Business

Organization and Description of Business

Neighborly Company and Subsidiaries ("we", "our", "Neighborly" and the "Company") is a Delaware corporation and is the parent company of a number of franchisors and related supporting businesses operating in the United States (the "US") and internationally which include the following companies: Mr. Rooter, Rainbow International, Mr. Electric, Aire Serv, Mr. Appliance, Glass Doctor, Grounds Guys, Molly Maid, Mr. Handyman, Five Star Painting, Mosquito Joe, Real Property Management, Window Genie, HouseMaster, Dryer Vent Wizard, ShelfGenie, Precision Door Service, Restoration 1, Junk King, Lawn Pride, ZorWare, Pimlico Plumbers, Drain Doctor, Locatec, Countrywide, Bright and Beautiful, Dream Doors, Greensleeves, and ProTradeNet. Pimlico Plumbers transitioned to a franchise model from a company owned model in June 2025, shifting the nature of the revenue to franchise service fees as opposed to sales of products.

In addition, the Company owns and operates non-franchisor entities as follows: Portland Glass, which offers auto, home, and business glass repair and replacement through company owned stores located in Maine, Vermont, and New Hampshire; Plumb Enterprises, which offers full plumbing, drain and sewer cleaning services, excavation, and repairs primarily operating in Colorado; and Lawn Pride, which offers lawn care and maintenance services through the application of fertilizer, as well as pest control, in Indiana.

Acquisition of the Company

On June 29, 2021, Kohlberg Kravis and Roberts ("KKR"), and associated co-investors formed Nest Bidco Inc. which, on September 1, 2021, purchased 100% of the shares of Balcones Holdco, Inc., the parent company of Neighborly, from TDG Investment Holdings, LP. Nest Bidco Inc. is an indirectly wholly owned subsidiary of Nest Holdings LP, which is the ultimate parent company of the newly formed business. The transaction was effected to add Neighborly to KKR's investment portfolio.

2. Summary of Significant Accounting Policies

Recently Issued Accounting Pronouncements

In December 2023, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) No. 2023-09, "Income Taxes (Topic 740): Improvements to Income Tax Disclosures," (ASU No. 2023-09) which requires disclosure of disaggregated information about a reporting entity's effective tax rate reconciliation as well as disclosures on income taxes paid by jurisdiction. ASU No. 2023-09 is effective for annual periods beginning after December 15, 2025 for nonpublic companies. The guidance is required to be applied on a prospective basis, with the option to apply the standard retrospectively. Early adoption is permitted. Management is currently evaluating the impact of this guidance on the Company's consolidated financial statements and related disclosures and will adopt as required in 2026.

In January 2024, the FASB issued ASU No. 2024-01, "Scope Application of Profits Interest and Similar Awards." This update clarifies that profits interests and similar awards granted to employees as compensation for services are within the scope of ASC Topic 718 (Compensation—Stock Compensation). The amendments in this update are effective for fiscal years beginning after December 15, 2025 for nonpublic companies, including interim periods within those fiscal years, with early adoption permitted. The Company is required to apply these amendments on a modified

retrospective basis to awards outstanding at the beginning of the fiscal year of adoption, with cumulative-effect adjustments to retained earnings. Management is currently evaluating the impact of this guidance on the Company's consolidated financial statements and related disclosures.

Principles of Consolidation and Variable Interest Entities

The accompanying consolidated financial statements as of December 31, 2025 and 2024 include the accounts of the Company and its wholly owned subsidiaries. All intercompany accounts and transactions have been eliminated in consolidation.

FASB Accounting Standards Codification (ASC) Topic 810-10, Consolidation, applies to certain entities in which equity investors do not have the characteristics of a controlling financial interest or do not have sufficient equity at risk for the entity to finance its activities without additional subordinated financial support. Such an entity is referred to as a variable interest entity ("VIE"). FASB ASC Topic 810-10 requires the consolidation of a VIE by its primary beneficiary. The primary beneficiary is the entity, if any, that has the power to direct activities of a VIE that most significantly impact the VIE's economic performance and has the obligation to absorb losses or the right to receive benefits of the VIE that could potentially be significant to the VIE.

Neighborly Assetco LLC ("Assetco") is a direct, wholly owned subsidiary of Neighborly Issuer LLC (the "Issuer"), which is a special purpose Delaware limited liability company and a direct, wholly owned subsidiary of Neighborly SPV Guarantor LLC (the "SPV Guarantor"), which is a special purpose Delaware limited liability company that is an indirect, wholly owned subsidiary of Neighborly (the "Manager").

Assetco's subsidiaries are comprised of a number of franchisors and related supporting businesses operating in the US and internationally and include the following businesses: Aire Serv SPV LLC, Mr. Electric SPV LLC, The Grounds Guys SPV LLC, Rainbow International SPV LLC, Glass Doctor SPV LLC, Mr. Appliance SPV LLC, Mr. Rooter SPV LLC, Molly Maid SPV LLC, Mr. Handyman SPV LLC, Five Star Painting SPV LLC, Window Genie SPV LLC, Real Property Management SPV LLC, Mosquito Joe SPV LLC, HouseMaster SPV LLC, Dryer Vent Wizard SPV LLC, ShelfGenie SPV LLC, Precision Door Service SPV LLC, Junk King SPV LLC, and Lawn Pride SPV LLC (each an "SPV Franchisor" and together the "SPV Franchisors") and ProTradeNet SPV LLC, Neighborly Service Solutions SPV LLC, Back Office SPV LLC, G-O Manufacturing SPV LLC, Zorware SPV LLC, NBLY Co Ops CO SPV LLC, NBLY Co Ops WA SPV LLC, NBLY Co Ops AZ SPV LLC, NBLY Co Ops IN SPV LLC, Trench Right SPV LLC, Trench Right WA SPV LLC, Dig Boss SPV LLC, NBLY Logistics SPV LLC, and Pimlico SPV Limited (each a "Non-Franchisor SPV Entity" and together the "Non-Franchisor SPV Entities"), each of which is a direct, wholly owned subsidiary of Assetco.

Assetco holds all the equity interests in the SPV Franchisors and the Non-Franchisor SPV Entities, certain intellectual property, certain license agreements and certain vendor agreements. Each SPV Franchisor holds the tradenames and the franchise agreements related to such brand and any product supply agreements or vendor agreements related to such brand. The Non-Franchisor SPV Entities hold certain tradenames, product supply agreements, vendor agreements and office service agreements.

Neighborly SPV Guarantor LLC, Neighborly Issuer LLC, and Neighborly Assetco LLC (collectively with the SPV Franchisors and the Non-Franchisor SPV Entities are referred to as "Securitization Entities") were formed in connection with a financing transaction (the "Securitization Transaction"), which was completed on March 25, 2021 and on subsequent dates thereafter (see Note 3).

The Company has determined that the Securitization Entities qualify as VIE's and that Neighborly is the primary beneficiary, having both power and benefits, of the Securitization Entities and accordingly, consolidation is concluded.

Use of Estimates

The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Revenue Recognition, Accounts Receivable, Notes Receivable, and Allowances

The Company's primary sources of revenue are as follows:

- Franchise service fees and related revenue include fees from existing franchise owners based on a percentage of each franchise owner's gross sales, which generally range from 2% to 15% of the franchise owner's gross sales, as well as fees for franchise sales generated from the sale of new and existing franchise territories; and

- Sales of products and services to unrelated third parties.

Franchise service fees and related revenue

Typically, franchise agreements are granted to franchise owners for an initial term of ten years with an option to renew. Our performance obligations under franchise agreements consist of providing a license of our brand's intellectual property, a list of approved suppliers, certain training programs, an operations manual, and to maintain the marketing, advertising and promotional (MAP) fund. These performance obligations are highly interrelated and we do not consider them to be individually distinct, and therefore account for them as a single performance obligation, which collectively represent the obligation to provide a license for the right to use our brand's intellectual property. Revenue related to franchise sales agreements is recognized on a straight-line basis over the term of the agreement and the contract liabilities are recorded in Deferred revenue – current and Deferred revenue in the Consolidated Balance Sheets. Other revenue associated with the franchise agreements includes variable or sales-based royalties and services and MAP fund fees collected, which are recognized as the underlying sales occur and performance obligations are satisfied.

In the event a franchise agreement is terminated, without a corresponding agreement executed by the same franchise owner, any remaining deferred fees as well as applicable termination fees are recognized in the period of termination.

The Company at times extends credit to entities for the purchase of franchises. These entities are typically controlled by individuals who operate their franchise as an owner/manager. Generally, the trade notes receivables are collateralized by the related franchise territory rights. The Company also periodically extends unsecured credit to its franchise owners for unpaid franchise service fees. The Company places notes receivable on nonaccrual status when payment is ninety days past due and ceases to recognize revenue from interest on the note until such time as the note receivable is no longer past due. Interest on trade notes receivable is recorded as Franchise service fees and

related revenue when earned. Each entity's ability to perform is dependent upon the economic condition of the business. The Company maintains ongoing credit evaluations of its franchise owners.

Allowances for expected credit losses is required on financial instruments based on the total estimated amount to be collected over the lifetime of the instrument. The Company considers both current conditions and reasonable and supportable forecasts of future conditions for estimating expected credit losses. Current conditions considered include pre-defined aging criteria, as well as specified events that indicate the balance due is not collectible. Reasonable and supportable forecasts used in determining the probability of future collection consider publicly available macroeconomic data and whether future credit losses are expected to differ from historical losses.

Franchise service fee revenues represent sales-based royalties that are related entirely to the Company's performance obligation under the franchise agreement and are recognized in the period in which the sales occur. Sales-based royalties are variable consideration related to our performance obligations to our franchise owners to maintain the intellectual property being licensed.

We have determined we act as the principal in the transaction related to the MAP fund contributions and expenditures. MAP fund contributions and expenditures are reported in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss) as Franchise service fees and related revenue. Our obligation is to administer the MAP fund, keep unused MAP fees in segregated bank accounts which are classified as restricted cash on the Consolidated Balance Sheet and use MAP fees for certain activities related to the marketing and promotion of the individual brands. As noted above, we have concluded the advertising services provided to franchise owners are highly interrelated with the franchise rights and not a distinct performance obligation; therefore, revenues from MAP fund fees are recognized as advertising and promotion fund revenue when the related sales occur based on the application of the sales-based royalty exception within ASC 606, Revenue from Contracts with Customers.

Sales of products and services

Revenues from product sales are recorded in Sales of products and services and recognized upon transfer of title, when delivered to the customer, when the work is performed, or orders are shipped.

Pimlico Plumbers transitioned to a franchise model from a company owned model in June 2025, shifting the nature of the revenue to franchise service fees as opposed to sales of products and services. The result was a decline from 2024 to 2025 of $31,610 in Sales of Products and Services and increase of $14,858 in Franchise service fees and related revenue. Corresponding to this change, Cost of products and services declined $18,805 in 2025 with the net impact to Gross profit of an increase of $2,053 over 2024 on the Company's Consolidated Statement of Operations and Comprehensive Income (Loss).

Contract Balances

The contract liabilities, which we classify as Deferred revenue – current and Deferred revenue, consist primarily of the unamortized portion of initial franchise fees that will be recognized into Franchise service fees and related revenue over the applicable contract terms, amounts related to pending franchise agreements, or other deferred revenues not related to franchise agreements. Contract deferred franchise revenue represents our remaining performance obligations to our franchise owners, as we account for our highly interrelated obligations as a single performance obligation, which collectively represent the obligation to provide a license for the right to use our

brand's intellectual property excluding amounts of variable consideration related to sale-based royalties and advertising. Deferred revenues not related to the franchise agreements are included in current deferred revenue as we expect to recognize these amounts as revenue within the next 12 months.

The components of the change in deferred revenue are as follows:

	Year Ended December 31,	
	2025	2024
Balance at beginning of period	$ 92,933	$ 91,610
Fees received from franchise owners	38,690	37,203
Franchise sales revenue recognized	(40,158)	(35,122)
Other changes in deferred revenue	(1,245)	(758)
Balance at end of period	90,220	92,933
Less: current portion	17,043	18,215
Deferred revenue non-current	$ 73,177	$ 74,718

Revenue deferred as of December 31, 2024 and recognized in the period from January 1, 2025 through December 31, 2025 was $25,430. Revenue deferred as of December 31, 2023 and recognized in the period from January 1, 2024 through December 31, 2024 was $17,623.

As of December 31, 2025, the deferred revenue expected to be recognized for each of the next five years and in the aggregate is as follows:

Years ending December 31,	
2026	$ 17,043
2027	13,181
2028	12,479
2029	11,132
2030	9,756
Thereafter	26,629
	$ 90,220

Direct, incremental selling expenses incurred when the franchise agreement is executed are recorded as a contract asset and amortized over the life of the agreement consistent with the recognition of the deferred revenue. Contract assets are included in Prepaid and other current assets and Prepaid and other non-current assets in the accompanying Consolidated Balance Sheets and the amortization is included in Selling expense in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss). For the year ended December 31, 2025, $7,967 of costs were paid and Selling expense of $8,282 was recognized. For the year ended December 31, 2024, $7,736 of costs were paid and Selling expense of $6,175 was recognized.

The ending asset for deferred contract costs as of December 31, 2025 was $24,459, of which $3,763 was current. The ending asset for deferred contract costs as of December 31, 2024 was $24,622, of which $4,726 was current.

Advertising

The Company expenses advertising costs as incurred. Advertising expense was $26,313 and $23,200 for the years ended December 31, 2025 and 2024, respectively. Advertising expense is included in General and administrative expense in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss). Advertising expense is separate from MAP fees which are presented in Advertising and promotional fund expense in Consolidated Statements of Operations and Comprehensive Income (Loss).

Inventories

Inventories consist of products to be sold and are stated at the lower of cost (first-in, first-out method) or net realizable value and are reported in Prepaid and other current assets in the accompanying Consolidated Balance Sheets. Inventories were $2,803 and $3,776 as of December 31, 2025 and 2024, respectively.

Property and Equipment

With the exception of land, which is not depreciated, property and equipment is stated at cost and is depreciated using the straight-line method over the estimated useful lives of the respective assets which are generally as follows: buildings (30 years) and building improvements (5-15 years), capped at the lesser of life of the leasehold improvements or remaining lease life; machinery, equipment, and vehicles (5-10 years); furniture and fixtures (5 years); and hardware and software (3 years). Additions, renewals, and betterments are capitalized; maintenance and repairs which do not extend the useful life of the asset are expensed as incurred.

Management evaluates long-lived assets used in operations for impairment when indicators of impairment are present. If the sum of the estimated undiscounted future cash flows related to the asset is less than the carrying amount, we recognize a loss equal to the difference between the carrying amount and the fair value, usually determined by the estimated discounted cash flow analysis of the asset. The Company's evaluation of these long-lived assets indicated that certain assets within a single asset group were not recoverable as the carrying value exceeded the estimated fair value of the assets based on the undiscounted future cash flows. The Company recorded an impairment charge of $6,016 for the year ended December 31, 2025 reducing the carrying value of the property and equipment with a corresponding charge to earnings. The impairment amount recognized in 2025 is classified in the Loss on impairment financial statement line item on the Consolidated Statement of Operation and Comprehensive Income (loss). No impairment losses were recorded for property and equipment in 2024.

Assets Held for Sale

We classify long-lived assets, or disposal groups comprised of assets and liabilities, as held for sale in the period in which the following six criteria are met, (i) management, having the authority to approve the action, commits to a plan to sell the property; (ii) the property is available for immediate sale in its present condition, subject only to terms that are usual and customary; (iii) an active program to locate a buyer and other actions required to complete the plan to sell have been initiated; (iv) the sale of the property is probable and is expected to be completed within one year; (v) the property is being actively marketed for sale at a price that is reasonable in relation to its current fair value; and (vi) actions necessary to complete the plan of sale indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn, in accordance with ASC 360, Property, Plant and Equipment. A business classified as held for sale is recorded at the lower of its carrying amount or estimated fair value less cost to sell. If the carrying amount of

the business exceeds its estimated fair value less cost to sell, a loss is recognized. Assets and liabilities related to a business classified as held for sale are segregated in the current balance sheets in the period in which the business is classified as held for sale. The Company ceases depreciation and amortization on long-lived assets and definite-lived intangibles (or disposal groups) classified as held for sale and measures them at the lower of carrying value or estimated fair value less cost to sell.

At December 31, 2025, the Company made a decision to exit a certain portion of its business which management determined met the criteria of held for sale as defined under ASC 360. In accordance with ASC 205, Presentation of Financial Statements, the Company determined that the exit of this business did not represent a strategic shift that will have a major effect on the consolidated financial results. Therefore, any related financial results were not reported as discontinued operations. Although the exit of this business did not meet the criteria to be considered a discontinued operation, these assets were determined to meet the criteria to be classified as held for sale as of December 31, 2025, as the Company expects to complete the sale of these assets before December 31, 2026. Accordingly, the Company presented the assets and liabilities of this single disposal group as held for sale at the lower of its carry amount or estimated fair value less cost to sell in the 2025 Consolidated Balance Sheet. The Loss before income taxes for this component of the business was $203,760 for the year ended December 31, 2025, which includes $182,616 of Loss on impairment, and $10,161 for the year ended December 31, 2024 in the Consolidated Statements of Operation and Comprehensive Income (Loss).

The following table summarizes the major classes of assets and liabilities disclosed as held for sale, excluding goodwill and intangible assets that were fully impaired as of December 31, 2025, and discussed below in further detail.

	December 31, 2025
Trade accounts receivable	$ 2,309
Prepaid expenses and other current assets	1,576
Property and equipment - net	910
Operating lease right of use assets	2,228
Total assets held for sale	$ 7,023
Accrued liabilities	$ 2,199
Deferred revenue - current	110
Current portion of operating lease liabilities	528
Current portion of finance lease liabilities	2,514
Operating lease liabilities - less current portion	1,898
Finance lease liabilities - less current portion	1,399
Total liabilities held for sale	$ 8,648

Goodwill

Goodwill represents the excess of the consideration transferred over the fair value of the identifiable net assets acquired. The Company tests goodwill annually for impairment, or earlier if events or changes in circumstances indicate that impairment may exist. Management's impairment tests are generally performed as of October 1st annually. The Company's current goodwill balance resulted from the acquisition of the Company as of September 1, 2021, and from the Company's acquisitions in subsequent periods, as discussed in Note 1.

The Company performed a qualitative assessment of its goodwill as of October 1, 2025 and concluded that indicators of impairment were present for one of its reporting units due to deteriorating financial performance and management's strategic decision to exit this certain Company owned operations and transition the territories to a third-party franchise. The process considered the likelihood of future cash flows associated with the reporting unit and consideration expected to be received from an unrelated buyer in exchange for the assets and liabilities of the reporting unit. The Company concluded that the carrying value of one reporting unit exceeded its estimated fair value of that reporting unit. As a result, recorded a goodwill impairment charge of $170,988 in the year ended December 31, 2025, which was the entire amount of goodwill for that reporting unit. No goodwill impairment was recorded in 2024.

Intangible Assets

Intangible assets consist of tradenames, franchise relationships, national accounts, insurance company relationships, customer relationships, re-acquired franchise rights, developed technology, copyrights, and domain name, and are stated at their estimated fair value as of the date of acquisition, less subsequent amortization. The Company's intangible assets are definite-lived, other than domain name, which is indefinite-lived.

For definite-lived intangible assets, when events or changes in circumstances indicate that the carrying amount of the asset may not be recoverable, the Company evaluates the definite-lived intangible assets for impairment by comparing the carrying value to the anticipated future undiscounted cash flows expected to be generated from the use of the intangible assets. If the carrying amount is not recoverable, a loss is recorded in the amount the carrying value exceeds the fair market value of the assets. As a result the indicators previously discussed in *Goodwill* in 2025, the Company concluded that the carrying value of certain definite-lived intangible assets within a single asset group, primarily associated with franchise rights, were concluded to not be recoverable based on revised expectations for future operating performance and consideration expected to be received from an unrelated party in exchange for the assets and liabilities of the related disposal group. The Company recorded an impairment charge of $5,436 in the year ended December 31, 2025 which reflects the full amount of intangible assets associated with that asset group. The amount is classified in the Loss from impairment financial statement line item on the Consolidated Statement of Operation and Comprehensive Income (Loss) for the period ended December 31, 2025. No impairment was recorded in 2024.

Tradenames are amortized over their estimated useful life, which ranges from three years to 20 years, using the straight-line method. Franchise relationships, national accounts relationships, and insurance company relationships are amortized over their estimated useful lives of 15 years, using the straight-line method. Customer relationships are amortized over their estimated useful life of three to 10 years, using the straight-line method. Reacquired franchise rights are amortized over the remaining life of the reacquired agreements, between one to seven years, using the straight-line method. Copyrights are amortized over their estimated useful life of five years, using the straight-line method. Developed technology is amortized over their estimated useful life of three years, using the straight-line method.

Domain names are stated at their estimated fair value at the date of acquisition, and are not amortized, as their useful lives are considered indefinite, but are subject to annual impairment testing. The Company performed a qualitative assessment of its indefinite-lived intangible assets as of October 1 of 2025 and 2024 and concluded it is not more likely than not that the fair value of its domain names is less than the carrying amount and, as such, a quantitative impairment test was not considered necessary.

Income Taxes

Deferred tax assets and liabilities are recognized for the estimated future tax consequences attributable to differences between the consolidated financial statement carrying amounts of assets and liabilities and their respective tax basis. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in tax expense in the period that includes the enactment date.

The Company establishes valuation allowances in accordance with the provisions of FASB ASC Topic 740, Income Taxes. The Company reviews the adequacy of any valuation allowance and recognizes tax benefits only when it is more likely than not that the benefits will be realized.

The Company measures, classifies, and discloses uncertain tax benefits in accordance with FASB ASC Topic 740-10, Income Taxes-Overall. The Company has elected to classify interest and penalties related to uncertain tax benefits as a component of income tax expense.

Equity-based Compensation

The Company accounts for equity-based compensation under FASB ASC Topic 718, Compensation-Stock Compensation. This pronouncement requires the measurement of all equity-based payments to employees using a fair-value-based method and the recording of such expense in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss). The Company participates in an equity-based employee compensation plan, which is described further in Note 5.

Foreign Currency Translation

Consolidated entities that have a functional currency that differs from the Company's reporting currency include our foreign subsidiaries, which are in Canada, the United Kingdom (the "UK"), Germany and Austria. Foreign currency denominated assets and liabilities are translated using the exchange rates at the end of each reporting period. Results of foreign operations are translated at the weighted average exchange rate for each reporting period. Translation adjustments are included as a component of Accumulated other comprehensive income (loss) until realized. Where amounts denominated in a foreign currency are converted into US dollars by remittance or repayment, the realized exchange differences are included in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss), primarily in General and administrative expense, and was immaterial in all periods presented.

Cash and Restricted Cash

The Company considers all cash and highly liquid investments purchased with an initial maturity of three months or less to be cash or cash equivalents.

Cash consists primarily of cash on hand and cash on deposit. Restricted cash includes funds held for the MAP funds and securitized cash held for principal and interest payments on deposit related to the Securitization Transaction.

Cash and Restricted cash consist of the following:

	December 31,	
	2025	2024
Cash	$ 32,023	$ 18,436
Restricted cash:		
Whole business securitization	21,222	23,639
MAP funds	5,311	4,438
Total cash and restricted cash	$ 58,556	$ 46,513

The Company maintains its cash in banks in which deposits may, from time to time, exceed federally insured limits. The Company has not experienced any losses in such accounts and believes that it is not exposed to any significant credit risks related to cash.

Fair Value of Financial Instruments and Non-financial Assets

In accordance with FASB ASC 820, Fair Value Measurements, certain assets and liabilities carried at fair value are categorized based on the level of judgment associated with the inputs used to measure their fair value. The standard establishes a hierarchy that prioritizes the inputs to valuation techniques used to measure fair value into three levels:

Level 1 - Inputs are unadjusted quoted market prices in active markets for identical assets or liabilities at the measurement date.

Level 2 - Inputs (other than quoted prices included in Level 1) are either directly or indirectly observable for the asset or liability through correlation with market data at the measurement date for the duration of the instrument's anticipated life.

Level 3 - Inputs are unobservable and therefore reflect management's best estimate of the assumptions that market participants would use in pricing the asset or liability.

As of December 31, 2025 and December 31, 2024, the Company's Cash, Restricted cash, Accounts payable and Accrued liabilities are carried at cost, which approximates fair value due to the short-term nature of each instrument and are classified as Level 1. The carrying values reported for trade accounts receivable and trade notes receivables, net of allowances, includes a degree of counterparty non-performance risk and are classified as level 2.

Rollover equity was valued using a combination of Level 2 observable inputs including EBITDA multiples of comparable public companies as well as discounted cash flow analysis of future projections in the period issued.

The Company's tradenames, systems in place, and developed technology were valued using the relief from royalty method and the franchise relationships, customer relationships, national account relationships, and insurance company relationships were valued using the multi-period excess earnings method in the periods acquired. Rollover equity was valued using a combination of Level 2 observable inputs including EBITDA multiples and comparable public company as well as discounted cash flow analysis of future projections in the period issued. The future projections and estimates used to fair value the assets acquired in acquisitions, as well as those used in our long-lived asset (including operating lease right of use assets), goodwill and intangible asset impairment testing, are considered Level 3 inputs.

The impairment charge of $182,616, recorded in connection with our decision to exit a business, was the result of measuring the disposal group at the lower of its carrying amount or fair value less costs to sell. The fair value of the disposal group was estimated using the expected price a market participant would pay based upon ongoing negotiations with an unrelated third party.

3. Debt Agreements

Through its wholly owned subsidiary, Neighborly Issuer LLC (the "Issuer"), the Company entered into the Securitization Transaction which was completed on March 25, 2021. In conjunction with the Securitization Transaction, the Issuer issued $800,000 Series 2021-1 3.584% Fixed Rate Senior Secured Notes (the "Series 2021-1 Senior Notes"). The Series 2021-1 Senior Notes have an anticipated repayment date of April 30, 2028, and a final maturity date of April 30, 2051. Scheduled principal payments of $2,000 and interest are paid quarterly. As of December 31, 2025 and 2024, the Series 2021-1 Senior Notes had $764,000 and $772,000 outstanding, respectively.

Additionally, the Securitization Transaction provided for a $10,000 variable rate Delayed Draw Class A-1-LR Senior Note ("Series 2021-1 Class A-1 Notes"), with a final maturity date of April 30, 2051, which is only available for limited purposes and may not be drawn by the Issuer. Interest on draws is paid weekly at the Secured Overnight Financing Rate (SOFR) plus 300 basis points. As of December 31, 2025 and 2024, no borrowings had been made on the Series 2021-1 Class A-1 Notes.

The Securitization Transaction also provided for a $30,000 variable rate Class A-1-VFN Senior Note (the "2021 VFN facility"), with a maturity date of April 30, 2026, and two one-year extension options. Interest on borrowings is paid quarterly at SOFR, plus 266 basis points. As of December 31, 2025 and 2024, $8,000 of borrowings were outstanding on the 2021 VFN facility and availability was $5,050. Issued and undrawn letters of credit under the 2021 VFN facility were $16,950 as of December 31, 2025 and 2024. Undrawn letters of credit under the 2021 VFN facility incur interest at a rate of 2.66%, which is payable quarterly. The Company considered the upcoming maturity of the 2021 VFN Facility and concluded it has the unilateral ability to extend the maturity date to April 2028 through the two one-year extensions, if certain conditions are met. The Company evaluated the conditions precedent and concluded they will be met throughout 2026; therefore, the Company will have the unilateral ability to extend and intends to execute the extensions prior to the next maturity date of April 30, 2026.

On January 19, 2022, the Company, through the Issuer, issued $410,000 Series 2022-1 3.695% Fixed Rate Senior Secured Notes (the "Series 2022-1 Senior Notes") through a second whole business securitization transaction (the "Second Securitization Transaction"). The Series 2022-1 Senior Notes have an anticipated repayment date of January 30, 2029, and a final maturity date of January 30, 2052. Scheduled principal payments of $1,025 and interest are paid quarterly. As of December 31, 2025 and 2024, the Series 2022-1 Senior Notes had $394,625 and $398,725 outstanding, respectively.

Additionally, the Second Securitization Transaction provided for a $4,000 variable rate Delayed Draw Class A-1-LR Senior Note (the "Series 2022-1 Class A-1 Notes"), with a final maturity date of January 30, 2052, which is only available for limited purposes and may not be drawn by the Issuer. Interest on draws is paid weekly at a rate equal to Prime plus 300 basis points. As of December 31, 2025 and 2024, no draws had been made on the Series 2022-1 Class A-1 Notes.

In conjunction with the Second Securitization Transaction, $10,353 in transaction fees were capitalized as deferred financing costs to be amortized over the anticipated term of the notes using the straight-line method, which material approximates the effective interest rate method. For the years ended December 31, 2025 and 2024, respectively, a total of $1,479 and $1,494 of previously

capitalized deferred financing costs related to the Second Securitization Transaction were amortized to Interest expense on the Consolidated Statements of Operations and Comprehensive Income (Loss). At December 31, 2025, capitalized deferred financing costs related to the Second Securitization Transaction of $4,423 remain unamortized, of which $1,464 is reflected as a reduction to Current portion of long-term debt and $2,959 is reflected as a reduction to Long-term debt on the Consolidated Balance Sheet.

On February 3, 2023, the Company, through its indirect, wholly owned subsidiary, Neighborly Issuer LLC, issued $275,000 Series 2023-1 7.308% Fixed Rate Senior Secured Notes (the "Series 2023-1 Senior Notes") through a third whole business securitization transaction (the "Third Securitization Transaction"). The Series 2023-1 Senior Notes have an anticipated repayment date of January 30, 2028, and a final maturity date of January 30, 2053. Scheduled principal payments of $687 and interest are paid quarterly. As of December 31, 2025 and 2024, the Series 2023-1 Senior Notes had $267,438 and $270,188 outstanding, respectively.

Additionally, the Third Securitization Transaction provided for a $5,025 variable rate Delayed Draw Class A-1-LR Senior Note (the "Series 2023-1 Class A-1 Notes"), with a final maturity date of January 30, 2053, which is only available for limited purposes and may not be drawn by the Issuer. On December 11, 2024, the Series 2023-1 Class A-1 Notes maturity date was amended to change to January 30, 2055. Interest on draws is paid weekly at a rate equal to SOFR plus 300 basis points. As of December 31, 2025, no draws had been made on the Series 2023-1 Class A-1 Notes.

The Third Securitization Transaction also provided for a $125,000 variable rate Class A-1-VFN Senior Note (the "2023 VFN facility"), with a maturity date of January 30, 2026, with two one-year extension options. Interest on borrowings is paid quarterly at SOFR, plus 350 basis points. As of December 31, 2025, the Company had borrowings outstanding of $30,000 on the 2023 VFN facility and had $95,000 of availability. As of December 31, 2024, borrowings outstanding on the 2023 VFN facility were $75,000, and availability was $50,000. The Company considered the upcoming maturity of the 2023 VFN Facility and concluded it has the unilateral ability to extend the maturity date to January 2028, if certain conditions are met. The Company completed the first of the two one-year extensions in January 2026 as the required conditions were met, extending the maturity to January 2027. The Company expects to continue to meet the conditions precedent and throughout 2026; therefore, the Company will have the unilateral ability to extend and intends to execute the extension prior to the next maturity date of January 30, 2027.

In conjunction with the Third Securitization Transaction, $14,177 in transaction fees were capitalized as deferred financing costs, to be amortized over the anticipated term of the notes using the effective interest method. For the years ended December 31, 2025 and 2024, $2,839 and $2,868 of previously capitalized deferred financing costs related to the Third Securitization Transaction were amortized to Interest expense on the Consolidated Statements of Operations and Comprehensive Income (Loss), respectively. At December 31, 2025, capitalized deferred financing costs related to the Second Securitization Transaction of $5,816 remain unamortized, of which $2,809 is reflected as a reduction to Current portion of long-term debt and $3,007 is reflected as a reduction to Long-term debt on the Consolidated Balance Sheet.

On December 11, 2024, the Company, through its indirect, wholly owned subsidiary, Neighborly Issuer LLC, entered into a $75,000 variable rate Class A-1-VFN Senior Note (the "2024 VFN Facility") through a fourth whole business securitization transaction (the "Fourth Securitization Transaction"). The 2024 VFN Facility has an anticipated repayment date of January 30, 2030 with two one-year extension options. Interest on borrowings is paid quarterly at SOFR, plus 240 basis points. As of December 31, 2025 and 2024, borrowings outstanding on the 2024 VFN facility were $75,000 for both years, and no availability.

In conjunction with the Fourth Securitization Transaction in 2024, $3,241 in transaction fees were capitalized as deferred financing costs in 2024, to be amortized over the anticipated term of the notes on a straight-line basis which approximates the effective interest method. Amortization was $719 in 2025 and negligible in 2024. At December 31, 2025, capitalized deferred financing costs related to the Fourth Securitization Transaction of $2,476 remain unamortized, of which $719 is reflected as a reduction to Current portion of long-term debt and $1,757 is reflected as a reduction to Long-term debt on the Consolidated Balance Sheet.

The Series 2023-1 Senior Notes and the 2024 VFN Facility issued in conjunction with the Securitization Transaction are secured by substantially all assets of the Securitization Entities and guaranteed by the Securitization Entities. Proceeds were distributed to Neighborly's parent company to extinguish debt incurred by the parent to fund the Company's acquisitions in 2024.

The Series 2021-1 Senior Notes, the Series 2022-1 Senior Notes, the Series 2023-1 Senior Notes, the Series 2021-1 Class A-1 Notes, the Series 2022-1 Class A-1 Notes, the Series 2023-1 Class A-1 Notes, and VFN facilities described above issued in conjunction with the Securitization Transaction, the Second Securitization Transaction, the Third Securitization Transaction and the Fourth Securitization Transaction (together, the "Securitization Transactions") are secured by substantially all assets of Neighborly Issuer LLC and the other Securitization Entities, and guaranteed by the Issuer and such Securitization Entities, each of which is a bankruptcy remote entity and which owned substantially all of the Company's US intellectual property including tradenames, franchise agreements, national account relationships and systems-in-place, as well as the UK tradenames as of the date of issuance. The restrictions placed on the Issuer and its subsidiaries require that interest and scheduled principal payments on the Series 2021-1 Senior Notes, Series 2022-1 Senior Notes, Series 2023-1 Senior Notes, the Series 2021-1 Class A-1 Notes, the Series 2022-1 Class A-1 Notes, and the Series 2023-1 Class A-1 Notes be paid prior to any residual distributions to the Manager, and amounts are segregated weekly to ensure appropriate funds are reserved to pay the quarterly interest and scheduled principal amounts due. The amount of weekly cash flow that exceeds all expenses and obligations of the Issuer and its subsidiaries is generally remitted to the Manager in the form of a distribution. The Manager also receives a fee for the services it provides to the Securitization Entities that is senior to debt service. The Securitization Transactions require, among other things, maintenance of minimum debt-service coverage ratio levels and additional incurrence of indebtedness and scheduled amortization requirements are subject to compliance with maximum leverage ratio levels. As of December 31, 2025 and 2024, the Issuer was in compliance with all debt-service coverage covenants.

The Company's VFN facilities bear interest at market rates. Thus, management believes their carrying amounts approximate fair value.

Debt consisted of the following as of December 31:

	2025	2024
Series 2021-1 Senior Notes	$ 764,000	$ 772,000
Series 2022-1 Senior Notes	394,625	398,725
Series 2023-1 Senior Notes	267,438	270,188
2021 VFN Facility	8,000	8,000
2023 VFN Facility	30,000	75,000
2024 VFN Facility	75,000	75,000
Total carrying value of debt	1,539,063	1,598,913
Less: Deferred financing costs	(12,715)	(17,752)
Total net debt	1,526,348	1,581,161
Less: current portion	(9,858)	(10,051)
Long-term debt	$ 1,516,490	$ 1,571,110

Future maturities of long-term debt based on principal payments outstanding as of December 31, 2025, are as follows:

Years ending December 31,	
2026	$ 14,850
2027	14,850
2028	1,052,038
2029	382,325
2030	75,000
Thereafter	-
	$ 1,539,063

4. Intangible Assets and Goodwill

Intangible assets as of December 31, 2025, consisted of the following:

	Useful Life	Gross Amount	Accumulated Impairment	Accumulated Amortization	Net Amount
Tradenames	3-20 years	$ 1,006,381	$ 10,248	$ 209,978	$ 786,155
Franchise relationships	15 years	617,281	418	177,486	439,377
National accounts	15 years	3,325	148	853	2,324
Insurance company relationships	15 years	2,300		665	1,635
Copyrights	5 years	150		130	20
Franchise rights	1-7 years	12,200	5,388	6,812	-
Customer relationships	3-10 years	18,227	48	10,813	7,366
Developed technology	3 years	720		720	-
Total definite-lived intangibles		$ 1,660,584	$ 16,250	$ 407,457	$ 1,236,877

	Useful Life	Gross Amount	Accumulated Impairment	Accumulated Amortization	Net Amount
Domain name	Indefinite	$ 1,314	$ -	$ -	$ 1,314
Total indefinite-lived intangibles		$ 1,314	$ -	$ -	$ 1,314

Intangible assets as of December 31, 2024, consisted of the following:

	Useful Life	Gross Amount	Accumulated Impairment	Accumulated Amortization	Net Amount
Tradenames	3-20 years	$ 996,297	$ 10,248	$ 158,895	$ 827,154
Franchise relationships	15 years	612,607	418	135,273	476,916
National accounts	15 years	3,248	148	624	2,476
Insurance company relationships	15 years	2,300		511	1,789
Copyrights	5 years	140		93	46
Franchise rights	1-7 years	12,200		5,154	7,046
Customer relationships	3-10 years	17,834		7,612	10,222
Developed technology	3 years	720		631	89
Total definite-lived intangibles		$ 1,645,347	$ 10,814	$ 308,793	$ 1,325,738

	Useful Life	Gross Amount	Accumulated Impairment	Accumulated Amortization	Net Amount
Domain name	Indefinite	$ 1,314	$ -	$ -	$ 1,314
Total indefinite-lived intangibles		$ 1,314	$ -	$ -	$ 1,314

The Company recorded an impairment charge for intangible assets of $5,436 in the year ended December 31, 2025 as discussed in Note 2. Amortization expense was $95,910 and $96,830 for the years ended December 31, 2025 and 2024, respectively.

Estimated amortization expense as of December 31, 2025 for the subsequent five years is as follows:

Years ending December 31,	
2026	$ 94,390
2027	93,543
2028	91,889
2029	91,889
2030	91,889
Thereafter	773,277
	$ 1,236,877

Goodwill

The Company has assigned goodwill to its reporting units based on fair valuation analysis completed for the acquisition of the parent by KKR and from the Company's acquisitions on September 1, 2021, and any subsequent acquisitions.

The changes in the carrying amount of goodwill are as follows:

	December 31,	
	2025	2024
Balance at beginning of period	$ 1,739,179	$ 1,741,101
Foreign currency impact	7,569	(1,922)
Goodwill impairment	(170,988)	-
Balance at end of period	$ 1,575,760	$ 1,739,179

The Company recorded an impairment charge for goodwill of $170,988 in the year ended December 31, 2025 as discussed in Note 2.

5. Equity-based Compensation

In September 2021, Nest Management LP, a co-investor with KKR, created a profits interest plan which provides for profits interest award grants of Nest Holdings LP and its subsidiaries. A total of 202,843,686 profits interests units were approved to be granted under the plan.

On October 27, 2021, and certain dates thereafter, Nest Management LP granted awards under the plan. The profits interests are exercisable only to the extent they are vested, and do not expire. Generally, vesting of a portion of the profits interests (50%) is subject to the passage of time; the remaining (50%) vest based on achievement of defined financial criteria upon a liquidity event of the Company. Based on continuous employment, time-based profits interest units vest 20% annually, for each of five years.

The Company accounts for equity-based compensation in accordance with ASC 718, Compensation-Stock Compensation, which requires the fair value of equity-based payments to be recognized in the consolidated statements as compensation expense over the requisite service period. For time-based awards, compensation expense is recognized on a straight-line basis, net of forfeitures which are recognized as they occur, over the requisite service period for awards that actually vest. For performance-based awards, compensation expense is estimated based on achievement of performance conditions and is recognized when such conditions are deemed probable. The Company has not recognized expense related to the performance-based awards as a result of the change in

control provision which is not considered probable until it occurs. Equity-based compensation expense is recorded in the General and administrative expense line in the Consolidated Statements of Operations and Comprehensive Income (Loss).

The average grant date fair value of awards under the Nest Management LP profits interest plan was determined using Monte-Carlo simulation, and was $0.00 per unit for awards in the year ended December 31, 2025 and $0.36 per unit for awards in the year ended December 31, 2024. As of December 31, 2025 and 2024 no units were both vested and exercisable.

Equity-based compensation expense recorded for the years ended December 31, 2025 and 2024 was $1,330 and $3,130, respectively. As of December 31, 2025, unamortized stock compensation expense to be recognized in future years was $2,199.

	Number of Underlying Units	
	Time-based	**Performance-based**
Outstanding – December 31, 2023	65,584,944	56,626,935
Granted	25,478,801	22,538,801
Forfeited	(13,399,651)	(22,823,978)
Redeemed	-	-
Outstanding – December 31, 2024	77,664,094	56,341,758
Granted	16,241,712	16,241,712
Forfeited	(5,626,501)	(13,290,056)
Redeemed	-	-
Outstanding – December 31, 2025	**88,279,305**	59,293,414
Vested and Exercisable – December 31, 2025	**-**	-

6. Trade Notes Receivable

The Company periodically receives notes from the sale of new franchises. The rights to the related franchise territory sold generally collateralize these notes. The Company also from time-to-time receives notes for delinquent franchise service fees. Such notes, as of December 31, 2025 and 2024, bear interest at rates typically ranging from 9% to 12% and generally require equal monthly installments over a life of one to ten years.

A summary of trade notes receivable as of December 31 is as follows:

	2025	2024
Amounts due within one year, net of allowance for credit losses of $1,517 and $1,167 as of December 31, 2025 and 2024, respectively	$ 7,675	$ 7,776
Amounts due after one year, net of allowance for credit losses of $2,146 and $2,105 as of December 31, 2025 and 2024, respectively	13,076	13,577
Total trade notes receivable, net	**$ 20,751**	$ 21,353

An analysis of the changes in trade notes receivable is as follows:

	Year Ended December 31,	
	2025	**2024**
Gross trade notes receivable, beginning of period	$ 24,625	$ 28,290
Principal payments received	(14,770)	(17,660)
Notes issued	15,638	14,978
Net write-offs	(1,078)	(946)
Foreign currency translation	(1)	(37)
Gross trade notes receivable, end of period	24,414	24,625
Allowance for credit losses	(3,663)	(3,272)
Net trade notes receivable, end of period	**$ 20,751**	$ 21,353

An analysis of the changes in the trade notes receivable allowance is as follows:

	Year Ended December 31,	
	2025	**2024**
Allowance, beginning of period	$ 3,272	$ 2,619
Provision for credit losses	1,461	1,600
Net write-offs	(1,078)	(946)
Foreign currency translation	8	(1)
Allowance, end of period	**$ 3,663**	$ 3,272

Scheduled future maturities of trade notes receivable are as follows:

Years ending December 31,	
2026	$ 9,192
2027	5,117
2028	3,410
2029	2,701
2030	1,934
Thereafter	2,060
	$ 24,414

7. Property and Equipment

A summary of property and equipment as of December 31 is as follows:

	2025	2024
Land	$ 2,561	$ 2,561
Buildings and improvements	34,571	36,403
Machinery & equipment	5,976	10,690
Furniture & fixtures	1,822	2,033
Hardware	10,126	8,564
Software	71,650	54,907
Vehicles	2,008	12,151
Vehicles under financing lease	19,244	25,150
Total property and equipment	147,958	152,459
Less accumulated depreciation	(70,971)	(60,301)
Property and equipment - net	$ 76,987	$ 92,158

The Company has Assets held for sale as of December 31, 2025 of which $910 is Vehicles under financing lease, as disclosed in Note 2 as Property and Equipment. Depreciation expense was $32,929 and $26,846 for the years ended December 31, 2025 and 2024, respectively. The Company recorded an impairment charge of $6,016 in 2025 related to property and equipment within one asset group as discussed in Note 2.

8. Leases

The Company's primary operating lease commitments consist of leases for office and retail space for its company-operated stores and corporate offices. The Company leases vehicles under financing lease agreements expiring at various dates through 2030.

We determine whether an agreement contains a lease at inception based on our right to obtain substantially all of the economic benefits from the use of the identified asset and the right to direct the use of the identified asset. The Company does not recognize a right-of-use asset (ROU) and a lease liability for leases with an initial term of twelve months or less. Lease liabilities represent the present value of future lease payments and the right-of-use assets represent our right to use the underlying assets for the respective lease terms. The Company does not separate lease and non-lease components for new and modified leases after the adoption date, and instead accounts for each separate lease component of a contract and its associated non-lease components as a single lease component.

The operating lease liability is measured as the present value of the unpaid lease payments and the ROU asset is derived from the calculation of the operating lease liability. Other than for leased vehicles, our leases do not generally provide an implicit rate and we use our incremental borrowing rate as the discount rate to calculate the present value of lease payments. The incremental borrowing rate represents an estimate of the interest rate that would be required to borrow over a similar term, on a collateralized basis in a similar economic environment.

Rent escalations occurring during the term of the leases are included in the calculation of the future minimum lease payments and the rent expense related to these leases is recognized on a straight-line basis over the lease term. In addition to minimum lease payments, certain leases require payment of a proportionate share of real estate taxes and certain building operating expenses allocated on a percentage of sales in excess of a specified base. These variable lease costs are not included in the measurement of the ROU asset or lease liability due to unpredictability of the payment amount and are recorded as lease expense in the period incurred. The ROU asset is adjusted to account for previously recorded lease-related expenses such as deferred rent and other lease liabilities.

The components of lease cost are as follows:

	Year Ended December 31,	
	2025	**2024**
Operating lease cost	$ 6,546	$ 7,149
Variable lease cost	328	324
Finance lease cost:		
Amortization of right-of-use assets	7,911	7,849
Interest on lease obligations	1,053	1,088
Total lease cost	**$ 15,838**	$ 16,411

The table below presents additional information related to the Company's leases:

	As of December 31,	
	2025	**2024**
Weighted average remaining lease term (in years):		
Operating leases	4.8	5.1
Finance leases	2.7	2.5
Weighted average discount rate:		
Operating leases	4.5%	4.2%
Finance leases	6.7%	6.3%

Other information related to leases, including supplemental disclosures of cash flow information, is as follows:

	Year Ended December 31,	
	2025	2024
Cash paid for amounts included in the measurement of lease liabilities:		
Operating cash flows from operating leases	$ 6,619	$ 7,359
Operating cash flows from finance leases	791	861
Financing cash flows from finance leases	5,466	4,749
Right-of-use assets obtained in exchange for operating lease liabilities	782	1,876

Maturities of lease liabilities are as follows as of December 31, 2025:

Years ending December 31,	Operating leases	Finance leases	Total
2026	$ 4,603	$ 6,061	$ 10,664
2027	3,533	2,838	6,371
2028	3,019	2,130	5,149
2029	2,356	1,393	3,749
2030	1,762	1,399	3,161
Thereafter	2,142	-	2,142
Total lease payments	17,415	13,821	31,236
Less: Interest	2,087	1,469	3,556
Total lease liabilities	15,328	12,352	27,680
Less: Current lease liabilities	4,045	5,594	9,639
Non-current lease liabilities	$ 11,283	$ 6,758	$ 18,041

The Company had Liabilities held for sale as of December 31, 2025 of which $2,426 are for operating leases and $3,913 for finance leases not included above as disclosed in Note 2. Rent expense for operating leases was $6,546 and $7,149 for the years ended December 31, 2025 and 2024, respectively.

9. Income Taxes

The income tax benefit is as follows:

	Year ended December 31,	
	2025	2024
Current:		
Federal	$ 1,889	$ 10,911
State	958	2,002
Foreign	1,286	(202)
Total current	4,133	12,710
Deferred:		
Federal	(41,722)	(18,525)
State	(6,965)	(979)
Foreign	(2,774)	(1,147)
Total deferred	(51,461)	(20,651)
Total income tax benefit	$ (47,328)	$ (7,941)

A reconciliation of the income tax benefit at a statutory tax rate of 21% to the income tax benefit at an effective tax rate is as follows:

	Year ended December 31,	
	2025	2024
Federal income taxes at statutory rate	$ (48,966)	$ (9,882)
State taxes	(6,208)	602
Goodwill impairment	5,354	-
Valuation allowance	3,160	-
Other permanent differences	1,623	1,452
Deferred balance adjustment	(867)	63
Payable adjustment	(1,475)	(1,581)
Other	51	1,405
Total income tax benefit	$ (47,328)	$ (7,941)

The Company's effective income tax rate is 20.28% and 16.87% for the years ended December 31, 2025 and 2024, respectively. The Company's overall global effective income tax rate differs from the statutory US Federal income tax rate of 21.00% due to state income taxes, goodwill impairment and valuation allowance.

The components of deferred income tax assets and liabilities as of December 31:

	2025	2024
Deferred tax assets:		
Accounts/notes receivable allowance	$ 1,649	$ 1,571
Accrued expenses	2,388	439
Net operating loss carryforwards	1,161	599
Interest expense limitation	48,934	43,200
Deferred revenue	16,870	15,342
Operating leases liability	4,402	4,669
Tax capitalized software	7,127	9,276
Other	1,709	3,358
Total deferred tax assets	84,240	78,454
Deferred tax liabilities:		
Prepaid expenses	(1,744)	(1,052)
Property and equipment	(6,049)	(10,093)
Intangible assets and goodwill	(215,327)	(250,731)
Interest rate swap	-	(6)
Operating lease right-of-use assets	(4,235)	(5,007)
Other	(2,438)	(1,927)
Total deferred tax liabilities	(229,793)	(268,816)
Valuation allowance	(4,165)	-
Net deferred tax liabilities	$ (149,718)	$ (190,362)

Management assesses the available positive and negative evidence to estimate whether sufficient future taxable income will be generated to permit use of the existing deferred tax assets. Management considers all sources of future taxable income but heavily relies on the most objective piece of evidence which is scheduling of deferred tax liabilities. As a result, beginning in 2025, the Company concluded, based on all positive and negative evidence, deferred tax asset related to interest expense limitation, on a more likely than not basis, would not be realized. Therefore, partial valuation allowance in the amount of $4,165 is established against interest expense limitation in the US and state jurisdictions.

For the years ended December 31, 2025 and 2024, no change was recorded for uncertain tax positions, and the balance was ($641). As of December 31, 2024, no interest or penalty was accrued by the Company related to uncertain tax positions.

The Company reported net operating losses in the following jurisdictions as of December 31:

	2025	2024	Expiration
Jurisdiction			
US Federal	$ -	$ -	Indefinite
US State (post-apportionment)	20,326	17,100	Various
United Kingdom	52	-	Indefinite
Germany	-	-	Indefinite
Austria	-	-	Indefinite
Canada	-	-	20 Years
India	33		Various
Total	$ 20,411	$ 17,100	

The Company files a US consolidated federal income tax return for Nest Holdings, Inc. and Subsidiaries which includes Neighborly Company. State returns are filed on either a separate company or consolidated return basis. The Company also files separate returns where required for the various LLC entities. The Company's subsidiaries file income tax returns in Canada, Germany, the UK and Austria.

The Company files US state income tax returns in nearly every state in the US. Many of the state return filings reflect net operating loss carryovers computed on a post-apportionment basis, while several states compute operating loss carryovers on a pre-apportionment basis. The US state income tax effect of the net operating loss carryforwards, net of federal income tax, amounted to $1,166 and $1,048 at December 31, 2025 and 2024, respectively. The state net operating losses have varying carryover periods. The Company expects to fully utilize all net operating loss carryovers prior to expiration.

The Company has no current or pending IRS examinations. US Federal income tax returns for years ended August 31, 2021, December 31, 2021, December 31, 2022, December 31, 2023, and December 31, 2024 remain open for examination. State income tax returns remain open for similar years, and several states having a longer statute remain open for examination. The Company has timely filed all federal and state income tax returns.

The UK entities have no prior or pending tax examinations with HMRC. The UK corporation tax process is one of self-assessment. Following filing of the tax return, HMRC has a period of (usually) 12 months in which to raise formal inquiries. These can range from simple information requests to detailed technical challenges over treatments adopted in the tax return. HMRC has made no requests. The December 31, 2024, corporate tax returns remain open for examination. The UK entities have timely filed all corporate income tax returns.

The German entities are currently under review by the BZSt. The statute of limitations for examination is four (4) years from the end of the year in which the return was filed. Tax returns for years ended December 31, 2021, and forward remain open for examination. The German entities have timely filed all corporate income tax returns.

The US and foreign entities operate under transfer pricing agreements that control the pricing of intercompany management services, interest and royalties.

The Company has both the intent and ability to reinvest foreign earnings, therefore deferred tax liabilities have not been recorded on either unremitted earnings, components of other comprehensive income, or applicable foreign withholding taxes.

On July 4, 2025, the United States enacted tax reform legislation through the One Big Beautiful Bill Act ("OBBBA"). The OBBBA makes permanent key elements of the Tax Cuts and Jobs Act of 2017, including 100% bonus depreciation on qualified property acquired and placed in service after January 19, 2025; immediate deduction of domestic research expenses; reinstatement of EBITDA as the basis for computing business interest expense limits. The Company applied new regulations accordingly. There is no effect on ETR due to these changes in law.

10. Related Party Transactions

On September 1, 2021, a Monitoring Agreement was entered into with Kohlberg Kravis Roberts & Co and Harvest Partners under which the Company will pay certain fees and expenses under the terms of the Monitoring Agreement. For the years ended December 31, 2025 and 2024, the Company recognized management and board fees and expenses of $3,148 and $3,641, respectively, in the General and administrative expenses line item in the Company's consolidated statements of operations. Additionally, the Company paid $750 to a related party in the year ended December 31, 2024 for services related to the 2024 VFN Facility. These costs are included in General and administrative expenses on the Consolidated Statement of Operations and Comprehensive Income (Loss).

11. Contingencies

The Company is engaged in various legal proceedings incidental to its normal business activities. Management has determined that it is not probable that the Company has incurred any loss contingencies as defined in FASB ASC Topic 450, Contingencies. Accordingly, no liabilities have been accrued for these matters as of December 31, 2025 and 2024. Management believes that the outcome of such matters will not have a material effect on the Company's consolidated financial statements.

12. Employee Benefit Plan

The Company sponsors a 401(k) plan covering the majority of its employees. Plan participants may contribute up to 70% (subject to Internal Revenue Service limitations) of their annual compensation before taxes for investment in several specified alternatives. Employees are fully vested with

respect to their contributions. The Company may match a percentage of employee contributions as determined at the discretion of the Board of Directors. Company contributions recognized totaled $2,853 and $2,939 for the years ended December 31, 2025, and 2024, respectively.

13. Subsequent Events

In preparation of its financial statements, the Company considered subsequent events through March 31, 2026, which was the date the Company's financial statements were available to be issued.

Neighborly Company and Subsidiaries

Consolidated Financial Statements

As of December 31, 2024 and 2023 and
for the years ended December 31, 2024 and 2023

Neighborly Company and Subsidiaries

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Report of Independent Auditors

To the Board of Directors and Stockholders of
Neighborly Company and subsidiaries

Opinion

We have audited the consolidated financial statements of Neighborly Company and subsidiaries (the Company), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations and comprehensive income (loss), changes in stockholders' equity and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2024 and 2023, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee

that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the entity's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during our audit.

Ernst + Young LLP

Dallas, Texas
March 31, 2025

Neighborly Company and Subsidiaries

Consolidated Balance Sheets
($000's)

	December 31,	
	2024	2023
Assets		
Current Assets		
Cash	**$ 18,436**	$ 43,416
Restricted cash	**28,077**	28,636
Trade accounts receivable – net	**44,747**	44,566
Trade notes receivable - current portion – net	**7,776**	9,777
Inventories	**3,776**	4,007
Income tax receivable	**9,231**	1,880
Prepaid selling expenses - current	**4,726**	3,959
Other current assets	**6,106**	2,839
Total Current Assets	**122,875**	139,080
Property and equipment – net	**92,158**	89,137
Operating lease right of use assets	**20,221**	27,227
Prepaid selling expenses – less current portion	**19,896**	19,104
Trade notes receivable – less current portion - net	**13,577**	15,894
Intangible assets – net	**1,327,052**	1,425,724
Goodwill	**1,739,179**	1,741,101
Other non-current assets	**1,758**	2,128
Total Assets	**$ 3,336,716**	$ 3,459,395

Neighborly Company and Subsidiaries

Consolidated Balance Sheets (continued)
($000's, except share and per share amounts)

	December 31,	
	2024	2023
Liabilities and Stockholder's Equity		
Current Liabilities		
Trade accounts payable	**$ 17,856**	$ 15,962
Accrued liabilities	**48,074**	56,589
Deferred revenue - current	**18,215**	17,760
Current portion of long-term debt	**10,051**	10,488
Current portion of operating lease liabilities	**5,401**	6,925
Current portion of finance lease obligations	**5,941**	4,426
Total current liabilities	**105,538**	112,150
Long-term debt - less current portion	**1,571,110**	1,451,356
Operating lease obligations – less current portion	**15,639**	21,302
Finance lease obligations – less current portion	**10,278**	10,187
Deferred tax liabilities	**199,638**	220,780
Deferred revenue - less current portion	**74,718**	73,850
Other non-current liabilities	**1,616**	1,696
Commitments and Contingencies (Note 11)		
Stockholder's Equity		
Common stock-par value $0.01 per share; 100 shares authorized, issued and outstanding	**-**	-
Additional paid-in capital	**1,933,936**	2,100,435
Accumulated deficit	**(528,523)**	(489,405)
Accumulated other comprehensive loss	**(47,234)**	(42,956)
Total Stockholder's Equity	**1,358,179**	1,568,074
Total Liabilities and Stockholder's Equity	**$ 3,336,716**	$ 3,459,395

See accompanying notes to consolidated financial statements

Neighborly Company and Subsidiaries

Consolidated Statements of Operations and Comprehensive Income (Loss)
($000's)

	Year Ended December 31,	
	2024	2023
Revenues and income		
Franchise service fees	**$ 208,277**	$ 194,731
Franchise sales fees	**35,122**	38,441
Sales of products and services	**282,737**	288,146
Advertising and promotional fund revenue	**60,159**	53,320
Other revenue	**39,387**	39,026
Total revenues and income	**625,682**	613,664
Cost of products and services	**174,140**	169,627
Gross Profit	**451,542**	444,037
Selling expense	**26,173**	26,179
General and administrative expense	**206,402**	196,985
Advertising and promotional fund expense	**61,482**	58,124
Equity-based compensation expense	**3,130**	4,194
Depreciation and amortization	**123,676**	116,929
Management and board fees and expenses	**3,650**	4,638
Loss on impairment of goodwill and tradenames	**-**	428,286
Credit losses	**3,810**	2,812
Operating Income (Loss)	**23,219**	(394,110)
Interest expense	**70,278**	68,756
Loss Before Income Taxes	**(47,059)**	(462,866)
Income tax benefit	**(7,941)**	(23,790)
Net Loss	**(39,118)**	(439,076)
Other comprehensive income/(loss)		
Foreign currency translation adjustment, net of tax of $1,070 and 2,132, respectively	**(3,208)**	6,395
Total Other Comprehensive income/(loss)	**(3,208)**	6,395
Comprehensive Loss	**$ (42,326)**	$ (432,681)

See accompanying notes to consolidated financial statements.

Neighborly Company and Subsidiaries

Consolidated Statement of Changes in Stockholder's Equity
($000's, except share amounts)

	Common Stock		Additional Paid - In	Accumulated	Accumulated Other Comprehensive	
	Shares	Amount	Capital	Deficit	Income (Loss)	Total
Balance at December 31, 2022	100	$ -	$ 2,420,959	$ (50,587)	$ (51,483)	$ 2,318,889
Adoption of accounting principle	-	-	-	258	-	258
Distribution to parent	-	-	(324,718)	-	-	(324,718)
Equity-based compensation	-	-	4,194	-	-	4,194
Foreign currency translation adjustment	-	-	-	-	8,527	8,527
Net loss	-	-	-	(439,076)	-	(439,076)
Balance at December 31, 2023	100	$ -	$ 2,100,435	(489,405)	(42,956)	1,568,074
Contribution to Equity	-	-	575	-	-	575
Distribution to parent	-	-	(170,204)	-	-	(170,204)
Equity-based compensation	-	-	3,130	-	-	3,130
Foreign currency translation adjustment	-	-	-	-	(4,278)	(4,278)
Net loss	-	-	-	(39,118)	-	(39,118)
Balance at December 31, 2024	**100**	**$ -**	**$ 1,933,936**	**$ (528,523)**	**$ (47,234)**	**$ 1,358,179**

See accompanying notes to consolidated financial statements.

Neighborly Company and Subsidiaries

Consolidated Statement of Cash Flows
($000's unless otherwise noted)

	For the Year Ended December 31,	
	2024	2023
Operating activities		
Net loss	$ (39,118)	$ (439,076)
Adjustments to reconcile net loss to net cash provided by **operating activities:**		
Depreciation and amortization	123,676	116,929
Amortization of deferred financing costs	4,409	4,164
Loss on impairment of goodwill and tradenames	-	428,286
Bad debt expense	3,810	2,812
Trade notes issued	(14,978)	(15,243)
Collections of notes receivable	17,660	16,605
Deferred income taxes	(20,651)	(44,346)
Loss on disposal of assets	3,589	-
Equity-based compensation	3,130	4,194
Changes in assets and liabilities:		
Trade accounts receivable	(2,848)	(1,403)
Inventories	249	626
Prepaid selling expenses and other assets	(4,313)	3,722
Trade accounts payable	1,907	(6,249)
Accrued liabilities	(9,729)	(8,512)
Other non-current liabilities	(83)	(275)
Income tax payable	(7,352)	(1,519)
Change in operating lease assets and liabilities	(181)	3,535
Deferred revenue	1,323	11,246
Net cash provided by operating activities	60,500	75,496
Investing activities		
Purchase of property, equipment and other assets	(25,042)	(27,931)
Acquisitions of intangible assets	(677)	-
Net cash used in investing activities	(25,719)	(27,931)
Financing activities		
Equity contribution	575	-
Distributions paid	(170,204)	(324,718)
Deferred financing costs paid	(3,241)	(13,866)
Proceeds from revolving credit	158,000	25,000
Payment on revolving credit	(25,000)	-
Payments on principal portion of finance lease liabilities	(4,749)	(3,455)
Payments on long-term borrowings	(14,850)	(14,323)
Proceeds from long-term borrowings	-	275,000
Net cash used in financing activities	(59,469)	(56,362)
Effect of foreign currency translation on cash	(851)	(1,255)
Net decrease in cash and restricted cash	(25,539)	(10,052)
Cash and restricted cash - Beginning of period	$ 72,052	$ 82,104
Cash and restricted cash - End of period	$ 46,513	$ 72,052
Supplemental cash flow disclosures:		
Cash paid for income taxes, net of refunds	$ 16,770	$ 15,829
Cash paid for interest	65,052	$ 60,258

1. Organization and Description of Business

Organization and Description of Business

Neighborly Company and Subsidiaries ("we", "our", "Neighborly" and the "Company") is a Delaware corporation and is the parent company of a number of franchisors and related supporting businesses operating in the United States (the "US") and internationally which include the following companies: Mr. Rooter, Rainbow International, Mr. Electric, Aire Serv, Mr. Appliance, Glass Doctor, Grounds Guys, Molly Maid, Mr. Handyman, Five Star Painting, Mosquito Joe, Real Property Management, Window Genie, HouseMaster, Dryer Vent Wizard, ShelfGenie, Precision Door Service, Restoration 1, Junk King, Lawn Pride, ZorWare, Drain Doctor, Locatec, Countrywide, Bright and Beautiful, Dream Doors, Greensleeves, and ProTradeNet.

In addition, the Company owns and operates non-franchisor entities as follows: Portland Glass, which offers auto, home, and business glass repair and replacement through company owned stores located in Maine, Vermont, and New Hampshire; Pimlico Plumbers, which offers repair and maintenance services, concentrated in central London; Plumb Enterprises, which offers full plumbing, drain and sewer cleaning services, excavation, and repairs in Colorado; and Lawn Pride, which offers lawn care and maintenance services through the application of fertilizer, as well as pest control, in Indiana.

Acquisition of the Company

On June 29, 2021, Kohlberg Kravis and Roberts ("KKR"), and associated co-investors formed Nest Bidco Inc. which, on September 1, 2021, purchased 100% of the shares of Balcones Holdco, Inc., the parent company of Neighborly, from TDG Investment Holdings, LP. Nest Bidco Inc. is an indirectly wholly owned subsidiary of Nest Holdings LP, which is the ultimate parent company of the newly formed business. The transaction was effected to add Neighborly to KKR's investment portfolio, and allows Neighborly to gain access to KKR's capital and resources.

2. Summary of Significant Accounting Policies

Recently Issued Accounting Pronouncements

In December 2023, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) No. 2023-09, "Income Taxes (Topic 740): Improvements to Income Tax Disclosures," (ASU No. 2023-09) which requires disclosure of disaggregated information about a reporting entity's effective tax rate reconciliation as well as disclosures on income taxes paid by jurisdiction. ASU No. 2023-09 is effective for annual periods beginning after December 15, 2024. The guidance is required to be applied on a prospective basis, with the option to apply the standard retrospectively. Early adoption is permitted. Management is currently evaluating the impact of this guidance on the Company's consolidated financial statements and related disclosures.

In January 2024, the FASB issued ASU No. 2024-01, "Scope Application of Profits Interest and Similar Awards." This update clarifies that profits interests and similar awards granted to employees as compensation for services are within the scope of ASC Topic 718 (Compensation—Stock Compensation). The amendments in this update are effective for fiscal years beginning after December 15, 2024, including interim periods within those fiscal years, with early adoption permitted. The Company is required to apply these amendments on a modified retrospective basis

to awards outstanding at the beginning of the fiscal year of adoption, with cumulative-effect adjustments to retained earnings. Management is currently evaluating the impact of this guidance on the Company's consolidated financial statements and related disclosures.

Principles of Consolidation and Variable Interest Entities

The accompanying consolidated financial statements as of December 31, 2024 and 2023 include the accounts of the Company and its wholly owned subsidiaries. All intercompany accounts and transactions have been eliminated in consolidation.

FASB Accounting Standards Codification (ASC) Topic 810-10, Consolidation, applies to certain entities in which equity investors do not have the characteristics of a controlling financial interest or do not have sufficient equity at risk for the entity to finance its activities without additional subordinated financial support. Such an entity is referred to as a variable interest entity ("VIE"). FASB ASC Topic 810-10 requires the consolidation of a VIE by its primary beneficiary. The primary beneficiary is the entity, if any, that has the power to direct activities of a VIE that most significantly impact the VIE's economic performance and has the obligation to absorb losses or the right to receive benefits of the VIE that could potentially be significant to the VIE.

Neighborly Assetco LLC ("Assetco") is a direct, wholly owned subsidiary of Neighborly Issuer LLC (the "Issuer"), which is a special purpose Delaware limited liability company and a direct, wholly owned subsidiary of Neighborly SPV Guarantor LLC (the "SPV Guarantor"), which is a special purpose Delaware limited liability company that is an indirect, wholly owned subsidiary of Neighborly (the "Manager").

Assetco's subsidiaries are comprised of a number of franchisors and related supporting businesses operating in the US and internationally and include the following businesses: Aire Serv SPV LLC, Mr. Electric SPV LLC, The Grounds Guys SPV LLC, Rainbow International SPV LLC, Glass Doctor SPV LLC, Mr. Appliance SPV LLC, Mr. Rooter SPV LLC, Molly Maid SPV LLC, Mr. Handyman SPV LLC, Five Star Painting SPV LLC, Window Genie SPV LLC, Real Property Management SPV LLC, Mosquito Joe SPV LLC, HouseMaster SPV LLC, Dryer Vent Wizard SPV LLC, ShelfGenie SPV LLC, Precision Door Service SPV LLC, Junk King SPV LLC, and Lawn Pride SPV LLC (each an "SPV Franchisor" and together the "SPV Franchisors") and ProTradeNet SPV LLC, Neighborly Service Solutions SPV LLC, Back Office SPV LLC, G-O Manufacturing SPV LLC, Zorware SPV LLC, NBLY Co Ops CO SPV LLC, NBLY Co Ops WA SPV LLC, NBLY Co Ops AZ SPV LLC, NBLY Co Ops IN SPV LLC, Trench Right SPV LLC, Trench Right WA SPV LLC, Dig Boss SPV LLC, NBLY Logistics SPV LLC, and Pimlico SPV Limited (each a "Non-Franchisor SPV Entity" and together the "Non-Franchisor SPV Entities"), each of which is a direct, wholly owned subsidiary of Assetco.

Assetco holds all the equity interests in the SPV Franchisors and the Non-Franchisor SPV Entities, certain intellectual property, certain license agreements and certain vendor agreements. Each SPV Franchisor holds the tradenames and the franchise agreements related to such brand and any product supply agreements or vendor agreements related to such brand. The Non-Franchisor SPV

Entities hold certain tradenames, certain product supply agreements, certain vendor agreements and the office service agreements.

Neighborly SPV Guarantor LLC, Neighborly Issuer LLC, and Neighborly Assetco LLC (collectively with the SPV Franchisors and the Non-Franchisor SPV Entities are referred to as "Securitization Entities")

were formed in connection with a financing transaction (the "Securitization Transaction"), which was completed on March 25, 2021 and on subsequent dates thereafter (see Note 3).

The Company has determined that the Securitization Entities qualify as VIE's and that Neighborly is the primary beneficiary, having both power and benefits, of the Securitization Entities and accordingly, consolidation is concluded.

Use of Estimates

The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Revenue Recognition, Accounts Receivable, Notes Receivable, and Allowances

The Company's primary sources of revenue are as follows:

- Franchise service fees from existing franchise owners based on a percentage of each franchise owner's gross sales. These fees generally range from 2% to 15% of the franchise owner's gross sales, depending upon the particular franchise concept and upon various other factors;

- Franchise sales fees generated from the sale of new franchise territories and the sale of additional franchise territories to existing franchise owners;

- Sales of products and services to unrelated third parties;

- Advertising and promotional fund revenue represents marketing, advertising and promotional ("MAP") fund fees collected from existing franchise owners. These fees are typically a percentage of each franchise owner's sales and vary depending upon the particular franchise concept and various other factors;

- Other revenue consists of incentives earned from services performed for unrelated third parties and interest generated from notes receivable.

Typically, franchise agreements are granted to franchise owners for an initial term of ten years with an option to renew. Our performance obligations under franchise agreements consist of providing a license of our brand's intellectual property, a list of approved suppliers, certain training programs, an operations manual, and to maintain the MAP fund. These performance obligations are highly interrelated and we do not consider them to be individually distinct, and therefore account for them as a single performance obligation, which collectively represent the obligation to provide a license for the right to use our brand's intellectual property. Revenue related to franchise agreements is recognized on a straight-line basis over the term of the agreement, with the exception of variable or sales-based royalties, MAP fund fees collected and revenue allocated to goods and services and other variable fees which are recognized as the underlying sales occur and performance obligations are satisfied.

In the event a franchise agreement is terminated, without a corresponding agreement executed by the same franchise owner, any remaining deferred fees as well as applicable termination fees are recognized in the period of termination.

The Company periodically extends credit to entities for the purchase of franchises. These entities are typically controlled by individuals who operate their businesses as an owner/manager. Generally, the notes receivable are collateralized by the related franchise territory rights. The Company also extends unsecured credit to its franchise owners for unpaid franchise service fees. The Company places notes receivable on nonaccrual status when payment is ninety days past due, and ceases to recognize revenue from interest on the note until such time as the note is no longer past due. Interest on trade notes receivable is recorded as revenue when earned. Each entity's ability to perform is dependent upon the economic condition of the business. The Company maintains ongoing credit evaluations of its franchise owners.

The Company adopted ASU 2016-13 ASU No. 2016-13, Financial Instruments - Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments using the modified retrospective adoption method on January 1, 2023, which was retroactively applied as of the first day of 2023. This accounting standard requires companies to measure expected credit losses on financial instruments based on the total estimated amount to be collected over the lifetime of the instrument. Upon adoption of this guidance, the Company recognized a decrease to its allowance for credit losses of $200 and a corresponding adjustment to accumulated deficit, net of tax.

Expected credit losses for uncollectible receivable balances consider both current conditions and reasonable and supportable forecasts of future conditions. Current conditions considered include pre-defined aging criteria, as well as specified events that indicate the balance due is not collectible. Reasonable and supportable forecasts used in determining the probability of future collection consider publicly available macroeconomic data and whether future credit losses are expected to differ from historical losses.

Franchise service fee revenues represent sales-based royalties that are related entirely to our performance obligation under the franchise agreement and are recognized in the period in which the sales occur. Sales-based royalties are variable consideration related to our performance obligations to our franchise owners to maintain the intellectual property being licensed.

We have determined we act as the principal in the transaction related to the MAP fund contributions and expenditures. MAP fund contributions and expenditures are reported in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss). Our obligation related to these funds is to administer the MAP fund, keep unused MAP fees in segregated bank accounts which are classified as restricted cash on the Consolidated Balance Sheet and use MAP fees for certain activities related to the marketing and promotion of the individual brands. As noted above, we have concluded the advertising services provided to franchise owners are highly interrelated with the franchise rights and not a distinct performance obligation; therefore, revenues from MAP fund fees are recognized as advertising and promotion fund revenue when the related sales occur based on the application of the sales-based royalty exception within ASC 606, Revenue from Contracts with Customers.

Revenues from product sales are recognized upon transfer of title, when delivered to the customer, when the work is performed, or orders are shipped. Incentives earned are recognized as services are performed.

Contract Balances

The contract liabilities which we classify as "deferred revenue" consist primarily of the unamortized portion of initial franchise fees that are currently being recognized into revenue, amounts related to pending agreements, or other deferred revenues not related to franchise agreements. Contract deferred franchise revenue represents our remaining performance obligations to our franchise owners, as we account for our highly interrelated obligations as a single performance obligation, which collectively represent the obligation to provide a license for the right to use our brand's intellectual property excluding amounts of variable consideration related to sale-based royalties and advertising. The other deferred revenues not related to the franchise agreements are included in current deferred revenue.

The components of the change in deferred revenue are as follows:

	Year Ended December 31,	
	2024	2023
Balance at beginning of period	$ 91,610	$ 80,364
Fees received from franchise owners	37,203	49,188
Franchise sales revenue recognized	(35,122)	(38,441)
Other changes in deferred revenue	(758)	499
Balance at end of period	92,933	91,610
Less: current portion	18,215	17,760
Deferred revenue noncurrent	$ 74,718	$ 73,850

Revenue deferred as of December 31, 2023 and recognized in the period from January 1, 2024 through December 31, 2024 was $17,623. Revenue deferred as of December 31, 2022 and recognized in the period from January 1, 2023 through December 31, 2023 was $20,133.

As of December 31, 2024, the deferred revenue expected to be recognized for each of the next five years and in the aggregate is as follows:

Years ending December 31,	
2025	$ 18,215
2026	12,829
2027	12,455
2028	11,718
2029	10,267
Thereafter	27,449
	$ 92,933

Direct, incremental selling expenses incurred when the franchise agreement is executed are recorded as a contract asset and amortized over the life of the agreement consistent with the recognition of the deferred revenue. Contract assets are included in current and non-current

prepaid selling expenses in the accompanying Consolidated Balance Sheets and the amortization is included in general and administrative expense in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss). For the year ended December 31, 2024, $7,736 of costs were paid and amortization expense of $6,175 was recognized. For the year ended December 31, 2023, $8,883 of costs were paid and amortization expense of $5,845 was recognized.

The ending asset for deferred contract costs as of December 31, 2024 was $24,622, of which $4,726 was current. The ending asset for deferred contract costs as of December 31, 2023 was $23,063, of which $3,959 was current.

Advertising

The Company expenses advertising costs as incurred. Advertising expense was $23,200 and $28,772 for the years ended December 31, 2024 and 2023, respectively. Advertising expense is included in general and administrative expense in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss). This is separate from MAP fees which are presented on their own line in Consolidated Statements of Operations and Comprehensive Income (Loss).

Inventories

Inventories consist of products to be sold and are stated at the lower of cost (first-in, first-out method) or net realizable value.

Property and Equipment

With the exception of land, which is not depreciated, property and equipment is stated at cost and is depreciated using the straight-line method over the estimated useful lives of the respective assets which are generally as follows: buildings (30 years) and building improvements (5-15 years), capped at the lesser of life of the leasehold improvements or remaining lease life; machinery, equipment, and vehicles (5-10 years); furniture and fixtures (5 years); and hardware and software (3 years). Additions, renewals, and betterments are capitalized; maintenance and repairs which do not extend the useful life of the asset are expensed as incurred.

Management evaluates long-lived assets used in operations for impairment when indicators of impairment are present. Impairment losses are recorded in the amount that carrying value exceeds fair market value when the undiscounted cash flows estimated to be generated by those assets are less than the carrying amount of the assets. No impairment losses for property and equipment were recorded for the year ended December 31, 2024.

Goodwill

Goodwill represents the excess of the consideration transferred over the fair value of the identifiable net assets acquired. The Company tests goodwill annually for impairment, or earlier if events or changes in circumstances indicate that impairment may exist. Management's impairment tests are generally performed as of October 1st annually. The Company's current goodwill balance resulted from the acquisition of the Company as of September 1, 2021, and from the Company's acquisitions in the successor period, as discussed in Note 1.

The Company performed a qualitative assessment of its goodwill as of October 1, 2024 and concluded that indicators of impairment existed for certain of its reporting units, based on trends

in financial performance. Therefore, the Company performed a quantitative assessment of its goodwill for certain reporting units with indicators of impairment by measuring the fair value using present value techniques including the income approach and the market approach. The Company's weighted average cost of capital declined slightly as well as projected positive operating performance of the reporting units resulted in a fair value that exceeded carrying value with no resulting impairment. A goodwill impairment expense of $417,591 was recorded in the year ended December 31, 2023, and none in 2024.

Intangible Assets

Intangible assets consist of tradenames, franchise relationships, national accounts, insurance company relationships, customer relationships, re-acquired franchise rights, developed technology, copyrights, and domain name, and are stated at their estimated fair value as of the date of acquisition, less subsequent amortization. The Company's intangible assets are definite lived, other than domain name, which is indefinite lived.

For definite lived intangible assets, when events or changes in circumstances indicate that the carrying amount of the asset may not be recoverable, the Company evaluates the definite lived intangible assets for impairment by comparing the carrying value to the anticipated future undiscounted cash flows expected to be generated from the use of the intangible assets. If the carrying amount is not recoverable, a loss is recorded in the amount the carrying value exceeds the fair market value of the assets. No impairment expense was recorded in the year ended December 31, 2024, and $10,695 was recorded in the year ended December 31, 2023.

Tradenames are amortized over their estimated useful life, which ranges from three years to 20 years, using the straight-line method. Franchise relationships, national accounts relationships, and insurance company relationships are amortized over their estimated useful lives of 15 years, using the straight-line method. Customer relationships are amortized over their estimated useful life of three to 10 years, using the straight-line method. Reacquired franchise rights are amortized over the remaining life of the reacquired agreements, between one to seven years, using the straight-line method. Copyrights are amortized over their estimated useful life of five years, using the straight-line method. Developed technology is amortized over their estimated useful life of three years, using the straight-line method.

Domain names are stated at their estimated fair value at the date of acquisition, and are not amortized, as their useful lives are considered indefinite, but are subject to annual impairment testing. The Company performed a qualitative assessment of its indefinite lived intangible assets as of October 1, of 2024 and 2023 and concluded it is not more likely than not that the fair value of its domain names is less than the carrying amount and, as such, a quantitative impairment test was not considered necessary.

Income Taxes

Deferred tax assets and liabilities are recognized for the estimated future tax consequences attributable to differences between the consolidated financial statement carrying amounts of assets and liabilities and their respective tax basis. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in tax expense in the period that includes the enactment date.

The Company establishes valuation allowances in accordance with the provisions of FASB ASC Topic 740, Income Taxes. The Company reviews the adequacy of any valuation allowance and recognizes tax benefits only when it is more likely than not that the benefits will be realized.

The Company measures, classifies, and discloses uncertain tax benefits in accordance with FASB ASC Topic 740-10, Income Taxes-Overall. The Company has elected to classify interest and penalties related to uncertain tax benefits as a component of income tax expense.

Equity-based Compensation

The Company accounts for equity-based compensation under FASB ASC Topic 718, Compensation-Stock Compensation. This pronouncement requires the measurement of all equity-based payments to employees using a fair-value-based method and the recording of such expense in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss). The Company participates in an equity-based employee compensation plan, which is described more fully in Note 5.

Foreign Currency Translation

Consolidated entities that have a functional currency that differs from the Company's reporting currency include our foreign subsidiaries, which are in Canada, the United Kingdom (the "UK"), Germany and Austria. Foreign currency denominated assets and liabilities are translated using the exchange rates at the end of each reporting period. Results of foreign operations are translated at the weighted average exchange rate for each reporting period. Translation adjustments are included as a component of accumulated other comprehensive income (loss) until realized. Where amounts denominated in a foreign currency are converted into US dollars by remittance or repayment, the realized exchange differences are included in the accompanying Consolidated Statements of Operations and Comprehensive Income (Loss), primarily in general and administrative expense, and was immaterial in all periods presented.

Cash and Restricted Cash

The Company considers all cash and highly liquid investments purchased with an initial maturity of three months or less to be cash or cash equivalents.

Cash consists primarily of cash on hand and cash on deposit. Restricted cash includes funds held for the MAP funds and securitized cash held for principal and interest payments on deposit related to the Securitization Transaction.

Cash and restricted cash consists of the following as of December 31,:

		2024		2023
Cash	**$**	**18,436**	$	43,416
Restricted Cash:				
Whole business securitization		**23,639**		21,903
MAP funds		**4,438**		6,733
Total cash and restricted cash	**$**	**46,513**	$	72,052

The Company maintains its cash in banks in which deposits may, from time to time, exceed federally insured limits. The Company has not experienced any losses in such accounts and believes that it is not exposed to any significant credit risks related to cash.

Fair Value of Financial Instruments and Non-financial Assets

In accordance with FASB ASC 820, Fair Value Measurements, certain assets and liabilities carried at fair value are categorized based on the level of judgment associated with the inputs used to measure their fair value. The standard establishes a hierarchy that prioritizes the inputs to valuation techniques used to measure fair value into three levels:

Level 1 - Inputs are unadjusted quoted market prices in active markets for identical assets or liabilities at the measurement date.

Level 2 - Inputs (other than quoted prices included in Level 1) are either directly or indirectly observable for the asset or liability through correlation with market data at the measurement date for the duration of the instrument's anticipated life.

Level 3 - Inputs are unobservable and therefore reflect management's best estimate of the assumptions that market participants would use in pricing the asset or liability.

The tradenames, systems in place, and developed technology were valued using the relief from royalty method and the franchise relationships, customer relationships, national account relationships, and insurance company relationships were valued using the multi-period excess earnings method in the periods acquired, except for those tradenames remeasured in 2023 as a result of impairment testing as discussed above. Rollover equity was valued using a combination of Level 2 observable inputs including EBITDA multiples and comparable public company as well as discounted cash flow analysis of future projections in the period issued. The future projections and estimates used to fair value the assets acquired in acquisitions, as well as those used in our long-lived asset and goodwill impairment testing, are considered Level 3 inputs.

3. Debt Agreements

Through its wholly owned subsidiary, Neighborly Issuer LLC (the "Issuer"), the Company entered into the Securitization Transaction which was completed on March 25, 2021. In conjunction with the Securitization Transaction, the Issuer issued $800,000 Series 2021-1 3.584% Fixed Rate Senior Secured Notes (the "Series 2021-1 Senior Notes"). The Series 2021-1 Senior Notes have an anticipated repayment date of April 30, 2028, and a final maturity date of April 30, 2051. Scheduled principal payments of $2,000 and interest are paid quarterly. As of December 31, 2024 and 2023, the Series 2021-1 Senior Notes had $772,000 and $780,000 outstanding, respectively.

Additionally, the Securitization Transaction provided for a $10,000 variable rate Delayed Draw Class A-1-LR Senior Note ("Series 2021-1 Class A-1 Notes"), with a final maturity date of April 30, 2051, which is only available for limited purposes and may not be drawn by the Issuer. Interest on draws is paid weekly at the Secured Overnight Financing Rate (SOFR) plus 300 basis points. As of December 31, 2024 and 2023, no borrowings had been made on the Series 2021-1 Class A-1 Notes.

The Securitization Transaction also provided for a $30,000 variable rate Class A-1-VFN Senior Note (the "2021 VFN facility"), with a maturity date of April 30, 2026, and two one-year extension options. Interest on borrowings is paid quarterly at SOFR, plus 266 basis points. As of December 31, 2024, $8,000 of borrowings were outstanding on the 2021 VFN facility and availability was $5,050.

For the year ended December 31, 2023, the Company had no borrowings on the facility and availability was $13,050. Issued and undrawn letters of credit under the VFN facility were $16,950 as of December 31, 2024 and 2023. Undrawn letters of credit under the VFN facility incur interest at a rate of 2.66%, which is payable quarterly. The Company considered the upcoming maturity of the 2021 VFN Facility and concluded it has the unilateral ability to extend the maturity date to April 2027, if certain conditions are met. The Company evaluated the conditions precedent and concluded they will be met throughout 2025; therefore, the Company will have the unilateral ability to extend and intends to execute the extension prior to the initial maturity date of April 30, 2026.

On January 19, 2022, the Company, through the Issuer, issued $410,000 Series 2022-1 3.695% Fixed Rate Senior Secured Notes (the "Series 2022-1 Senior Notes") through a second whole business securitization transaction (the "Second Securitization Transaction"). The Series 2022-1 Senior Notes have an anticipated repayment date of January 30, 2029, and a final maturity date of January 30, 2052. Scheduled principal payments of $1,025 and interest are paid quarterly. As of December 31, 2024 and 2023, $398,725 and $402,825 was outstanding on the Series 2022-1 Senior Notes, respectively.

Additionally, the Second Securitization Transaction provided for a $4,000 variable rate Delayed Draw Class A-1-LR Senior Note (the "Series 2022-1 Class A-1 Notes"), with a final maturity date of January 30, 2052, which is only available for limited purposes and may not be drawn by the Issuer. Interest on draws is paid weekly at a rate equal to Prime plus 300 basis points. As of December 31, 2024 and 2023, no draws had been made on the Series 2022-1 Class A-1 Notes.

In conjunction with the Second Securitization Transaction, $10,353 in transaction fees were capitalized as deferred financing costs to be amortized over the anticipated term of the notes using the straight-line method, which material approximates the effective interest rate method. For the years ended December 31, 2024 and 2023, respectively, a total of $1,494 and $1,510 of previously capitalized deferred financing costs related to the Second Securitization Transaction were amortized to interest expense on the Consolidated Statements of Operations and Comprehensive Income (Loss).

On February 3, 2023, the Company, through its indirect, wholly owned subsidiary, Neighborly Issuer LLC, issued $275,000 Series 2023-1 7.308% Fixed Rate Senior Secured Notes (the "Series 2023-1 Senior Notes") through a third whole business securitization transaction (the "Third Securitization Transaction"). The Series 2023-1 Senior Notes have an anticipated repayment date of January 30, 2028, and a final maturity date of January 30, 2053. Scheduled principal payments of $687 and interest are paid quarterly. As of December 31, 2024 and 2023, $270,188 and $272,938 was outstanding on the Series 2023-1 Senior Notes, respectively.

Additionally, the Third Securitization Transaction provided for a $5,025 variable rate Delayed Draw Class A-1-LR Senior Note (the "Series 2023-1 Class A-1 Notes"), with a final maturity date of January 30, 2053, which is only available for limited purposes and may not be drawn by the Issuer. On December 11, 2024, the Series 2023-1 Class A-1 Notes maturity date was amended to change to January 30, 2055. Interest on draws is paid weekly at a rate equal to SOFR plus 300 basis points. As of December 31, 2024, no draws had been made on the Series 2023-1 Class A-1 Notes.

The Third Securitization Transaction also provided for a $125,000 variable rate Class A-1-VFN Senior Note (the "2023 VFN facility"), with a maturity date of January 30, 2026, with two one-year extension options. Interest on borrowings is paid quarterly at SOFR, plus 350 basis points. As of December 31, 2024, the Company had borrowings outstanding of $75,000 on the 2023 VFN facility

and had $50,000 of availability. As of December 31, 2023, borrowings outstanding on the 2023 VFN facility were $25,000, and availability was $100,000. The Company considered the upcoming maturity of the 2023 VFN Facility and concluded it has the unilateral ability to extend the maturity date to January 2027, if certain conditions are met. The Company evaluated the conditions precedent and concluded they will be met throughout 2025; therefore, the Company will have the unilateral ability to extend and intends to execute the extension prior to the initial maturity date of January 30, 2026.

In conjunction with the Third Securitization Transaction, $14,177 in transaction fees were capitalized as deferred financing costs, to be amortized over the anticipated term of the notes using the effective interest method. For the years ended December 31, 2024 and 2023, $2,868 and $2,654 of previously capitalized deferred financing costs related to the Third Securitization Transaction were amortized to interest expense on the Consolidated Statements of Operations and Comprehensive Income (Loss), respectively.

On December 11, 2024, the Company, through its indirect, wholly owned subsidiary, Neighborly Issuer LLC, entered into a $75,000 variable rate Class A-1-VFN Senior Note (the "2024 VFN Facility") through a fourth whole business securitization transaction (the "Fourth Securitization Transaction"). The 2024 VFN Facility has an anticipated repayment date of January 30, 2030 with two one-year extension options. Interest on borrowings is paid quarterly at SOFR, plus 240 basis points. As of December 31, 2024, borrowings outstanding on the 2024 VFN facility were $75,000, and no availability.

In conjunction with the Fourth Securitization Transaction in 2024, $3,241 in transaction fees were capitalized as deferred financing costs in 2024, to be amortized over the anticipated term of the notes on a straight line basis which approximates the effective method. Amortization was negligible in 2024.

The Series 2023-1 Senior Notes and the 2024 VFN Facility issued in conjunction with the securitization transaction are secured by substantially all assets of the Securitization Entities and guaranteed by the Securitization Entities. Proceeds were distributed to Neighborly's parent company to extinguish debt incurred by the parent to fund the Company's acquisitions.

The Series 2021-1 Senior Notes, the Series 2022-1 Senior Notes, the Series 2023-1 Senior Notes, the Series 2021-1 Class A-1 Notes, the Series 2022-1 Class A-1 Notes, the Series 2023-1 Class A-1 Notes, and VFN facilities described above issued in conjunction with the Securitization Transaction, the Second Securitization Transaction, the Third Securitization Transaction and the Fourth Securitization Transaction (together, the "Securitization Transactions") are secured by substantially all assets of Neighborly Issuer LLC and the other Securitization Entities, and guaranteed by the Issuer and such Securitization Entities, each of which is a bankruptcy remote entity and which owned substantially all of the Company's US intellectual property including tradenames, franchise agreements, national account relationships and systems-in-place, as well as the UK tradenames as of the date of issuance. The restrictions placed on the Issuer and its subsidiaries require that interest and scheduled principal payments on the Series 2021-1 Senior Notes, Series 2022-1 Senior Notes, Series 2023-1 Senior Notes, the Series 2021-1 Class A-1 Notes, the Series 2022-1 Class A-1 Notes, and the Series 2023-1 Class A-1 Notes be paid prior to any residual distributions to the Manager, and amounts are segregated weekly to ensure appropriate funds are reserved to pay the quarterly interest and scheduled principal amounts due. The amount of weekly cash flow that exceeds all expenses and obligations of the Issuer and its subsidiaries is generally remitted to the Manager in

the form of a distribution. The Manager also receives a fee for the services it provides to the Securitization Entities that is senior to debt service. The Securitization Transactions require, among other things, maintenance of minimum debt-service coverage ratio levels and additional incurrence of indebtedness and scheduled amortization requirements are subject to compliance with maximum leverage ratio levels. As of December 31, 2024 and 2023, the Issuer was in compliance with all debt-service coverage covenants.

The Company's long-term debt and trade notes receivable bear interest at market rates. Thus, management believes their carrying amounts approximate fair value.

Debt consists of the following as of December 31:

	2024	2023
Series 2021-1 Senior Notes	**$ 772,000**	$ 780,000
Series 2022-1 Senior Notes	**398,725**	402,825
Series 2023-1 Senior Notes	**270,188**	272,938
2021 VFN Facility	**8,000**	-
2023 VFN Facility	**75,000**	25,000
2024 VFN Facility	**75,000**	-
Total carrying value of debt	**1,598,913**	1,480,763
Less: Deferred financing costs	**(17,752)**	(18,919)
Total net debt	**1,581,161**	1,461,844
Less: current portion	**(10,051)**	(10,488)
Long-term debt	**$ 1,571,110**	$ 1,451,356

Future maturities of long-term debt based on principal payments outstanding as of December 31, 2024, are as follows:

Years ending December 31,	
2025	$ 14,850
2026	14,850
2027	14,850
2028	754,850
2029	385,075
Thereafter	414,438
	$ 1,598,913

4. Intangible Assets and Goodwill

Intangible assets as of December 31, 2024, consisted of the following:

	Useful Life	Gross Amount	Accumulated Impairment	Accumulated Amortization	Net Amount
Tradenames	3-20 years	$ 996,297	$ 10,248	$ 158,895	$ 827,154
Franchise relationships	15 years	612,607	418	135,273	476,916
National accounts	15 years	3,248	148	624	2,476
Insurance company relationships	15 years	2,300	-	511	1,789
Customer relationships	3-10 years	17,834	-	7,612	10,222
Franchise rights	1-7 years	12,200	-	5,154	7,046
Developed technology	3 years	720	-	631	89
Copyrights	5 years	140	-	93	46
Total definite-lived intangibles		$ 1,645,347	$ 10,814	$ 308,793	$ 1,325,738

	Useful Life	Gross Amount	Accumulated Impairment	Net Amount
Domain name	Indefinite	$ 1,314	-	$ 1,314
Total indefinite-lived intangibles		$ 1,314	-	$ 1,314

Intangible assets as of December 31, 2023, consisted of the following:

	Useful Life	Gross Amount	Accumulated Impairment	Accumulated Amortization	Net Amount
Tradenames	3-20 years	$ 1,001,190	$ 10,248	$ 111,600	$ 879,342
Franchise relationships	15 years	613,289	418	94,631	518,240
National accounts	15 years	3,138	148	424	2,566
Insurance company relationships	15 years	2,300	-	358	1,942
Customer relationships	3-10 years	17,848	-	4,594	13,254
Franchise rights	1-7 years	12,200	-	3,495	8,705
Developed technology	3 years	720	-	436	284
Copyrights	5 years	143	-	66	77
Total definite-lived intangibles		$ 1,650,828	$ 10,814	$ 215,604	$ 1,424,410

	Useful Life	Gross Amount	Accumulated Impairment	Net Amount
Domain name	Indefinite	$ 1,314	-	$ 1,314
Total indefinite-lived intangibles		$ 1,314	-	$ 1,314

Amortization expense was $96,830 and $96,710 for the years ended December 31, 2024 and 2023, respectively. Estimated amortization expense for the subsequent five years is as follows:

Years ending December 31,	
2025	$ 95,561
2026	95,463
2027	94,618
2028	92,964
2029	91,718
Thereafter	855,410
	$ 1,325,738

Goodwill

The Company has assigned goodwill to its reporting units based on fair valuation analysis completed for the acquisition of the parent by KKR and from the Company's acquisitions on September 1, 2021, and any subsequent acquisitions.

The changes in the carrying amount of goodwill are as follows:

	December 31,	
	2024	2023
Balance at beginning of period	**$ 1,741,101**	$ 2,154,115
Adjustment to goodwill for unrealized gain/loss on foreign currency	**(1,922)**	4,577
Goodwill impairment	**-**	(417,591)
Balance at end of period	**$ 1,739,179**	$ 1,741,101

5. Equity-based Compensation

In September 2021, Nest Management LP, a co-investor with KKR, created a profits interest plan which provides for profits interest award grants of Nest Holdings LP and its subsidiaries. A total of 202,843,686 profits interests units were approved to be granted under the plan.

On October 27, 2021, and certain dates thereafter, Nest Management LP granted awards under the plan. The profits interests are exercisable only to the extent they are vested, and do not expire. Generally, vesting of a portion of the profits interests (50%) is subject to the passage of time; the remaining (50%) vest based on achievement of defined financial criteria upon a liquidity event of the Company. Based on continuous employment, time-based profits interest units vest 20% annually, for each of five years.

The Company accounts for equity-based compensation in accordance with ASC 718, Compensation-Stock Compensation, which requires the fair value of equity-based payments to be recognized in the consolidated statements as compensation expense over the requisite service period. For time-based awards, compensation expense is recognized on a straight-line basis, net of forfeitures which

are recognized as they occur, over the requisite service period for awards that actually vest. For performance-based awards, compensation expense is estimated based on

achievement of performance conditions and is recognized over the requisite service period for awards that actually vest. Equity-based compensation expense is recorded in the equity-based compensation line in the consolidated statements of operations.

The average grant date fair value of awards under the Nest Management LP profits interest plan was determined using Monte-Carlo simulation, and was $0.36 per unit for awards in the years ended December 31, 2024 and 2023, respectively. As of December 31, 2024 and 2023 no units were both vested and exercisable.

Equity-based compensation expense recorded for the years ended December 31, 2024 and 2023 was $3,130 and $4,194, respectively. As of December 31, 2024, unamortized stock compensation expense to be recognized in future years was $9,707.

	Number of Underlying Units
Outstanding – December 31, 2022	138,245,959
Granted	16,124,890
Forfeited	(32,158,970)
Redeemed	-
Outstanding – December 31, 2023	122,211,879
Granted	48,017,602
Forfeited	(36,223,635)
Redeemed	-
Outstanding – December 31, 2024	134,005,848
Vested and Exercisable – December 31, 2024	–

6. Trade Notes Receivable

The Company periodically receives notes from the sale of new franchises. The rights to the related franchise territory sold generally collateralize these notes. The Company also from time-to-time receives notes for delinquent franchise service fees. Such notes, as of December 31, 2024 and 2023, bear interest at rates typically ranging from 9% to 12% and generally require equal monthly installments over a life of one to ten years.

A summary of trade notes receivable as of December 31 is as follows:

	2024	2023
Amounts due within one year, net of allowance for credit losses of $1,167 and $464 as of December 31, 2024 and 2023, respectively	$ 7,776	$ 9,777
Amounts due after one year, net of allowance for credit losses of $2,105 and $2,155 as of December 31, 2024 and 2023, respectively	13,577	15,894
Total trade notes receivable, net	$ 21,353	$ 25,671

An analysis of the changes in trade notes receivable is as follows:

	Year Ended December 31, 2024	2023
Gross trade notes receivable, beginning of period	$ 28,290	$ 30,228
Principal payments received	(17,660)	(16,605)
Notes issued	14,978	15,243
Net write-offs	(946)	(574)
Foreign currency translation	(37)	(2)
Gross trade notes receivable, end of period	24,625	28,290
Allowance for credit losses	(3,272)	(2,619)
Net trade notes receivable, end of period	$ 21,353	$ 25,671

An analysis of the changes in the trade notes receivable allowance is as follows:

	Year Ended December 31, 2024	2023
Allowance, beginning of period	$ 2,619	$ 1,874
Provision for credit losses	1,600	1,303
Net write-offs	(946)	(574)
Foreign currency translation	(1)-	16
Allowance, end of period	$ 3,272	$ 2,619

Scheduled future maturities of trade notes receivable are as follows:

Years ending December 31,	
2025	$ 8,943
2026	5,208

2027	4,086
2028	2,957
2029	2,011
Thereafter	1,420
	$ 24,625

7. Property and Equipment

A summary of property and equipment as of December 31 is as follows:

	2024	2023
Land	$ 2,561	$ 1,720
Building and improvements	36,403	31,157
Machinery and equipment	10,690	8,843
Hardware	8,564	6,519
Software	54,907	40,940
Furniture and fixtures	2,033	4,234
Vehicles	12,151	9,428
Vehicles under financing lease	25,150	19,028
Total property and equipment	152,459	121,869
Less accumulated depreciation	(60,301)	(32,732)
Property and equipment – net	$ 92,158	$ 89,137

Depreciation expense was $26,846 and $20,219 for the years ended December 31, 2024 and 2023, respectively.

8. Leases

The Company's primary operating lease commitments consist of leases for office and retail space for its company-operated stores and corporate offices. The Company leases vehicles under financing lease agreements expiring at various dates through 2029.

We determine whether an agreement contains a lease at inception based on our right to obtain substantially all of the economic benefits from the use of the identified asset and the right to direct the use of the identified asset. The Company does not to recognize a right-of-use asset and a lease liability for leases with an initial term of twelve months or less. Lease liabilities represent the present value of future lease payments and the right-of-use (ROU) assets represent our right to use the underlying assets for the respective lease terms. The Company does not separate lease and non-lease components for new and modified leases after the adoption date, and instead accounts for each separate lease component of a contract and its associated non-lease components as a single lease component.

The operating lease liability is measured as the present value of the unpaid lease payments and the ROU asset is derived from the calculation of the operating lease liability. Other than for leased vehicles, our leases do not generally provide an implicit rate and we use our incremental borrowing rate as the discount rate to calculate the present value of lease payments. The incremental borrowing rate represents an estimate of the interest rate that would be required to borrow over a similar term, on a collateralized basis in a similar economic environment.

Rent escalations occurring during the term of the leases are included in the calculation of the future minimum lease payments and the rent expense related to these leases is recognized on a straight-line basis over the lease term. In addition to minimum lease payments, certain leases require payment of a proportionate share of real estate taxes and certain building operating expenses allocated on a percentage of sales in excess of a specified base. These variable lease costs are not included in the measurement of the ROU asset or lease liability due to unpredictability of the payment amount and are recorded as lease expense in the period incurred. The ROU asset is adjusted to account for previously recorded lease-related expenses such as deferred rent and other lease liabilities.

The components of lease cost are as follows (in thousands):

	December 31,	
	2024	**2023**
Operating lease cost	$ **7,149**	$ 7,855
Variable lease cost	**324**	272
Finance lease cost:		
Amortization of right-of-use assets	**7,849**	5,079
Interest on lease obligations	**1,088**	720
Total lease cost	$ **16,411**	$ 13,926

The table below presents additional information related to the Company's leases:

	December 31,	
	2024	**2023**
Weighted average remaining lease term (in years):		
Operating leases	**5.1**	5.2
Finance leases	**2.5**	3.2
Weighted average discount rate:		
Operating leases	**4.2%**	3.4%
Finance leases	**6.3%**	6.1%

Other information related to leases, including supplemental disclosures of cash flow information, is as follows (in thousands):

	For the Years Ended December 31, 2024	2023
Cash paid for amounts included in the measurement of lease liabilities:		
Operating cash flows from operating leases	**$ 7,359**	$ 7,857
Operating cash flows from finance leases	**861**	572
Financing cash flows from finance leases	**4,749**	3,455
Right-of-use assets obtained in exchange for operating lease liabilities	**1,876**	2,620

Maturities of lease liabilities are as follows as of December 31, 2024 (in thousands):

Years ending December 31,	Operating leases	Finance leases	Total
2025	$ 6,132	$ 6,692	$ 12,823
2026	5,057	6,941	11,998
2027	3,423	2,854	6,277
2028	2,902	1,134	4,035
2029	2,029	210	2,240
Thereafter	4,089	-	4,089
Total lease payments	$ 23,631	$ 17,831	$ 41,462
Less: Interest	2,591	1,612	4,203
Total lease liabilities	$ 21,040	$ 16,219	$ 37,258
Less: Current lease liabilities	5,401	5,941	11,342
Non-current lease liabilities	$ 15,639	$ 10,278	$ 25,917

Rent expense for operating leases was $7,149 for the year ended December 31, 2024. Total lease cost was $16,411 for the year ended December 31, 2024, including finance lease costs and variable lease costs. Rent expense for operating leases was $7,855 for the year ended December 31, 2023. Total lease cost was $13,926 for the year ended December 31, 2023, including finance lease costs and variable lease costs.

9. Income Taxes

The income tax benefit is as follows:

For the years ending December 31,	2024	2023
Current:		
Federal	$ 10,911	$ 16,845
State	2,002	2,958
Foreign	(202)	766
Total current	12,710	20,569
Deferred:		
Federal	(18,525)	(32,983)
State	(979)	(5,619)
Foreign	(1,147)	(5,757)
Total deferred	(20,651)	(44,359)
Total income tax benefit	$ (7,941)	$ (23,790)

A reconciliation of the income tax benefit at statutory rates to the income tax benefit at effective is as follows:

For the years ending December 31,	2024	2023
Federal income taxes at statutory rate	$ (9,882)	$ (97,180)
State taxes	602	(3,282)
Permanent differences	1,452	77,266
Foreign currency adjustment	6	55
Tax rate change	-	(258)
Deferred balance adjustment	63	1,653
Tradename sale to SPV	-	(914)
Other NOL	29	-
Payables adjustment	(1,581)	(1,130)
Other	1,370	-
Total income tax benefit	$ (7,941)	$ (23,790)

The Company's effective income tax rate is 16.87% and 5.14% for the years-ended December 31, 2024 and 2023, respectively. The Company's overall global effective income tax rate differs from the statutory US Federal income tax rate of 21.00% due to state income taxes and the state income

tax rate change applied to the Company's net US deferred tax liabilities, , and adjustments to the beginning of the tax period accounts.

The components of deferred income tax assets and liabilities as of December 31 are as follows:

		2024		2023
Deferred tax assets:				
Accounts receivable allowance	$	777	$	540
Accrued expenses		439		1,670
Notes receivable allowance		794		820
Net operating loss carryforwards		599		513
Interest expense limitation		43,200		32,083
Deferred revenue		15,342		13,850
Operating lease liability		4,669		6,569
Other		3,358		3,423
Total deferred tax assets		69,178		59,468
Deferred tax liabilities:				
Prepaid expenses		(1,052)		(562)
Property and equipment		(10,093)		(8,946)
Intangible assets and goodwill		(250,731)		(263,703)
Interest rate swap		(6)		(6)
Operating lease right-of use assets		(5,007)		(6,845)
Other		(1,927)		(186)
Total deferred tax liabilities		(268,816)		(280,248)
Net deferred tax liabilities	$	(199,638)	$	(220,780)

For the periods ended December 31, 2024 and 2023, no change was recorded for uncertain tax provisions, and the balance was ($641). As of December 31, 2024, no interest or penalty has been accrued or recognized by the Company related to ASC 740-10 Income Taxes.

The Company reported net operating losses in the following jurisdictions as of December 31:

Jurisdiction		**2024**		2022	Expiration
US Federal	**$**	**-**	$	-	Indefinite
US State		**17,100**		17,085	Various
United Kingdom		**-**		-	Indefinite
Germany		**-**		-	Indefinite
Austria		**-**		-	Indefinite
Canada		**-**		91	20 Years
Total	**$**	**17,100**	$	17,176	

The Company files a US consolidated federal income tax return for Nest Holdings, Inc. and Subsidiaries which includes Neighborly Company. State returns are filed on either a separate company or consolidated return basis. The company also files separate returns where required for the various LLC entities. The Company's subsidiaries file income tax returns in Canada, Germany, the UK and Austria.

The Company files US state income tax returns in nearly every state in the US. Many of the state return filings reflect net operating loss carryovers computed on a post-apportionment basis, while several states compute operating loss carryovers on a pre-apportionment basis. The US state income tax effect of the net operating loss carryforwards, net of federal income tax, amounted to $1,048 and $938 at December 31, 2024 and 2023, respectively. The state net operating losses have varying carryover periods. The Company expects to fully utilize all net operating loss carryovers prior to expiration.

The Company has no current or pending IRS examinations. US Federal income tax returns for years ended August 31, 2021, December 31, 2021, December 31, 2022, and December 31, 2023 remain open for examination. State income tax returns remain open for similar years, and several states having a longer statute remain open for examination. The Company has timely filed all federal and state income tax returns.

The UK entities have no prior or pending tax examinations with HMRC. The UK corporation tax process is one of self-assessment. Following filing of the tax return, HMRC has a period of (usually) 12 months in which to raise formal inquiries. These can range from simple information requests to detailed technical challenges over treatments adopted in the tax return. HMRC has made no requests. The December 31, 2023, corporate tax returns remain open for examination. The UK entities have timely filed all corporate income tax returns.

The German entities are currently under review by the BZSt. The statute of limitations for examination is four (4) years from the end of the year in which the return was filed. Tax returns for years ended December 31, 2020, and forward remain open for examination. The German entities have timely filed all corporate income tax returns.

The US and foreign entities operate under transfer pricing agreements that control the pricing of intercompany management services, interest and royalties.

The Company has both the intent and ability to reinvest foreign earnings, therefore deferred tax liabilities have not been recorded on either unremitted earnings, components of other comprehensive income, or applicable foreign withholding taxes.

10. Related Party Transactions

On September 1, 2021, a Monitoring Agreement was entered into with Kohlberg Kravis Roberts & Co and Harvest Partners under which the Company will pay certain fees and expenses under the terms of the Monitoring Agreement. For the years ended December 31, 2024 and 2023, the Company recognized management and board fees and expenses of $3,641 and $4,638, respectively, in the Management and board fees and expenses line item in the Company's consolidated statements of operations. Additionally, the Company paid $750 to a related party in the year ended December 31, 2024 for services related to the 2024 VFN Facility. These costs are included in general and administrative expenses on the Consolidated Statement of Operations.

11. Contingencies

The Company is engaged in various legal proceedings incidental to its normal business activities. Management has determined that it is not probable that the Company has incurred any loss contingencies as defined in FASB ASC Topic 450, Contingencies. Accordingly, no liabilities have been accrued for these matters as of December 31, 2024 and 2023. Management believes that the outcome of such matters will not have a material effect on the Company's consolidated financial statements.

12. Employee Benefit Plan

The Company sponsors a 401(k) plan covering the majority of its employees. Plan participants may contribute up to 70% (subject to Internal Revenue Service limitations) of their annual compensation before taxes for investment in several specified alternatives. Employees are fully vested with respect to their contributions. The Company may match a percentage of employee contributions as determined at the discretion of the Board of Directors. Company contributions recognized totaled $2,939 and $2,599 for the years ended December 31, 2024, and 2023, respectively.

13. Subsequent Events

In preparation of its financial statements, the Company considered subsequent events through March 31, 2024, which was the date the Company's financial statements were available to be issued.

EXHIBIT D

PARENT GUARANTEE

GUARANTEE OF PERFORMANCE

For value received, NEIGHBORLY ASSETCO LLC, a Delaware limited liability company (the "Guarantor"), located at 1010 North University Parks Drive, Waco, Texas 76707, absolutely and unconditionally guarantees to assume the duties and obligations of **LAWN PRIDE SPV LLC**, a Delaware limited liability company, located at 1010 North University Parks Drive, Waco, Texas 76707 (the "Franchisor"), under its franchise registration in each state where the franchise is registered, and under its Franchise Agreement identified in its 2026 Franchise Disclosure Document, as it may be amended, and as that Franchise Agreement may be entered into with franchisees and amended, modified or extended from time to time. This guarantee continues until all such obligations of the Franchisor under its franchise registrations and the Franchise Agreement are satisfied or until the liability of Franchisor to its franchisees under the Franchise Agreement has been completely discharged, whichever first occurs. The Guarantor is not discharged from liability if a claim by a franchisee against the Franchisor remains outstanding. Notice of acceptance is waived. The Guarantor does not waive receipt of notice of default on the part of the Franchisor. This guarantee is binding on the Guarantor and its successors and assigns.

The Guarantor signs this guarantee at Waco, Texas on the 1st day of April, 2026.

Guarantor: NEIGHBORLY ASSETCO LLC

By: Malia Gelfo

Malia Gelfo, SVP, Corporate Controller

EXHIBIT E-1

LIST OF FRANCHISEES
(As of December 31, 2025)

Note: This list is arranged alphabetically by state and then alphabetically by cities in each state.

State	Owner Name(s)	Address	City	State Abbr	Postal Code	Office Phone
Alabama	Tanner II, Robert Thomas: Franchisee, Florence, AL - LAPAL001: NSSW Management, LLC	320 South Holston Rd.	Muscle Shoals	AL	35660	(256) 287-4128
Alabama	Tanner, Robert Thomas: Franchisee, Muscle Shoals, AL - LAPAL008A: NSSW Management, LLC	320 S Holston Rd	Muscle Shoals	AL	35660	(256) 787-0771
Alabama	Tanner II, Robert Thomas: Franchisee, Ownes Crossroads, AL - LAPAL003A: NSSW Management, LLC	240 Glover Road	Owens Crossroads	AL	35763	(256) 793-0073
Arkansas	Tacito, Channin Austin: Franchisee, Fayetteville, AR - LAPAR046	2251 Absolute Street	Fayetteville	AR	72701	(479) 210-2252
Georgia	Visco, Nicholas James: Franchisee, Savannah, GA - LAPGA012: Coastal Lawn Fertilization LLC	2 Oakmont Road	Savannah	GA	31419	(912) 736-2008
Indiana	Guillot, Peter Gerard: Franchisee, Carmel, IN - LAPIN043: MercyWay, Inc.	705 Greenford Trl N	Carmel	IN	46032	(317) 561-5367
Michigan	Wilker, Michael Daniel: Franchisee, West Bloomfield, MI - LAPMI017: Cart Viking LLC	2070 Daintree	West Bloomfield	MI	48323	(248) 419-5658
New York	Hall, Luke Edward: Franchisee, Islip, NY - LAPNY007: Island X Inc.	7 West Cedar Street	Islip	NY	11751	(631) 908-5022
North Carolina	Balzer II, Brian Bruce: Franchisee, Charlotte, NC - LAPNC004: Motiv Group, LLC	3926 Miriam Drive	Charlotte	NC	28205	(704) 209-9671
North Carolina	Walsh III, James Joseph: Franchisee, Charlotte, NC - LAPNC013	10721 John Price Road Unit 170	Charlotte	NC	28273	(704) 520-8242
North Carolina	Holcombe Jr., Robert Andrew: Franchisee, Mount	741 Deerfield Dr.	Mount Holly	NC	28120	(801) 318-0996

State	Owner Name(s)	Address	City	State Abbr	Postal Code	Office Phone
	Holly, NC - LAPNC042: The Grass is Greener, LLC					
North Carolina	Elfaysal, Hassan Marwan and Elfaysal, Lori: Franchisee, Raleigh, NC - LAPNC016: Elf Ventures LLC	3709 Rock Creek Drive	Raleigh	NC	27609	(984) 205-0849
North Carolina	Grassi, Phillip Nelson: Franchisee, Raleigh, NC - LAPNC038: NERLP LLC	7249 Manor Oaks Drive	Raleigh	NC	27614	(919) 897-7362
Oklahoma	Bussey, Jason Lee: Franchisee, Bartlesville, OK - LAPOK018	2612 SE Quail Place	Bartlesville	OK	74006	(918) 309-6558
South Carlina	Walsh III, James Joseph: Franchisee, Charlotte, NC - LAPSC019	10721 John Price Road, Unit 170	Charlotte	NC	28273	(704) 520-8242
South Carlina	Crouch, George McAlpin: Franchisee, Columbia, SC - LAPSC036	3021 McNaughton Drive, Suite #9	Columbia	SC	29223	(803) 258-0981
South Carlina	Crouch, George Mcalpin: Franchisee, Columbia, SC - LAPSC037	3021 McNaughton Drive, Suite #9	Columbia	SC	29223	(803) 258-0981
South Carlina	Yarusinsky, John Thomas: Franchisee, Taylors, SC - LAPSC040	20 Broad Vista Blvd	Taylors	SC	29687	(864) 525-8275
South Carlina	Yarusinsky, John Thomas: Franchisee, Taylors, SC - LAPSC041	20 Broad Vista Blvd	Taylors	SC	29687	(864) 525-8275
Tennessee	Thompson, Richard William: Franchisee, Brentwood, TN - LAPTN010	1413 Bunker Hill Road	Brentwood	TN	37027	(615) 610-3141
Tennessee	Thompson, Richard William: Franchisee, Brentwood, TN - LAPTN011: Blue Honeysuckle, LLC	1413 Bunker Hill Road	Brentwood	TN	37027	(615) 610-3141
Tennessee	Joseph, Jessil: Franchisee, Chattanooga, TN - LAPTN006: FAA Olluatil LLC	9212 Rocky Cove Drive	Chattanooga	TN	37421	(423) 417-1045
Tennessee	Hunley, Jeremy Lynn: Franchisee, Lebanon, TN - LAPTN020: L&M Ventures, LLC	130 Waters Hill Circle	Lebanon	TN	37087	(615) 879-2348
Tennessee	Hunley, Jeremy Lynn: Franchisee, Lebanon, TN - LAPTN039: L&M Venutures, LLC	130 Waters Hill Circle	Lebanon	TN	37087	(615) 879-2348

State	Owner Name(s)	Address	City	State Abbr	Postal Code	Office Phone
Tennessee	Standen, Shawn Michael: Franchisee, Nashville, TN - LAPTN009: StanLee Ventures, Inc.	6218 A Robertson Avenue	Nashville	TN	37209	(833) 638-3757
Texas	Hicks, Travis and Reed, Travis: Franchisee, Friendswood, TX - LAPTX002	4105 FM 2351	Friendswood	TX	77546	(713) 469-3333
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX015	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX023	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX024	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX025	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX026	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX027	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX028	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Nash, Christian Ramon: Franchisee, Houston, TX - LAPTX029	13531 Perry Road	Houston	TX	77070	(281) 763-2281
Texas	Martin, Christopher Aaron: Franchisee, Nevada, TX - LAPTX021: WAMOJB, Incorporated	705 Private Road 5939	Lavon	TX	75166	(469) 653-2912
Texas	Booker, Michael Allen: Franchisee, Prosper, TX - LAPTX047	800 Moorland Pass Dr.	Prosper	TX	75078	(469) 340-4431
Texas	Nash, Christian Ramon: Franchisee, San Antonio, TX - LAPTX030	6600 Randolph Blvd	San Antonio	TX	78233	(726) 237-3210
Texas	Nash, Christian Ramon: Franchisee, San Antonio, TX - LAPTX031	6600 Randolph Blvd	San Antonio	TX	78233	(726) 237-3210
Texas	Nash, Christian Ramon: Franchisee, San Antonio, TX - LAPTX032	6600 Randolph Blvd	San Antonio	TX	78233	(726) 237-3210

State	Owner Name(s)	Address	City	State Abbr	Postal Code	Office Phone
Texas	Nash, Christian Ramon: Franchisee, San Antonio, TX - LAPTX033	6600 Randolph Blvd	San Antonio	TX	78233	(726) 237-3210
Texas	Nash, Christian Ramon: San Antonio, TX - LAPTX014	6600 Randolph Blvd	San Antonio	TX	78233	(726) 237-3210
Virginia	Androvic, Alessandra: Franchisee, Falls Church, VA - LAPVA034: Ale-Ventures LLC	6639 Osborn St.	Falls Church	VA	22046	(703) 468-0164

[The remainder of this page was intentionally left blank.]

EXHIBIT E-2

FRANCHISEES IN THE UNITED STATES WHO HAVE SIGNED A FRANCHISE AGREEMENT BUT ARE NOT YET OPERATIONAL AS OF DECEMBER 31, 2025

Note: This list is arranged alphabetically by state and then alphabetically by cities in each state.

State	Owner Name(s)	Address	City	State	Postal Code	Office Phone
Indiana	Guillot, Peter Gerard: Franchisee, Carmel, IN - LAPIN044: MercyWay, Inc.	705 Greenford Trl N	Carmel	IN	46032	(317) 797-2244
Indiana	Guillot, Peter Gerard: Franchisee, Carmel, IN - LAPIN045: MercyWay, Inc.	705 Greenford Trl N	Carmel	IN	46032	(317) 797-2244
Nebraska	Scheet, Kelley and Kingston, John: Franchisee, Lincoln, NE - LAPNE048	3740 Williamsburg Drive	Lincoln	NE	68516	(402) 405-1778
Texas	Holmes, Richard and Johnson, Lewis: Franchisee, West Lake Hills, TX - LAPTX049	3736 Bee Caves Road #1	West Lake Hills	TX	78746	(737) 781-0544

EXHIBIT E-3

COMPANY OWNED BUSINESSES (As of December 31, 2025)

Note: This list is arranged alphabetically by state and then alphabetically by cities in each state.

State	Number of Units	Franchisee / Principal Owner(s)	Address	City, State, Zip	Office Phone
Indiana	1	Lawn Pride, LLC	7740 Johnson Road	Indianapolis, IN 46250	(317) 664-1990
Indiana	1	Lawn Pride, LLC	7740 Johnson Road	Indianapolis, IN 46250	(317) 664-1990

EXHIBIT F

FRANCHISEES IN THE UNITED STATES WHO LEFT THE SYSTEM IN THE PAST 12 MONTHS AS OF DECEMBER 31, 2025

Note: This list is arranged alphabetically by state and then alphabetically by cities in each state.
**Indicates franchisee left the system as a result of transferring their franchise agreement.*

State	Owner Name(s)	Address	City	State Abbr	Postal Code	Office Phone
Alabama*	Winkle, Ashley Ott: LAPAL008: Gunbriga Inc.	90 Eugenia Drive	Killen	AL	35645	(256) 810-8100
Alabama*	Long, Matthew Lawson: LAPAL003	240 Glover Road	Owens Crossroads	AL	35763	(256) 302-0298
South Carolina	Schoot, Benjamin andSchoot, Stephanie: Franchisee, Myrtle Beach, SC - LAPSC005	604 Chamberlin Road	Myrtle Beach	SC	39588	(843) 446-5446

[The remainder of this page was intentionally left blank.]

EXHIBIT F-1

OPTION TO PURCHASE AGREEMENT

This OPTION TO PURCHASE AGREEMENT (the "Option") is entered into as of _____ (the "Effective Date") by and between LAWN PRIDE SPV LLC, a Delaware limited liability company, located at 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor"), and _____, a _____ having an address of _____ ("Franchisee").

WHEREAS, Franchisor and Franchisee have contemporaneously herewith entered into a Franchise Agreement (the "Agreement") pursuant to which Franchisor granted Franchisee a license to use the Marks and the System to operate a Lawn Pride® franchise in a specified geographical area more fully described in the Agreement (the "Territory"), and Franchisee desires and Franchisor is willing to grant Franchisee an Option to acquire the territory described on Exhibit "A" hereto (the "Additional Territory").

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

1. Franchisor acknowledges that Franchisee has paid Franchisor the non-refundable sum of $_____ (the "Deposit"), which shall be credited toward the initial franchise fee of $_____ for the Additional Territory (the "Initial Franchise Fee") upon Franchisee's exercise of this Option.

2. Franchisee is hereby granted an Option, for a period of eighteen (18) months from the Effective Date (the "Option Period"), to acquire the rights to the Additional Territory so long as the foregoing conditions are fulfilled:

a. Franchisee must be in compliance with the Agreement during the Option Period in order to exercise its Option hereunder. All rights created hereunder shall terminate should Franchisee at any time be in material breach of the Agreement.

b. Franchisee may exercise this Option at any time during the Option Period by notifying Franchisor in writing of Franchisee's intent to purchase the Additional Territory (if Franchisee does not notify Franchisor by the end of the Option Period, this Option will expire and the consideration paid will be forfeited).

c. Franchisee must meet Franchisor's then-current qualifications for expansion.

d. Franchisor will deliver to Franchisee a franchise agreement for the grant of the Additional Territory (or an amendment to the Agreement adding the Additional Territory, as determined by Franchisor) within 30 business days after receipt of Franchisee's notice.

e. Franchisee shall sign and return the franchise agreement (or amendment, as the case may be) and pay the Initial Franchise Fee (minus the Deposit) within the time specified by Franchisor.

3. Nothing in this Option shall be construed to grant Franchisee any rights to the Additional Territory. During the Option Period, if Franchisor permits Franchisee to provide services in the Additional Territory, Franchisee agrees and acknowledges that it will be subject to competition in the Additional Territory from other franchisees.

Signed this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of this _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

LAWN PRIDE SPV LLC

BY:_____

EXHIBIT A
TO THE OPTION TO PURCHASE AGREEMENT

Additional Territory Description	[*INSERT TERRITORY DESCRIPTION*] **Areas with Special Laws or Requirements:** To the extent any portion of the Territory includes an area designated as an Indian Reserve, a governmental territory or other territory that may have separate or additional laws, regulations or other requirements for performing work in such territory, Franchisee is granted such territory only to the extent and for so long as Franchisee is qualified under such separate or additional requirements to perform work in such territory; knowledge of and compliance with such requirements being the sole responsibility of Franchisee.

EXHIBIT F-2

OPTION AGREEMENT TO PURCHASE A LAWN PRIDE FRANCHISE

This OPTION AGREEMENT TO PURCHASE A LAWN PRIDE FRANCHISE is entered into as of _____ (the "Effective Date") by and between LAWN PRIDE SPV LLC, a Delaware limited liability company, located at 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor"), and _____, a _____ having an address of _____ ("Prospect" or "You").

WHEREAS, The Grounds Guys SPV LLC as successor-in-interest to The Grounds Guys LLC ("TGG") and/or Mosquito Joe SPV LLC as successor-in-interest to Mosquito Joe LLC ("MOJO"), and You previously entered into a The Grounds Guy® and/or a Mosquito Joe® Franchise Agreement dated _____ (the "TGG Agreement" and/or the "MOJO Agreement") pursuant to which TGG and/or MOJO granted You a license to use the The Grounds Guys and/or Mosquito Joe trademarks and system to operate a The Grounds Guy® and/or Mosquito Joe® franchise in a specified geographical area more fully described in the TGG Agreement and/or the MOJO Agreement and also described on Exhibit "A" hereto (the "Territory"); and

WHEREAS, Prospect desires and Franchisor is willing to grant Prospect an option (the "Lawn Pride Option") to acquire a Lawn Pride franchise for the Territory, upon the terms and conditions set forth herein.

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

1. Franchisor acknowledges that Prospect has paid Franchisor the non-refundable sum of $_____("Deposit"), which will be credited toward the initial franchise fee of $_____ for the Lawn Pride franchise upon Prospect's exercise of the Lawn Pride Option.

2. Prospect is hereby granted the option, for a period of eighteen (18) months from the Effective Date (the "Option Period"), to acquire the rights to operate a Lawn Pride franchised business in the Territory so long as the foregoing conditions are fulfilled:

a. Prospect must be in compliance with the TGG Agreement and/or the MOJO Agreement (as determined by Franchisor) during the Option Period in order to exercise the Lawn Pride Option hereunder. All rights created hereunder will terminate if Prospect at any time during the Option Period is in breach of the TGG Agreement and/or the MOJO Agreement.

b. Prospect may exercise this Lawn Pride Option at any time during the Option Period by notifying Franchisor in writing of Prospect's intent to purchase the Lawn Pride franchise for the Territory (if Prospect does not notify Franchisor by the end of the Option Period, this Lawn Pride Option will expire and the Deposit paid will be forfeited).

c. Prospect must meet Franchisor's then-current qualifications to purchase the Lawn Pride franchise for the Territory.

d. Within 30 business days after receipt of Prospect's notice, Franchisor will deliver to Prospect a Lawn Pride franchise agreement for the grant of the Lawn Pride franchise for the Territory.

e. Prospect shall sign and return the Lawn Pride franchise agreement and pay the initial fees due thereunder, minus the Deposit, within the time specified by Franchisor.

3. Nothing herein shall be construed to grant Prospect any rights to a Lawn Pride franchise.

4. If Prospect does not exercise the Lawn Pride Option during the Option Period, Prospect acknowledges and understands that upon expiration of the Option Period, Franchisor has the right to operate a Lawn Pride business (including through an affiliate) or grant to a third party the right to operate a Lawn Pride business in the Territory.

[Signature Page Follows]

Signed this _____ day of _____, 20__.

PROSPECT:

_____
_____, individually

Accepted as of this _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

LAWN PRIDE SPV LLC

BY:_____

EXHIBIT A
TO THE OPTION AGREEMENT TO PURCHASE A LAWN PRIDE FRANCHISE

Additional Territory Description	[*INSERT TERRITORY DESCRIPTION*] **Areas with Special Laws or Requirements:** To the extent any portion of the Territory includes an area designated as an Indian Reserve, a governmental territory or other territory that may have separate or additional laws, regulations or other requirements for performing work in such territory, Prospect is granted such territory only to the extent and for so long as Prospect is qualified under such separate or additional requirements to perform work in such territory; knowledge of and compliance with such requirements being the sole responsibility of Prospect.

EXHIBIT G

RENEWAL ADDENDUM WITH TERMINATION OF ORIGINAL FRANCHISE AGREEMENT AND RELEASE

This RENEWAL ADDENDUM WITH TERMINATION OF FRANCHISE AGREEMENT AND RELEASE (this "Addendum") is entered into by and between LAWN PRIDE SPV LLC, a Delaware limited liability company having a principal place of business at 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor"), and _____, individually, having an address of _____ ("Franchisee").

WHEREAS, Franchisor and Franchisee have entered into a franchise agreement dated as of ___ pursuant to which Franchisor has granted Franchisee a right and obligation to establish and operate a Lawn Pride® franchise using the Marks and the System in and for the Territory (the "Original Franchise Agreement"); and

WHEREAS, on the terms set forth below, Franchisor and Franchisee desire to terminate and cancel the Original Franchise Agreement; and

WHEREAS, Franchisor and Franchisee have contemporaneously herewith entered into a franchise agreement pursuant to which Franchisor has granted Franchisee a renewal license, granting Franchisee the right and obligation to continue operation of the franchise using the Marks and the System in and for the Territory (the "Agreement"); and

[WHEREAS, Franchisee acknowledges and agrees that Franchisee's execution of the Agreement is pursuant to Franchisee's last renewal option under the Original Franchise Agreement and Franchisee has no further rights of renewal; and]

WHEREAS, the parties have agreed to alter the terms stated in the Agreement, as provided herein to reflect the parties' intentions and the terms of renewal stated in the Original Franchise Agreement.

NOW, THEREFORE, that for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

1. The Original Franchise Agreement is hereby terminated by mutual agreement, except for Franchisee's indemnification obligations thereunder.

2. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified specifically herein.

3. Franchisee agrees that the renewal fee will be collected via electronic ACH from Franchisee's bank account at signing of the Agreement, and Franchisee hereby represents and warrants to Franchisor that all necessary action for the execution of this Addendum has been taken.

4. If Franchisee is executing the Agreement at least 60 days prior to the expiration date of the then-current term of the Original Franchise Agreement (such expiration date, the "Original FA Expiration Date"), then Section 4.A, Term, of the Agreement is hereby amended so that the term of the Agreement is the time period from the Effective Date of the Agreement until the Original FA Expiration

Date, plus 10 years. (For example, if the Agreement was signed 12 months before the Original Franchise Agreement expires, the term of the Agreement would be 11 years).

[Because Franchisee is hereby exercising its last renewal option under the Original Franchise Agreement, Section 4.B (Renewal Term and Conditions of Renewal) of the Original Franchise Agreement is hereby deleted.]

5. Section 8.A, Initial License Fee, is amended to provide that no initial franchise fee shall be due upon execution of the Agreement.

6. Section 8.B, License Fee, is amended to provide that Franchisee must report and pay a weekly License Fee beginning the 1st week of the Agreement at the rate stated in the Agreement, unless one of the provisions below applies:

☐ Franchisee has executed the Agreement at least 60 days prior to the Original FA Expiration Date. Accordingly, the License Fees and MAP Fees as set forth in the Original Franchise Agreement shall continue to apply under the Agreement until the Original FA Expiration Date, and thereafter the License Fees and MAP Fees set forth in the Agreement shall apply.

If any of the provisions above is selected and, at any time, Franchisee is not in compliance with the terms of the Agreement, Franchisor may immediately increase Franchisee's License Fee up to Franchisor's standard license fee at the time of renewal.

7. Franchisee, for itself and each of its past and present heirs, executors, administrators, representatives, affiliates, directors, officers, owners, successors and assigns and on behalf of any other party claiming an interest through Franchisee, in their corporate and individual capacities (collectively "Releasor"), hereby releases and forever discharges Franchisor and each of its predecessors, successors, affiliates, subsidiaries, assigns, past and present officers, directors, shareholders, agents and employees, and their respective heirs, executors, administrators, representatives, successors and assigns, in their corporate and individual capacities (collectively "Releasees"), from, in respect of and in relation to any and all claims, actions, causes of action, suits, debts, obligations, liabilities, sums of money, costs and expenses, acts, omissions or refusals to act, damages, judgments and demands, of any kind whatsoever, joint or several, known or unknown, vested or contingent, which the Releasor ever had, now has or which Releasor hereinafter can, will or may have, against Releasees related to, arising from, for, upon or by reason of any matter, cause or thing whatsoever related to the Original Franchise Agreement and the business operated thereunder or any other agreement between Releasor and Releasees, or the relationship between Releasor and Releasees, through the Effective Date (collectively, the "Claims"), for known or unknown damages or other losses, including but not limited to any alleged violations of any deceptive or unfair trade practices laws, franchise laws, or other local, municipal, state, federal, or other laws, statutes, rules or regulations, and any alleged violations of the Original Franchise Agreement or any other related agreement between the Releasor and Releasees or the relationship between Releasor and Releasees through and including the Effective Date. For avoidance of doubt, the Releasor does not release Releasees from any obligations arising by virtue of the Agreement and any claims arising from the Releasees' failure to comply with those obligations or the Franchise Disclosure Document furnished to Franchisee as part of entering into the Agreement and the franchise laws that apply to the specific offer, sale and signing of the Agreement.

The release of the Claims as set forth above is intended by the Releasor to be full and unconditional general releases, as that phrase is used and commonly interpreted, extending to all claims of any nature, whether or not known, expected or anticipated to exist in favor of the Releasees regardless of whether any unknown, unsuspected or unanticipated claim would materially affect settlement and compromise of any matter mentioned herein. In making this voluntary express waiver, the Releasor acknowledges that claims or facts

in addition to or different from those which are now known to exist with respect to the matters mentioned herein may later be discovered and that it is the Releasor's intention to hereby fully and forever settle and release any and all matters, regardless of the possibility of later discovered claims or facts. The Releasor acknowledges that Releasor has had adequate opportunity to gather all information necessary to enter into this Addendum and to grant the releases contained herein, and needs no further information or knowledge of any kind that would otherwise influence the decision to enter into this Addendum. The Releasor, for itself and its heirs, successors and assigns, hereby expressly, voluntarily, and knowingly waives, relinquishes and abandons each and every right, protection, and benefit to which they would be entitled, now or at any time hereafter under Section 1542 of the Civil Code of the State of California, as well as under any other statutes or common law principles of similar effect to said Section 1542, whether now or hereafter existing under the laws of California or any other applicable federal or state law with jurisdiction over the parties' relationship. The Releasor acknowledges that Section 1542 of the Civil Code of the State of California provides as follows:

> "A general release does not extend to claims which the creditor or releasing party does not know or suspect to exist in his favor at the time of executing the release, which if known by him must have materially affected his settlement with the debtor or released party."

This release is and shall be and remain a full, complete and unconditional general release. The Releasor acknowledges and agrees that this release is an essential, integral and material term of this Addendum. The Releasor further acknowledges and agrees that no violation of this Addendum shall void the release set forth herein.

8. Notwithstanding the releases contained herein, all rights and obligations created under this Addendum will specifically survive the execution of this Addendum and the releases contained herein.

9. Each person executing this Addendum on behalf of any of the parties hereto represents and warrants that he or she has been fully empowered to execute this Addendum and that all necessary action has been taken.

10. The provisions of this Addendum shall inure to the benefit of and be binding upon the heirs, successors and assigns in interest of the parties.

11. Each of the parties hereto represents and warrants to each other party that it has not heretofore assigned or transferred, or purported to assign or transfer to any person, entity or corporation whatsoever, any of the claims released hereunder. Each party agrees to indemnify and hold harmless each other party against any claim, demand, debt, obligation, liability, cost, expense, right of action or cause of action based on, arising out of, or in connection with any such transfer or assignment or purported transfer or assignment.

12. If any provision of this Addendum shall for any reason be held violative of any applicable law, governmental rule or regulation, or if said agreement is held to be unenforceable or unconscionable, then the invalidity of such specific provisions herein shall not be held to invalidate the remaining provisions of this Addendum.

< SIGNATURES APPEAR ON THE NEXT PAGE >

Signed on this _____ day of _____, 20__ (the "Effective Date").

FRANCHISEE:

_____
_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

LAWN PRIDE SPV LLC

BY: _____

*This release does not apply with respect to claims arising under the Washington Franchise Investment Protection At, RCW 19.100, and the rules adopted thereunder.

EXHIBIT H

GENERAL RELEASE

This GENERAL RELEASE (this "Release") is made and executed by [NAME], individually ("you"), as of _____ ("Effective Date").

WHEREAS, you entered into a franchise agreement dated _____ with LAWN PRIDE SPV LLC ("us"), and [*describe facts*].

NOW, THEREFORE, in consideration of good and valuable consideration, the receipt and sufficiency of which are acknowledged, you agree as follows:

You, for yourself and each of your past and present heirs, executors, administrators, representatives, affiliates, directors, officers, owners, successors and assigns and on behalf of any other party claiming an interest through you, in their corporate and individual capacities (collectively "Releasor"), hereby releases and forever discharges us and each of our predecessors, successors, affiliates, subsidiaries, assigns, past and present officers, directors, shareholders, agents and employees, and their respective heirs, executors, administrators, representatives, successors and assigns, in their corporate and individual capacities (collectively "Releasees"), from, in respect of and in relation to any and all claims, actions, causes of action, suits, debts, obligations, liabilities, sums of money, costs and expenses, acts, omissions or refusals to act, damages, judgments and demands, of any kind whatsoever, joint or several, known or unknown, vested or contingent, which the Releasor ever had, now has or which Releasor hereinafter can, will or may have, against Releasees related to, arising from, for, upon or by reason of any matter, cause or thing whatsoever, through the Effective Date (collectively, the "Claims"), for known or unknown damages or other losses, including but not limited to any alleged violations of any deceptive or unfair trade practices laws, franchise laws, or other local, municipal, state, federal, or other laws, statutes, rules or regulations, and any alleged violations of any agreement between the Releasor and Releasees or the relationship between Releasor and Releasees through and including the Effective Date.

The release of the Claims as set forth above is intended by the Releasor to be full and unconditional general releases, as that phrase is used and commonly interpreted, extending to all claims of any nature, whether or not known, expected or anticipated to exist in favor of the Releasees regardless of whether any unknown, unsuspected or unanticipated claim would materially affect settlement and compromise of any matter mentioned herein. In making this voluntary express waiver, the Releasor acknowledges that claims or facts in addition to or different from those which are now known to exist with respect to the matters mentioned herein may later be discovered and that it is the Releasor's intention to hereby fully and forever settle and release any and all matters, regardless of the possibility of later discovered claims or facts. The Releasor acknowledges that Releasor has had adequate opportunity to gather all information necessary to enter into this Release and to grant the releases contained herein, and needs no further information or knowledge of any kind that would otherwise influence the decision to enter into this Release. The Releasor, for itself and its heirs, successors and assigns, hereby expressly, voluntarily, and knowingly waives, relinquishes and abandons each and every right, protection, and benefit to which they would be entitled, now or at any time hereafter under Section 1542 of the Civil Code of the State of California, as well as under any other statutes or common law principles of similar effect to said Section 1542, whether now or hereafter existing under the laws of California or any other applicable federal or state law with jurisdiction over the parties' relationship. The Releasor acknowledges that Section 1542 of the Civil Code of the State of California provides as follows:

"A general release does not extend to claims which the creditor or releasing party does not know or suspect to exist in his favor at the time of executing the release, which if known by him must have materially affected his settlement with the debtor or released party."

This Release is and shall be and remain a full, complete and unconditional general release.

_____
Name, individually

STATE OF _____ §
§
COUNTY OF _____ §

I hereby certify that before me, a notary public, personally appeared [NAME] who made oath in due form of law that s/he was executing the foregoing General Release for the purposes therein contained.

As witness, my hand and Notarial Seal on _____, 20___.

_____
Notary Public

My Commission Expires: _____

This release does not apply to claims arising under the Washington Franchise Investment Protection Act, chapter 19.100 RCW, or the rules adopted thereunder in accordance with RCW 19.100.220.

EXHIBIT I

PROTRADENET AGREEMENT

WHEREAS, _____, individually, having an address of _____ ("Franchisee," sometimes referred to as "Contractor") is a Franchisee of **LAWN PRIDE SPV LLC**, a Delaware limited liability company, located at 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor," sometimes referred to as "Trading Partner"), the trading partner of **PROTRADENET SPV LLC** ("PROTRADENET") having an address of 1010 N. University Parks Drive, Waco, TX 76707 and Franchisee desires to participate in discounts, rebates, incentives and other benefits ("Programs") negotiated by PROTRADENET with selected vendors, manufacturers and distributors ("Vendors");

NOW, THEREFORE, for good and valuable consideration, the sufficiency of which is acknowledged by all parties, the parties hereto agree to the following terms and conditions:

1. **Term and Default.** The term of this Agreement shall commence on _____ and end on December 31 of this year and the Agreement will automatically renew for an additional one (1) calendar year period each year thereafter, commencing on January 1 of next year and each January 1st thereafter, unless earlier terminated in accordance with this Agreement. Notwithstanding the foregoing, PROTRADENET may terminate this Agreement at any time, with or without cause, for any reason whatsoever upon providing the other party written notice of intent to terminate the Agreement and this agreement will automatically terminate upon expiration or termination of the franchise agreement by and between Franchisee and Franchisor with no notice of termination required. In any case, PROTRADENET may terminate this Agreement at any time upon notice to Franchisee if Franchisee is in default of his Franchise Agreement with Franchisor or if Franchisee has failed to comply with the terms and conditions of participation in this Program as set forth in this Agreement, on the website of PROTRADENET or as specified by Franchisor. Upon any termination of this agreement neither PROTRADENET nor any of its affiliates will have any liability to Franchisee or any other party.

2. **PROTRADENET Administration.** PROTRADENET or Franchisor may, but are not required to, return a portion of the fees paid to PROTRADENET from Vendors on behalf of purchases made by Franchisee ("Rebates") directly to Franchisee if Franchisee meets certain conditions, such as Vendor terms and conditions, attendance at Franchisor annual meetings, and other criteria as established by Vendor, PROTRADENET or Franchisor. All fees or Rebates not returned to franchisees may be retained by PROTRADENET or Franchisor and used to cover administrative costs, or promote Franchisor's system and brand. The allocation of these Rebates may change at the sole discretion of PROTRADENET. Accordingly, subject to the terms and conditions set forth in this Agreement, PROTRADENET agrees to process Program Rebates when paid by Vendor within terms as agreed upon by Franchisor. PROTRADENET will pay Franchisor or Franchisee directly, at the discretion of Franchisor. Franchisor reserves the right to deny Program Rebates otherwise due to Franchisee if Franchisor deems Franchisee not qualified for a Rebate(s). PROTRADENET may also withhold or deny Program Rebates if terms of the Program are not met.

3. **Franchisee Exclusion from Vendor Program.** Franchisee acknowledges the Vendor's right to exclude Franchisee from the Program for failure to meet Vendor's terms or for other reasons at the Vendor's discretion.

4. **Access and Release of Information.** Franchisee authorizes PROTRADENET to provide information including, but not limited to, Franchisee's Federal Tax Identification Number "FTIN") and purchase orders, invoices, payments, purchase history or other purchasing information to its Vendors

regarding Franchisee, and Franchisee authorizes PROTRADENET to request, and Vendors to provide, information manually or electronically regarding purchase orders, invoices, payments, purchase history or other purchasing information from Vendors for the purpose of administration of the Program. Franchisee hereby releases PROTRADENET and its parent, affiliates, past and present members, officers, employees, agents, successors and assigns from any liability whatsoever with regard to PROTRADENET providing Franchisee's confidential information, including Franchisee's FTIN, to Vendors or Franchisor pursuant to this Agreement.

5. **Confidentiality.** Franchisee acknowledges the proprietary and confidential nature of PROTRADENET's, Franchisors' and Vendor's Program details and shall use this information only for the purposes of inquiry or purchasing of VENDOR's products and services from the Program. Franchisee shall not provide PROTRADENET's, Franchisors' and/or Vendor's confidential Program information to a third party. This section shall survive the expiration or termination of this Agreement.

6. **Vendors.** Vendors may be added or removed from the Program at any time. Franchisee will receive written, email, or website notification of a change in Vendor status from PROTRADENET or Franchisor. Franchisors have SOLE DISCRETION over whether or not they choose to participate in a Vendor Program and offer that Program to their franchisees.

7. **Miscellaneous**

7.1 **No Guarantee of Rebates.** PROTRADENET does not guarantee any Vendor rebates or payments by Vendors. If PROTRADENET does not receive payment from the Vendor, rebates will not be paid.

7.2 **No Guarantee of Accuracy.** PROTRADENET makes no guarantee of accuracy or uninterrupted delivery of the data exchanged using the e-commerce web solution software as a part of the Program. It is the responsibility of the Franchisee to notify PROTRADENET or Vendor if the purchasing information represented on the e-commerce website is incorrect. Franchisee must notify PROTRADENET within sixty (60) days of the transaction date if the purchasing information is missing or invalid.

7.3 **Effective Date.** This Agreement shall become effective on the date that it is signed by PROTRADENET.

8. **Electronic Invoicing.** Franchisee agrees by its signature below to receive invoices from any Vendor electronically that offers this service though the PROTRADENET e-commerce platform.

9. **Electronic Promotions.** Franchisee agrees by its signature below to receive electronic or email based promotions from PROTRADENET.

10. **Additional Terms and Conditions.** Franchisee agrees by its signature below to abide by all of the terms and conditions on the website of PROTRADENET, www.PROTRADENET.com, www.PROTRADENET.com and www.PROTRADENET.net, which include but are not limited to:

Terms of Use and Privacy Policy

These terms and conditions may be modified and additional terms and conditions added at the sole discretion of Franchisor or PROTRADENET.

IN WITNESS WHEREOF, the parties hereto have caused this Agreement to be executed by their duly authorized representatives whose signatures appear below.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____

_____,

individually

Accepted as of this _____ day of _____, 20__, in Waco, Texas.

PROTRADENET:
PROTRADENET SPV. LLC

BY:_____
Brandi Haslam, President

EXHIBIT J-1

SOFTWARE SYSTEM USER AND MAINTENANCE AGREEMENT

This SOFTWARE SYSTEM USER AND MAINTENANCE AGREEMENT is entered into by and between **LAWN PRIDE SPV LLC**, a Delaware limited liability company, located at 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor"), and _____, individually, having an address of _____ ("Franchisee") dated as of _____.

WHEREAS, contemporaneously with the execution of this Agreement, the parties are entering into a franchise agreement ("Franchise Agreement") pursuant to which Franchisor is granting to Franchisee the right to operate a LAWN PRIDE® franchise and Franchisee is agreeing to undertake the obligations of a LAWN PRIDE® franchisee. One of Franchisee's obligations under the Franchisee Agreement is to install, maintain and upgrade such computer hardware, software and Internet access as Franchisor may periodically require.

WHEREAS, Franchisor requires all of its franchisees to use the software identified on **Exhibit "A"** hereto (collectively, the "Software System"), which Software System Franchisor may revise from time to time upon notice to Franchisee.

WHEREAS, to the extent the Software System includes third-party software, Franchisee will become licensed by such third party software provider (each, a "Third-Party Provider") to access and use the third-party software through the acceptance of the Third-Party Provider's terms and conditions as provided on the Third-Party Provider's website, as set forth on **Exhibit "A"** hereto, and/or, with respect to the business management software (currently Real Green), as provided in Exhibit J-2 to the Franchise Disclosure Document delivered to Franchisee hereunder.

WHEREAS, each Third-Party Provider has delegated to Franchisor and/or Franchisor's designee the training, maintenance and support of such Third-Party Provider's software included in the Software System and licensed to the LAWN PRIDE® franchisees.

WHEREAS, the Third-Party Providers and the Parties desire to define the terms and conditions on which Franchisor will provide for the training, maintenance and support for the software included in the Software System.

NOW, THEREFORE, the Parties agree as follows:

1. **TRAINING**

(a) ***ZorWare***. Franchisor hereby appoints ZorWare SPV LLC ("ZorWare") as Franchisor's agent and designee to provide training and maintenance to Franchisee, as applicable, with respect to the Software System. Franchisee agrees to cooperate with ZorWare in all matters relating to the installation and maintenance of the Software System and the training of Franchisee's personnel with respect to the Software System.

(b) ***Maintenance, Upgrades and Fixes***. Franchisor or ZorWare may, in their discretion, modify, upgrade or create fixes, service releases and new versions of the Software System from time to time and provide them to Franchisee. Franchisor may from time to time add software to or remove software from the Software System upon notice to Franchisee.

(c) ***Remote Access***. Franchisee acknowledges that the proper functioning of the Software System as intended by Franchisor requires Franchisee to give Franchisor and ZorWare remote access to Franchisee's network. Franchisee agrees to give Franchisor and ZorWare such remote access to Franchisee's network at all times to allow for the full functioning of the Software System, to allow Franchisor or ZorWare to install the Software System and modifications, fixes, service releases and new versions of the Software System, and to provide training and support. Franchisee understands and acknowledges that such remote access will allow both Franchisor and ZorWare to have access to the data generated by Franchisee's use of the Software System, and will allow for Franchisee's submission of periodic reports to Franchisor, as required by Franchisor.

2. **FEES**

(a) ***Monthly Fees***. Franchisee will pay to ZorWare a monthly support and maintenance fee, in the amount set forth on **Exhibit "A"**. The monthly fees will be paid via automatic bank draft. The monthly support and maintenance fees do not apply to support and maintenance services for the Real Green software, which will be provided at ZorWare's hourly rates set forth on **Exhibit "B"** hereto. ZorWare may increase monthly support and maintenance fees (as provided on **Exhibit "A"**), and/or modify the services that are provided for these fees, provided Franchisee is notified of any changes applicable to Franchisee. The amount of each bill will be the then-current amount charged for monthly support and maintenance fees by ZorWare to franchisees of Franchisor.

(b) ***Additional Fees***. If Franchisor or its affiliate develops proprietary software other than the Software System that Franchisor requires or permits Franchisee to use, Franchisor may charge Franchisee a license or maintenance fee for such software that will be reasonable in light of the fees that other companies charge for comparable software packages. Unless the Parties enter into a separate license agreement for such software, the terms and conditions for that software's maintenance and support will be the same as those set forth in this Agreement.

(c) ***Late Payments***. Any amount due hereunder that is not paid within 10 days of the invoice date will incur a late fee of $25 per month, or the maximum amount allowed under the law, whichever is lower.

3. **CONFIDENTIALITY AND LIMITED ACCESS**

(a) ***Nondisclosure***. Franchisee agrees to maintain the Software System, its documentation and the data generated by the use of the Software System in confidence by using at least the same physical and other security measures that Franchisee uses for its own confidential information. Franchisee further agrees not to allow anyone to access or use the Software System or to see its documentation or the data it generates other than Franchisee's employees, agents and representatives who have a need to have access to or to use the Software System in order to support Franchisee's authorized use thereof, provided that each such employee, agent and representative shall have signed an undertaking to Franchisee acknowledging that he or she is bound by an obligation of confidentiality.

(b) ***Notice of Loss***. Franchisee shall immediately notify Franchisor upon discovering any loss or theft of any copy of the Software System or its documentation or any data generated by its use, or any unauthorized disclosure thereof by any of Franchisee's employees, agents or representatives.

4. **REPRESENTATIONS; WARRANTIES; LIMITATION OF LIABILITY**

(a) ***Disclaimer of Warranty***. **EXCEPT AS SPECIFICALLY PROVIDED HEREIN, FRANCHISOR DOES NOT MAKE ANY EXPRESS OR IMPLIED WARRANTY WHATSOEVER.**

FRANCHISOR EXPRESSLY DISCLAIMS THE IMPLIED WARRANTIES OF MERCHANTABILITY AND FITNESS FOR A PARTICULAR PURPOSE.

(b) ***Limitation of Liability*. THE LIABILITY OF FRANCHISOR TO FRANCHISEE WILL BE LIMITED TO DIRECT DAMAGES ARISING SOLELY OUT OF FRANCHISOR'S MAINTENANCE OBLIGATIONS UNDER THIS AGREEMENT. IN NO EVENT WILL FRANCHISOR BE LIABLE FOR INCIDENTAL, SPECIAL, INDIRECT, OR CONSEQUENTIAL DAMAGES (INCLUDING LOST PROFITS), EVEN IF FRANCHISOR HAS PREVIOUSLY BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.**

5. **TERM; TERMINATION; DISABLING OF SOFTWARE SYSTEM**

(a) ***Term***. Except as otherwise expressly set forth below, with respect to each software included in the Software System, the Parties intend that the term of the license granted by the applicable Third-Party Provider for such software will be coextensive with the term of the Franchise Agreement and all renewals and extensions thereof.

(b) ***Automatic Termination***. The license granted by each Third-Party Provider will terminate automatically upon the expiration, nonrenewal or termination of the Franchise Agreement.

(c) ***Termination by Franchisor***. Franchisor may seek to have the Third-Party Provider terminate its license granted to Franchisee upon notice to Franchisee with immediate effect in the event that (i) Franchisee materially breaches any of its obligations under this Agreement or under the Franchise Agreement, or (ii) Franchisor requires Franchisee to cease using such software (or all software) included in the Software System.

(d) ***Disabling of the Software System***. Franchisor reserves the right to request that a Third-Party Provider disable the functionality of such Third-Party Provider's software included the Software System, in whole or in part, in the event that Franchisee (i) fails in a timely manner to submit to Franchisor the reports required by Franchisor under the Franchise Agreement, (ii) fails in a timely manner to pay to Franchisor or ZorWare the required monthly Software System fees, or (iii) otherwise materially breaches this Agreement or the Franchise Agreement. Franchisor will not be liable to Franchisee for any damages whatsoever that may result directly or indirectly from a Third-Party Provider's disabling of the functionality of its software pursuant to this section.

(e) ***Disposition of Copies***. Upon termination of the license granted by a Third-Party Provider, Franchisee shall promptly return to Franchisor, or otherwise dispose of, as Franchisor may instruct, all physical copies of the applicable software included in the Software System and its associated documentation in Franchisee's possession or under Franchisee's control and shall remove all copies thereof from Franchisee's computers and other electronic storage media. Upon Franchisor's request, Franchisee shall provide Franchisor with written certification of its compliance with the foregoing.

(f) ***No Refunds***. Upon the expiration or termination of the license granted by a Third-Party Provider, or if the applicable Software System software is disabled as described above, Franchisee will not receive any refund of any payments made to ZorWare.

6. **MISCELLANEOUS**

(a) ***Remedies***. Franchisee acknowledges that any breach of the covenants set forth in Section 3 this Agreement would cause irreparable damage to Franchisor that would be incapable of precise measurement and for which no adequate remedy would exist at law. Franchisee therefore agrees that

injunctive relief shall be available for any such breach in addition to all other remedies that may be available.

(b) ***Notices***. All notices, requests, consents and other communications required or permitted by this Agreement shall be in writing and shall be delivered by hand, fax, overnight delivery service, or registered or certified first class mail, to then-current address of the recipient known by the sender, to the attention of the person then holding the title of the person signing this Agreement on behalf of the recipient. Any such notice, request, consent or other communication shall be deemed given and be effective upon receipt at such address.

(c) ***Entire Agreement; Amendments***. This Agreement constitutes the entire understanding between the parties relating to the subject matter hereof, superseding all prior agreements, arrangements and understandings between the parties relating to its subject matter. This Agreement may not be amended or changed in any way unless such changes are in writing signed by the parties hereto.

(d) ***Waiver***. No delay, omission or failure to exercise any right or remedy provided for herein will be deemed to be a waiver thereof or acquiescence in the event giving rise to such right or remedy. No waiver will be binding unless contained in a writing signed by the party waiving its rights. Any waiver is limited to the specific situation in which it is given and no waiver of any breach or default under this Agreement will be construed as a waiver of any earlier or succeeding breach or default.

(e) ***Governing Law***. This Agreement will be governed by and construed in accordance with the laws of the State of Texas applicable to agreements made and to be performed entirely within the State of Texas, without regard to Texas's conflicts of law principles.

(f) ***Forum***. The parties hereby irrevocably consent to the non-exclusive jurisdiction of the federal and state courts located in Waco, McLennan County, Texas, in any action for temporary, interim or provisional equitable remedies. The parties hereby waive, to the full extent permitted by law, defenses based on jurisdiction, venue and forum non conveniens. The parties further consent to service of process by certified mail, return receipt requested, or by any other means permitted by law.

(g) ***Costs, Expenses and Attorneys' Fees***. If an action is commenced between the parties to enforce any provision of this Agreement, the prevailing party will be entitled to reasonable costs and expenses, including attorneys' fees.

(h) ***Effective Date.*** This Agreement shall become effective on the date it is signed by Franchisor.

< SIGNATURES APPEAR ON THE NEXT PAGE >

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of this _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

LAWN PRIDE SPV LLC

BY:_____

EXHIBIT "A"
TO
SOFTWARE SYSTEM USER AND MAINTENANCE AGREEMENT

Software System:

Software included in Software System	**Third-Party Provider's Terms and Conditions that Franchisee must accept in order to access and use of software**
Qvinci	http://www.qvinci.com/terms-of-use/ http://www.qvinci.com/saas-agreement/
FranConnect	http://franconnect.com/privacy-and-data-collection-policy/
Broadly	https://broadly.com/terms/
Real Green	The terms and conditions applicable to Real Green software are attached as Exhibit J to the Franchise Disclosure Document delivered to Franchisee
Microsoft Office 365 and Exchange Mail	https://www.microsoft.com/en-us/trust-center/privacy
Optional Software: (*check the box if included in Software System*):	
□ QuickBooks Online	https://quickbooks.intuit.com/global/terms-of-service/

The software included in the Software System is subject to change by Franchisor upon notice to Franchisee.

Fees: The fees for the Technology Package (which includes 2 Microsoft email accounts, FranConnect, Qvinci, Customer Engagement Platform, Neighborly Franchise Portal and one RingCentral phone line) are described below.
These fees do not include the usage fees or the support and maintenance fees for Real Green. The usage fees for Real Green are set forth in Exhibit J-2 to the Franchise Disclosure Document delivered to Franchisee. Any support and maintenance services for Real Green will be provided at ZorWare's hourly rates set forth on "**Exhibit B**" hereto.

If included in Software System: QuickBooks Online: $_____ / month[1]

We may increase these fees in the future but not more than 30% annually in addition to any direct price increases from third-party vendors and changes to fees due to changes to the software included in the Software System.

[1] $30 - $220 per month, depending on license tier.

Technology Package Fees:

TYPE OF SALE	Enrollment Fee	Optional	Monthly Fees	Services Included
New Sale	$1,250		$186.95 per month, plus: Additional Microsoft Office365 Exchange, E1 and E3 email accounts are available at $5.50 - $30/month depending on the type of email account. RingCentral business phone line - $29.00 per month. Additional Franchise Portal User Accounts are available at $20 - $40/month.	Set up, training and maintenance with respect to financial reporting software, customer sentiment platform, franchise portal and email software.
Renewal	Waived	N/A	$186.95 per month, plus: Additional Microsoft Office365 Exchange, E1 and E3 email accounts are available at $5.50 - $30/month depending on the type of email account. RingCentral business phone line - $29.00 per month. Additional Franchise Portal User Accounts are available at $20 - $40/month.	Set up, training and maintenance with respect to financial reporting software, customer sentiment platform, franchise portal and email software.
Sale to Existing Franchise (Contiguous territories)	Waived	N/A	$186.95 per month, plus: Additional Microsoft Office365 Exchange, E1 and E3 email accounts are available at $5.50 - $30/month depending on the type of email account. RingCentral business phone line - $29.00 per month. Additional Franchise Portal User Accounts are available at $20 - $40/month.	Set up, training and maintenance with respect to financial reporting software, customer sentiment platform, franchise portal and email software.

TYPE OF SALE	Enrollment Fee	Optional	Monthly Fees	Services Included
Sale to Existing Franchise (Non-Contiguous territories)	$1,250	N/A	$186.95 per month, plus: Additional Microsoft Office365 Exchange, E1 and E3 email accounts are available at $5.50 - $30/month depending on the type of email account. RingCentral business phone line - $29.00 per month. Additional Franchise Portal User Accounts are available at $20 - $40/month.	Set up, training and maintenance with respect to financial reporting software, customer sentiment platform, franchise portal and email software.

EXHIBIT "B"
TO
SOFTWARE SYSTEM USER AND MAINTENANCE AGREEMENT

Basic Plan: ZorWare service level agreement will include best effort of 2- to 5-business days for response and/or resolution.

- Live Support hours: 6 AM - 7 PM central time, Monday - Friday*.
- Limit of 2 hours of phone support per month.
- If exceeds call limit then the following would apply:
    - Hourly Phone Support: $125 per hour.

**ZorWare Help Desk & Team observes any/all holidays as determined by ZorWare.*

EXHIBIT "C"
TO
SOFTWARE SYSTEM USER AND MAINTENANCE AGREEMENT

BY YOUR SIGNATURE BELOW, YOU AGREE AND ACKNOWLEDGE THAT LAWN PRIDE SPV LLC ("FRANCHISOR") MAY REQUEST FROM WORKWAVE, LLC ACCESS TO INFORMATION THAT YOU INPUT INTO THE REAL GREEN SOFTWARE SYSTEM (THE "SYSTEM") OR DEVELOP ON THE SYSTEM IN OR WITH RESPECT TO ACCOUNTS RELATED TO YOUR LAWN PRIDE® FRANCHISED BUSINESS, INCLUDING, BUT NOT LIMITED TO CUSTOMER DATA, TRANSACTION DATA AND OPERATIONAL AND FINANCIAL DATA ABOUT YOUR LAWN PRIDE® FRANCHISED BUSINESS(ES) (THE "DATA"). SUCH ACCESS MAY BE IN INDIVIDUAL OR AGGREGATED FORM AND MAY TAKE PLACE WITH OR WITHOUT NOTICE TO YOU. YOU CONSENT TO THIS DISCLOSURE BY WORKWAVE, LLC OF ANY AND ALL DATA TO FRANCHISOR AND ITS AFFILIATES AND AGREE TO INDEMNIFY AND HOLD HARMLESS WORKWAVE, LLC AND ITS SUBSIDIARIES, AFFILIATES, OFFICERS, AGENTS, AND EMPLOYEES, FOR ANY DAMAGES, EXPENSES, LOSSES OR LIABILITIES SUFFERED BY YOU IN CONNECTION WITH ANY SUCH DISCLOSURE WHETHER SUCH DAMAGES ARE UNDER CONTRACT OR TORT OR UNDER ANY OTHER THEORY OF LIABILITY.

FURTHER, FRANCHISOR MAY REQUEST TO BE GRANTED ADMINISTRATIVE ACCESS TO YOUR REAL GREEN USER ACCOUNT(S) RELATED TO YOUR LAWN PRICE® FRANCHISED BUSINESS(ES), TO EXPORT, TRANSFER OR GRANT ACCESS TO YOUR ACCOUNT OR TO DATA ASSOCIATED WITH SUCH ACCOUNT(S) OR YOUR LAWN PRIDE® FRANCHISED BUSINESS(ES), TO SUSPEND SUCH ACCOUNT(S) OR YOUR ACCESS TO THE SYSTEM FOR YOUR LAWN PRIDE® FRANCHISED BUSINESS(ES) OR, IN CONNECTION WITH A TERMINATION OF YOUR LAWN PRIDE FRANCHISE AGREEMENT(S) WITH FRANCHISOR, TO TERMINATE OR DELETE YOUR REAL GREEN ACCOUNT(S) RELATED TO YOUR LAWN PRIDE® FRANCHISED BUSINESSES. YOU CONSENT TO ALL SUCH ACCESS AND ACTIONS BY FRANCHISOR AND AGREE THAT YOU WILL NOT SEEK ANY MASS EXPORT OF YOUR DATA WITH RESPECT TO YOUR LAWN PRIDE® FRANCHISED BUSINESS WITHOUT THE WRITTEN CONSENT OF FRANCHISOR. FURTHER, YOU AGREE TO INDEMNIFY AND HOLD HARMLESS WORKWAVE, LLC AND ITS SUBSIDIARIES, AFFILIATES, OFFICERS, AGENTS, AND EMPLOYEES, FOR ANY DAMAGES, EXPENSES, LOSSES OR LIABILITIES SUFFERED BY YOU IN CONNECTION WITH ANY SUCH ACTIONS OF FRANCHISOR WHETHER SUCH DAMAGES ARE UNDER CONTRACT OR TORT OR UNDER ANY OTHER THEORY OF LIABILITY.

YOU AGREE THAT YOU WILL AT ALL TIMES COMPLY WITH THE TERMS OF USE WITH RESPECT TO THE SYSTEM WHICH ARE ACCESSIBLE AT https://www.realgreen.com/terms-and-conditions/. FOR THE PURPOSES OF THE TERMS OF USE, YOU CONSENT TO THE DISCLOSURE AND ACCESS RIGHTS GRANTED TO FRANCHISOR HEREBY. WORKWAVE, LLC. IS AN INTENDED THIRD PARTY BENEFICIARY TO THIS AGREEMENT.

Franchisee's Name: _____

Signature: _____

Date: _____

EXHIBIT J-2

REAL GREEN SOFTWARE TERMS AND CONDITIONS

Agreement between User and RealGreen.com

Welcome to RealGreen.com. The RealGreen.com website (the "Site") is comprised of various webpages operated by Real Green ("Real Green"). RealGreen.com is offered to you conditioned on your acceptance without modification of the terms, conditions, and notices contained herein (the "Terms"). Your use of RealGreen.com constitutes your agreement to all such Terms. Please read these terms carefully, and keep a copy of them for your reference.

RealGreen.com is a Marketing and Sales Site.

RealGreen.com promotes Real Green's lawn care software, pest control software, tree care software, irrigation software, as well as lawn care marketing, pest control marketing, tree care marketing, irrigation marketing and lawn care events, pest control events, tree care events, irrigation events which Real Green either participates in or hosts.

These Terms and Conditions are in addition to and supplement the Privacy Policy of this Site. These Terms and Conditions relate only to the use of this Site. These Terms and Conditions do not supersede or replace any terms and conditions contained in any written contract between Real Green and you.

Fees. $379 per month for the program "Service Assistant 5", Real Green Mobile Live 2, Customer Assistant Subscription, Real Green Comm Plan – 3,500 Credits and Dynamic Routing – 3,000 Services.

Privacy

Your use of RealGreen.com is subject to Real Green's Privacy Policy. Please review our Privacy Policy, which also governs the Site and informs users of our data collection practices.

Electronic Communications

Visiting RealGreen.com or sending emails to Real Green constitutes electronic communications. You consent to receive electronic communications and you agree that all agreements, notices, disclosures and other communications that we provide to you electronically, via email and on the Site, satisfy any legal requirement that such communications be in writing.

Children Under Thirteen

Real Green does not knowingly collect, either online or offline, personal information from persons under the age of thirteen. If you are under 18, you may use RealGreen.com only with the permission of a parent or guardian.

Links to Third Party Sites/Third Party Services

RealGreen.com may contain links to other websites ("Linked Sites"). The Linked Sites are not under the control of Real Green and Real Green is not responsible for the contents of any Linked Site, including without limitation any link contained in a Linked Site, or any changes or updates to a Linked Site. Real Green is providing these links to you only as a convenience, and the inclusion of any link does not imply endorsement by Real Green of the Site or any association with its operators.

Certain services made available via RealGreen.com may be delivered by third-party sites and organizations. By using any product, service or functionality originating from the RealGreen.com domain, you hereby acknowledge and consent that Real Green may share such information and data with any third part with whom Real Green has a contractual relationship to provide the requested product, service or functionality on behalf of RealGreen.com users and customers.

No Unlawful or Prohibited Use/Intellectual Property

You are granted a non-exclusive, non-transferable, revocable license to access and use RealGreen.com strictly in accordance with these terms of use. As a condition of your use of the Site, you warrant to Real Green that you will not use the Site for any purpose that is unlawful or prohibited by these Terms. You may not use the Site in any manner which could damage, disable, overburden, or impair the Site or interfere with any other party's use and enjoyment of the Site. You may not obtain or attempt to obtain any materials or information through any means not intentionally made available or provided for through the Site.

All content included as part of the Service, such as text, graphics, logos, images, as well as the compilation thereof, and any software used on the Site, is the property of Real Green or its suppliers and protected by copyright and other laws that protect intellectual property and property rights. You agree to observe and abide by all copyright and other proprietary notices, legends, or other restrictions contained in any such content and will not make any changes thereto.

You will not modify, publish, transmit, reverse engineer, participate in the transfer or sale, create derivative works or in any way exploit any of the content, in whole or in part, found on the Site. Real Green content is not for resale. Your use of the Site does not entitle you to make any unauthorized use of any protected content, and particularly you will not delete or alter any proprietary rights or attribution notices in any content. You will use protected content solely for your personal use and will make no other use of the content without express written permission of Real Green and the copyright owner. You agree that you do not acquire any ownership rights in any protected content. We do not grant you any licenses, express or implied, to the intellectual property of Real Green or our licensors except as expressly authorized by these Terms.

Third-Party Accounts

You will be able to connect through RealGreen.com to certain third-party accounts. By connecting through RealGreen.com, you acknowledge and agree that you are consenting to the continuous release of information about you to others (in accordance with your privacy settings on those third-party Sites – privacy settings for these accounts are customarily found in your "Account Settings"). If you do not want information about you to be shared in this manner, do not use these features.

International Users

The Service is controlled, operated and administrated by Real Green from our offices within the USA. If you access the Service from a location outside the USA, you are responsible for compliance with all local laws. You agree that you will not use the Real Green Content accessed through RealGreen.com in any country or in any manner prohibited by any applicable laws, restrictions or regulations.

Indemnification

You agree to indemnify, defend and hold harmless Real Green, its officers, directors, employees, agents and third parties, for any losses, costs, liabilities and expenses (including reasonable attorney's fees) relating to or arising out of your use of or inability to use the Site or services, any user postings made by you, your violation of any terms of this Agreement or your violation of any rights of a third party, or your violation of any applicable laws, rules or regulations. Real Green reserves the right, at its own cost, to assume the exclusive defense and control of any matter otherwise subject to indemnification by you, in which event you will fully cooperate with Real Green in asserting any available defense.

Arbitration

In the event the parties are not able to resolve any dispute between them arising out of or concerning these Terms and Conditions, or any provisions hereof, whether in contract, tort, or otherwise at law or in equity for damages or any other relief, then such dispute shall be resolved only by final and binding arbitration pursuant to the Federal Arbitration Act, conducted by a single neutral arbitrator and administered by the American Arbitration Association, or a similar arbitration service selected by the parties, in a location mutually agreed upon by the parties. The Arbitrator's award shall be final, and judgment may be entered upon it in any court having jurisdiction. In the event of any legal or equitable action, proceeding or arbitration arises out of or concerns these Terms and Conditions, the prevailing party shall be entitled to recover its costs and reasonable attorney's fees. The parties agree to arbitrate all disputes and claims regarding these Terms and Conditions or any disputes arising as a result of these Terms and Conditions, whether directly or indirectly, including Tort claims that are a result of these Terms and Conditions. The parties agree that the Federal Arbitration Act governs the interpretation and enforcement of this provision. The entire dispute, including the scope and enforceability of this arbitration provision shall be determined by the Arbitrator. This arbitration provision shall survive the termination of thee Terms and Conditions.

Class Action Waiver

Any arbitration under these Terms and Conditions will take place on an individual basis; class arbitrations and class/representative/collective actions are not permitted. The parties agree that a party may bring claims against the other only in each's individual capacity, and not as a Plaintiff or Class Member in any putative class, collective and/or representative proceeding, such as in the form of a private Attorney General Action against the other. Further, unless both you and Real Green agree otherwise, the Arbitrator may not consolidate more than one person's claims, and may not otherwise preside over any form of a representative or class proceeding.

Liability Disclaimer

THE INFORMATION, SOFTWARE, PRODUCTS, AND SERVICES INCLUDED IN OR AVAILABLE THROUGH THE SITE MAY INCLUDE INACCURACIES OR TYPOGRAPHICAL ERRORS. CHANGES ARE PERIODICALLY ADDED TO THE INFORMATION HEREIN. REAL GREEN AND/OR ITS SUPPLIERS MAY MAKE IMPROVEMENTS AND/OR CHANGES IN THE SITE AT ANY TIME.

REAL GREEN AND/OR ITS SUPPLIERS MAKE NO REPRESENTATIONS ABOUT THE SUITABILITY, RELIABILITY, AVAILABILITY, TIMELINESS AND ACCURACY OF THE INFORMATION, SOFTWARE, PRODUCTS, SERVICES AND RELATED GRAPHICS CONTAINED ON THE SITE FOR ANY PURPOSE. TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, ALL SUCH INFORMATION, SOFTWARE,

PRODUCTS, SERVICES AND RELATED GRAPHICS ARE PROVIDED "AS IS" WITHOUT WARRANTY OR CONDITION OF ANY KIND.

REAL GREEN AND/OR ITS SUPPLIERS HEREBY DISCLAIM AND WAIVE ALL WARRANTIES AND CONDITIONS WITH REGARDS TO THIS INFORMATION, SOFTWARE, PRODUCTS, SERVICES AND RELATED GRAPHICS, INCLUDING ALL IMPLIED WARRANTIES OR CONDITIONS OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, TITLE AND NON-INFRINGEMENT.

TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, IN NO EVENT SHALL REAL GREEN SYSTEMS AND/OR ITS SUPPLIERS BE LIABLE FOR ANY DIRECT, INDIRECT, PUNITIVE, INCIDENTAL, SPECIAL, CONSEQUENTIAL DAMAGES OR ANY DAMAGES WHATSOEVER INCLUDING, WITHOUT LIMITATION DAMAGES FOR LOSS OF USE, DATA OR PROFITS, ARISING OUT OF OR IN ANY WAY CONNECTED WITH THE USE OR PERFORMANCE OF THE SITE, WITH THE DELAY OR INABILITY TO USE THE SITE OR RELATED SERVICES, THE PROVISION OF OR FAILURE TO PROVIDE SERVICES, OR FOR ANY INFORMATION, SOFTWARE, PRODUCTS, SERVICES AND RELATED GRAPHICS OBTAINED THROUGH THE SITE, OR OTHERWISE ARISING OUT OF THE USE OF THE SITE, WHETHER BASED ON CONTRACT, TORT, NEGLIGENCE, STRICT LIABILITY OR OTHERWISE, EVEN IF REAL GREEN OR ANY OF ITS SUPPLIERS HAS BEEN ADVISED OF THE POSSIBILITY OF DAMAGES. BECAUSE SOME STATES/JURISDICTIONS DO NOT ALLOW THE EXCLUSION OR LIMITATION OF LIABILITY FOR CONSEQUENTIAL OR INCIDENTAL DAMAGES, THE ABOVE LIMITATION MAY NOT APPLY TO YOU. IF YOU ARE DISSATISFIED WITH ANY PORTION OF THE SITE, OR WITH ANY OF THESE TERMS OF USE, YOUR SOLE AND EXCLUSIVE REMEDY IS TO DISCONTINUE USING THE SITE.

Termination/Access Restriction

Real Green reserves the right, in its sole discretion, to terminate your access to the Site and the related services or any portion thereof at any time, without notice to the maximum extent permitted by law, this agreement is governed by the laws of the State of Michigan and you hereby consent to the exclusive jurisdiction and venue of courts in Michigan in all disputes arising out of or relating to the use of the Site. Use of the Site is unauthorized in any jurisdiction that does not give effect to all provisions of these Terms, including, without limitation, this section.

You agree that no joint venture, partnership, employment, or agency relationship exists between you and Real Green as a result of this agreement or use of the Site. Real Green's performance of this agreement is subject to existing laws and legal process, and nothing contained in this agreement is in derogation of Real Green's right to comply with governmental, court and law enforcement requests or requirements relating to use of the Site or information provided to or gathered by Real Green with respect to such use. If any part of this agreement is determined to be invalid or unenforceable pursuant to applicable law including, but not limited to, the warranty disclaimers and liability limitations set forth above, then the invalid or unenforceable provision will be deemed superseded by a valid, enforceable provision that most closely matches the intent of the original provision and the remainder of the agreement shall continue in effect.

Unless otherwise specified herein, this agreement constitutes the entire agreement between the user and Real Green in respect to the Site and it supersedes all prior or contemporaneous communications and proposals, whether electronic, oral or written, between the user and Real Green with respect to the Site. A printed version of this agreement and of any notice given in

electronic form shall be admissible in judicial or administrative proceedings based upon or relating to this agreement to the same extent and subject to the same conditions as other business documents and records originally generated and maintained in printed form. It is the express wish to the parties that this agreement and all related documents be written in English.

Changes to Terms

Real Green reserves the right, in its sole discretion, to change the Terms under which RealGreen.com is offered. The most current version of the Terms will supersede all previous versions. Real Green encourages you to periodically review the Terms to stay informed of our updates.

EXHIBIT K

TABLE OF CONTENTS OF MANUALS

Section of Operations Manual	Number of Pages
1.1 Introduction Letter	1
2.1 Getting Started	8
2.2 Site Selection	3
2.3 Office Equipment/Supplies Requirements	1
2.4 Professional Organizations	1
2.5 Legal	1
2.6 Corporate Training	2
2.7 Internal Communications Resources	2
2.8 Financial Accounting	3
3.1 Financial Guidelines	5
3.2 Disclaimer	1
3.3 Budgets	2
3.4 Business Plan	2
3.5 Accurate Financial Reporting	3
4.1 Inventory, Equipment, and Products	3
4.1 Vehicles	1
4.2 Warehouse	2
4.3 Mobile Communications	1
4.4 Equipment	1
4.5 Products	1
4.6 Uniforms	2
5.1 Emergency Preparedness Plan	1
5.2 Hurricane	1
5.3 Post-Storm/Emergency Considerations	1
6.1 Marketing	1
6.2 Primary Lead Sources	1
6.3 Secondary Lead Sources	1
6.4 Price List	1
6.5 Unique Phone Numbers	1
6.6 Logos	1
7.1 Human Resources	2
7.2 Staffing	2
7.3 Compensation/Pay	1
7.4 Required Posters	2
7.5 Personnel Administration	2
8.1 Daily Operating Procedures	4
8.2 Customer Service Procedures	14
8.3 Sales Procedures	2
8.4 Routing Procedures	4
8.5 Production Procedures	7
Total number of pages of Manual	**95**

EXHIBIT L

ASSIGNMENT AND CONSENT AGREEMENT

This Assignment and Consent Agreement (this "Agreement") is made effective as of the date Franchisor signs below (the "Effective Date") and is entered into by and among [ ] ("Franchisee"), and [ ] (a "Franchisee Principal(s)") (Franchisee and Franchisee Principal(s) collectively referred to as "Assignor"), [ ] ("Assignee"), and LAWN PRIDE SPV LLC, a Delaware limited liability company having a principal place of business at 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor"). All capitalized terms not defined in this Agreement have the respective meanings set forth in the Old Franchise Agreement (as defined below).

RECITALS

A. Franchisor and Assignor are parties to a Lawn Pride® Franchise Agreement dated [_____] (the "Old Franchise Agreement"), pursuant to which Assignor was granted the right to operate a Lawn Pride® business in the following territory: _____ (the "Franchised Business").

B. Assignor desires to assign to Assignee all right, title and interest in the Franchised Business, including the franchise rights for the Franchised Business (the "Assignment"); Assignee wishes to accept the Assignment and, as of the Effective Date, assume all of the duties, obligations, and liabilities of Assignor related thereto by entering into a purchase and sale agreement with Assignor and by signing a franchise agreement with Franchisor.

C. Assignor represents that there is no dispute related to the offer and sale of the Old Franchise Agreement or Franchised Business, and further represents that Assignor has no claims against Franchisor under applicable laws.

D. In consideration of Assignor's request for the Assignment and the representations set forth in Recital C above, Franchisor is willing to consent to the Assignment as of the Effective Date, subject to the provisions stated below, and Assignor agrees to settle all known and unknown disputes it may have against Franchisor, if any, that exist as of the Effective Date.

AGREEMENTS

NOW, THEREFORE, in exchange for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

1. Assignment and Assumption. Assignor assigns to Assignee all right, title and interest in and to the Franchised Business, including the franchise rights for the Franchised Business. Assignee unconditionally assumes and accepts the Assignment of the Franchised Business, including the franchise rights for the Franchised Business, and agrees to be bound by all duties, obligations, and liabilities of the Assignor related thereto, including without limitation all of Assignor's customer obligations, including all warranty work and service plans obligations.

2. Signing of Current Form of Franchise Agreement. As a condition of Franchisor's consent to the Assignment, Assignee agrees to sign Franchisor's then-current form of franchise agreement (the "New Franchise Agreement"). Assignee acknowledges that the terms and conditions of the New Franchise Agreement may be different from the terms and conditions of the Old Franchise Agreement. Prior to the

Effective Date, Assignee shall deliver to Franchisor two signed copies of the New Franchise Agreement, along with the executed copies of this Agreement.

3. Termination of Old Franchise Agreement. All parties agree that the Old Franchise Agreement is terminated as of the effective date of the New Franchise Agreement with no further force and effect, except for the post-termination obligations identified in Section 12 below.

4. Status of Assignor Following Assignment. Upon and after the Effective Date and subject to Section 12 below, Assignor will have no interest in and will no longer be responsible or liable for (a) the Franchised Business, (b) the franchise rights for the Franchised Business, or (c) the Old Franchise Agreement. Assignor, however, will remain liable for any responsibilities, obligations, and liabilities related to the Old Franchise Agreement and the Franchised Business up to the Effective Date, including all monetary obligations due to Franchisor, its affiliates, and other third parties under the Old Franchise Agreement that have accrued as of the Effective Date and all post-termination obligations identified in Section 12 below.

5. Assignee Principals. If Assignee is an entity, Assignee represents and warrants to Franchisor and Assignor that the following individuals and/or entities are the sole owners of Assignee (the "Assignee Principals"):

Name of Principal Owner	**Percentage of Ownership in Assignee (total must equal 100%)**
Total	**100%**

6. Payment of Transfer Fee. On or before the Effective Date, Franchisor must receive a transfer fee in the amount of $[_____], as referenced in Section 10.C. of the Old Franchise Agreement.

7. Training. On or before the Effective Date, Assignee must complete Franchisor's training requirements.

8. Payment of Fees Owed to Franchisor; Delivery of Reports. On or before the Effective Date, all fees owed by Assignor to Franchisor, its affiliates or suppliers or upon which Franchisor or its affiliates have any contingent liability, under or related to the Old Franchise Agreement (the "Fees Owed") must be paid in full. Accordingly, on or before the Effective Date, Assignor or Assignee must deliver the full amount of Fees Owed to Franchisor, its affiliate(s) and/or suppliers, along with three fully executed copies of this Agreement. In addition, on or before the Effective Date, Assignor must deliver to Franchisor any and all reports required to be delivered under the Old Franchise Agreement, including without limitation reports related to any Fees Owed and any financial and other reports relating to the Franchised Business and its operations as Franchisor may request pursuant to Section 10.D.8 of the Franchise Agreement in order for Franchisor and/or assignee to evaluate the Franchised Business and the proposed transfer.

9. Personal Guarantee. Each Assignee Principal must execute a personal guarantee in the form attached to the New Franchise Agreement.

10. Representations.

A. Assignor and Assignee represent and warrant to each other that they have the authority to execute this Agreement.

B. Assignor represents and warrants to Franchisor and Assignee that it owns all right, title and interest in and to the Franchised Business and the Old Franchise Agreement, free and clear of any mortgage, lien or claims, and has not assigned any or all of its interest in the Franchised Business or the Old Franchise Agreement to any third party.

C. Assignor and Assignee represent and warrant to Franchisor that they have consummated the asset purchase and sale transaction that is related to the Assignment contemplated hereunder as of the Effective Date.

11. Indemnification.

A. Assignor, for itself, its heirs, successors and assigns, agrees to indemnify and hold harmless Franchisor, its affiliates, successors, assigns, officers, directors, employees, agents, and each of them, against any and all liabilities, damages, actions, claims, costs (including reasonable attorneys' fees), or expenses of any nature resulting, directly or indirectly, from any of the following: (i) any misrepresentations or breach of warranty by Assignor under this Agreement; (ii) the Assignment; or (iii) any claim, suit or proceeding initiated by or for a third party(s), now or in the future, that arises out of or relates to the Old Franchise Agreement or the Franchised Business operated by Assignor prior to the Effective Date.

B. Assignee, for itself, its heirs, successors and assigns, agrees to indemnify and hold harmless Franchisor, its affiliates, successors, assigns, officers, directors, employees, agents, and each of them, against any and all liabilities, damages, actions, claims, costs (including reasonable attorneys' fees) or expenses of any nature resulting, directly or indirectly, from any of the following: (i) any misrepresentations or breach of warranty by Assignee under this Agreement; or (ii) the Assignment.

12. Assignor's Post-Termination Obligations. Assignor agrees that, upon transfer of its interest in the Franchised Business to Assignee, Assignor will comply with all post-termination obligations set forth in Section 13 of the Old Franchise Agreement, which obligations shall be incorporated herein by reference. Further, Assignor shall comply with any other provisions of the Old Franchise Agreement which, by their nature, survive termination or expiration of the Old Franchise Agreement.

13. Consent to Assignment. Franchisor consents to the Assignment subject to the terms and conditions of this Agreement. Franchisor's consent to the Assignment will not result in any waiver of any rights nor a release under the Old Franchise Agreement or New Franchise Agreement, and is not a consent to any additional or subsequent transfers or assignments.

14. Release and Settlement of Claims by Assignor. Except as may be prohibited by applicable law, Franchisee and Franchisee Principals (individually and as owners of Franchisee) and each of their respective heirs, successors, assigns, affiliates, shareholders, officers, directors, employees, and agents, and on behalf of any other party claiming an interest through them (collectively and individually referred to as

the "Assignor Parties" for purposes of Sections 14, 15 and 16 hereof), release and forever discharge Franchisor, its predecessors, successors, affiliates, directors, officers, shareholders, agents, employees and assigns (collectively and individually referred to as the "Franchisor Parties" for purposes of Sections 14, 15 and 16) of and from any and all claims, debts, liabilities, demands, obligations, costs, expenses, actions and causes of action (collectively, "Claims"), whether known or unknown, vested or contingent, which Assignor Parties may now or in the future own or hold, that in any way relate to the Old Franchise Agreement, any other agreement between Assignor and Franchisor, the Franchised Business, or the relationship between Assignor and Franchisor through the Effective Date (collectively, "Assignor Claims"), for known or unknown damages or other losses including, but not limited to, any alleged violations of any deceptive or unfair trade practices laws, franchise laws, or other local, municipal, state, federal, or other laws, statutes, rules or regulations, and any alleged violations of the Old Franchise Agreement or any other agreement between Assignor and Franchisor through and including the Effective Date.

15. Release by Assignee. Except as noted in this Section 15, Assignee, Assignee Principals (if any), and their respective affiliates, successors, assigns, officers, directors, employees, agents, and on behalf of any other party claiming an interest through them (collectively and individually referred to as the "Assignee Parties" for purposes of this Section 15 and Section 16 below), release and forever discharge the Franchisor Parties of and from any and all Claims, whether known or unknown, vested or contingent, which Assignee may now or in the future own or hold, that in any way relates to the Franchised Business or the New Franchise Agreement (collectively referred to as "Assignee Claims" for purposes of this Section 15 and Section 16).

As to the New Franchise Agreement, the Assignee Parties and Franchisor Parties acknowledge and agree that the release by the Assignee Parties does not relate to the offer and sale of the New Franchise Agreement. Further, the parties agree that the release as it relates to the New Franchise Agreement is effective as to Assignee Claims arising through the Effective Date of this Agreement, and not to any claims arising after the Effective Date.

16. Acknowledgement of Releasors. The release of Assignor Claims set forth in Section 14 and Assignee Claims in Section 15 are intended by the Assignor Parties and Assignee Parties (collectively, the "Releasors") to be full and unconditional general releases, as that phrase is used and commonly interpreted, extending to all claims of any nature, whether or not known, expected or anticipated to exist in favor of one of the Releasors against any other Releasor. In making this voluntary express waiver, the Releasors acknowledge that claims or facts in addition to or different from those which are now known to exist with respect to the matters mentioned herein may later be discovered and that it is the Releasors' intention to hereby fully and forever settle and release any and all matters, regardless of the possibility of later discovered claims or facts. The Releasors acknowledge that they have had adequate opportunity to gather all information necessary to enter into this Agreement and release, and need no further information or knowledge of any kind that would otherwise influence the decision to enter into this Agreement. The Releasors, for themselves and their heirs, successors and assigns, hereby expressly, voluntarily, and knowingly waive, relinquish and abandon each and every right, protection, and benefit to which they would be entitled, now or at any time hereafter under Section 1542 of the Civil Code of the State of California, as well as under any other statutes or common law principles of similar effect to said Section 1542, whether now or hereafter existing under the laws of California or any other applicable federal or state law with jurisdiction over the parties' relationship. The Releasors acknowledge that Section 1542 of the Civil Code of the State of California provides as follows:

> "A general release does not extend to claims which the creditor or releasing party does not know or suspect to exist in his favor at the time of executing the release, which if known by him must have materially affected his settlement with the debtor or released party."

This release is and shall be and remain a full, complete, and unconditional general release. The Releasors acknowledge and agree that this release and the foregoing waiver are an essential, integral and material term of this Agreement. The Releasors further acknowledge and agree that no violation of this Agreement shall void the releases set forth in Sections 14 and 15.

17. Confidentiality. Assignor and Assignee acknowledge and agree that this Agreement and matters discussed in relation thereto are entirely confidential. It is therefore understood and agreed by Assignor and Assignee that they will not reveal, discuss, publish or in any way communicate any of the terms, amount or fact of this Agreement to any person, organization or other entity, except to their respective officers, employees or professional representatives, or as required by law.

18. Miscellaneous. This Agreement, and the documents referred to herein, constitute the entire agreement among the parties with respect to the subject matter hereof. No amendment will be binding unless in writing and signed by the party against whom enforcement is sought. All representations, warranties, agreements and all other provisions of this Agreement which by their terms or by reasonable implication are intended to survive the closing of this transaction will survive it.

19. Representation by Counsel. The parties have had adequate opportunity to consult with an attorney of their respective choice, including with respect to the release of claims set forth herein.

20. Governing Law/Venue. This Agreement will be construed and enforced in accordance with the laws of Texas, without regard to principles of conflicts of law. The parties further agree that any legal proceeding relating to this Agreement or the enforcement of any provision herein shall be brought or otherwise commenced only in the courts of Texas.

21. Counterparts. This Agreement may be executed in more than one counterpart, each of which shall constitute an original copy.

ASSIGNOR:

[_____]

By: _____
Name:
Title:

Date: _____

ASSIGNEE:

[_____]

By: _____
Name:
Title:

FRANCHISOR:

Lawn Pride SPV LLC

By: _____
Name:
Title:

Effective Date: _____, 20__

*This release does not apply with respect to claims arising under the Washington Franchise Investment Protection At, RCW 19.100, and the rules adopted thereunder.

EXHIBIT M
CALL CENTER PROGRAM AGREEMENT

NEIGHBORLY CUSTOMER SOLUTIONS TERMS OF USE

The following Terms of Use (the "Terms") is a binding agreement between you ("User", "you", or "your") and Neighborly Service Solutions SPV LLC d/b/a Neighborly Customer Solutions and its affiliates with offices located at 1010 N. University Parks Drive, Waco, Texas 76707 ("NCS", "we", or "us") (Singularly a "Party" and together "the Parties"). These Terms govern your access to and use of NCS's call center and any additional services (the "Service").

THESE TERMS TAKE EFFECT WHEN YOU ACCESS OR USE THE SERVICE (THE "EFFECTIVE DATE"). BY ACCESSING OR USING THE SERVICE, YOU (A) ACKNOWLEDGE THAT YOU HAVE READ AND UNDERSTAND THESE TERMS; (B) REPRESENT AND WARRANT THAT YOU HAVE THE RIGHT, POWER, AND AUTHORITY TO ENTER INTO THESE TERMS AND, IF ENTERING INTO THESE TERMS FOR AN ORGANIZATION, THAT YOU HAVE THE LEGAL AUTHORITY TO BIND THAT ORGANIZATION; AND (C) ACCEPT THESE TERMS AND AGREE THAT YOU ARE LEGALLY BOUND BY THESE TERMS. IF YOU DO NOT ACCEPT THESE TERMS, YOU MAY NOT ACCESS OR USE THE SERVICE. YOU MAY NOT ACCESS THE SERVICE IF YOU ARE A COMPETITOR OF NCS OR ITS PARENTS OR AFFILIATES, EXCEPT WITH OUR PRIOR WRITTEN CONSENT.

1. Services Terms. By using NCS's call center and any additional services as described on Exhibit "B", hereinafter defined as the "Services", you agree to follow and be bound by these Terms as of the date you begin using the Services. If you will be using the Services on behalf of an organization, an authorized representative from that organization must agree to these Terms. In such case, "you" and "your" will refer to that organization as well.

1.1 Access. Subject to your payment of the fees as provided in Section 1.7 below, NCS agrees to provide the Services on the Terms herein. NCS hereby grants you a revocable, non-exclusive, non-transferable, non-sublicensable, limited right to access and use the Service during the Term solely for your internal business operations in accordance with the terms and conditions herein and the restrictions set forth in the Service type applicable to your subscription.

1.2 Acceptable Use Policy. You will comply with all terms and conditions of these Terms, the Acceptable Use Policy, attached as Exhibit A, all applicable laws, rules, and regulations, and all guidelines, standards, and requirements that NCS may update from time to time. You shall not, and shall not permit any Users to, use the Service for any purposes beyond the scope granted in these Terms and any other terms provided by NCS.

1.3 Customer Data. You agree that all right, title, and interest, including all intellectual property rights in and to information, data, and other content, in any form or medium, that is submitted, posted, or otherwise transmitted by or on behalf of a customer or any other User through the Service is owned by NCS or its affiliates.

1.4 Usage Verification. At NCS's request, and no more than once every twelve (12) months, you shall certify in writing to NCS that you are compliant with these Terms.

1.5 Privacy Policy. NCS complies with its privacy policy available at https://neighborly.com/privacy-policy/ ("Privacy Policy"), in providing the Service. The Privacy Policy is subject to change as described therein. By accessing, using, and providing information to or through the Service, you acknowledge that you have reviewed and accepted our Privacy Policy, and you consent to all actions taken by us with respect to your information in compliance with the then-current version of our Privacy Policy.

1.6 Third Parties. The Services may contain or otherwise make use of software, code or related materials from third parties, including, without limitation, "open source" or "freeware" software ("Third-Party Components"). Third-Party Components may be licensed under additional or other license terms that accompany such Third-Party Components. You acknowledge and agree that these accompanying license terms govern their use. Nothing

in these Terms limits your rights under, or grants you rights that supersede, the license terms that accompany any Third Party Components. You agree that NCS may engage one or more third parties, including its affiliates, to provide some or all of the Services to you on behalf of NCS. You agree that the terms of use or service of potential third-party service provider apply to the account and Services provided by NCS and or the third-party service provider. NCS is not liable or responsible for any actions of the third-party service providers. You agree to fully cooperate with such third parties.

1.7 Fees. You agree to pay to NCS the call center fees specified in the applicable Franchise Agreement between you and Lawn Pride SPV LLC, in accordance with the payment terms set forth in such Franchise Agreement.

2. Term. The Services shall commence on the Effective Date, pursuant to these Terms, and the Parties intend that the provision of the Services will be coextensive with all renewals and extensions thereof (the "Term"), unless sooner terminated as provided for herein.

2.1 Automatic Termination. The Services will terminate automatically upon the expiration, nonrenewal or termination of the Franchise Agreement.

2.2 Termination by NCS. NCS may terminate these Services at any time for any reason. If you or your organization fail to pay for the Services, NCS may terminate the Services immediately.

2.3 Disabling of the Services. NCS reserves the right to disable the functionality of the Services, in whole or in part, in the event that you materially breach these Terms. NCS will not be liable to User for any damages whatsoever that may result directly or indirectly from disabling the functionality of the Services, pursuant to this section.

3. Support and Maintenance.

3.1.1 During the Term, NCS will provide maintenance and support services to you as set forth in **Exhibit "B"**. NCS may, in its discretion, modify, upgrade or create fixes, service releases and new versions of the Services from time to time.

3.1.2 User acknowledges that the proper functioning of the Services as intended may require User to give NCS remote access to its network. User understands and acknowledges that such remote access will allow NCS to have access to the data generated by User, and will allow for User's submission of periodic reports to NCS. User agrees to provide NCS access to all data to and from the Services.

3.1.3 NCS will provide the Services in a professional manner and in accordance with generally accepted industry standards (including, without limitation, with respect to quality, timeliness, nature, accuracy, completeness, responsiveness and efficiency).

4. NCS Intellectual Property.

User acknowledges that NCS, its parents, and affiliates retain all rights in and to all content, systems, software, software code, designs, logos, trademarks, trade names, databases, data, customer data, inventions, improvements, or other works submitted, added to, created, or used for or in connection with the Services, whether or not created or developed under these Terms for User, unless otherwise assigned to

User in writing. NCS reserves all rights not expressly granted to you in these Terms. Except for the limited rights and licenses expressly granted under these Terms, nothing in these Terms grants, by implication, waiver, estoppel, or otherwise, to you or any third party any intellectual property rights or other right, title, or interest in or to the NCS intellectual property.

5. User Representations.

User represents to NCS that: (a) it has the authority to enter into these Terms; (b) it will provide NCS necessary access to its personnel, appropriate documentation and records and facilities in order to timely provide the Services; (c) it has any necessary rights, including intellectual property rights, to the content and all other material provided to NCS under these Terms; and (d) it will comply with all applicable United States laws and regulations, including privacy laws and regulations, related to the Services.
User represents and warrants that the use of all elements that you provide to NCS for the Services or otherwise, including text, images, ad copy, any personal information, or any other content, will not infringe upon or violate any copyrights, trademarks, service marks, trade secrets, privacy and publicity rights, contractual rights, or other rights of any third party.

6. Confidentiality and Limited Access.

Each party acknowledges and agrees that each party has a legitimate interest in protecting its proprietary information. Each party acknowledges that during the Term, it may have access to confidential information and trade secrets from the other party, consisting of, but not limited to, customer lists and information concerning each other's methods of operations, regulatory status, systems, products and other such proprietary business information. For the purposes of these Terms, "confidential information" means any confidential or other proprietary information disclosed by one party to the other under these Terms, except information that (a) is public knowledge at the time of disclosure by the disclosing party (b) was known by the receiving party after such disclosure, or becomes public knowledge or otherwise known to the receiving party after such disclosure, other than breach of confidentiality obligation, or (c) is independently developed by the receiving party. The Parties, each jointly and severally, mutually promise and agree, not to disclose confidential information obtained from the other party. Upon NCS's request and direction, User will provide all data to NCS. The Parties may provide Personal Information to each other for the sole purpose of providing the Services under these Terms. For the avoidance of doubt, the provision of Personal Information by either Party does not constitute a sale of such Personal Information. User shall immediately notify NCS upon discovering any loss or theft of any copy of the Services or its documentation or any data generated by its use, or any unauthorized disclosure thereof.

7. Indemnification.

User shall defend, indemnify and hold harmless NCS, and their parents, affiliates, successors, directors, officers, attorneys, employees and representatives from any loss, liability, damage, cost and expense (including reasonable attorney fees actually incurred) arising out of claims related to (i) misuse of the Services; (ii) unapproved use of marketing collateral, content, or images; (iii) gross negligence or willful misconduct; (iv) breach of these Terms and or damages caused by User while using the Services; and/or (v) any breach of the laws relating to the sending of electronic messages.

8. Limitation of Liability.

***Disclaimer of Warranty*. EXCEPT AS SPECIFICALLY PROVIDED HEREIN, NCS DOES NOT MAKE ANY EXPRESS OR IMPLIED WARRANTY WHATSOEVER. NCS EXPRESSLY DISCLAIMS THE IMPLIED WARRANTIES OF MERCHANTABILITY AND FITNESS FOR A PARTICULAR PURPOSE.**

***Limitation of Liability*. THE LIABILITY OF NCS TO USER WILL BE LIMITED TO DIRECT DAMAGES ARISING SOLELY OUT OF NCS'S MAINTENANCE OBLIGATIONS UNDER THESE TERMS. IN NO EVENT WILL NCS BE LIABLE FOR INCIDENTAL, SPECIAL, INDIRECT, OR CONSEQUENTIAL DAMAGES (INCLUDING LOST PROFITS), EVEN IF NCS HAS PREVIOUSLY BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.**

Notwithstanding anything to the contrary, the Services of NCS are provided "AS IS" without warranties of any kind, either express or implied. If NCS fails for any reason to provide services as stated in these Terms, NCS's sole obligation will be to correct the failure or providing such service on the terms or similar terms as contained herein.

9. Force Majeure.

Neither party hereunder shall be liable to the other for any failure or delay in performance of its obligations under these Terms due to causes beyond reasonable control of the party in question such as governmental action or rioting, civil commotion, fire, flood, epidemic or other act of God. Performance of the contractual obligation which has been delayed by the force majeure shall be deemed suspended only for a period equal to the delay caused by such an event.

10. Governing Law and Forum.

These Terms shall be governed and construed in accordance with the laws of the State of Texas without regard to Texas's conflicts of law principles. The Parties hereby irrevocably consent to the non-exclusive jurisdiction of the federal and state courts located in Waco, McLennan County, Texas, in any action for temporary, interim or provisional equitable remedies. The Parties hereby waive, to the full extent permitted by law, defenses based on jurisdiction, venue and forum non conveniens. The Parties further consent to service of process by certified mail, return receipt requested, or by any other means permitted by law.

11. Waiver.

No delay, omission or failure to exercise any right or remedy provided for herein will be deemed to be a waiver thereof or acquiescence in the event giving rise to such right or remedy. No waiver will be binding unless contained in a writing signed by the party waiving its rights. Any waiver is limited to the specific situation in which it is given and no waiver of any breach or default under these Terms will be construed as a waiver of any earlier or succeeding breach or default.

12. Assignments.

NCS has the right to sell or assign, in whole or in part, these Terms or any of its interest in these Terms, without prior notice to User, and without User's consent. To the extent that the purchaser or assignee shall

assume our covenants and obligations under these Terms, NCS shall thereupon and without further agreement, be freed and relieved of all liability with respect to such covenants and obligations.

13. Notices.

All notices and demands required or permitted to be given by either party to the other under these Terms shall be in writing, including via email, to the contact information provided herein. If to NCS, copies of all notices should be sent to such email address as may be provided to User from time to time.

14. Severability.

If any part of these Terms are for any reason found to be invalid, illegal or unenforceable, the validity, legality and enforceability of the remaining provisions of these Terms shall not be affected and same shall remain in effect.

15. Compliance with Laws.

In performing under these Terms, each party shall comply with all applicable federal, state, or local laws, rules and regulations ("Laws") at each party's own expense and each party shall indemnify and hold the other party harmless for their failure to comply with all Laws.

16. Entire Agreement.

These Terms constitute the entire integrated Agreement and understanding between the NCS and User with respect to the subject matter hereof, and supersedes all prior and contemporaneous negotiations, discussions, and understandings between the NCS and User, either written or oral. User hereby certifies it has the full capacity to enter into these Terms. By using the Services, User acknowledges that User has read, understood, and agreed to be bound by all of the terms and conditions of these Terms, as well as any updates, changes, or additional terms and conditions as may be added or modified by NCS from time to time with or without notice to User. These Terms will not be construed more strictly against NCS merely by virtue of the fact that the same has been prepared by NCS or its counsel, it being recognized that User has thoroughly read and reviewed these Terms. The parties agree to execute such other documents as may be reasonably necessary to carry out the intent and purpose of these Terms.

EXHIBIT "A"
Acceptable Use Policy

The examples listed in this Policy are not exhaustive. Prohibited uses and activities include, without limitation, any use of the Service in a manner that, in NCS's reasonable judgment, involves, facilitates, or attempts any of the following:

- violating any law of, or committing conduct that is tortuous or unlawful in, any applicable jurisdiction;
- advocating or encouraging violence or providing instruction, information, or assistance in causing or carrying out such violence, regardless of whether such activity is unlawful;
- displaying, performing, sending, receiving or storing any content that is obscene, pornographic, lewd, or excessively violent, regardless of whether the material or its dissemination is unlawful;
- deleting or altering author attributions, copyright notices, or trademark notices, unless expressly permitted in writing by the owner;
- uploading, posting, publishing, transmitting, reproducing, creating derivative works of, or distributing in any way information, software or other material obtained through the Service or otherwise that is protected by copyright, trade secret or other intellectual property right, without obtaining any required permission of the owner;
- transmitting sensitive personal information of an individual in a manner that can be associated with the individual;
- obtaining unauthorized access to any system, network, service, or account;
- interfering with service to any user, site, account, system, or network by use of any program, script, command, or otherwise;
- evading spam filters, or sending or posting a message or e-mail with deceptive, absent, or forged identification information;
- transmitting unsolicited bulk or commercial messages;
- sending very large numbers of copies of the same or substantially similar messages, empty messages, or messages which contain no substantive content, or sending very large messages or files that disrupts any service;
- participating in the collection of very large numbers of e-mail addresses, screen names, or other identifiers of others (without their prior consent), or participating in the use of software (including "spyware") designed to facilitate this activity;
- falsifying, altering, or removing message headers;
- impersonating any person or entity, engage in sender address falsification, forge anyone else's digital or manual signature, or perform any other similar fraudulent activity;
- accessing any other person's computer or computer system, network, software, or data without his or her knowledge and consent;
- breaching the security of another user or system;
- using or distributing tools or devices designed or used for compromising security or whose use is otherwise unauthorized;
- copying, distributing, or sublicensing any proprietary software provided in connection with the Service by NCS;
- altering, modifying, or tampering with the Service or software or permitting any other person to do the same who is not authorized by NCS;
- restricting, inhibiting, or otherwise interfering with the ability of any other entity, to use the Service;
- restricting, inhibiting, interfering with, or otherwise disrupting or cause a performance degradation to the Service or any NCS host, server, backbone network, node or service, or otherwise cause a performance degradation to any NCS facilities used to deliver the Service; or
- interfering with computer networking or telecommunications service to any user, host or network.

EXHIBIT "B"

The Services include the following:

- call routing
- processing of customer requests for services and other customer inquiries
- scheduling of estimates for customer jobs
- referral of customer service requests to franchisees

NCS reserves the right to revise the scope of the services included in the Services from time to time upon notice.

NCS support and maintenance services include the following:

- Reasonable commercial effort to respond to support requests within 48 hours.

EXHIBIT N

BACKOFFICE HELPDESK SERVICE AGREEMENT

EXHIBIT N

BACKOFFICE

HELPDESK PROGRAM SERVICE AGREEMENT

This Agreement made and entered into on _____, by and between **BACK OFFICE SPV LLC** of 1010 North University Parks Dr., Waco, Texas 76707 hereinafter referred to as "BackOffice" and _____, having an address of _____hereinafter referred to as "Client" or "You."

1. **Definitions**. Whenever used in this Agreement, the following words and terms have the following meanings:

a. "**Data**"is any information provided to BackOffice by Client to be entered into the Franchisor approved POS or Bookkeeping Software, or for the purpose of fulfilling the terms and/or purposes of this Agreement.

b. "**Franchisor**" is LAWN PRIDE SPV LLC, located at 1010 N University Parks Drive, Waco, TX 76707.

c. "**Proprietary Information**" is any information, including, but not limited to, technical or non-technical data, compilations, computer software, methods, techniques, processes, financial data, strategic plans, lists of actual or potential customers or vendors which are not commonly known by or available to the public and which information: (a) derives economic value, actual or potential, from not being generally known to, and not being readily ascertainable by proper means by, other persons who can obtain economic value from its disclosure or use; and (b) is the subject of efforts that are reasonable under the circumstances to maintain its secrecy.

d. "**POS Software**" is the Franchisor-approved proprietary, co-branded software used by BackOffice into which data will be entered under this Agreement, currently Real Green by Workwave and QuickBooks Online ("QBO").

The parties hereby mutually acknowledge as follows:

2. **Back Office Obligations**. During the Term of this Agreement, BackOffice agrees to perform the following services for Client after Client provides the required Data to Back Office:

a. Enter Data into the QBO.

b. Within the payables section QBO, (i) record invoices from vendors; (ii) create recurring invoices for vendors as specified in Data~~;~~ (iii) attach invoices to work orders; (iv) work with franchise owner to input the invoices through bill pay, provided the owner has a balance to pay all or a portion of the bills; and (v) create checks in PDF, and forward to you via E-mail.

c. Enter data into QBO, including without limitation, (i) (ii) entering necessary journal entries and adjustments; (iii); (iv) entering all debit/credit card transactions; (v) processing all invoices/bills; (vi); (vii) entering all automatic withdrawals and transfers; (viii) matching bank

transactions and performing regular bank reconciliations; and (ix) providing and monitoring regular reports.

d. Work with Client in a combined effort to match Franchisor's best practices with Client's business and train on processing all revenue and other payments

BackOffice has the right, but not the obligation to enter data in other sections of your software as may be necessary to fulfill the purposes of this Agreement. BackOffice will in no way provide, advise, or consult regarding any services related to any tax issues (federal, state, or local), unless otherwise engaged in writing, which would require additional fees.

3. **Client Obligations**. During the Term of this Agreement Client agrees to:

a. Keep your Real Green and QBO subscriptions current in order for BackOffice to perform its obligations.

b. Enter Data under the receivables section of the Real Green (i) all of your sales; (ii)adjustments; (iii) refunds; (iv) rebates from vendors; (n) your other income; and (vi) payments from your clients.

c. Enter all necessary information into the Real Green and QBO as assigned and with oversight by BackOffice and work with BackOffice in a combined effort to match Franchisor's best practices with Client's business.

d. Provide to BackOffice all Data as requested for business expenses.

e. Provide to BackOffice read only access to all bank and business credit card accounts, for verification and reconciliation purposes.

f. Provide any other requested access to BackOffice necessary to post transactions accurately.

g. Verify all information in the Payables section of the QBO that was entered by BackOffice, obtain from all vendors a completed IRS form W-9 in addition to vendor contact information, and send to BackOffice a copy of the invoice and any details that BackOffice requires and any payments made by Client that were not provided to BackOffice.

If, upon entering into this agreement, there are any data-entry issues to be corrected by BackOffice, which determination will be made by BackOffice, there will be an additional charge at the market hourly rate, currently $75.00 (Seventy-Five Dollars) per hour, in order for BackOffice to correct the data entry error. This charge is subject to market increases at the discretion of BackOffice.

Client agrees and acknowledges that the obligations to be performed under this Agreement are necessary and required, and that there may be other entries to be performed by Client in Real Green and QBO in order to fully utilize the software's features.

Client further agrees and acknowledges that BackOffice may share any and all Data and financial information of Client collected or made known to BackOffice during the term of this Agreement, with Franchisor and its officers, directors and employees for purposes, including, but not limited

to, of calculating royalties, determining and analyzing financial health of Client, and creating financial performance representations.

4. **Term**. This Agreement shall be in effect for at least 12 months from the date of execution. After 12 months, Client may request termination or amendment of the BackOffice HelpDesk Program. Such request must be received by BackOffice at least 30 days prior to Client discontinuing its use of the BackOffice HelpDesk Program. If such request is approved by BackOffice, in consultation with Franchisor, the contractual relationship between Client and BackOffice will be then defined between the parties.

5. **Termination and Breach**. This Agreement terminates immediately upon termination or expiration of Client's Franchise Agreement with Franchisor. BackOffice may also terminate this Agreement for Client's failure to provide Data to BackOffice or for Client's failure to maintain a valid Fusion and QBO Software subscription if such breach is not cured within 30 days after BackOffice provides Client notice of the breach. BackOffice may terminate this Agreement for convenience with thirty (30) days' notice.

6. **Fees**. All services performed by BackOffice under this Agreement are to be prepaid. The fees for the services provided under this Agreement are set forth on Schedule A attached hereto. Fees due for the following month will be assessed on the 15th of the previous month, and payments to BackOffice will be automatically deducted by the 15th day of the month by ACH.

7. **Indemnification**. Both during and after BackOffice provides the above services to Client, Client will indemnify, defend and hold BackOffice and its directors, officers, affiliates, agents and employees harmless from and against any and all liabilities, suits, claims, losses, damages and expenses, including reasonable attorneys' fees and costs arising out of or related to the failure of any of the representations or warranties made by Client, any acts or omissions of Client, or any breach of any obligation or duty under this Agreement.

8. **Limitation of Liability**. IN NO EVENT SHALL BACKOFFICE BE LIABLE TO CLIENT OR TO ANY THIRD PARTY FOR ANY LOSS OF USE, REVENUE OR PROFIT, LOSS OF DATA, DIMINUTION IN VALUE OR FOR ANY CONSEQUENTIAL, INCIDENTAL, INDIRECT, EXEMPLARY, SPECIAL OR PUNITIVE DAMAGES WHETHER ARISING OUT OF BREACH OF CONTRACT, TORT, INCLUDING NEGLIGENCE, OR OTHERWISE, REGARDLESS OF WHETHER SUCH DAMAGES WERE FORESEEABLE AND WHETHER OR NOT BACKOFFICE HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES, AND NOTWITHSTANDING THE FAILURE OF ANY AGREED OR OTHER REMEDY OF ITS ESSENTIAL PURPOSE. FURTHER, IN NO EVENT SHALL BACKOFFICE'S AGGREGATE LIABILITY ARISING OUT OF OR RELATED TO BREACH OF CONTRACT, TORT, INCLUDING NEGLIGENCE, OR OTHERWISE, EXCEED THE AMOUNT PAID UNDER THIS AGREEMENT DURING THE SIX MONTH PERIOD PRECEDING THE EVENT GIVING RISE TO THE CLAIM. THE LIMITATION UNDER THIS SECTION SHALL NOT APPLY TO LIABILITY RELATED TO BACKOFFICE'S GROSS NEGLIGENCE OR WILLFUL MISCONDUCT. Client is solely responsible for ensuring that all services performed by BackOffice comply with all applicable state laws and regulations.

9. **Disclaimer of Warranties**. EXCEPT AS OTHERWISE SET FORTH HEREIN, BACKOFFICE MAKES NO REPRESENTATION OR WARRANTY WHATSOEVER WITH RESPECT TO THE SERVICES, INCLUDING ANY WARRANTY OF MERCHANTABILITY, WARRANTY OF FITNESS FOR A PARTICULAR PURPOSE, WARRANTY OF TITLE, OR WARRANTY AGAINST THE INFRINGEMENT OF INTELLECTUAL PROPERTY RIGHTS OF A THIRD PARTY; WHETHER EXPRESS OR IMPLIED BY LAW, COURSE OF DEALING, COURSE OF PERFORMANCE, USAGE OF TRADE OR OTHERWISE.

10. **Confidentiality**. Both during and after the term of this Agreement, Client will not disclose any Proprietary Information or the terms of this Agreement to any third party without the written consent of BackOffice.

11. **Additional Work or Changes**. Any additional work or changes that BackOffice must perform that are not specified in this Agreement or any other amendment to this Agreement must be in writing and mutually agreed upon (e-mail will be sufficient). BackOffice will charge the current market rate of $75.00 (Seventy-Five Dollars) per hour for any additional work or changes. This charge is subject to market increases at the discretion of BackOffice upon thirty-days prior written notice to Client and Franchisor.

12. **Independent Contractor**. Nothing in this Agreement will be deemed to create a partnership, joint venture, or principal and agent relationship between the parties. BackOffice is acting as an independent contractor of Client. Neither party shall have any right to obligate or bind the other party in any manner.

13. **No Legal or Tax Advice.** Both Parties acknowledge and agree that no service or product provided by BackOffice shall be considered or construed as legal or tax advice. Client is fully responsible for ensuring legal sufficiency of any and all services or products provided by BackOffice.

14. **Force Majeure**. BackOffice shall not be liable to Client, nor be deemed in default or breach of this Agreement for any failure or delay in fulfilling or performing any term of this agreement when and to the extent such failure or delay is caused by or results from any event or circumstance, regardless of whether it was foreseeable, that was not caused by that party and that prevents a party from complying with any of its obligations under this Agreement.

15. **Assignment**. Client may not assign any of its rights or delegate any of its obligations hereunder without the prior written consent of BackOffice. Any purported assignment or delegation in violation of this Section is null, void and of no effect. BackOffice may assign this Agreement for any reason.

16. **Notice**. All notices and other communications hereunder shall be in writing and addressed to the parties at the address set forth in this Agreement or to such other address as may be designated by the party in writing. All notices shall be effective upon receipt and must be delivered by personal delivery, nationally recognized overnight courier, with all fees prepaid, or certified or registered mail, postage prepaid and return receipt requested.

17. **Governing Law and Venue**. This Agreement will be construed in accordance with the laws of the State of Texas, and jurisdiction and venue of any matters for disputes relating to this Agreement will be vested exclusively in the courts located in Waco, McLennan County, Texas.

18. **Severability**. If any provision of this Agreement is held unenforceable, then such provision will be modified, if possible, or removed to reflect, as near as possible, the parties' intentions. All remaining provisions of this Contract shall remain in full force and effect.

19. **Waiver**. No waiver by BackOffice of any of the provision of this Agreement is effective unless expressly set forth in writing and signed by BackOffice. No failure to exercise, or delay in exercising, any rights, remedies, powers or privileges arising from this Agreement operates or may be construed as a waiver thereof. No single or partial exercise of any right, remedy, power or privilege hereunder precludes any other or further exercise thereof or the exercise of any other right, remedy, power or privilege.

20. **Amendments or Modifications**. This Agreement may only be amended or modified in a writing signed by each party.

21. **Headings**. The headings used in this Agreement are for convenience only and do not affect the validity or interpretation of the provisions to which they refer.

22. **Entire Agreement**. This Agreement constitutes the entire Agreement and understanding between the parties, superseding all other agreements, whether oral or written, in regards to the subject matter herein. This Agreement does not, however, diminish any obligations of Client required by the Franchise Agreement or other agreement with Franchisor, nor does it diminish any rights of Franchisor found in the Franchise Agreement or other agreement.

[SIGNATURES ON NEXT PAGE]

CLIENT:

_____

_____
Date

BACK OFFICE SPV LLC
A Delaware limited liability company

BY:
_____

_____
Date

SCHEDULE A TO EXHIBIT N

BACKOFFICE

HELPDESK PROGRAM SERVICE AGREEMENT

Fees:

- □ $200.00 per month for up to 3 hours of service, or
- □ $400.00 per month for up to 6 hours of service.

An hourly charge of $75 will be charged for any additional hours.
The fees may increase in the future but not more than by more than 30% annually.

EXHIBIT O

STATE ADDENDA AND FRANCHISE AGREEMENT RIDERS

RIDER TO THE STATE ADDENDUM
TO THE FRANCHISE DISCLOSURE DOCUMENT AND FRANCHISE AGREEMENT

FOR THE FOLLOWING STATES ONLY: CALIFORNIA, HAWAII, ILLINOIS, INDIANA, MARYLAND, MICHIGAN, MINNESOTA, NEW YORK, NORTH DAKOTA, RHODE ISLAND, SOUTH DAKOTA, VIRGINIA, WASHINGTON, AND WISCONSIN

This Rider to the State Addendum to the Franchise Disclosure Document and Franchise Agreement is entered into by and between _____, a Delaware limited liability company with an address of _____ ("Franchisor") and _____, individually, with an address of _____("Franchisee").

A. This Rider is being signed because (i) the franchised business that Franchisee will operate under the Agreement will be located in one of the states listed in the heading of this Rider (the "Applicable Franchise Registration State"); and/or (ii) any of the franchise offering or sales activity with respect to the Agreement occurred in the Applicable Franchise Registration State.

B. Franchisor and Franchisee have contemporaneously herewith entered into a Franchise Agreement (the "Agreement") and wish to amend the Agreement as provided herein.

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Agreement is hereby amended as follows:

1. The following language is hereby added to the end of the Agreement:

"No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise."

2. Except as provided in this Rider, the Agreement remains in full force and effect in accordance with its terms. This Rider shall be effective only to the extent that the jurisdictional requirements of the franchise law of the Applicable Franchise Registration State are met independently without reference to this Rider.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____

_____, individually

Accepted as of the _____ day of _____, 20__, in _____.

FRANCHISOR:

_____

BY: _____

_____, President

ADDENDUM TO THE
LAWN PRIDE SPV LLC FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF CALIFORNIA

1. **THE CALIFORNIA FRANCHISE INVESTMENT LAW REQUIRES THAT A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE BE DELIVERED TOGETHER WITH THE DISCLOSURE DOCUMENT.**

2. OUR WEBSITES, www.lawnpride.com, www.neighborlybrands.com, and www.leadingtheserviceindustry.com HAVE NOT BEEN REVIEWED OR APPROVED BY THE CALIFORNIA DEPARTMENT OF FINANCIAL PROTECTION & INNOVATION. ANY COMPLAINTS CONCERNING THE CONTENT OF THESE WEBSITES MAY BE DIRECTED TO THE CALIFORNIA DEPARTMENT OF FINANCIAL PROTECTION & INNOVATION at www.dfpi.ca.gov.

3. Item 3 is amended to add the following:

   Neither we, nor any person identified in Item 2 is subject to any currently effective order of any national securities association or national securities exchange, as defined in the Securities Exchange Act of 1934, §15 U.S.C.A. 578(a) et seq., suspending or expelling such persons from membership in such association or exchange.

4. Items 17(c), (d), (e), (f), (g), (h) and (i) are amended to add the following:

   California Business and Professions Code §§20000 through 20043 provide rights to you concerning termination, transfer or non-renewal of the franchise. If the franchise agreement is inconsistent with California law, California law will control.

5. Item 17 (h) is amended to add the following:

   The franchise agreement provides for termination under bankruptcy. This provision may not be enforceable under federal bankruptcy law (11 U.S.C. Sec. 101 et.seq.). Franchisor reserves the right to challenge, and intends to challenge, the applicability of any law that declares provisions of the franchise agreement void or unenforceable.

6. Item 17(m) is amended to add the following:

   You must sign a general release of all claims if you renew or transfer the franchise to a third party. California Corporations Code §31512 voids a waiver of your rights under the Franchise Investment Law (California Corporations Code §§31000–31516) and Business and Professions Code §20010 voids a waiver of your rights under the Franchise Relations Act (Business and Professions Code §§20000–20043).

7. Item 17(r) is amended to add the following:

   The franchise agreement contains a covenant not to compete that extends beyond the termination of the franchise. This provision may not be enforceable under California law. Franchisor reserves the right to challenge, and intends to challenge, the applicability of any law that declares provisions of the franchise agreement void or unenforceable.

8. Item 17(s) is amended to add the following:

California Corporations Code §31125 requires us to give you a disclosure document, in a form containing information that the Commissioner may by rule or order require, before a solicitation of a proposed material modification of an existing franchise.

9. Item 17(u) is amended to add the following:

You are encouraged to consult private legal counsel to determine the applicability of California and federal laws (such as Business and Professions Code Section 20040.5, Code of Civil Procedure Section 1281, and the Federal Arbitration Act) to any provisions of a franchise agreement restricting venue to a forum outside the state of California.

10. Item 17(v) is amended to add the following:

The franchise agreement requires any litigation to be filed in Waco, McLennan County, Texas. This provision may not be enforceable under California law. Franchisor reserves the right to challenge, and intends to challenge, the applicability of any law that declares provisions of the franchise agreement void or unenforceable.

11. Item 17(w) is amended to add the following:

The franchise agreement requires application of the laws of the State of Texas. This provision may not be enforceable under California law. Franchisor reserves the right to challenge, and intends to challenge, the applicability of any law that declares provisions of the franchise agreement void or unenforceable.

12. California Corporations Code Section 31125 may require us to give you a disclosure document approved by the California Department of Financial Protection & Innovation before a solicitation of a proposed modification of an existing franchise.

No statement, questionnaire, or acknowledgement signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including, fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with this franchise.

Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the California Franchise Investment Law are met independently without reference to this Addendum.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF HAWAII

THESE FRANCHISES WILL BE/HAVE BEEN FILED UNDER THE FRANCHISE INVESTMENT LAW OF THE STATE OF HAWAII. FILING DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE DIRECTOR OF COMMERCE AND CONSUMER AFFAIRS OR A FINDING BY THE DIRECTOR OF COMMERCE AND CONSUMER AFFAIRS THAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.

THE FRANCHISE INVESTMENT LAW MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, OR SUBFRANCHISOR, AT LEAST SEVEN DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE OF ANY BINDING FRANCHISE OR OTHER AGREEMENT, OR AT LEAST SEVEN DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION BY THE FRANCHISEE, OR SUBFRANCHISOR, WHICHEVER OCCURS FIRST, A COPY OF THE OFFERING CIRCULAR, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE.

THIS OFFERING CIRCULAR CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR A STATEMENT OF ALL RIGHTS, CONDITIONS, RESTRICTIONS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF ILLINOIS

State Cover Page; Risk Factors.

The following statement is added to the end of the first Risk Factor: Section 4 of the Illinois franchise disclosure act provides that any provision in a franchise agreement that designates jurisdiction or venue in a forum outside of Illinois is void with respect to any cause of action which otherwise is enforceable in Illinois; provided, however, that the franchise agreement may provide for arbitration in a forum outside of Illinois.

Item 17 – Additional Disclosures.

The Illinois Franchise Disclosure Act will govern any franchise agreement if it applies to a franchise located in Illinois.

In conformance with Section 4 of the Illinois Franchise Disclosure Act, any provision in a franchise agreement that designates jurisdiction and venue in a forum outside of the State of Illinois is void. However, a franchise agreement may provide for arbitration to take place outside of Illinois.

Franchisees rights upon termination and non-renewal are set forth in sections 19 and 20 of the Illinois Franchise Disclosure Act.

In conformance with Section 41 of the Illinois Franchise Disclosure Act, any condition, stipulation or provision purporting to bind any person acquiring any franchise to waive compliance with the Illinois Franchise Disclosure Act or any other law of Illinois is void.

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Illinois Franchise Disclosure Act (815 ILL. COMP. STAT. §§ 705/1 through 705/44) are met independently without reference to this Addendum.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF INDIANA

Nothing in this disclosure document or the franchise agreement is intended to be contrary to the provisions of the "Deceptive Franchise Practices" law of Indiana, which is contained in Indiana Code, Title 23, Article 2, Chapter 2.7, Sections 1 through 7 as amended ("Indiana Franchise Practices Law"). In the event of any conflict between any provision of the franchise agreement and the Indiana Franchise Practices Law the Indiana law will control, but in that case, the provision of the franchise agreement affected will be limited only to the extent necessary to bring it within the requirement of the law and, to that extent, that provision shall be deemed to have been omitted from the franchise agreement as of the date of execution of the franchise agreement. This will not affect the validity of any remaining portion of the franchise agreement.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF MARYLAND

ITEM 5: Based upon the Franchisor's financial condition, the Maryland Securities Commissioner has required a financial assistance. Therefore, all initial fees and payments owed by franchisees shall be deferred until the Franchisor completes its pre-opening obligations under the franchise agreement.

ITEM 11: To obtain an accounting of the MAP Fund, the franchisee should contact the Franchisor's President or Vice President in writing.

ITEM 17 of the disclosure document is amended to add the following:

> Under the Maryland Franchise Registration and Disclosure Law, Md. Code Ann. Bus. Reg. §14-201 et seq., no general release shall be required as a condition of renewal and/or transfer which is intended to exclude claims under the Maryland Franchise Registration and Disclosure Law.
>
> For claims arising under the Maryland Franchise Registration and Disclosure Law, any litigation between Franchisor and Franchisee or Area Developer, as applicable, may be instituted in any court of competent jurisdiction, including a court in the State of Maryland.
>
> Any claims arising under the Maryland Franchise Registration and Disclosure Law must be brought within 3 years after the grant of the franchise.
>
> The provisions in the Franchise Agreement which provide for termination upon bankruptcy of the franchisee or area developer, as applicable, may not be enforceable under federal bankruptcy law.

Franchisee Compliance Certification of the disclosure document is amended to add the following:

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Maryland Franchise and Disclosure Law (MD CODE ANN., BUS. REG. §§ 14-201 through 14-233) are met independently without reference to this Addendum.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF MINNESOTA:

1. **THESE FRANCHISES HAVE BEEN REGISTERED UNDER THE MINNESOTA FRANCHISE ACT. REGISTRATION DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE COMMISSIONER OF COMMERCE OF MINNESOTA OR A FINDING BY THE COMMISSIONER THAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.**

   THE MINNESOTA FRANCHISE ACT MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WHICH IS SUBJECT TO REGISTRATION WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, AT LEAST 7 DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE OF ANY BINDING FRANCHISE OR OTHER AGREEMENT, OR AT LEAST 7 DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION, BY THE FRANCHISEE, WHICHEVER OCCURS FIRST, A COPY OF THIS PUBLIC OFFERING STATEMENT, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE FRANCHISE. THIS PUBLIC OFFERING STATEMENT CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR AN UNDERSTANDING OF ALL RIGHTS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.

2. Item 13 is amended to add the following:

   The franchisor will protect the franchisee's rights to use the trademarks, service marks, trade names, logotypes or other commercial symbols or indemnify the franchisee from any loss, costs or expenses arising out of any claim, suit or demand regarding the use of the name. Minnesota considers it unfair to not protect the franchisee's right to use the trademarks. Refer to Minnesota Statues, Section 80C.12, Subd. 1(g).

3. Item 17(b) is amended to add the following:

   We will comply with Minn. Stat. §80C.14, which requires (except in certain specified cases) that we give you 180 days' notice for non-renewal of the franchise except in specified circumstances.

4. Item 17(f) is amended to add the following:

   We will comply with Minn. Stat. §80C.14, which requires (except in certain specified cases) that we give you 90 days' notice of termination and you will have 60 days to cure your default.

5. Item 17(c) and (m) are modified to include the following language after "general release":

   "(Minnesota Rules 2860.4400(D) prohibits a franchisor from requiring a franchisee to assent to a general release.)."

6. Item 17(l) is amended to add the following:

We will comply with Minn. Stat. §80C.14, which requires that consent to the transfer of a franchise not be unreasonably withheld.

7. The franchisee cannot consent to the franchisor obtaining injunctive relief. The franchisor may seek injunctive relief. See Minnesota Rules 2860.4400J. Also, a court will determine if a bond is required.

8. The Limitations of Claims section must comply with Minnesota Statutes, Section 80C.17, Subd. 5.

9. Item 17(v) is amended to add the following:

   Minnesota Statutes, Section 80C.21 and Minnesota Rules 2860.4400(J) prohibit the franchisor from requiring litigation to be conducted outside Minnesota, requiring waiver of a jury trial, or requiring the franchisee to consent to liquidated damages, termination penalties or judgment notes. In addition, nothing in the Franchise Disclosure Document or agreement(s) can abrogate or reduce (1) any of the franchisee's rights as provided for in Minnesota Statutes, Chapter 80C or (2) franchisee's rights to any procedure, forum, or remedies provided for by the laws of the jurisdiction.

10. Item 17(w) is amended to add the following:

    Texas law applies unless Minnesota state law supersedes this provision. Nothing in this disclosure document or the franchise agreement can abrogate or reduce any of your rights as provided for in Minnesota Statutes, Chapter 80C.

11. No statement, questionnaire, or acknowledgement signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including, fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with this franchise.

Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of Minnesota state franchise law (MINN. STAT. §§ 80C.01 through 80C.22) are met independently without reference to this Addendum.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF NEW YORK

1. The following information is added to the cover page of the Franchise Disclosure Document:

INFORMATION COMPARING FRANCHISORS IS AVAILABLE. CALL THE STATE ADMINISTRATORS LISTED IN EXHIBIT A OR YOUR PUBLIC LIBRARY FOR RESOURCES OR INFORMATION. REGISTRATION OF THIS FRANCHISE BY NEW YORK STATE DOES NOT MEAN THAT NEW YORK STATE RECOMMENDS IT OR HAS VERIFIED THE INFORMATION IN THIS FRANCHISE DISCLOSURE DOCUMENT. IF YOU LEARN ANYTHING IN THIS FRANCHISE DISCLOSURE DOCUMENT IS UNTRUE, CONTACT THE FEDERAL TRADE COMMISSION AND THE APPROPRIATE STATE OR PROVINCIAL AUTHORITY. THE FRANCHISOR MAY, IF IT CHOOSES, NEGOTIATE WITH YOU ABOUT ITEMS COVERED IN THE FRANCHISE DISCLOSURE DOCUMENT. HOWEVER, THE FRANCHISOR CANNOT USE THE NEGOTIATING PROCESS TO PREVAIL UPON A PROSPECTIVE FRANCHISEE TO ACCEPT TERMS THAT ARE LESS FAVORABLE THAN THOSE SET FORTH IN THIS FRANCHISE DISCLOSURE DOCUMENT.

2. The following is added at the end of Item 3:

Except as provided above, the following applies to the franchisor, its predecessor, a person identified in Item 2, or an affiliate offering franchises under the franchisor's principal trademark:

A. No such party has an administrative, criminal, or civil action pending against that person alleging: a felony, a violation of a franchise, antitrust, or securities law, fraud, embezzlement, fraudulent conversion, misappropriation of property, unfair or deceptive practices, or comparable civil or misdemeanor allegations.

B. No such party has pending actions other than routine litigation incidental to the business that is significant in the context of the number of franchisees and the size, nature, or financial condition of the franchise system or its business operations.

C. No such party has been convicted of a felony or pleaded nolo contendere to a felony charge or, within the ten years immediately preceding the application for registration, has been convicted of or pleaded nolo contendere to a misdemeanor charge or has been the subject of a civil action alleging: violation of a franchise, antifraud, or securities law; fraud; embezzlement; fraudulent conversion or misappropriation of property; or unfair or deceptive practices or comparable allegations.

D. No such party is subject to a currently effective injunctive or restrictive order or decree relating to the franchise or under a Federal, State, or Canadian franchise, securities, antitrust, trade regulation, or trade practice law resulting from a concluded or pending action or proceeding brought by a public agency; or is subject to any currently effective order of any national securities association or national securities exchange, as defined in the Securities and Exchange Act of 1934, suspending or expelling such person from membership in such association or exchange; or is subject to a currently effective injunctive or restrictive order relating to any other business activity

as a result of an action brought by a public agency or department, including, without limitation, actions affecting a license as a real estate broker or sales agent.

3. The following is added to the end of the "Summary" sections of Item 17(c), titled "Requirements for a franchisee to renew or extend," and Item 17(m), entitled "Conditions for franchisor approval of transfer":

However, to the extent required by applicable law, all rights you enjoy and any causes of action arising in your favor from the provisions of Article 33 of the General Business Law of the State of New York and the regulations issued thereunder shall remain in force; this proviso intends that the non-waiver provisions of General Business Law Sections 687(4) and 687(5) be satisfied.

4. The following language replaces the "Summary" section of Item 17(d), titled "Termination by a franchisee":

"You may terminate the agreement on any grounds available by law."

5. The following is added to the end of the "Summary" sections of Item 17(v), titled "Choice of forum," and Item 17(w), titled "Choice of law":

The foregoing choice of law should not be considered a waiver of any right conferred upon the franchisor or the franchisee by Article 33 of the General Business Law of the State of New York.

6. Franchise Questionnaires and Acknowledgements--No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

7. Receipts--Any sale made must be in compliance with § 683(8) of the Franchise Sale Act (N.Y. Gen. Bus. L. § 680 et seq.), which describes the time period a Franchise Disclosure Document (offering prospectus) must be provided to a prospective franchisee before a sale may be made. New York law requires a franchisor to provide the Franchise Disclosure Document at the earliest of the first personal meeting, ten (10) business days before the execution of the franchise or other agreement, or the payment of any consideration that relates to the franchise relationship.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF NORTH DAKOTA

The State of North Dakota has determined that the following types of provisions are deemed to be contrary to North Dakota law:

(a) Covenants not to compete are generally considered unenforceable in the State North Dakota. The Commissioner has held that covenants restricting competition are contrary to Section 9-08-06 of the North Dakota Century Code, and are unfair, unjust or inequitable within the intent of Section 51-19-09 of the North Dakota Investment Law.

(b) A provision that designates jurisdiction or venue, or requires Franchisee to agree to jurisdiction or venue, in a forum outside of North Dakota;

(c) A provision requiring a North Dakota franchisee to consent to termination penalties or liquidated damages;

(d) A provision requiring that the laws of a state other than North Dakota will apply;

(e) A provision calling for the waiver by a Franchisee of the right to trial by jury;

(f) A provision requiring the Franchisee to waive exemplary and punitive damages;

(g) A provision requiring a Franchisee to sign a general release upon renewal of the Franchise Agreement;

(h) A provision restricting the time in which a Franchisee may make a claim to less than the applicable North Dakota statute of limitations;

(i) A provision requiring a Franchisee to pay all costs and expenses incurred by the Franchisor in enforcing the Franchise Agreement.

Such provisions, if applicable, are amended by the North Dakota amendments to the Franchise Agreement attached to it.

Item 17 is amended by the addition of the following:

THE SECURITIES COMMISSIONER HAS HELD THE FOLLOWING TO BE UNFAIR, UNJUST OR INEQUITABLE TO NORTH DAKOTA FRANCHISEES (NDCC SECTION 51-19-09):

A. Restrictive Covenants: Franchise disclosure documents that disclose the existence of covenants restricting competition contrary to *NDCC Section 9-08-06*, without further disclosing that such covenants will be subject to the statute.

B. Situs of Arbitration Proceedings: Franchise agreements providing that the parties must agree to the arbitration of disputes at a location that is remote from the site of the franchisee's business.

C. Restrictions on Forum: Requiring North Dakota franchisees to consent to the jurisdiction of courts outside of North Dakota.

D. Liquidated Damages and Termination Penalties: Requiring North Dakota franchisees to consent to liquidated damages or termination penalties.

E. Applicable Laws: Franchise agreements that specify that they are to be governed by the laws of a state other than North Dakota.

F. Waiver of Trial by Jury: Requiring North Dakota Franchises to consent to the waiver of a trial by jury.

G. Waiver of Exemplary & Punitive Damages: Requiring North Dakota Franchisees to consent to a waiver of exemplary and punitive damage.

H. General Release: Franchise Agreements that require the franchisee to sign a general release upon renewal of the franchise agreement.

I. Limitation of Claims: Franchise Agreements that require the franchisee to consent to a limitation of claims. The statute of limitations under North Dakota law applies.

J. Enforcement of Agreement: Franchise Agreements that require the franchisee to pay all costs and expenses incurred by the franchisor in enforcing the agreement. The prevailing party in any enforcement action is entitled to recover all costs and expenses including attorney's fees.

Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the North Dakota Franchise Investment Law (N.D. CENT. CODE §§ 51-19-01 through 51-9-17) are met independently without reference to this Addendum.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF RHODE ISLAND

ITEM 17 of the disclosure document is amended to add the following:

> Section 19-28.1-14 of the Rhode Island Franchise Investment Act provides that "A provision in a franchise agreement restricting jurisdiction or venue to a forum outside this state or requiring the application of the laws of another state is void with respect to a claim otherwise enforceable under this Act."

Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Rhode Island Franchise Investment Act (19 R.I. GEN. LAWS §§ 19-28.1-1 through 19-28.1-34) are met independently without reference to this Addendum.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF SOUTH DAKOTA

For franchises and franchisees subject to the South Dakota Franchises for Brand-Name Goods and Services Law, the following information supersedes on supplements, as the case maybe, the corresponding disclosures in the main body of the text of the LAWN PRIDE SPV LLC Franchise Disclosure Document.

1. Item 17 is amended by the addition of the following language to the original language that appears therein:

(a) Before terminating the Franchise Agreement based upon your failure to meet performance and quality standards, and/or failure to make royalty payments, the franchisor must afford you a 30-day notice with an opportunity to cure said defaults.

(b) Covenants not to compete upon termination or expiration of a franchise agreement are generally unenforceable in South Dakota, except in certain instances as provides by law.

(c) Any provision in the Franchise Agreement which designates jurisdiction or venue or requires the franchisee to agree to jurisdiction or venue in a forum outside of South Dakota is void with respect to any cause of action which is otherwise enforceable in South Dakota.

(d) The law regarding franchise registration, employment, covenants not to compete, and other matters of local concern will be governed by the laws of the State of South Dakota; but as to contractual and all other matters, the franchise agreement and all provisions of this instrument will be and remain subject to the application, construction, enforcement and interpretation under the law of Texas.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE COMMONWEALTH OF VIRGINIA

In recognition of the restrictions contained in Section 13.1-564 of the Virginia Retail Franchising Act, the Franchise Disclosure Document for LAWN PRIDE SPV LLC for use in the Commonwealth of Virginia shall be amended as follows:

ITEM 17.h of the disclosure document is amended to add the following:

> Pursuant to Section 13.1-564 of the Virginia Retail Franchising Act, it is unlawful for a franchisor to cancel a franchise without reasonable cause. If any grounds for default or termination stated in the Franchise Agreement do not constitute "reasonable cause" as that term may be defined in the Virginia Retail Franchising Act or the laws of Virginia, that provision may not be enforceable.

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT,
FRANCHISE AGREEMENT, AND ALL RELATED AGREEMENTS
FOR THE STATE OF WASHINGTON

The provisions of this Addendum form an integral part of, are incorporated into, and modify the Franchise Disclosure Document, the franchise agreement, and all related agreements regardless of anything to the contrary contained therein. This Addendum applies if: (a) the offer to sell a franchise is accepted in Washington; (b) the purchaser of the franchise is a resident of Washington; and/or (c) the franchised business that is the subject of the sale is to be located or operated, wholly or partly, in Washington.

1. **Conflict of Laws.** In the event of a conflict of laws, the provisions of the Washington Franchise Investment Protection Act, chapter 19.100 RCW will prevail.

2. **Franchisee Bill of Rights.** RCW 19.100.180 may supersede provisions in the franchise agreement or related agreements concerning your relationship with the franchisor, including in the areas of termination and renewal of your franchise. There may also be court decisions that supersede the franchise agreement or related agreements concerning your relationship with the franchisor. Franchise agreement provisions, including those summarized in Item 17 of the Franchise Disclosure Document, are subject to state law.

3. **Site of Arbitration, Mediation, and/or Litigation.** In any arbitration or mediation involving a franchise purchased in Washington, the arbitration or mediation site will be either in the state of Washington, or in a place mutually agreed upon at the time of the arbitration or mediation, or as determined by the arbitrator or mediator at the time of arbitration or mediation. In addition, if litigation is not precluded by the franchise agreement, a franchisee may bring an action or proceeding arising out of or in connection with the sale of franchises, or a violation of the Washington Franchise Investment Protection Act, in Washington.

4. **General Release.** A release or waiver of rights in the franchise agreement or related agreements purporting to bind the franchisee to waive compliance with any provision under the Washington Franchise Investment Protection Act or any rules or orders thereunder is void except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2). In addition, any such release or waiver executed in connection with a renewal or transfer of a franchise is likewise void except as provided for in RCW 19.100.220(2).

5. **Statute of Limitations and Waiver of Jury Trial.** Provisions contained in the franchise agreement or related agreements that unreasonably restrict or limit the statute of limitations period for claims under the Washington Franchise Investment Protection Act, or rights or remedies under the Act such as a right to a jury trial, may not be enforceable.

6. **Transfer Fees.** Transfer fees are collectable only to the extent that they reflect the franchisor's reasonable estimated or actual costs in effecting a transfer.

7. **Termination by Franchisee.** The franchisee may terminate the franchise agreement under any grounds permitted under state law.

8. **Certain Buy-Back Provisions.** Provisions in franchise agreements or related agreements that permit the franchisor to repurchase the franchisee's business for any reason during the term of the franchise agreement without the franchisee's consent are unlawful pursuant to RCW 19.100.180(2)(j), unless the franchise is terminated for good cause.

9. **Fair and Reasonable Pricing.** Any provision in the franchise agreement or related agreements that requires the franchisee to purchase or rent any product or service for more than a fair and reasonable price is unlawful under RCW 19.100.180(2)(d).

10. **Waiver of Exemplary & Punitive Damages.** RCW 19.100.190 permits franchisees to seek treble damages under certain circumstances. Accordingly, provisions contained in the franchise agreement or elsewhere requiring franchisees to waive exemplary, punitive, or similar damages are void, except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2).

11. **Franchisor's Business Judgement.** Provisions in the franchise agreement or related agreements stating that the franchisor may exercise its discretion on the basis of its reasonable business judgment may be limited or superseded by RCW 19.100.180(1), which requires the parties to deal with each other in good faith.

12. **Indemnification.** Any provision in the franchise agreement or related agreements requiring the franchisee to indemnify, reimburse, defend, or hold harmless the franchisor or other parties is hereby modified such that the franchisee has no obligation to indemnify, reimburse, defend, or hold harmless the franchisor or any other indemnified party for losses or liabilities to the extent that they are caused by the indemnified party's negligence, willful misconduct, strict liability, or fraud.

13. **Attorneys' Fees.** If the franchise agreement or related agreements require a franchisee to reimburse the franchisor for court costs or expenses, including attorneys' fees, such provision applies only if the franchisor is the prevailing party in any judicial or arbitration proceeding.

14. **Noncompetition Covenants.** Pursuant to RCW 49.62.020, a noncompetition covenant is void and unenforceable against an employee, including an employee of a franchisee, unless the employee's earnings from the party seeking enforcement, when annualized, exceed $100,000 per year (an amount that will be adjusted annually for inflation). In addition, a noncompetition covenant is void and unenforceable against an independent contractor of a franchisee under RCW 49.62.030 unless the independent contractor's earnings from the party seeking enforcement, when annualized, exceed $250,000 per year (an amount that will be adjusted annually for inflation). As a result, any provision contained in the franchise agreement or elsewhere that conflicts with these limitations is void and unenforceable in Washington.

15. **Nonsolicitation Agreements.** RCW 49.62.060 prohibits a franchisor from restricting, restraining, or prohibiting a franchisee from (i) soliciting or hiring any employee of a franchisee of the same franchisor or (ii) soliciting or hiring any employee of the franchisor.

As a result, any such provisions contained in the franchise agreement or elsewhere are void and unenforceable in Washington.

16. **Questionnaires and Acknowledgments.** No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

17. **Prohibitions on Communicating with Regulators.** Any provision in the franchise agreement or related agreements that prohibits the franchisee from communicating with or complaining to regulators is

inconsistent with the express instructions in the Franchise Disclosure Document and is unlawful under RCW 19.100.180(2)(h).

18. **Advisory Regarding Franchise Brokers.** Under the Washington Franchise Investment Protection Act, a "franchise broker" is defined as a person that engages in the business of the offer or sale of franchises. A franchise broker represents the franchisor and is paid a fee for referring prospects to the franchisor and/or selling the franchise. If a franchisee is working with a franchise broker, franchisees are advised to carefully evaluate any information provided by the franchise broker about a franchise.

19. **Referral Fee (Items 1 and 5)**. The referral fee is not available, and will not be paid, in Washington.

20. **Financial Assurance (Items 5 and 7)**. The franchisor will defer collection of the initial franchise fee until the franchisor has fulfilled its initial pre-opening obligations to the franchisee and the franchise is open for business.

21. **Item 16**. ITEM 16 is amended to add the following: "You may be required to maintain prices set by us."

22. **Item 17**. ITEM 17 is amended to add the following:

> With respect to 17(d), franchisees may terminate the Franchise Agreement as permitted by Washington law.
>
> In 17(p), the 120-day period is replaced with a 180-day period.
>
> With respect to 17(v) and 17(w), the referenced provisions are subject to state law.

The undersigned parties do hereby acknowledge receipt of this Addendum.

Dated this _____ day of _____ 20_____.

_____	_____
Signature of Franchisor Representative	Signature of Franchisee Representative
_____	_____
Title of Franchisor Representative	Title of Franchisee Representative

ADDENDUM TO THE
LAWN PRIDE SPV LLC
FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF WISCONSIN

ITEM 17 of the disclosure document is amended to add the following:

The Wisconsin Fair Dealership Law Title XIV-A Ch. 135, Section 135.01-135.07, may affect the termination provision of the Franchise Agreement.

THE FOLLOWING PAGES IN THIS EXHIBIT ARE STATE-SPECIFIC RIDERS TO THE FRANCHISE AGREEMENT

ADDENDUM TO THE FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF CALIFORNIA

This Addendum to the Franchise Agreement is entered to this _____ day of _____, 20___, between **LAWN PRIDE SPV LLC** ("we", "us" or Franchisor") and _____ ("you" or "Franchisee") to amend and revise the Franchise Agreement as follows:

1. The provisions of this Addendum form an integral part of, and are incorporated into the Franchise Agreement. This Addendum is being executed because: (a) the offer or sale of the franchise to Franchisee was made in the State of California; (b) Franchisee is a resident of the State of California; and/or (c) the Franchised Business will be located or operated in the State of California.

2. California Business and Professions Code Sections 20000 through 20043, the California Franchise Relations Act, provide rights to the franchisee concerning termination, transfer or non-renewal of a franchise. If the franchise agreement contains a provision that is inconsistent with the law, the law will control.

3. Franchisor's financing program is offered pursuant to the franchise loan exemption under Section 22063 of the California Finance Lenders Law. If Franchisee decides to finance all or a portion of the initial franchise fee using Franchisor's financing program, Franchisee hereby confirms that Franchisee intends to use the financing primarily for purposes other than personal, family, or household purposes.

4. Any capitalized terms that are not defined in this Addendum shall have the meaning given them in the Franchise Agreement.

5. Except as expressly modified by this Addendum, the Franchise Agreement remains unmodified and in full force and effect.

6. Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the California Franchise Investment Law are met independently without reference to this Addendum.

IN WITNESS WHEREOF, each of the undersigned hereby acknowledges having read this Addendum, understands and consents to be bound by all of its terms.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

_____
BY: _____
_____, President

ADDENDUM TO THE FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF ILLINOIS

This Addendum to the Franchise Agreement is entered into this ___ day of _____, 20__, between **LAWN PRIDE SPV LLC** ("we", "us" or "Franchisor") and _____ ("you" or "Franchisee") to amend and revise the Franchise Agreement as follows:

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Agreement is hereby amended as follows:

1. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified herein.

2. Section 14.G.1, **Applicable Law and Waiver**, and Section 14.H, **Venue**, are amended to add the following:

> "If any provisions of the Agreement are inconsistent with applicable Illinois state law, then Illinois state law shall apply. Any provision which designates jurisdiction or venue in a forum outside Illinois is void with respect to any cause of action which is otherwise enforceable in Illinois, provided that a Franchise Agreement may provide for arbitration in a forum outside of Illinois. Any condition, stipulation or provision purporting to bind any person acquiring any Franchise to waive compliance with any provision of the Illinois Franchise Disclosure Act is void."

3. Section 13.B, **Claims**, is amended to add the following:

> "However, nothing in this Section shall shorten any period within which you may bring a claim under Section 705/27 of the Illinois Franchise Disclosure Act or constitute a condition, stipulation, or provision purporting to bind any person acquiring any franchise to waive compliance with any provision of the Illinois Franchise Disclosure Act of 1987 or any other Illinois law (as long as the jurisdictional requirements of that Illinois law are met)."

4. No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

5. Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Illinois Franchise Disclosure Act (815 ILL. COMP. STAT. §§ 705/1 through 705/44) are met independently without reference to this Addendum.

[SIGNATURE PAGE TO FOLLOW]

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

_____

BY: _____

_____, President

ADDENDUM TO THE FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF MARYLAND

This Addendum to the Franchise Agreement is entered into this ____ day of _____, 20___, between **LAWN PRIDE SPV LLC** ("we", "us" or "Franchisor") and _____ ("you" or "Franchisee") to amend and revise the Franchise Agreement as follows:

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Agreement is hereby amended as follows:

1. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified herein.

2. Section 7.A, **MAP Fund**, is amended by adding the following language:

"To obtain an accounting of the MAP Fund, you should contact our President or Vice President in writing."

3. Section 4.B, **Renewal**, and Section 10.D.6, **Conditions of Transfer** are amended by adding the following language:

"However, such general release will not apply to claims arising under the Maryland Franchise Registration and Disclosure Law."

4. Section 8.A, **Initial Franchise Fee**, is amended by adding the following language at the end of the section:

"Based upon our financial condition, the Maryland Securities Commissioner has imposed a fee deferral requirement. Therefore, you will not be required to pay the initial fees due to us and/or our affiliates, including the Initial Franchise Fee and any other fees, until we have completed all our pre-opening obligations to you and you begin operating your franchise business."

5. Section 12.B.2(vi), **Immediate Termination With No Opportunity to Cure**, is amended by adding the following language:

"(Termination upon insolvency might not be enforceable under federal insolvency law (11 U.S.C. Sections 101 et seq.), but we and you agree to enforce this provision to the maximum extent the law allows.)"

6. Section 14.G.1, **Applicable Law and Waiver**, and Section 14.H, **Venue**, are amended by adding the following language:

"Subject to your arbitration obligations, a franchisee in Maryland may bring a lawsuit in Maryland for claims arising under the Maryland Franchise Registration and Disclosure Law."

7. Section 13.B, **Claims**, is amended to add the following:

"However, the limitation of such claims shall not act to reduce the three (3) year statute of limitations afforded to you for bringing a claim under the Maryland Franchise Registration and Disclosure Law."

8. The Franchise Agreement is amended by adding the following language at the end of the document:

"No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise."

9. Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Maryland Franchise and Disclosure Law (MD CODE ANN., BUS. REG. §§ 14-201 through 14-233) are met independently without reference to this Addendum.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____

_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

_____

BY: _____

_____, President

ADDENDUM TO THE FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF MINNESOTA

This Addendum to the Franchise Agreement is entered into this ___ day of _____, 20__, between **LAWN PRIDE SPV LLC** ("we", "us" or "Franchisor") and _____ ("you" or "Franchisee") to amend and revise said Franchise Agreement as follows:

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Agreement is hereby amended as follows:

1. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified herein.

2. Section 4.B, **Renewal**, is amended by adding the following language:

"Unless the failure to renew your license is for good cause as defined in Minnesota Statutes Section 80C.14, Subdivision 3, Paragraph (b), and you have failed to correct the reasons for termination as required by Subdivision 3, we may not fail to renew your license unless:

(1) You have been given written notice of the intention not to renew at least 180 days in advance of the expiration of this Agreement; and

(2) You has been given an opportunity to operate the Business over a sufficient period of time to enable you to recover the fair market value of the Business as a going concern, as determined and measured from the date of the failure to renew. We may not refuse to renew your license if our refusal is for the purpose of converting the Business premises, or the franchise, to an operation that will be owned by us for our own account.

Any release required by us as a condition of renewal of the franchise will not apply to the extent that such release is specifically prohibited by the Minnesota Franchise Law."

3. Section 3.D, **Litigation**, is amended by adding the following language

"Minnesota considers it unfair to not protect the franchisee's right to use the trademarks. Refer to Minnesota Statute 80C.12 Subd. 1(G). The franchisor will protect the franchisee's rights to use the trademarks, service marks, trade names, logotypes, or other commercial symbols or indemnify the franchisee from any loss, costs, or expenses arising out of any claim, suit, or demand regarding the use of the name."

4. Section 10.D.6, **General Release**, is hereby deleted from the Agreement in accordance with Minnesota Rule 2860.4400D.

5. Section 12.B, **Termination By Us**, is hereby amended by adding the following language:

"Pursuant to Minn. Stat. Sec. 80C.14, Subdivisions 4 & 5, no person may terminate or cancel a franchise unless (i) that person has given notice setting forth all the reasons for the termination or cancellation at least 90 days in advance of termination or cancellation, and (ii) the

recipient of the notice fails to correct the reasons stated for termination or cancellation in the notice within 60 days of receipt of the notice; except that the notice is effective immediately upon receipt where the alleged grounds for termination or cancellation are:

(1) voluntary abandonment of the franchise relationship by you;

(2) the conviction of you of an offense that is directly related to the business conducted pursuant to the franchise; or

(3) failure to cure a default under this Agreement which materially impairs the goodwill associated with our trade name, trademark, service mark, logotype or other commercial symbol after you have received written notice to cure at least twenty-four (24) hours in advance thereof.

No person may terminate or cancel a franchise except for good cause. "Good cause" means failure by you to substantially comply with the material and reasonable franchise requirements imposed by us including, but not limited to:

(1) your bankruptcy or insolvency;

(2) a voluntary or involuntary assignment for the benefit of creditors or any type of similar disposition of the assets of the Business;

(3) voluntary abandonment of the Business;

(4) your conviction or your plea of guilty or no contest to a charge of violating any law relating to the Business; or

(5) any act or conduct which materially impairs the goodwill associated with our trademark, trade name, service mark, logo or other commercial symbol."

6. Section 11.B, **Exceptions to Mediation**, is amended by adding the following language:

"Under Minnesota law, we may seek a restraining order, injunction and such other equitable relief as may be appropriate, but we are not automatically entitled to such relief and you have not automatically consented to such relief."

7. Section 14.G.1, **Applicable Law and Waiver**, and Section 14.I., **Jury Waiver**, are amended by adding:

"Pursuant to Minnesota Statutes Section 80C.21 and Minnesota Rule Part 2860.4400J, and subject to your arbitration obligations, this section shall not in any way abrogate or reduce any of your rights as provided for in Minnesota Statutes, Chapter 80C, including the right to submit matters to the jurisdiction of the courts of Minnesota and the right to bring a cause of action within three years after the cause of action accrues. You cannot be required to consent to the waiver of a jury trial."

8. Minnesota Rules 2860.4400(G) prohibits a franchisor from imposing on a franchisee by contract or rule, whether written or oral, any standard of conduct that is unreasonable.

9. No statement, questionnaire, or acknowledgement signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including, fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with this franchise.

10. Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of Minnesota state franchise law (MINN. STAT. §§ 80C.01 through 80C.22) are met independently without reference to this Addendum.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____

_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

_____

BY: _____

_____, President

ADDENDUM TO THE FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF NORTH DAKOTA

This Addendum to the Franchise Agreement is entered into this ___ day of _____, 20__, between **LAWN PRIDE SPV LLC** ("we", "us" or "Franchisor") and _____ ("you" or "Franchisee") to amend and revise the Franchise Agreement as follows:

NOW, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Agreement is hereby amended as follows:

1. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified herein.

2. Section 9.D, **Noncompetition Covenants**, is amended by adding the following: "Covenants not to compete are generally considered unenforceable in the State of North Dakota pursuant to Section 9-08-06 of the North Dakota Century Code."

3. Section 4.B, **Renewal**, and Section 10.D.6, **General Release**, are amended by adding the following: "Franchise Agreements that require the franchisee to sign a general release upon renewal or transfer are considered unfair, unjust and inequitable and are hereby deleted in accordance with Section 51-19-09 of the North Dakota Franchise Investment Law."

4. Section 14.G.1, **Applicable Law and Waiver** and Section 14.H., **Venue**, are amended by adding the following: "Notwithstanding the foregoing, to the extent required by the North Dakota Franchise Investment Law, this Agreement will be governed by the laws of the state of North Dakota."

5. Section 11, **Dispute Resolution**, is amended by adding the following: "Notwithstanding the foregoing, if and to the extent required by the North Dakota Franchise Investment Law (unless preempted by the Federal Arbitration Act), arbitration proceedings will be conducted at a mutually agreeable site in North Dakota."

6. Section 13.B, **Claims**, is amended by adding the following: "If and to the extent any provisions of this Section of the Agreement are inconsistent with the North Dakota Franchise Investment Law, then the applicable provisions of the North Dakota Franchise Investment Law shall apply."

7. Section 14.I, **Waiver of Jury**, is amended by adding the following: "If and to the extent any provisions of this Section of the Agreement are inconsistent with the North Dakota Franchise Investment Law, then the applicable provisions of the North Dakota Franchise Investment Law shall apply."

8. Section 14.K, **Waiver of Punitive and Consequential Damages**, is amended by adding the following: "If and to the extent any provisions of this Section of the Agreement are inconsistent with the North Dakota Franchise Investment Law, then the applicable provisions of the North Dakota Franchise Investment Law shall apply."

9. Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the North Dakota Franchise Investment Law (N.D. CENT. CODE §§ 51-19-01 through 51-9-17) are met independently without reference to this Addendum.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____

_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

_____

BY: _____

_____, President

ADDENDUM TO THE FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF RHODE ISLAND

This Addendum to the Franchise Agreement is entered into this ___ day of _____, 20__, between **LAWN PRIDE SPV LLC** ("we", "us" or "Franchisor") and _____ ("you" or "Franchisee") to amend and revise the Franchise Agreement as follows:

NOW, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Agreement is hereby amended as follows:

1. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified herein.

2. Section 14.G.1, **Applicable Law and Waiver**, and Section 14.H, **Venue**, are amended by adding:

Any provision in the franchise agreement restricting jurisdiction or venue to a forum outside Rhode Island or requiring the application of the laws of a state other than Rhode Island is void as to a claim otherwise enforceable under the Rhode Island Franchise Investment Act.

3. Each provision set forth in this Addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Rhode Island Franchise Investment Act (19 R.I. GEN. LAWS §§ 19-28.1-1 through 19-28.1-34) are met independently without reference to this Addendum.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

_____

BY: _____

_____, President

ADDENDUM TO FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF SOUTH DAKOTA

This ADDENDUM TO FRANCHISE AGREEMENT is entered into by and between Lawn Pride SPV LLC, a Delaware limited liability company with an address of 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor") and _____, individually, with an address of _____ ("Franchisee").

WHEREAS, Franchisor and Franchisee have contemporaneously herewith entered into a Franchise Agreement (the "Agreement") and wish to amend certain terms of the Agreement. This Addendum is being signed because (a) the offer or sale of the franchise for the Franchised Business that Franchisee will operate under the Agreement was made in the State of South Dakota, and/or (b) Franchisee is a resident of South Dakota and the Franchised Business will be located in South Dakota.

NOW, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Agreement is hereby amended as follows:

1. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified herein.

2. Section 12.B of the Franchise Agreement is amended to provide as follows:

Before terminating the Franchise Agreement based upon your failure to meet performance and quality standards, and/or failure to make royalty payments, the franchisor must afford you 30 days written notice with an opportunity to cure said defaults prior to termination.

3. Section 9.D of the Franchise Agreement is amended by the addition of the following language to the original language that appears therein:

"Covenants not to compete upon termination or expiration of a franchise agreement are generally unenforceable in South Dakota, except in certain instances as provides by law."

4. Section 14.G.1 of the Franchise Agreement is amended to reflect the following:

The law regarding franchise registration, employment, covenants not to compete, and other matters of local concern will be governed by the laws of the State of South Dakota; but as to contractual and all other matters, this Agreement and all provisions of this instrument will be and remain subject to the application, construction, enforcement and interpretation under the laws of the state of Texas.

5. Any provision in the Franchise Agreement which designates jurisdiction or venue or requires the franchisee to agree to jurisdiction or venue in a forum outside of South Dakota is void with respect to any cause of action which is otherwise enforceable in South Dakota. In the event that either party shall make demand for arbitration, such arbitration shall be conducted in a mutually agreed upon site in accordance with Section 11 of the Commercial Arbitration Rules of the American Arbitration Association.

The undersigned does hereby acknowledge receipt of this Addendum.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of the _____ day of _____, 20__, in _____, ____.

FRANCHISOR:

_____
BY: _____
_____, President

ADDENDUM TO FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF VIRGINIA

This ADDENDUM TO FRANCHISE AGREEMENT is entered into by and between Lawn Pride SPV LLC, a Delaware limited liability company with an address of 1010 North University Parks Drive, Waco, Texas 76707 ("Franchisor") and _____, individually, with an address of _____ "Franchisee").

WHEREAS, Franchisor and Franchisee have contemporaneously herewith entered into a Franchise Agreement (the "Agreement") and wish to amend certain terms of the Agreement. This Addendum is being signed because (a) the offer or sale of the franchise for the Franchised Business that Franchisee will operate under the Agreement was made in the State of Virginia, (b) Franchisee is a resident of Virginia, and/or (c) the Franchised Business will be located or operated in the State of Virginia.

NOW, THEREFORE, for and in consideration of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged by the parties, the Agreement is hereby amended as follows:

1. Notwithstanding anything to the contrary in the Agreement, in the event of a conflict between the provisions of the Agreement and the provisions of this Addendum, the provisions of this Addendum shall control. The parties agree that the Agreement remains fully effective in all respects except as specifically modified herein, and all the respective rights and obligations of Franchisee and Franchisor remain as written unless modified herein.

The undersigned does hereby acknowledge receipt of this Addendum.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of the _____ day of _____, 20__, in _____, ____.

FRANCHISOR:

_____
BY: _____
_____, President

ADDENDUM TO THE FRANCHISE AGREEMENT
LAWN PRIDE SPV LLC
FOR THE STATE OF WISCONSIN

This Addendum to the Franchise Agreement is entered into this ____ day of _____, 20___, between **LAWN PRIDE SPV LLC** ("we", "us" or "Franchisor") and _____ ("you" or "Franchisee") to amend and revise the Franchise Agreement as follows:

1. The Wisconsin Fair Dealership Law Title XIV-A Ch. 135, Sec. 135.01-135.07, will supersede any conflicting terms of the Franchise Agreement.

2. This provision of this Addendum shall be effective only to the extent that the jurisdictional requirements of the Wisconsin Fair Dealership Law applicable to the provisions are met independent of this Addendum. To the extent this Addendum shall be deemed to be inconsistent with any terms or conditions of said Franchise Agreement or exhibits or attachments thereto, the terms of this Addendum shall govern.

IN WITNESS WHEREOF, each of the undersigned hereby acknowledges having read this Addendum, understands and consents to be bound by all of its terms.

Signed on this _____ day of _____, 20__.

FRANCHISEE:

_____
_____, individually

Accepted as of the _____ day of _____, 20__, in Waco, Texas.

FRANCHISOR:

_____

BY: _____

_____, President

EXHIBIT P

STATE EFFECTIVE DATES

The following states have franchise laws that require that the Franchise Disclosure Document be registered or filed with the states, or be exempt from registration: California, Hawaii, Illinois, Indiana, Maryland, Michigan, Minnesota, New York, North Dakota, Rhode Island, South Dakota, Virginia, Washington, and Wisconsin.

This document is effective and may be used in the following states, where the document is filed, registered, or exempt from registration, as of the Effective Date stated below:

California:	April 1, 2026
Hawaii:	[PENDING]
Illinois:	April 1, 2026
Indiana:	[PENDING]
Maryland:	[PENDING]
Michigan:	April 1, 2026
Minnesota:	[PENDING]
New York:	April 1, 2026
North Dakota:	[PENDING]
Rhode Island:	[PENDING]
South Dakota:	[PENDING]
Virginia:	[PENDING]
Washington:	[PENDING]
Wisconsin:	[PENDING]

Other states may require registration, filing, or exemption of a franchise under other laws, such as those that regulate the offer and sale of business opportunities or seller-assisted marketing plans.

RECEIPTS

RECEIPT (YOURS)

This disclosure document summarizes provisions of the franchise agreement and other information in plain language. Read this franchise disclosure document and all agreements carefully.

If LAWN PRIDE SPV LLC offers you a franchise, it must provide this disclosure document to you 14 calendar-days before you sign a binding agreement with, or make a payment to, the franchisor or an affiliate in connection with the proposed franchise sale.
New York, if applicable, requires that we give you this disclosure document at the earlier of the first personal meeting or 10 business days before the execution of the franchise or other agreement or the payment of any consideration that relates to the franchise relationship.

Iowa and Michigan, if applicable, require that we give you this disclosure document at least 10 business days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

If Lawn Pride SPV LLC does not deliver this disclosure document on time or if it contains a false or misleading statement, or a material omission, a violation of federal and state law may have occurred and should be reported to the Federal Trade Commission, Washington, DC 20580 and the state agencies listed in Exhibit B.

The name, principal business address, and telephone number of the Franchise Sellers offering the franchise are: Susan McIntosh, Lawn Pride SPV LLC, 1010 North University Parks Drive, Waco, Texas 76707, (321) 422 - 2089. **Additional Sellers/telephone numbers:**

Name/Contact Information for Broker or Additional Franchise Seller, if any (Address for additional Franchise Seller is same as above):	_____ _____ _____ _____

ISSUANCE DATE: APRIL 1, 2026

I RECEIVED A DISCLOSURE DOCUMENT DATED APRIL 1, 2026, THAT INCLUDED STATE ADDENDA AND THE FOLLOWING EXHIBITS: (A) Franchise Agreement with Schedules; (B) Agencies/Agents for Service of Process; (C) Financial Statements; (D) Parent Guarantee; (E-1) Current Franchisees in the United States as of December 31, 2025; (E-2) Franchisees in the United States who left the System in the past 12 months as of December 31, 2025; (E-3) Company-Owned Businesses as of December 31, 2025; (F-1) Option to Purchase Agreement; (F-2) Option to Purchase Agreement (The Grounds Guys and/or Mosquito Joe franchisees only); (G) Renewal Addendum; (H) General Release [sample]; (I) PROTRADENET Agreement; (J-1) Software System User and Maintenance Agreement; (J-2) Real Green Software Terms of Service; (K) Table of Contents of Manuals; (L) Assignment and Consent Agreement; (M) Call Center Program Agreement; (N) BackOffice HelpDesk Service Agreement; (O) State Addenda and (P) State Effective Dates.

_____	_____	_____
Date	Signature	Printed Name
_____	_____	_____
Date	Signature	Printed Name

RECEIPT (OURS)

This disclosure document summarizes provisions of the franchise agreement and other information in plain language. Read this franchise disclosure document and all agreements carefully.

If LAWN PRIDE SPV LLC offers you a franchise, it must provide this disclosure document to you 14 calendar-days before you sign a binding agreement with, or make a payment to, the franchisor or an affiliate in connection with the proposed franchise sale.
New York, if applicable, requires that we give you this disclosure document at the earlier of the first personal meeting or 10 business days before the execution of the franchise or other agreement or the payment of any consideration that relates to the franchise relationship.

Iowa and Michigan, if applicable, require that we give you this disclosure document at least 10 business days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

If Lawn Pride SPV LLC does not deliver this disclosure document on time or if it contains a false or misleading statement, or a material omission, a violation of federal and state law may have occurred and should be reported to the Federal Trade Commission, Washington, DC 20580 and the state agencies listed in Exhibit B.

The name, principal business address, and telephone number of the Franchise Sellers offering the franchise are: Susan McIntosh, Lawn Pride SPV LLC, 1010 North University Parks Drive, Waco, Texas 76707, (321) 422 - 2089. **Additional Sellers/telephone numbers:**

Name/Contact Information for Broker or Additional Franchise Seller, if any (Address for additional Franchise Seller is same as above):	_____ _____ _____ _____

ISSUANCE DATE: APRIL 1, 2026

I RECEIVED A DISCLOSURE DOCUMENT DATED APRIL 12, 2026, THAT INCLUDED STATE ADDENDA AND THE FOLLOWING EXHIBITS: (A) Franchise Agreement with Schedules; (B) Agencies/Agents for Service of Process; (C) Financial Statements; (D) Parent Guarantee; (E-1) Current Franchisees in the United States as of December 31, 2025; (E-2) Franchisees in the United States who left the System in the past 12 months as of December 31, 2025; (E-3) Company-Owned Businesses as of December 31, 2025; (F-1) Option to Purchase Agreement; (F-2) Option to Purchase Agreement (The Grounds Guys and/or Mosquito Joe franchisees only); (G) Renewal Addendum; (H) General Release [sample]; (I) PROTRADENET Agreement; (J-1) Software System User and Maintenance Agreement; (J-2) Real Green Software Terms of Service; (K) Table of Contents of Manuals; (L) Assignment and Consent Agreement; (M) Call Center Program Agreement; (N) BackOffice HelpDesk Service Agreement; (O) State Addenda and (P) State Effective Dates.

_____	_____	_____
Date	Signature	Printed Name
_____	_____	_____
Date	Signature	Printed Name